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Achoki v Republic
[2000] 2 EA 283 (CAK)

Division: Court of Appeal of Kenya at Kisumu

Date of judgment: 23 March 2000

Case Number: 6/00

Before: Omolo, Lakha and Bosire JJA

Sourced by: LawAfrica

Summarised by: C Kanjama

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[1] Crime – Attempted rape – Elements of the charge – Section 141(1) – Penal Code (Chapter 63).

[2] Criminal procedure – Charge – Particulars of rape and indecent assault.

Editor's Summary

A was charged on a count of attempted rape with an alternative count of indecent assault. He was found guilty in the Magistrate's Court and sentenced to life imprisonment. On appeal to the High Court, the sentence was reduced to seven years with hard labour. On further appeal, the Court considered the particulars of the charge, wherein it was charged that the accused had been "attempted to have carnal knowledge of [the victim]".

Held – A charge of rape (under section 141(1) of the Penal Code (Chapter 63)) must allege in its particulars that the act of sexual intercourse was unlawful and was without the consent of the woman or girl. The Appellant was wrongly convicted on this charge.

It was still open to the court to make a finding on the alternative charge of indecent assault (under section 144(1) of the Penal Code). On the facts, the Appellant would be convicted on this alternative charge and sentenced to four years with hard labour.

Judgment

OMOLO, LAKHA AND BOSIRE JJA: Daniel Nyareru Achoki, the Appellant, was charged and tried on one main count of attempted rape contrary to section 141 as read with section 388(1) and an alternative count of indecent assault on a female contrary to section 144(1), both under the Penal Code. In actual fact, the correct charge should have been under section 141 by itself, but if an

additional section was felt to be necessary, it should have been under section 389, not 388(1) of the Penal Code. At the end of trial, the senior resident magistrate at Kisii found the Appellant guilty on the charge of attempted rape, convicted him thereon and sentenced the Appellant to life imprisonment with hard labour and three strokes of the cane. Having thus convicted the Appellant on the main charge of attempted rape, the learned trial magistrate correctly made no findings on the alternative charge of indecent assault.

The Appellant appealed to the superior court at Kisii (Waweru J), who after hearing the appeal, dismissed the same as regards the conviction but reduced the sentence of imprisonment from one of life to seven years, with hard labour. The three strokes of the cane were confirmed. The Appellant now comes before us on a second appeal and that being the position, only matters of law fall for our consideration.

Mr *Gacivih*, for the Republic, conceded before us that the conviction on the charge of attempted rape cannot be sustained. The particulars of that charge were to the effect that:

> "On 26 April 1999 at Metamaiywa Village at Nyansiongo/Gesima sublocation in Nyamira District within Nyanza Province, attempted to have carnal knowledge of Caren Kemunto Kombo".

Section 139 of the Penal Code defines what constitutes a charge of rape. That section is in these terms:

> "Any person who has unlawful carnal knowledge of a woman or girl, without her consent, or with her consent if the consent is obtained by force or by any means of threats or intimidation of any kind, or by fear of bodily harm, or by means of false representation as to the nature of the act, or, in the case of a married woman, by personating her husband, is guilty of the felony termed rape".

This definition makes it clear beyond a peradventure that it is lack of consent on the part of a woman or girl that is at the core of the crime of rape. Indeed, lack of consent is so vital that even if there be an apparent consent obtained by force, personation etc, a charge of rape would still lie against the ravisher. *A fortiorri*, if there is consent, there cannot be rape. So a charge of rape must allege in its particulars:

(i) that the act of sexual intercourse was unlawful;

(ii) that the act of sexual intercourse was without the consent of the woman or girl.

We suppose it is the lack of consent which makes the act of carnal knowledge unlawful, but the section uses both expressions, that is, "unlawful" and "without consent" and the prosecution would be well advised to use both. Whether the charge be one of rape under section 140 or attempted rape under section 141 of the Penal Code, the particulars must nevertheless state that the attempted unlawful carnal knowledge was without consent of the woman or girl.

The particulars of the offence of attempted rape upon which the Appellant was convicted did not state that the attempted carnal knowledge was unlawful and was without the consent of Caren Kemunto Kombo (PW 1). That charge did not disclose an offence known to the law and the Appellant was wrongly convicted on it. The alternative charge of indecent assault, however, remained and still remains on the record. Both the magistrate and the superior court made no findings on it. It is accordingly still open for us to make findings thereon. The evidence which was accepted by the magistrate and confirmed by the superior court was that the Appellant accosted the complainant, knocked her down, tore away her knickers and lay on top of her. He was at the same time lowering his own trousers and he tried to get in between her thighs. PW 1 was all the time screaming and her screams brought along Thomas Osoro Oiruria (PW 2) who said he found the Appellant lying on top of the complainant. This evidence was accepted by the magistrate and by the judge on first appeal. There cannot be any basis upon which this Court can interfere with their findings of fact. On the material before them, they were entitled to make the findings they did make. It is clear to us that the mother of the complainant (PW 3) who had been with the complainant was left far behind by PW 1 and the mother only arrived at the scene after PW 2 had rescued PW 1 from the Appellant. These facts apart from supporting a charge of attempted rape, which

charge, as we have said was incurably defective, also supported the alternative charge of indecent assault under section 144(1) of the Penal Code.

Accordingly, we set aside the conviction recorded under section 141(1) of the Penal Code and we substitute therefor a conviction under section 144(1) of the Penal Code. We set aside the sentence of seven years' imprisonment and substitute it with one of four years' imprisonment with hard labour to run from the date of the original sentence by the magistrate. We also sentence the Appellant to receive three strokes of the cane. Those shall be our orders on the appeal.

For the Appellant:
Information not available

For the Respondent:
Mr Gacivih

Agip (K) Ltd v Vora
[2000] 2 EA 285 (CAK)

Division:	Court of Appeal of Uganda at Mombasa
Date of judgment:	18 February 2000
Case Number:	213/99
Before:	Omolo, Lakha and Keiwua JJA
Sourced by:	LawAfrica
Summarised by:	C Kanjama

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[1] Land – Licence agreement – Construction of clauses – Agreement expressly excludes any proprietary interest to licensee – Whether equitable interest would be implied – Letter of termination – Whether previous correspondence would be examined to examine basis and effect of the letter.

[2] Land – Licence agreement – Petrol service station – Breach of agreement by licensee – Whether licensor entitled to terminate without notice – Injunction – Whether Order XXXIX, rule 1 would apply to restore a licensee who has no registrable interest in land.

[3] Practice and procedure – Injunction – Temporary injunction – Principles for grant – Licensee had not claimed any proprietary interest in the land – Whether grant of injunction appropriate – Whether mandatory injunction would be granted to restore licensee into occupation.

Editor's Summary

Since 1977 Vora had been operating a service station under various Operator Licence Agreements (OLAs) with Agip (K) Ltd The current OLA was made and dated February 1993. One of the clauses in this agreement required Vora to maintain sufficient stocks of fuel. Agip (K) Ltd reserved the right to terminate the agreement without notice for breach of this clause. The only consideration to Agip (K) Ltd for the licence was a standard charge in the fuel supplied to Vora for sale. In February and

March 1999 Agip (K) Ltd wrote two letters to Vora complaining that Vora was not maintaining sufficient stocks of fuel.

In June 1999 Agip (K) Ltd wrote a letter terminating the licence agreement, allegedly for non-compliance with the minimum stocks requirement. Agip (K) Ltd then without notice installed guards and security at the service station

thereby bringing Vora's business to a standstill. In response, Vora filed the suit herein and simultaneously brought an interlocutory application under Order XXXIX, rules 1, 2 and 3 seeking to restrain Agip (K) Ltd from evicting it or interfering with its operation of the business pending the determination of the suit.

The trial court held that the purported termination letter was inadequate in respect of notifying the Respondents of the reasons for the said termination. Further that the investments in the business by Vora created goodwill and an equitable right to possession of the licence property. The court therefore granted the injunction as prayed.

On appeal it was contended for Agip (K) Ltd that the termination letter, as read with previous correspondence between the parties, was clear and unambiguous. Further, that no application lay under Order XXXIX, rule 1 as the OLA denied Vora any interest in the land, buildings or equipment therein. It was also argued that no equitable right could be created to oust the express provisions of a written licence.

Held – To understand the termination letter one must of necessity look at the previous letters. Since no notice was required to terminate the agreement for non-maintenance of sufficient stocks, it was enough for the termination letter to identify this breach for the termination to be effective.

A temporary injunction under Order XXXIX, rule 1 could only be granted where the applicant had an interest in the land, or on the basis that the respondent threatened to dispose of the property in circumstances that could delay execution of any decree that would be passed against it. This situation did not apply in the suit herein.

In the present case, Vora was, by a clause in the licence, denied any interest in the land thereby preventing the creation of any equity upon which an application under Order XXXIX, rule 1 could be based. *Errington v Errington and Woods* [1952] 1 KB 290 distinguished.

Per curiam: (i) On whether the order of restoration was appropriate: (a) where the licence has been effectively terminated, as in this case, an order of restoration would be improper unless the Applicant had prayed for a mandatory injunction; (b) this Court has held more than once that interlocutory mandatory injunction should only be granted with reluctance and in very special circumstances. *The Despina Pontikos* [1975] EA 38 approved. (ii) On whether damages could compensate the licensee: since the licensee was not given proprietary possession of the station, any losses that may have arisen on termination could be quantified in damages. *Gusii Mwalimu Investment Co Ltd and others v Mwalimu Hotel Kisii Ltd* [1995] LLR 396 (CAK) distinguished. (iii) The trial court erred in delving into substantive issues and making finally concluded views thereon. The court was only required to determine whether a *prima facie* case with a probability of success had been established.

Appeal allowed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Gusii Mwalimu Investment Co Ltd and others v Mwalimu Hotel Kisii Ltd [1995] LLR 396 (CAK) – **D**

The Despina Pontikos [1975] EA 38 – **APP**

United Kingdom

Errington v Errington and Woods [1952] 1KB 290 – **D**

Judgment

OMOLO, LAKHA AND KEIWUA JJA: The Respondents in this appeal instituted a suit against the Appellant, Agip (Kenya) Limited ("Agip") in the superior court, at Mombasa, claiming that the Respondents have since 1977 been operating a service station known as Tusks Service Station ("the station"), situated along Moi Avenue, Mombasa. The Respondents' operation of the station has been a subject of a series of operator's Licence agreements granted by Agip. The Operator's Licence Agreement which was current at the time, prior to the institution of the suit, was made and dated 16 February 1993.

Agip on 19 June 1999 served on the Respondents a letter dated 17 June 1999, and whose effect was to summarily terminate the Respondents' licence. Agip soon thereafter, without notice to the Respondents, placed security guards in and around the station, thereby bringing business to a standstill. The guards cleared the station and locked the Respondents' offices, rendering the premises inaccessible. All that happened despite the fact that the Respondents had met and observed their obligations in the licence. The Respondents have sold and striven to sell the prescribed minimum quantities of petroleum products. The Respondents have also made immense investment in money, equipment and goodwill, which cannot be measured in money. The Respondents, accordingly, filed suit because Agip threatened and intended, unless restrained by the court, to unlawfully terminate the licence or evict or stop the Respondents from running the station. The Respondents complained that Agip had failed and refused to withdraw the security guards or remove the padlocks.

On the basis of the said suit, the Respondents applied before the superior court, under the provisions of Order XXXIX, rules 1, 2 and 3 of the Civil Procedure Rules, for an injunction, to have Agip restrained from evicting, stopping or in any other way interfering with the Respondents' operation of the station, pending the hearing of the suit. The Respondents also sought to have Agip restrained from terminating the licence. The Respondents complained that the reference in Agip's letter dated 17 June 1999, to a licence granted on 15 September 1992, in the termination letter is attributed to an error, as that licence dated 16 February 1993 was made to take effect on 15 September 1992.

Subject to clause 16, the licence was to continue in force, until terminated by either party by thirty days' notice. The parties intended that in matters falling under clause 16 of the licence, the thirty day notice requirement was not to apply. The licence at clause 6 thereof, makes it clear that for the licence the Respondents have not been required to give any consideration, by payment of monthly licence fees. What has been provided is a charge, for the supply by Agip to the Respondents, of a litre of petroleum, gasoline and kerosene products. The Respondents have to pay KCts 4,0 for such litre.

The learned Commissioner, in his ruling, appears to us to have not taken into account the provisions of clause 10(1) of the licence, which required the Respondents to maintain adequate stocks of the various petroleum products marketed by Agip. That requirement to maintain adequate stocks must, in our view, be read together with clause 16(i) of the licence, which conferred on Agip the right to terminate the licence without notice, on the failure of the Respondents to sell minimum quarterly quantities of petroleum products. Agip in its letter dated 25 February 1999 informed the Respondents of their failure during certain days in the month of February 1999, to maintain at all, any quantity of super petrol.

The letter concludes:

> "Please refer to clause 10(1) of the operator's Agreement which stipulates that you should maintain adequate stock at your station. It was for the sake of maintaining the company's image that the company salvaged you. Please can we have good reasons as to why the station has been having frequent stock runouts".

The Respondents did not bother to respond to Agip's request. Instead, the Respondents filed the suit in the superior court, on the basis whereof they obtained orders barring Agip from evicting them and terminating the licence. It is from those orders, Agip has appealed to this Court. Grounds 1 to 3 of the appeal were argued together, while grounds 4, 5, 6, 7 and 8 thereof were also grouped together. Ground 15 was argued alone as was ground 17; grounds 18, 19 and 20 were clustered together. Broadly put, the first set of grounds of appeal are, the learned Commissioner erred, in holding that the letter of termination did not rely on clause 10(1) or that clause 16 did not entitle Agip to summarily revoke the licence, or that the letter of termination was ambiguous. This set of grounds arises from the findings by the Commissioner, which appear at pages 5 and 6 of his ruling, wherein he said:

> "In addition to the above material from Mr Vora's affidavit there is a replying affidavit sworn by one Lawrence Kinyanjui on 23 June 1999 and filed on behalf of Agip on the same day. He depones that Mr Vora's affidavit contains 'blatant falsehoods' and that the Plaintiffs failed to maintain adequate stocks of Agip products, in contravention of clause 10(1) and further that the situation was so severe that on two occasions Agip complained by letters dated 25 February 1999 ('LK1') and 1 March 1999 ('LK2'). It is worthy of note that the letter of termination above does not seek to rely on clause 10(1) but I shall advert to that later".

At page 13 the Commissioner adverted to the termination letter and said:

> "Reverting to the letter, it is noted that no particulars are given of the breaches of clause 10(1); nor are any given of failure to sell minimum quarterly quantities; and is not shown how failure to maintain stocks is a breach of OLA. In the affidavit of Mr Kinyanjui Agip relies on the breach of clause 10(1) which is mentioned in the said letter".

With regard to the letters Agip sent to the Respondents as a prelude to the termination, carried in Agip's letter of 17 June 1999, the Commissioner, at page 15 of his ruling said:

> "Finally, Mr *Lumatete* asks that the court looks at the evidence presented by Agip through Mr Kinyanjui's affidavit. At this stage the documents, the court ought to examine are only the OLA and the letter of 17 June, 1999. The OLA is the base document and the letter is the all important instrument and prime mover. For reasons given above, evidence dehors, the letter ought not to be considered and are of peripheral, if any significance. I have however, looked at them. The letters exhibited do not aid Agip in any meaningful way as they merely pointed out the unsatisfactory state of business and were not intended to be a notice of any kind".

With tremendous respect, the learned Commissioner plainly misdirected himself, in restricting the scope of materials he was supposed to look at in order to ascertain if the Respondents had or had not established a *prima facie* case with a probability of success. In our judgment, the Commissioner occasioned several fundamental errors in his holding that the letter of termination did not rely on clause 10(1) and that any evidence, before the letter terminating the licence, was to be ignored, as such evidence was of peripheral significance. The Commissioner fell into error in his view that the letters sent by Agip to the Respondents, prior to the termination, did not assist Agip. The Commissioner has clearly misapprehended the purpose for which Agip sent those letters to the Respondents. The Commissioner, in our view, fell into error, in holding, as he did, that the letter of termination was inadequate for its purpose of notifying the Respondents of the reasons which brought about the termination of the licence. In our judgment, the letter dated 17 June 1999 sufficiently addressed the reasons for the termination, being, the Respondent's failure on divers dates, to maintain adequate stocks of products, whose details had been set out, not only in the termination letter, but in those preceding it.

To be able to understand the termination letter one must, of necessity, look at the previous letters. In our judgment, the Commissioner was wrong, in finding that the letters written prior to Agip's termination letter purported to be a notice. He also erred in concluding at that stage of the proceedings, that any requisite notice was not given by Agip. The letter of termination pointed to the Respondents' failure to sell minimum quarterly quantities of petroleum products, which the Respondents were to sell under the licence. Clause 10(1) of the licence required the Respondents to maintain adequate stocks of products and accordingly, in our opinion, any reference in the termination letter to any such failure, invoked the provisions of that clause 10(1). That, to our mind, is more so, given the fact that in Agip's letters dated 25 February 1999 and 1 March 1999, the breach of clause 10(1) had been brought to the attention of the Respondents.

The second set of grounds of appeal are 4, 5, 6, 7 and 8, in which one of the complaints is that the learned Commissioner erred in holding that Order XXXIX, rule 1 of the Civil Procedure Rules was properly invoked by the Respondents. That finding is submitted not to be sustainable, in view of the provisions of clause 3 of the licence, which denied the Respondents any interest in the land or in the buildings or in any equipment in the station. The Commissioner is said to have erred in holding that the licence was not clear and was ambiguous, as to what the Respondents and Agip intended. In the application of the rule of *contra preferentum* the Commissioner wrongly imposed his own terms and intentions on the parties. Such imposition is submitted to be unnecessary, as the Commissioner's interpretation had not been intended by the parties. The Commissioner misdirected himself in disregarding the binding effect of the licence and that the licence governed the relationship between Agip and the Respondents.

As to whether the Respondents in their application correctly invoked Order 39, rule 1 of the Civil Procedure Rules, the learned Commissioner at pages 6 and 7 of the ruling observed:

> "At the outset I need to deal with the first objection by Mr Lumatete, learned counsel for Agip, who submitted that Rule 1 of Order XXXIX cannot be invoked in this application as the Plaintiffs never had an interest in land in so far as the suit property is

concerned. OLA merely gave the Plaintiffs a bare licence and that was not an interest capable of registration. Accordingly, he submitted that the Plaintiffs could not be heard to complain of the suit property being wasted, damaged or alienated".

It is, as well, at this juncture, if we quote Order XXXIX, rule 1 of the Civil Procedure Rules which provides:

"1. Where in any suit it is proved by affidavit or otherwise:

(*a*) that any property in dispute in a suit is in danger of being wasted, damaged or alienated by any part to the suit, or wrongfully sold in execution of a decree or

(*b*) that the Defendant threatens or intends to remove or dispose of his property in circumstances affording reasonable probability that the Plaintiff will or may be obstructed or delayed in the execution of any decree that may be passed against the Defendant in the suit, the court may by order grant a temporary injunction to restrain such act, or make such other order for the purpose of staying and preventing the wasting, damaging, alienation, sale, removal, or disposition of the property as the court thinks fit until the disposal of the suit or until further orders".

We call attention to the prayers of the Respondents' application, before the learned Commissioner. That application in its relevant parts prayed for orders that:

"1. …

2. That the Defendant be restrained by itself, its agents and or servants from evicting, stopping or in any other way interfering with the Plaintiff's operation of Tusks Service Station pending the hearing of this suit or further orders of the court.

3. That the Defendant be restrained from terminating the Plaintiff's operator Licence Agreement".

It is quite evident, from the prayers in the application, that the Respondents sought to stop interference by Agip with what they perceived to be their rights under the licence. We are absolutely clear in our mind that the Respondents did not seek any order on the basis that any property which is in dispute, in the suit, was in danger of being wasted, damaged or alienated or was wrongfully to be sold by Agip. The Respondents did not go to the superior court, on the basis of an application that Agip threatened or intended to remove or dispose of its property, being the station, in any circumstance affording a probability that the Respondents will be obstructed in the execution of any decree in the suit. It is our view therefore, that Order XXXIX, rule 1 of the Civil Procedure Rules cannot be invoked in the circumstances of this case, to found a prayer for injunction. The learned Commissioner, in our judgment, was wrong to have granted the injunction orders having as their basis Order XXXIX, rule 1 of the said Rules.

The other group of grounds of appeal is 9, 10, 11 and 12, the complaints being that the case of *Errington v Errington and Woods* [1952] 1KB 290, relied upon by the Commissioner, was distinguishable from the present case which has, as its basis, a written licence while *Errington* had none. In this present case, the Respondents were by clause 3 of the licence denied any interest in the land, thereby preventing the creation of any equity upon which an application under Order XXXIX, rule 1, may be based. It was wrong to grant an injunction after the termination of the licence which was tantamount to restoration of a validly terminated licence. In our judgment, it is only where mandatory injunction has

been prayed for, which has not been explicitly sought in this case, that such an injunction may be granted to restore into possession a party who has been wrongly dispossessed.

The last group of grounds of appeal is 18, 19 and 20 which complain that the Commissioner erred in finding that the Respondents had built up immense goodwill. That finding was despite the fact that the licence only granted the Respondents the use of Agip's name in connection with the business in the station. There is merit in this ground, and we are of the view that the learned Commissioner misdirected himself, particularly in view of the provisions of clause 3 of the licence which reserved possession of the station to Agip.

With reference to ground 19 of the appeal, it is as well to remember that the Commissioner had before him an application, which by law required him to consider whether on all the facts in support or in opposition thereof, a *prima facie* case with a probability of success had been made out to justify the grant of an injunction. In our view, the Commissioner was not entitled to delve into substantive issues and make finally concluded views of the dispute. He was not, at that interlocutory stage of the matter, to condemn one of the parties before hearing the oral evidence that party being condemned had in opposition to the claims in the suit. The remarks by the Commissioner at page16 of his ruling to the effect that: "in conclusion I wish to deprecate the most callous manner in which Agip conducted itself in removing the Plaintiffs from the suit property. It is a factor which was weighed heavily against Agip in considering discretion under the application were, with great respect to him, totally inappropriate at this stage of the proceedings".

The Court of Appeal for East Africa in *The Despina Pontikos* [1975] EA 38 at 57 said: "We turn now to the substantive issue, which is whether the mandatory injunction ought to have been granted. We would begin by remarking that this Court has held more than once that interlocutory mandatory injunction should only be granted with reluctance and in very special circumstances".

We agree with these observations and we think there were no special circumstances in the present case to warrant the grant of the mandatory injunction. The licence contained provisions under which, on the occurrence of specified events, Agip might terminate it without recourse to court. That was the agreement made by the parties and they must be taken to have known and intended the consequences of their agreement.

The court in *the Despina Pontikos* case, continued:

> "On the other hand, the issue of an injunction is in exercise of discretion and it is well established that this Court will only interfere with the exercise of his discretion by a trial judge in exceptional circumstances, though it will not hesitate to do so if the exercise of the discretion has been based on any wrong principles".

We have elsewhere in our judgment found that evidence which ought to have been considered by the Commissioner was wrongly excluded or considered by him to be of peripheral significance that resulted in the exercise of discretion being based on wrong principles.

The other aspect of the case, in which the learned Commissioner wrongly exercised his discretion, is with regard to whether damages would compensate the Respondents. The Commissioner did misdirect himself in his finding that the Respondents will not be able to find another station as good as Tusks Service Station. To begin with, the Respondents were not, by the licence,

given possession of the station. In which event, the Respondents' losses (if any), which might have ensued from the termination of the licence, can be measured in damages.

The Court of Appeal for East Africa at page 57 of *The Despina Pontikos* case added:

> "Finally, in deciding whether to grant an equitable relief, a court is entitled to take into account the conduct of the parties. The judge clearly thought that the Defendants had been pursuing a policy of procrastination, if not evasion. On the material before us, we think that view was justified".

In the present case, the Respondents' conduct appears to us to verge on evasion when the letters of 25 February and 1 March 1999 are looked at. That was conduct which the Commissioner ought to have taken into account and he, by excluding those letters, exercised his discretion on wrong principles. The last ground of appeal appears to us to be a summary of Agip's complaints, regarding the manner in which the learned Commissioner exercised his discretion. That ground has adequately been covered in our findings respecting the other grounds of appeal.

The case of *Gusii Mwalimu Investment Co Ltd and others v Mwalimu Hotel Kisii Ltd* [1995] LLR 396 (CAK) was relied upon by the Respondents. The case concerned a landlord and tenant relationship. In our view, this cannot assist as the present appeal concerns a licence.

At page 5 of that case as per Shah JA: "The very act of levying distress in this particular case shows the existence of a tenancy". To that finding, Lakha JA who was the third member of that bench, robustly disagreed, in his dissenting judgment. Like in the *Gusii Mwalimu Investment* case, there was no prayer for a mandatory injunction, in the present case. The application for interlocutory injunction had in this case been filed after Agip had terminated the licence and the Respondents had been out of the station. That again is another reason why that case will not assist the Respondents.

At page 12 of his judgment in the *Gusii Mwalimu Investment* case Lakha JA observed:

> "Secondly and, more importantly, there was no prayer for a mandatory injunction in the application before the Learned Judge. The application was filed on 25 May 1995 well after the possession of the suit property had been handed over to the First Appellant. There is no explanation why a mandatory injunction could not have been prayed for. Indeed neither the plaint nor the application seeks a mandatory injunction. In granting it, therefore, it appears to me that the Learned Judge gave relief which was neither sought nor urged before him. That, in my judgment, he was not, with respect, entitled to do …".

For all these reasons, we think there is merit in the appeal which we accordingly allow and set aside the order made by the Learned Commissioner on 8 July 1999. It also follows that the Respondents' application to the superior court dated 21 June 1999 must be, and it is hereby dismissed with costs. The Respondents shall pay to Agip the costs of this appeal.

For the Applicant:
Information not available

For the Respondent:
Information not available

Ahmed v Commissioner of Customs and Excise
[2000] 2 EA 293 (CAK)

Division: Court of Appeal of Kenya at Nairobi

Date of judgment: 11 February 2000

Case Number:	245/99
Before:	Omolo, Shah and O'Kubasu JJA
Sourced by:	LawAfrica
Summarised by:	C Kanjama

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[1] Practice and procedure – Default judgment – No grounds of opposition or defence filed – Refusal of leave to enter default judgment – Whether the refusal was based on proper exercise of discretion – Grounds for interfering with trial court's discretion on appeal.

[2] Practice and procedure – Joinder of parties – Amendment of plaint – Amended plaint wrongly headed – Whether the second plaint was irregularly filed – Whether irregularity was curable – Whether joinder of parties allowed as of right or subject to the court's discretion.

Editor's Summary

Kersam Ltd was a company engaged in general trading, import and export. In July 1997, Ahmed and another engaged Kersam Ltd to clear and forward two consignments from London to Kigali through the Port of Mombasa. Kersam Ltd was required to execute a transit bond for KShs 40 million in favour of Commissioner of Customs and Excise, the Respondent herein. Kersam Ltd effected this by depositing the funds, obtained from Ahmed and the other, in a fixed deposit account with ABC Bank. The requisite exportation documents were eventually lodged with the Commissioner of Customs and Excise but he failed to discharge the bond and instead called it up.

In April 1998, Kersam Ltd sued the Commissioner of Customs and Excise and ABC Bank seeking a declaration and an injunction. In January 1999, Ahmed and the other (Kersam Ltd's principals), were joined with leave as Plaintiffs to the action. Kersam Ltd's principals filed a second plaint headed "Plaint for Second and Third Plaintiffs". The Commissioner of Customs and Excise failed to enter an appearance or defence through the Attorney-General though served with summons. Kersam Ltd's principals applied for leave of court that default judgment be entered against the government under Order IXA, rule 7 of the Civil Procedure Rules. The government failed to file their grounds of opposition and their defence.

The court declined leave and Kersam Ltd's principals appealed. It was contended that the failure by the Attorney-General to file a defence and grounds of opposition should have been considered before the trial Judge exercised her discretion.

Held – A Court of Appeal should not interfere with the exercise of the discretion of a judge unless it is satisfied that he misdirected himself in some manner and as a result arrived at a wrong decision, or unless it is manifest from the case as a whole that the judge was clearly wrong in the exercise of his discretion and that as a result there has been injustice. In this case, the learned Commissioner of Assize failed to consider that no grounds of opposition to the application had been filed under Order L or the continued absence of any defence on the record. She therefore based the exercise of her discretion on wrong consideration.

Per curiam: (i) The ever increasing tendency to use a decision of a High Court judge in a matter of discretion as a mere conduit-pipe to this Court should be deprecated. The view that a judge's discretion can be attacked if it is wholly wrongly exercised should be treated with great caution because it comes perilously close to substituting this Court's discretion for that of the High Court judge; and that is not permissible. (ii) In principle joinder of parties is allowed as of right, subject to the discretionary power of the court. The heading of the amended plaint in this case did not cause prejudice to the Respondents.

Appeal allowed.

Case referred to in judgment

Mbogo and another v Shah [1968] EA 93

Judgment

OMOLO, SHAH AND O'KUBASU JJA: This is the unsuccessful Second and Third Plaintiffs' appeal, with leave of the superior court at Mombasa (Mrs Khaminwa, Commissioner of Assize) from a decision given on 26 October 1999, whereby it dismissed their application and refused to give leave to enter judgment in default of appearance and defence against the Second and Third Defendants in the suit, now the Respondents in this appeal.

Kersam Limited, the First Plaintiff in the suit, carries on the business of import, export and general trading entailing the importation and handling of goods in transit through Kenya to other countries. In or about July 1997, the Appellants allegedly engaged Kersam Limited to clear and forward two consignments comprising 3 800 metric tonnes of sugar in transit from London through the Port of Mombasa to Kigali in the Republic of Rwanda. Under the Customs and Excise Regulations governing the entry and passage of transit goods in Kenya, Kersam Limited was required to execute a transit bond for Shs 40 000 000.

It is averred by the Appellants that Kersam Limited as their agent executed with African Banking Corporation, the bank, the First Defendant in the suit, a transit bond number GB6910/97 in favour of the Commissioner of Customs and Excise, the First Respondent, binding Kersam Limited and the bank to pay to the First Respondent the sum of Shs 40 000 000 in the event that the goods which were the subject of the transit bond were not exported out of Kenya to its eventual destination. It is further averred that the Appellants jointly contributed the said sum in varying amounts. The sum was placed under a fixed deposit account held by the bank and pledged as security to execute a transit bond in favour of the First Respondent for the exportation and transportation of the transit sugar cargo.

It was the Appellants' case that the goods covered under the bond had been exported out of the country to their final destination and the requisite exportation documents had been lodged with the First Respondent. Consequently, it was contended that it was incumbent upon it to cancel the bond. But, without any justifiable cause, the First Respondent demanded that the bank do pay to it a total of Shs 39 787 520 in purported satisfaction of the obligation of Kersam Limited and the bank covered under the bond.

By a plaint dated 9 April 1998, Kersam Limited instituted a suit against the bank and the Respondents claiming a declaration and an injunction. This was amended in due course, and on 28 January 1999, there was filed, with leave, a documentation headed "plaint for Second and Third Plaintiffs" adding two additional Plaintiffs, now the Appellants in this appeal.

It is said that it is to this plaint that the Attorney-General failed to enter an appearance or file a defence. The learned Commissioner of Assize being of the view that there was no default on the part of the Second and Third Respondents, held also, that the second plaint was irregularly filed.

On the other hand, the Appellants' position is simple. They contend that the Second and Third Appellants were enjoined into the suit by the Court granting leave on 22 January 1999 and the Second and Third Respondents having been served with summons to enter appearance on 1 February 1999, they were required by the provisions of Order 8, rule 1(2) of the Civil Procedure Rules to file their respective defences within 15 days from the date of appearance. Since no defence was indisputably filed, the Appellants claim that leave to enter judgment against them should have been granted.

Once the application for leave under Order 9(A), rule 7 of the Civil Procedure Rules was made, the Respondents were required by Order L to file their grounds of opposition. They were also required to file their defences. Neither of these having been done, the Appellants contend that the exercise of the discretion by the court could have only gone in their favour.

The position of the superior court in this matter was one essentially concerning the exercise of the court's discretion. The circumstances in which this Court will interfere with the exercise of that discretion is now well settled. As was said by the Court of Appeal in *Mbogo and another v Shah* [1968] EA 93:

> "A Court of Appeal should not interfere with the exercise of the discretion of a judge unless it is satisfied that he misdirected himself in some matter and as a result arrived at a wrong decision, or unless it is manifest from the case as a whole that the judge was clearly wrong in the exercise of his discretion and that as a result there has been misjustice".

The learned Commissioner of Assize, quite obviously, did not consider or give effect to the clear provisions of Order L of the Rules requiring grounds of opposition to be filed to an application. Admittedly, this had not been done and was completely overlooked. Nor did the learned Commissioner of Assize give effect to the fact that not only was a defence not filed within the prescribed time, but it was not filed at all and nothing was heard of the Respondents until 4 October 1999, when an appearance was filed.

It is worthy of note that up to the time of the hearing of this appeal there was no defence on record. These, in our view, were significant facts which the learned Commissioner of Assize ought to have taken into account in the exercise of her discretion.

Before we turn to the particular grounds on which the exercise of the court's discretion is attacked in this case on behalf of the Appellants, we should like to make one or two general observations about the court's approach to appeals of this nature from the exercise of a judge's discretion.

In England, the House of Lords has in a series of recent decisions reminded its Court of Appeal that its function is to review the exercise of the judge's discretion and not to entertain an appeal from it in the sense of being invited to

substitute its own discretion for that of the judge. It appears to us, with respect, that there is an ever increasing tendency on the part of the profession to use a decision of a High Court judge in a matter of discretion as a mere conduit-pipe to this Court. If we are right in this belief, the sooner it is appreciated that that is a practice that cannot be tolerated, the better.

Sometimes it is also said that a judge's discretion can be attacked if it is wholly wrongly exercised. But, in our view, the greatest caution should be adopted in that approach because it comes perilously close to a means of substituting this Court's discretion for that of the High Court judge; and that is not permissible.

With those general observations in mind, we now turn to the grounds on which the ruling of the learned Commissioner of Assize is attacked in this appeal.

Let it be said straight away that she did not deal with this in a peremptory manner. Her ruling was not *ex tempore*. She fully reviewed the history of the matter and set out the principles which she had to apply. In all these, she did not falter.

The only attack made on the ruling is, we understand, as follows: the Appellants' advocate strongly relied on the failure of the Respondents to file the grounds of opposition and their defence. In failing to consider this, the learned Commissioner of Assize failed to take into account relevant procedural provisions set out in the Civil Procedure Rules which govern the conduct of litigation. To this, there has been no answer. No explanation has been advanced why this omission occurred, and even if the learned Commissioner of Assize were minded to excuse this omission, no material was placed before her to enable her to exercise her discretion against the Appellants.

We are, therefore, satisfied and content to say that it has been demonstrated to our minds that the learned Commissioner of Assize based the exercise of her discretion on wrong considerations.

As the appeal in our view must succeed, it is not strictly necessary to deal with ground 3 of the grounds of appeal which complained that the Commissioner erred in construing Order 1, rules 1, 2 and 10 of the Civil Procedure Rules to mean that when various persons are joined into a suit they ought to file one plaint, and by implication be represented by one counsel. In principle joinder of parties is allowed as of right, subject to the discretionary power of the court. The substitution and the addition of parties should be necessary for the determination of the real matter in dispute. Though the heading of the amended plaint in this case may be said to be bad, no new suit was filed in the registry and the amendment actually done amounted to a technical amendment which did not in any way cause prejudice to the Respondents. Moreover, the Respondents were under no misapprehension as to the identity of the true additional Plaintiffs. Again, the Respondents took no objection to the amended plaint at their earliest possible moment. The names of the added Plaintiffs form an integral part of the amended plaint, and had the objection been taken in the defence the defect would have been cured accordingly.

We observe that Hayanga J in giving leave to amend the original plaint so as to incorporate the Appellants as co-Plaintiffs held that the case between the Appellants and the Respondents is based on common questions of fact and law and that the claims arose from the same transactions or series of transactions in

which all parties were involved and that it would embarrass the trial of the suit or cause delay if separate trials were held. We agree with him as we think that this is the correct position in law. No appeal was preferred against the Learned Judge's ruling.

For the above reasons we allow the appeal. It must follow that the Appellants' application made to the superior court and dated 24 March 1999, must be allowed with costs. In consequence whereof leave is hereby granted to the Appellants to enter judgment in default of appearance and defence against the Second and Third Respondents jointly and severally as prayed in their plaint.

As the substratum of the suit has been laid to rest, it is hoped that the bank which has, in our view, a sham and not a good defence, will see the futility of engaging in a protracted trial and should, in order to save unnecessary costs and allay fears by the Appellants that their deposit was in jeopardy, bring this matter to a speedy rest. In this regard we direct that the suit against the bank be disposed of in the superior court on a priority basis.

The Appellants shall have the costs of this appeal and of the application in the superior court against the Respondents.

For the Applicant:
Information not available

For the Respondent:
Information not available

Bank of Uganda v Banco Arabe Espanol
[2000] 2 EA 297 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of judgment:	4 May 2000
Case Number:	20/99
Before:	Karokora, Mulenga, Kanyeihamba and Mukasa-Kikonyogo JJSC
Sourced by:	B Tusasirwe
Summarised by:	M Kibanga

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[1] Practice and procedure – Stay of execution – Application – Application for stay of execution pending reference under Rule 105(1) of the Rules of the Supreme Court – Registrar's ruling – Whether necessary to annexe registrar's ruling to the application.

[2] Practice and procedure – Stay of execution – Stay of execution pending determination of reference under Rule 105(1) of the Rules of the Supreme Court – Rule 1(3) and Rule 5 – Whether stay properly brought under Rule.

Editor's Summary

The Applicant and the Respondent were parties to a suit in the High Court. The suit gave rise to an

interlocutory appeal which was determined by the Supreme Court in favour of the Respondent. The Respondent filed a bill of costs before the Registrar for taxation. The Applicant complained that the taxed amount was excessive and filed reference for review of some items in the bill under Rule 105(1) of the Rules of the Supreme Court ("the rules").

Pending the disposal of the reference, the Applicant made an application for stay of execution under Rule 1(3) of the Rules on the grounds, *inter alia*, that

the Respondent had no assets in Uganda, the reference would be rendered nugatory if execution proceeded and the Applicant was willing to provide security for costs.

The advocate for the Respondent raised three preliminary points of objection: first, the Applicant did not annexe to the application a copy of the ruling of the registrar, second, the application had been brought under Rule 1(3) of the Rules instead of Rule 5 and third, the affidavit supporting the application was defective because it did not distinguish matters sworn on information and matters sworn on own knowledge.

Held – It was not necessary to annexe a copy of the ruling of the registrar because there was no appeal pending before the Court. The merits of the reference would not influence the decision of the Court in dealing with the application for stay; *Barclays Bank (U) Ltd v Mubiru* (SC) civil application 1997and *JWR Kazzora v M L S Rukuba (SC)* civil application number 4 of 1991 explained. *Kampala Bottlers Ltd v Uganda Bottlers Ltd* civil application number 25 of 1995 cited with approval. Rule 5 applied where stay was sought pending appeal. There was no appeal pending and Rule 1(3) was rightly invoked. The affidavit supporting the application was sworn on the Applicant's own knowledge.

The circumstances of the application justified a stay of execution and the same was granted. *Kampala Bottlers v Uganda Bottlers Ltd* (*supra*) followed.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Alexander J Okello v M/s Kayondo and Co Advocates civil appeal number 1 of 1992 (CA) (UR)

Ambalal N. Patel Ltd v Marietti [1957] EA 194

Attorney-General v Uganda Blanket Manufacturers (1973) Ltd civil application number 17 of 1993

Barclays Bank (U) Ltd v Mubiru (SC) civil application 1997 – **E**

Departed Asians Property Custodian Board v Jaffer Brothers Ltd civil appeal number 13 of 1999 (unreported)

Gaspair Ltd v Harry Goudy [1962] EA 414

JWR Kazzora v M L S Rukuba (SC) civil application number 4 of 1991 – **E**

Kampala Bottlers Ltd v Uganda Bottlers Ltd civil application number 25 of 1995 – **APP** & **F**

Kampala City Pharmacy v National Pharmacy civil application number 13 of 1979

Lawrence Kyazze v Eunice Busingye (SCU) civil application number 18 of 1990

Libyan Arab (U) Bank Ltd v Vassiliadais (SCU) civil application number 42 of 1992

Patrick Makumbi and another v Sole Electrics (U) Ltd civil application number 11 of 1995 (UR)

Premchand Raicharnd v Quarry Services (*number 3*) [1972] EA 162

Registered Trustees of Kampala Institute v Departed Asian Property Custodian Board civil application number 3 of 1995

Total Oil Products (EA) Ltd v Nuauto Ltd [1968] EA 611

United Kingdom

Bozson v Altringram Urban District Council [1903] 1 KB 547

Salaman v Warner and others [1891] 1QB 734

Simpsons Motor Sales [London] Ltd v Herdon Corporation [1964] 3 All ER 833

Ruling

KAROKORA AND MUKASA-KIKONYOGO JJSC: The Applicant brought this application for stay of execution of the bill costs taxed by the registrar of this Court pending the final disposal of the reference to a single Justice of this Court. Before the application was heard on merit, counsel for Respondent raised preliminary objection against the manner in which the Applicant had filed his application. We heard the objection and overruled it, reserved our reasons and thereafter heard the application on merit, which we allowed with costs to the Respondent in any event and reserved our reasons. We now proceed to give our reasons for overruling the preliminary objection and for allowing the application for stay of execution.

We start with the points of objection. Mr *Semuyaba*, counsel for the Respondent, submitted that no copy of the ruling of the registrar of the Court had been annexed to the application and therefore the application was, according to the decision in *J W R Kazzora v MLS Rukuba* (SC) civil application number 4 of 1991, incompetent.

The second ground of objection was that ordinarily applications of this nature for stay of execution are brought under Rule 5 of the Rules of this Court, but this application was brought under Rule 1(3) of the Rules of this Court. He contended that inherent powers could be invoked if the application was brought to cure miscarriage of justice due to, for instance, fraud or nullity as was pointed out in the case of *Libyan Arab (U) Bank Ltd v Vassiliadais* (SC) civil application number 42 of 1992. He therefore contended that there was no application properly before the Court.

On third ground of objection, it was submitted that the application was supported by a defective affidavit sworn by William Kasozi, which did not distinguish between matters sworn on information and those sworn on deponent's knowledge. He relied on the case of *Gaspair Ltd v Harry Goudy* [1962] EA 414 for the above proposition. In view of the above, he submitted that the application should be struck out.

In reply Mr *Kanyerezi*, counsel for Applicant, submitted that the objection had no merit. On the first ground of objection, he submitted that the merits of the reference had no relevance to this application for stay of execution, but were relevant to the reference itself. He referred us to the case of *Barclays Bank (U) Ltd v Mubiru* (SC) civil application 1997 which, he submitted, overruled the case of *J WR Kazzora v Rukuba* (*supra*).

On the second ground of objection, he submitted that Rule 5(2)(*b*) of the Rules of this Court does not apply, because in this case there was no appeal pending before this Court. He submitted that there was a reference to a single Justice of the Supreme Court challenging the award of costs by the registrar.

He contended that the application for stay of execution against taxing master's ruling was rightly made under Rule 1(3) of the Rules of this Court.

On the third objection, Mr *Kanyerezi* submitted that this ground had no merit, because there was nowhere the deponent could distinguish between matters sworn on information and those sworn on his knowledge when the whole affidavit was based solely on deponent's knowledge.

> Our reasons for overruling the objection were firstly that the case of *Barclays Bank (U) Ltd* which was cited to us as having overruled *Kazzora v Rukuba* never overruled it as submitted by Mr *Kanyerezi*. In fact in *Barclays Bank (U) Ltd* we endorsed *Kazzora v Rukuba* and held, *inter alia*, as follows: "We agree that an application for stay should normally have a copy of judgment appealed from annexed. We, however, think that *Kazzora v Rukuba's* application (*supra*) is distinguishable from the application before us …".

In the instant case, like in *Barclays Bank (U) Ltd v Mubiru* (*supra*), we would distinguish *Kazzora v Rukuba* (*supra*), because there is no appeal pending before this Court challenging the decision of the lower court, like it was in *Kazzora v Rukuba* (*supra*) where a copy of the ruling was held to be necessary for the Court to decide whether or not there was likelihood of the appeal succeeding. We agree with Mr *Kanyerezi* on this aspect in the instant case that the merits of the reference have no relevance to this application, because the registrar's ruling would not influence our decision of whether or not to grant stay. In the circumstances a copy of the registrar's ruling to be annexed to this application is not relevant. The factors that influence grant of stay of execution were spelt out in *Kampala Bottlers Ltd v Uganda Bottlers Ltd* in civil application number 25 of 1995.

On the second ground of objection, we find no merit in this ground, because there is no appeal that is pending before us. There is a mere reference pending before a single Justice of this Court, which strictly speaking is not an appeal contemplated by Rule 5 of the Rules of this Court which any party aggrieved with the decision would invoke if he wanted to apply for stay of execution. We think that in the circumstances of this case Rule 1(3) of the Rules of this Court was rightly invoked in instituting the application.

Turning to the third ground of objection, we find no merit in this ground, because the affidavit of William Kasozi was sworn solely on his own knowledge. Therefore the issue of distinguishing between matters sworn on information and those sworn on deponent's knowledge does not arise. In the result, we saw no merit in the objection and hence overruled it.

> We now turn to the main application. The grounds of the application were:
>
> "(1) The Applicant has applied for reference of the taxed bill to a single judge of the Supreme Court on the ground that the bill is manifestly excessive and that the registrar erred in law and in principle when taxing the bill.
>
> (2) The reference will be rendered nugatory if execution does proceed before the reference is concluded.
>
> (3) The Respondent is a foreign company with no assets within the jurisdiction of this Court and thus if the reference is successful it would be difficult for the monies to be recovered.
>
> (4) The Applicant is willing to provide such security as the Court may order for the stay".

The application was supported by William Kasozi's affidavit which substantially contained the grounds set out in the notice of motion. Mr *Kanyerezi*, counsel for Applicant submitted that the reference was made on the same day of the taxation ruling and this application was filed on 11 November 1999, three days after the ruling. Secondly, it was submitted that the reference would be rendered nugatory if execution proceeded when the Respondent is a foreign company having no assets in the country, a fact which was not denied. If the reference succeeds it would be difficult to recover money already paid from the Respondent.

Mr *Kanyerezi* referred us to the case of *Lawrence Kyazze v Eunice Busingye* (SC) civil application number 18 of 1990 where the Supreme Court set out conditions upon which stay of execution pending appeal should be granted. He submitted that the conditions are the same as those in Order 39, Rule 4(3) of the Civil Procedure Rules (Chapter 65). These conditions were, he submitted, confirmed by the Supreme Court in *Kampala Bottlers Ltd v Uganda Bottlers* (*supra*).

Finally, he submitted that they were ready to give security as may be ordered by this Court.

Mr *Semuyaba*, counsel for Respondent, opposed the application on the ground that there were no sufficient grounds adduced to justify staying execution. He relied on the case of *Kampala City Pharmacy v National Pharmacy* (CA) civil application number 13 of 1979 for the above proposition. He submitted that according to the above case, the court can only grant a stay if it is satisfied that there is good cause to do so and that there are special circumstances to justify such grant. Since there was no evidence of special circumstances adduced and no deposit of security had been made by the Applicant, this application should be dismissed with costs.

After considering the submissions of both counsel on the application we found that the circumstances of the application justified granting stay of execution, because the Respondent is a foreign company having no other assets in this country. If the reference succeeds in favour of the Applicant after execution has been carried out, it would be difficult for the Applicant to recover its money. Furthermore, we found that the ground upon which stay of execution is granted as laid down by Order 39, Rule 4(3) of the Civil Procedure Rules (Chapter 65) and confirmed by this Court in *Kampala Bottlers Ltd v Uganda Bottlers Ltd* (*supra*) were proved. In the circumstances, there is no doubt that substantial loss would result to the Applicant if stay was not granted. In the result we granted stay of execution and made the following orders:

> "The Applicant Bank of Uganda give a guarantee as security for costs issued by a reputable commercial Bank of Uganda for the full amount of the bill of costs as taxed by the Registrar namely UShs 206 433 530.
>
> The wording of the guarantee shall be approved by this Court. The Bank guarantee shall be given within 10 days hereof. The costs of this application is awarded to the Respondent in any event".

MULENGA JSC: This is a reference, under Rule 105(1) of the Rules of this Court, from a decision of the taxing officer in the civil appeal referred to above, wherein Banco Arabe Espanol presented a bill of costs which was taxed and allowed at the total sum of UShs 206 433 000. In this reference only two items, namely items 1 and 5, of the bill of costs are contested. The taxing officer allowed UShs 200 million on item 1 as instruction fee for prosecuting the

appeal; and UShs 6 million on item 5 as instruction fee for opposing an application for security for costs.

The following is a summary of the background to the reference.

Banco Arabe Espanol filed a suit in the High Court, to which I shall hereafter refer "as the principal suit", for recovery of a debt owed to it in the sum of US$ 1 713 665-70. It sued the Attorney-General and the Bank of Uganda, as co-Defendants, but for reasons not material to this reference, the Attorney-General was struck out from the suit by order of the Court and the Bank of Uganda remained the sole Defendant.

Before commencement of the trial, on application of the Bank of Uganda, the Court ordered Banco Arabe Espanol to provide security for costs, which the latter failed to do in time. As a result of the failure, the principal suit was dismissed under Order 23, rule 2 of the Civil Procedure Rules. However, subsequently, Banco Arabe Espanol obtained an order reinstating the suit. The Bank of Uganda appealed to the Court of Appeal against that order and its appeal was allowed. Banco Arabe Espanol in turn appealed to this Court. Its appeal was allowed with costs. It is the cost of the appeal to this Court, which constitutes the main subject of the bill of costs, the taxation of which is under reference to me. Item 5 of the bill of costs, however, is in respect of civil application number 20 of 1998, in which the Bank of Uganda applied to this to this Court for further security for costs. The application was heard and granted by Oder JSC who ordered that costs of the application be in the cause.

By the time of hearing this reference, I was informed from the bar, the original suit in the High Court had been partly heard, but was still pending completion. For avoidance of confusion, I will hereafter in this ruling, refer to Banco Arabe Espanol as "the Plaintiff" and to the Bank of Uganda as "the Defendant".

There are eight grounds of the reference. Grounds 1 to 6, inclusive, are concerned with the taxing officer's decision and item 1 of the bill of costs, while grounds 7 and 8 relate to his decision on item 5. Before consideration of those grounds, however, I should reiterate briefly some pertinent principles applicable to review of taxation, such as I am called upon to do in this reference. Counsel would do well to have them in mind when deciding to make, and/or when framing grounds of, a reference. The first is that save in exceptional cases, a judge does not interfere with the assessment of what the taxing officer considers to be a reasonable fee. This is because it is generally accepted that questions, which are solely of quantum of costs, are matters with which the taxing officer is particularly fitted to deal, and in which he has more experience than the judge. Consequently a judge will not alter a fee allowed by the taxing officer, merely because in his opinion he should have allowed a higher or lower amount.

Secondly, an exceptional case is where it is shown expressly or by inference that in assessing and arriving at the quantum of the fee allowed, the taxing officer exercised, or applied, a wrong principle. In this regard, application of a wrong principle is capable of being inferred from an award of an amount, which is manifestly excessive or manifestly low. Thirdly, even if it is shown that the taxing officer erred on principle the judge should interfere only on being satisfied that the error substantially affected the decision on quantum and that upholding the amount allowed would cause injustice to one of the parties.

Mr Masembe *Kanyerezi*, counsel of the Defendant first argued grounds 2 and 3 together. I refrain from reproducing the grounds as framed because they

offend the Rules of this Court for being framed in argumentative form. Suffice to say that the substance of the two grounds is that the taxing office erred in law:

(a) in holding that the subject matter of the appeal was the claim of US$ 1 713 665-70; and

(b) in failing to decide that the appeal was on interlocutory matter.

Counsel submitted that the appeal to this Court had been an appeal against the Court of Appeal's refusal to extend time within which the Plaintiff was to provide security for costs. He argued that the appeal centred on the interpretation of Order 23, Rule 2(2) of the Civil Procedure Rules, and called for determination whether the Plaintiff had shown sufficient cause for its failure to provide the security for costs within the time prescribed by the trial court. Counsel stressed that the appeal was on an interlocutory matter, and not on the issue of liability for payment of the amount claimed in the principal suit. He therefore invited me to hold that the taxing officer had erred in holding that the monetary claim for US$ 1 713 665-70 was the subject matter of the appeal, whereas the subject matter was the issue whether the Plaintiff had shown sufficient cause for its failure to comply with the terms of the High Court order for security for costs. He relied on the decisions in *Departed Asians Property Custodian Board (DAPCB) v Jaffer Brothers Ltd* civil appeal number 13 of 1999 (unreported); *Registered Trustees and Kampala Institute v Departed Asians Custodian Board* civil appeal number 3 of 1995 (UR); and *Patrick Makumbi and another v Sole Electrics (U) Ltd* civil application number 11 of 1995 (UR).

In reply, Mr *Semuyaba*, counsel for the Plaintiff, supported the holding of the taxing officer that the subject matter of the appeal was the Plaintiff's claim for US$ 1 713 655-70. He premised his argument on the contention that the order of the Court of Appeal from which the appeal to this Court arose was a final order because it disposed of the suit. An appeal from that final order, therefore, could not itself be an interlocutory appeal. He argued that the Plaintiff had come to this Court to fight against the dismissal of its suit for recovery of US$ 1 713 665-70, because if the order of the Court of Appeal had been upheld, the Plaintiff stood to lose that amount. He pointed out that in the application for further security for costs, made prior to the hearing of the appeal, counsel for the Defendant had maintained that the appeal involved a very substantial sum of money and complicated issues. He submitted and therefore, the same counsel should not be permitted to turn round now and argue that the subject matter of the appeal was not the monetary claim or that the appeal was not complicated. He sought to distinguish the authorities relied upon by counsel for the Defendant basically on the ground that in the instant case the order appealed from had the effect of disposing of the suit by upholding the dismissal, whereas in each of those other cases what was in issue was not the entire suit but only some aspect thereof. For his part he relied on *Kazzora v Rukuba* civil appeal number 16 of 1993 (UR); *Total Oil Products (EA) Ltd v Nuauto Ltd* [1968] EA 611; *Bozson v Altringram Urban District Council* [1903] 1 KB 547 and *Salaman v Warner and others* [1891] 1QB 734.

The holding by the taxing officer which gave rise to the Defendant's complaint is contained in the following passage from the taxation ruling:

> "In *Attorney-General v Uganda Blanket Manufacturers [1974] Ltd*, the value of the subject matter was also stressed as the one of the factors to be borne in mind. Mr Masembe *Kanyerezi* argued that the subject matter of the appeal was not monetary. However, and with respect, one would wonder what the effect of dismissing the

> appeal by the Court of Appeal would have been. If the Appellant had not appealed to the Supreme Court, then he would have lost the chance to claim US$ 1 713 665-70, equivalent to UShs 2 632 473 533-50. That is the amount of money the Appellant was pursing, and therefore, its appeal was of paramount interest to him. I have also read the case of *Registered Trustees of Kampala Institute v Departed Asian Property Custodian Board* civil application number 3 of 1995 of this Court. It was held in that case that value can be and is often taken into account during taxation (page 9). And whereas in that case monetary value was not the subject of litigation for taxation purpose, it is distinguishable to the present case where as already noted, the Appellant claim is stated in monetary terms (UShs 2 623 473 535-50). If the dismissal order of the Court of Appeal had been upheld, then the Appellant would not claim the above sums of money".

Later in the ruling he was more explicitly where he said: " I find the figure of UShs 300 million a bit high, although what was being claimed was 2,5 billion shillings. I therefore find and hold that instruction fees of UShs 200 000 000 is reasonable".

Clearly the taxing officer's decision on the subject matter of the appeal was influenced by his repeated assertion that in the appeal the Plaintiff was "pursing" the monetary claim which it would have lost if the Plaintiff had not appealed or if this Court had upheld the dismissal of the suit.

Needless to say his premise is inaccurate. A dismissal of a suit for failure to provide security for costs under Order 23 of the Civil Procedure Rules is not a bar to pursuing the claim later. Nevertheless, it is in that context that counsel for the Plaintiff strenuously submitted before me, that the dismissal order by the Court of Appeal was not an interlocutory order, but a final one, and that consequently the appeal from it could not be interlocutory. But the two English precedents which counsel cited do not support his submission.

In *Salaman v Warner and others* (*supra*) the headnote defines a final order thus: "A 'final order' is one made on such an application or proceeding that, for whichever side the decision is given, it will, if it stands, finally determine the matter in litigation". In that case the divisional court had dismissed a suit on a point of law raised by the defence, that the statement of claim did not disclose any cause of action. On appeal, a preliminary issue was raised whether the decision of the divisional court was interlocutory or final. In his judgment Lord Esher MK said at page 735:

> "The question must depend on what would be the result of the decision of the divisional court ... if their decision, whichever way it is given, will, if it stands, finally dispose of the matter in dispute, I think that for the purposes of these rules it is final. On the other hand, if their decision, if given one way will finally dispose of the matter in dispute, but if given in the other will allow the action to go on then I think it is not final but interlocutory".

On that basis the Court of Appeal held that the dismissal order by the divisional court was interlocutory. In *Bozson v Altringham Urban District Council* (*supra*), an action was filed for recovery of damages for breach of contract. An order was made in chambers that only issues of liability and breach of contract would be tried, and the rest of the case, if any, would go to the official referee. Upon trial the judge held that there was no binding contract between the parties. He dismissed the action. The plaintiff appealed against the dismissal order. Counsel for the defendant raised a similar preliminary issue. Relying on the test in *Salaman*'s case, he contended that the dismissal order was interlocutory because if the trial Judge had held that there was a binding contract, it would have

allowed the action to go on before the official referee. The Court of Appeal, however, held that the dismissal was final. At page 548 Lord Alverstone CJ recast the test thus:

> "It seems to me that the real test for determining this question ought to be this: Does the judgment or order, as made, finally dispose of the rights of the parties? If it does, then I think it ought to be treated as a final order; but if it does not, it is then in my opinion, an interlocutory order".

I respectfully agree with that test and would observe that it clearly illustrates the difference between the two decisions. In *Salaman*'s case (*supra*) the order dismissing the action on the ground that the statement of claim did not disclose any cause of action, was interlocutory because it was concerned with the issue of pleading and did not finally dispose of the rights of the parties. On the other hand in *Bozson*'s case (*supra*) the decision in ordering the dismissal on the ground that there was no binding contract went to the core of the dispute between the parties and disposed of it. As long as the decision that there was no binding contract stood, it finally disposed of the rights in dispute.

An application, to the instant case, of the test as formulated either in the *Salaman*'s case or in the *Bozson*'s case leads to only one conclusion, namely that neither the dismissal order by the Court of Appeal nor the reinstatement order by this Court, was a final order. The real dispute in litigation between the parties, which is whether the Defendant is liable to pay the money claimed by the Plaintiff, was not due for determination in either appeal, and was not determined by either the Court of Appeal or by this Court. I therefore hold that both appeals were interlocutory. Needless to say this holding is only related to ground 3 of the reference, which, in my view, is not very significant, as I will explain later. The more significant issue is raised in ground 2 and I think the way to resolve it is to consider the correct meaning of the rule governing taxation of instruction fees, and apply it accordingly. Paragraph 9(2) of the Third Schedule to the Rules of this Court provides:

> "(2) The fee to be allowed for instructions to appeal or to oppose an appeal shall be a sum that the taxing officer considers reasonable, having regard to the amount involved in the appeal, its nature, importance and difficulty, the interest of the parties, the other costs to be allowed, the general conduct of the proceedings, the fund or person to bear the costs and all other relevant circumstance".

The rule permits the taxing officer, when determining what, in a given appeal, is a reasonable sum for instruction fees, to have regard, *inter alia*, to the "amount involved in (that) appeal". Undoubtedly, in his ruling, the learned taxing officer took the view that the monetary claim in the principal suit was "the amount involved in the appeal". With due respect, however, this was a misdirection. Although the principal suit, and therefore the monetary claim therein, was bound to be, and was actually affected by the outcome of the appeal, the monetary claim was not involved in the appeal. It was not an issue or a question to be determined in the appeal. The issue involved in the appeal was whether there was sufficient cause shown for the Plaintiff's failure to comply with the order of security for costs.

In view of all the foregoing I hold that it was an error of principle on the part of the taxing officer, while assessing the fee to be allowed for instructions to appeal, to have regard to the amount claimed in the principal suit, when that amount was not involved in the appeal. I also find that, undoubtedly that error was the substantial basis on which the taxing officer assessed the instruction fee.

Ground 2 of the reference must succeed. As for ground 3, however, to the extent that it criticises the taxing officer for "failing to decide that the appeal was on an interlocutory matter" I hesitate to say that it succeeds. Much as I have agreed with the submission for the Defendant that the appeal was not final but interlocutory, the taxing officer was not under obligation to make a decision on that issue. Although both counsel addressed him on this issue, it was not an issue that he had necessarily to take into account. In my view therefore the taxing officer cannot in the instant case be faulted for failing to decide on the issue. As the rest of the criticism cum argument in ground 3 is identical to ground 2, I find that substantially ground 3 fails.

I do not find much merit in the three grounds of reference which counsel argued next. In ground 4 the complaint is that the taxing officer "erred in law" in holding that the appeal involved difficult matters of law. I agree with learned counsel for the Defendant that the taxing officer ought not to have taken into consideration, matters which are extraneous to the appeal. However, in my view, this is not an error that would have warranted interference with his assessment. Besides, it appears to me that the outline of the history of the case which the taxing officer said showed that the case "was not all that simple and straight forward" did not weigh heavily, if at all, in his assessment of the instruction fee. Grounds 5 and 6 are complaints that the taxing officer erred in principle for not having had regard to his duty to keep costs at reasonable level, and to the other costs in the Court of Appeal, allowed to the Plaintiff. I am unable to hold that the learned taxing officer was not alive to these issues merely because they are not expressly spelt out in his ruling. In the ruling he does say that he read some of the leading precedents on the subject of taxation such as *Premchand Raicharnd v Quarry Ser*vices *(Number 3)* [1912] EA 162 and *Attorney-General v Uganda Blanket Manufacturers [1973] Ltd* civil application number 17 of 1993, in which the principles governing taxation of costs are well expounded. Grounds 4, 5 and 6 of the reference therefore must fail.

Next, counsel argued ground 1. It reads: "Item 1 of the Bill of costs as taxed to the tune of UShs 200 million is in all the circumstances manifestly excessive".

Mr Masembe *Kanyerezi* submitted that having regard, to all circumstances which the taxing officer could lawfully take into consideration in the instant case, there was nothing to justify the assessment of such a large fee of UShs 200 million for instructions to appeal. He emphasized that the appeal was not one on complex issues of law, but was mainly on the factual question of what amounts to "sufficient cause" for failure to provide security for costs within prescribed time. He pointed out that the hearing of the appeal had been disposed of in only one morning. On his contention that the amount of UShs 200 million allowed was manifestly excessive, he relied on the decisions in *Premchand Raichand v Quarry services* (*supra*) and *Attorney-General v Uganda Blanket Manufacturers* (*supra*). He submitted that a reasonable instruction fee in the circumstances would be UShs 7 million. For comparison he referred me to the amounts allowed in the *Registered Trustees of Kampala v DAPCB* (*supra*); and *DAPCB v Jaffer Brothers* (*supra)*. Mr *Semuyaba's* brief reply was that assessment of what is a reasonable fee was in the discretion of the taxing officer, and that the discretion ought not to be interfered with except on compelling grounds such as injustice. In his view no injustice would result to the Defendant if the assessment of UShs 200 million is upheld.

The case of *Premchand and Raichand v Quarry Services* (*supra*) is a decision of the Court of Appeal for East Africa. It was a reference to the full Court of a decision of a single judge who had expressed an opinion that the brief fee allowed by the taxing officer was high but declined to interfere with it. In its judgment, the Court indicated what should be the test in assessing a brief fee, which in my opinion is applicable to an instruction fee. The Court said at 164:

> "The correct approach in assessing a brief fee is, we think, to be found in the case of *Simpsons Motor Sales (London) Ltd v Herdon Corporation* [1964] 3 All ER 833, when Pennycuik J said:
>
> > 'One must envisage an hypothetical counsel capable of conducting the particular case effectively but unable or unwilling to insist on the particularly high fee sometimes demanded by counsel of pre-eminent reputation. Then one must estimate what fee this hypothetical character would be content to take on the brief'".

The full Court founded that the case "was a difficult one and involved little over UShs 1 million". The hearing had taken a day and half. The Court however held that the costs taxed and allowed at a total sum of UShs 55 597-30 was excessive and reduced it to UShs 35 597-30.

The case of *Attorney-General v Uganda Blanket Manufacturers* (*supra*), was a reference to a single judge of this Court from taxation of a bill of costs where the taxing officer had allowed a fee of UShs 200 million for instructions to appeal. The costs were in respect of an appeal wherein this Court had, *inter alia*, granted to the successful Appellant company orders to the following effect:

(a) a declaration that at all the material times the company was in possession of, and was entitled to exclusive possession of the business and residential premises in dispute;

(b) an order for an account in respect of business and assets in issue; and

(c) general damages for trespass.

In his ruling, Odoki JSC cited with approval the above passage from *Premchand Raichand*'s case, and had this to say about the case before him:

> "It is not clear on what basis such a high award of instruction fee was made. Even if the appeal involved difficult points of law or the value of the subject matter was large, it is difficult to imagine that a reasonably competent advocate would demand UShs 200 million to handle the present appeal. Moreover, the public interest requires that costs be kept to a reasonable level, so as not to keep the poor litigants out of courts".

The Learned Justice of the Supreme Court held that the sum of UShs 200 million awarded as instruction fee was manifestly excessive, and he reduced it to UShs 50 million. In the instant case, what seems to be particularly relevant for consideration on this ground is the difficulty of the appeal (if any) and its importance to the parties.

Mr Masembe *Kanyerezi* contended that the appeal did not involve any complex or difficult issues at all, and that it took a short time to dispose of. In response Mr *Semuyaba* observed that in the earlier application for further security for costs, Mr Masembe *Kanyerezi* had taken a contrary stance and submitted that the appeal was complicated. I think that is a fair criticism well taken. He might also have added that pursuant to the Court of Appeal allowing the Defendant's appeal with costs, Mr Masembe *Kanyerezi*'s firm of advocates, filed a bill of costs in which the fee claimed for instructions to appeal, was UShs 200 million and yet, Mr Masembe *Kanyerezi* now contends that the Plaintiff's claim for an item that is virtually identical, is manifestly excessive.

In fairness, however, I have to point out that Mr *Semuyaba* himself has exhibited inconsistency in his arguments. Before me he contended that the dismissal of the suit by the Court of Appeal was a final order and argued that the appeal from that order could not be interlocutory. Apparently, however, when he was opposing the application for further security of costs he contended that the reinstatement of the suit by the High Court was an interlocutory order, from which contention he should have consistently concluded that the appeal against it to, and the resultant order by, the Court of Appeal were also interlocutory. Be that as it may, I have to say that it is a matter of concern that all too often some advocates display similar inconsistencies and lack of objectivity, a tendency that ought to be discouraged because it undermines the advocates' duty to assist the courts to arrive at just decisions. In my view, however, such fault does not create estoppel against the advocate or his client, nor can it be reason for the Court to uphold what it considers to be erroneous. Consequently I have no hesitation in ignoring the earlier stance of the Defendant's counsel, on complexity of the appeal.

In my view the appeal was very important to the parties. For the Plaintiff the appeal was very important because if it was not presented, or if it was dismissed, the Plaintiff stood to lose the suit and would have had to initiate other proceedings in pursuit of its claim, all very expensively in terms of costs. To the Defendant it was important, albeit to a lesser degree, because if the appeal was dismissed, the Defendant stood a chance of getting off the hook of liability, at least for the time being. Nevertheless I find that the appeal was anything but difficult. It was a straightforward type of case where the Supreme Court was asked to reverse a decision of the Court of Appeal which had erroneously reversed a decision of the High Court made in exercise of a discretion to reinstate the order of the High Court. The appeal could not have taken much time in its preparation and clearly took short time in its presentation. Consequently, like Odoki LSC in *Attorney-General v Uganda Blanket Manufacturers* (*supra*) I am constrained to remark that I find it difficult to imagine that a reasonably competent advocate could demand such a large fee for instructions to prosecute the appeal in the instant case. In my view the amount of UShs 200 million as taxed is manifestly excessive, and can only have been arrived at as a result of the error of taking into consideration the monetary claim. Ground 1 of the reference succeeds.

I now turn to the remaining grounds of reference, which are concerned with item 5 of the bill of costs. In ground 7, it is complained that the learned taxing officer, in considering instruction fee for opposing application for further security of costs, relied solely on the principle that the level of remuneration of advocates should be such as to attract new recruits to the profession. On that item, the fee claimed was UShs 20 million. The learned taxing officer's ruling thereon was as follows:

> "Mr *Masembe* submitted that the application for security for costs was before a single judge in chambers for one hour. So he submitted that UShs 500 000 would be sufficient. I have read the ruling of his Lordship the honourable Justice Oder (in) that application for security for costs. I again hold that the sum of UShs 500 000 proposed is too (low). This is especially when I take into consideration what the Supreme Court Justices have ruled constantly that a successful litigant should be fairly reimbursed, and that the level of remuneration must be such as to attract recruits to the profession. I therefore, award a sum of UShs 6 million under item 5. I accordingly tax off UShs 14 million".

Although the learned taxing officer refers expressly, to two principles he took into consideration it is clear to me that this text does not suggest that they were the only considerations. I think it is not correct to demand that the taxing officer should, in every case and on every item, record in the ruling the whole litany of considerations contained in paragraph 9(2) reproduced earlier in this ruling. As I held earlier in respect of grounds 5 and 6, I am unable to conclude that the learned taxing officer was not alive to other relevant principles, merely because he did not expressly reproduce them in the ruling.

Ground 7 therefore fails.

Ground 8 is similar to ground 1 in that it complains in effect that the amount allowed in item 5 of the bill of costs is manifestly excessive. The fee was allowed for instruction to oppose application for further security for costs. Mr *Masembe Kanyerezi* submitted that there was no justification for allowing such a large fee of UShs 6 million in respect of an application of a routine nature. In his opinion UShs 500 000 would have been a reasonable fee. Mr *Semuyaba* on the other hand supported the award as taxed, "having regard to the complexity involved". He did not elaborate on the alleged complexity. I have read the ruling by Oder JSC in that application and I have not detected any complexity at all. It seems to me, with due respect to counsel, that the application was opposed without much seriousness. Nor is that surprising in view of the earlier finding of the High Court, which was not appealed, that the Plaintiff ought to provide security for costs, principally because it had no assets in the country. The arguments raised were simple and easily disposed of. Indeed, the application was granted, but the Learned Justice of Appeal, in exercise of his discretion, ordered that costs would be in the cause. Once again I am constrained to remark that I cannot imagine that a reasonably competent advocate would insist on a fee UShs 6 million for instructions to make or oppose such an application. In my view that amount is so manifestly excessive, that I am compelled to infer that it was arrived at as a result of an error of principle, and I hold that it would be unjust to uphold it. Ground 8 succeeds.

There are two matters I should mention briefly before I conclude this ruling. The first is the provision in paragraph 9(2) to the effect that, in considering instruction fee, the taxing officer may, *inter alia*, have regard to "the other costs to be allowed". In his submissions on the ground which I have disallowed, Mr *Semuyaba* argued that the phrase should be construed to refer to costs in the Supreme Court only. I disagree. I think what is intended is other costs in the same litigation. Where it is applicable the taxing officer ought to have regard to other costs, including costs in the lower courts, if awarded, in order to assess what is a reasonable fee. This is not for purposes of any mathematical calculation to deduct or add the other costs. It is to give to the taxing officer an overview of the costs in the whole litigation rather than confine his mind to a segment thereof. In my view, that way the taxing officer will more rationally discharge his duty to the public to keep costs of litigation at reasonable levels without compromising the other principles he has to abide by. If that is ignored, one can imagine a scenario where, after litigation has gone through the entire hierarchy of courts, the aggregate amount allowed in costs exceeds the value of the subject matter in litigation. The second matter is in regard to the relativity of taxed costs, *vis a vis* security for costs. It looks absurd to me, that in a case where the court has ordered security for costs in the sum of UShs 20 million the successful party is allowed ten times that amount on one item of his

bill of costs. Of course I am not suggesting that taxed costs should be rigidly limited to the amount ordered as security for costs. However, the two ought to reflect that when the amounts were being assessed similar consideration were taken into account. That is why it is encouraged that an application for security for costs should be accompanied with a skeleton bill of costs. In the instant case it is difficult to imagine that the learned taxing officer had similar consideration in mind when taxing the bill of costs as the Learned Justice of the Supreme Court had when assessing the amount of security for costs. I think these two matters are worth mentioning because they featured in this case but I do appreciate that they are not very material to my decision on the reference.

For purpose of consistency, I have considered some recent awards in decisions of this Court similar to the instant case. *Patrick Makumbi and another v Sole Electrics (U) Ltd* civil application number 111/94 (UR) was a reference to a single judge of this Court, from an order of the taxing officer who had allowed a fee of UShs 12 million for instructions to appeal. In his ruling given in May 1994 Manyindo DCJ observed that the appeal had been against an interlocutory order, and the Appellant had succeeded on a point of law which the Respondent had easily conceded. He reduced the instructions fee to UShs 2 million. In *The Registered Trustees of Kampala Institute v DAPCB* (*supra*) this Court, in July 1995, sitting on a reference from a single judge, upheld the decision of the single judge reducing a fee of UShs 70 million allowed by the taxing officer for instructions to appeal, to UShs 7 million. The taxing officer, in assessing the instruction fee, had taken into consideration the value of the expropriated property in question. This was held to be an error of principle, because what was involved in the appeal was interpretation of provisions of section 1(1)(*c*) of the Expropriate Properties Act 1982, in order to determine if those provisions applied to the expropriated property. In *DAPCB v Jaffer Brother Ltd*, civil application number 13 of 1999 (UR), the order of the taxing officer to allow a fee of UShs 16 million for instructions to oppose an appeal was referred to me. The taxing officer had similarly erred by taking into account, *inter alia*, the value and importance of a residential property which was in issue in the main suit, when that was not involved in the appeal. The appeal, which was against an interlocutory order, had involved a question of joinder of parties and the interpretation of Order 1, Rule 10(2) of the Civil Procedure Rules. I reduced the instruction fee from UShs 16 million to UShs 4 million.

In my view the appeal in the instant case is not very different from the three I have just referred to. It seems to me, however, that the work involved for the advocate, was lighter than that in *Registered Trustees of Kampala Institute* case and that in *Ja¡fer Brother's* case. Having regard to what I have said, I think it is just that the instruction fees on both items 1 and 5 be reduced. In regard to the instructions to appeal, I am of the view that the amount proposed by Mr Masembe *Kanyerezi* is on the higher side in the circumstances. However, it is not so high as would compel me to ignore what in effect is a concession on the part of the Defendant. Accordingly I hold that the reasonable fee for instructions to appeal would be UShs 7 million. I am, however, not inclined to do the same in respect of the instructions to oppose the application for further costs. For the reason I have already stated I think only a minimal fee ought to be allowed. In my view UShs 300 000 is reasonable.

In the result, I allow the reference, and reduce the fee in item 1 of the bill of cost from UShs 200 million to UShs 7 million, and the fee in item 5 from UShs 6 million to UShs 300 000. The Defendant shall have costs of this reference.

KANYEIHAMBA JSC: This is a reference to me under Rule 105(1) of the Rules of this Court, from a decision of the registrar as a taxing officer.

The background to this reference is that following the judgment of this Court in civil appeal number 8 of 1998, the Respondent was awarded costs in that appeal. The costs were taxed by the learned registrar on 9 November 1999 in the sum of UShs 206 435 550. The Applicant referred that decision to a single judge of this Court and pending the decision in that application, the Appellant made an application for stay of execution of that taxed bill. The application was granted with costs in favour of the Respondent. A bill of costs was filed for taxation before His Worship Kisawuzi, who allowed the instruction fee of that stay of execution in the sum of UShs 10 million. It is that item on the taxed costs which is the subject of reference before me.

The memorandum of reference contains 6 grounds framed as follows:

"1. That item 1 of the Bill of Costs as taxed to the tune of UShs 10 million is in all the circumstances manifestly excessive.

2. That the taxing officer erred in law, whilst taxing item 1 of the Bill of costs, in holding that the value of the subject matter was the amount of the disputed taxed costs being UShs206 433 550.

3. That the taxing officer erred in law, whilst taxing item 1 of the Bill of Costs, in failing to decide that the stay of execution application was of an interlocutory matter and as such should only carry a minimum instruction fee.

4. That the taxing officer erred in law, whilst taxing item 1 of the Bill of Costs, in failing to take into consideration the fact that that application was straight forward and did not involve unusually difficult matter of law.

5. That the taxing officer erred in principle, whilst taxing item 1 of the Bill of Costs, in not taking into account adequately or at all the public interest principle which requires that costs be kept to a reasonable level so as not to keep poor litigants out of court.

6. The taxing officer erred in principle, whilst taxing item 1 of the Bill of Costs, in failing to take into account the other costs to be allowed being the costs of the reference itself."

Mr Masembe *Kanyerezi*, counsel for the Applicant, argued grounds 2, 3 and 4 together, grounds 5 and 6 together and ground 1 alone. On grounds 2, 3 and 4 counsel submitted that costs in this Court should be assessed in accordance with paragraph 9(1) of the Third Schedule to the Rules of the Court. He distinguished paragraph 9(1) from 9(2) and submitted that the former excludes the subject matter of the litigation from the items, which should guide a taxing officer, whereas 9(2) includes it. He contended that the reason for the difference is because 9(1) is only dealing with applications which are confined to interlocutory matters whereas 9(2) deals with appeals which go to the substance of the litigation.

Counsel further contended that in this particular case, the Bill of Costs of UShs 206 433 550 was contested and is in fact the subject of a pending application before another single judge of this Court. In consequence, counsel submitted that to award costs for the stay of execution would be condemning the Applicant to pay double costs and conversely, awarding the Respondent in costs twice. Counsel criticized the learned taxing officer for taking into account

the wrong principle in determining the quantum of costs when he applied, without discrimination, the rule laid down in the case of *Premchand Ltd and another v Quarry Services of East Africa and others* [1972] EA 162. For these reasons, counsel for the Applicant submitted that grounds 2, 3, and 4 of this reference should succeed.

Mr Justice *Semuyaba*, counsel for the Respondent, opposed the application. On grounds 1, 2, 3 and 4 of the reference, Mr *Semuyaba* submitted that rule 9(1) of the Rules in the Third Schedule requires the taxing officer to be fair and reasonable in awarding costs. Learned counsel contended that the award of UShs 10 million was fair and reasonable under the background and circumstances of this case. It was counsel's contention that before reaching his decision, the learned taxing officer took into consideration the fact that the Respondent was being deprived of the rewards of his success when the stay of execution was granted. Moreover, this was a case in which colossal sums of money were involved and the Respondent had already lost much by the Applicant's delaying tactics of prolonging litigation in this case. In any event, the Respondent had done a lot of work in vigorously opposing the application for stay of execution, which was intended to deprive it of its just rewards. Now those rewards were being unnecessarily delayed. Therefore, the Respondent ought to be allowed some reasonable costs by way of some insurance and that is the meaning of the taxing officer's award which was quite fair and reasonable. Counsel cited *Ambalal N Patel Ltd v Marietti* [1957] EA 194 as authority for his submission that in considering the taxation of costs regarding execution proceedings, the taxing officer has to take into account the value of the subject matter in dispute. Mr *Semuyaba* submitted that it was wrong on the part of counsel for the Applicant to argue that high costs would discourage poor litigants from going to court since the principle to be applied was that each case should be decided on its own merits. Counsel submitted that it was quite right and legitimate for the taxing officer to take into account the amount of money involved in the principal suit. He contended that rule 105(4) of the Rules of this Court was relevant to this application in that it provides that there shall be no reference on a question of quantum only and yet, this is precisely what the application is about. He contended that there was no merit in the application and therefore grounds 1, 2 3 and 4 of the reference should be dismissed.

On grounds 5 and 6 counsel for the Applicant contended that the application for stay of execution was a straightforward application which was disposed of in under 45 minutes and did not involve any complicated points of law. He therefore submitted that this is an application which should not attract anything more than between UShs 700 000 and 800 000 in instruction fees. He referred to a number of decided cases including *Departed Asians Property Custodian Board v Jaffer Brothers Ltd* civil application number 13 of 1999 (SC) (UR). *Registered Trustees of Kampala Institute v Departed Asian Property Custodian Board* and civil application number 3 of 1995 (SC) (UR) in support of his submission for reducing award of costs. Counsel further contended that costs should not be so high as to deter potential litigants and a taxing officer should base the quantum of costs on a hypothetical counsel who would be contented to prosecute a case on modest fees.

Lastly, Mr Masembe *Kanyerezi* made submissions on ground 1. He contended that the award of UShs 10 million was manifestly excessive. While conceding that courts may not interfere with awards of costs except where

wrong principles have been applied or the amounts allowed are excessive, it was nevertheless his submission in this particular case that the amount awarded was excessive. Counsel prayed that the award of UShs 10 million be set aside and the Court decide what is reasonable and fair.

Mr *Semuyaba* made submissions on ground 5 and 6 and observed that the authorities cited by counsel for the Applicant only dealt with substantive issues in appeals and not interlocutory matters. He contended that the accepted principle was that a successful litigant should get his costs regardless of wealth or status. Counsel, citing the view of the single judge, Mulenga JSC in the *Jaffer Brothers* case (*supra*), said that there was no mathematical formula for determining the correct quantum of costs. Each case must be decided on its own facts and circumstances. Counsel contended that there were no compelling reasons to justify any interference with the decision of the learned taxing officer. He further contended that the submissions by Mr *Masembe Kanyerezi* that other costs in the suit should be taken into account when taxing costs are erroneous. In any event, counsel for the Applicant having contended that in assessing costs in applications, the subject matter should not count, he was now saying that in this case it should. Since other costs in the case are a subject matter, counsel for the Applicant should be estopped from making that submission as was held in the case of *Alexander J Okello v M/s Kayondo and Co Advocates* in civil appeal number 1 of 1992 (CA) (UR). Counsel prayed that all in all, the application for reference should be dismissed.

Mr Masembe *Kanyerezi*, by way of clarification, contended that courts should operate through precedents and not personalities or status. He submitted that his clients had not been, as claimed on behalf of the Respondent, indulging in delaying tactics, but had vigorously and expeditiously pursued their interests in accordance with the law.

In my opinion, this application raises two pertinent matters, namely, whether the learned taxing officer applied the wrong principle or principles when determining costs to be paid following the stay of execution and whether the quantum of costs which he eventually decided to award was manifestly excessive. The law prescribes the guidelines for a taxing officer, which must be followed. Once these guidelines have been adhered to, the quantum of costs is largely left to the discretion of the taxing officer and this Court will not normally interfere with the exercise of that discretion unless the amounts allowed are manifestly excessive.

Thus, in *Registered Trustee of Kampala Institute v Departed Asians Property Custodian Board*, civil application number 3 of 1995 (SC) this Court held:

> "We have already stated that in appropriate cases the value of the subject matter can be a basis for the taxation of a bill of costs. But in our view, we repeat that the decision in this case is such that value cannot nor could it be a basis for taxation of the instruction fee".

Paragraph 9 of the Third Schedule to the Rules of this Court provides:

> "9(1) the fee to be allowed for instructions to make, support or oppose any application shall be a sum that the taxation officer considers reasonable but shall not be less than UShs 1 000.
>
> (2) The fee to be allowed for instructions to appeal or to oppose an appeal shall be a sum that the taxing officer considers reasonable, having regard to the amount involved in the appeal, its nature, importance and difficult, the interest of the parties, the other costs to be allowed, the general conduct of the proceedings, the fund or persons to bear the costs and all other relevant circumstances".

The subject matter of this application is what is prescribed in paragraph 9(1), and not 9(2), of the Schedule. Once it is conceded that the disputed costs are in connection with an application, then the reasonableness of the taxing officer in relation to the application must be judged within the confines of paragraph 9(1). The costs should be determined according to the instructions and the actual work done in order to "make, support, or oppose an application". In my view, any reference to the subject matter, other costs, poor litigants, hypothetical counsel, Appellant's tactics in causing delays in the prosecution of the suit, colossal sums involved and costs for stay of execution being some form of insurance for the Respondent, which both counsel paraded around either in the pleadings or submissions, are all irrelevant. In my opinion, therefore, ground 5 and 6 of this application insofar as they criticise the learned taxing officer for not taking into account matters which are confined to paragraph 9(2) of the Third Schedule to the Rules of this Court, have no merit in them and ought to be dismissed.

I will now consider grounds 2 and 3 of the application. There is no doubt in my mind that the learned taxing officer applied the wrong principle before coming to this decision. He stated that the principles governing taxation and which a taxing officer should take into account were laid down in *Premchand Ltd and another v Quarry Services of East Africa and others* (*supra*).

> Having enumerated those principles, he said:
>
> "In the instant case, bearing in mind the foregoing, I am of the considered opinion that the value of the subject matter must be taken into account in the assessment of the instruction fee. It is quite evident that in essence, it was the threatened execution of an award of UShs 206 433 550 which the Applicant feared to lose that they filed for stay of execution. I therefore disagree with the learned counsel for the Applicant that the value of the subject matter should not be considered at this stage simply because the reference is still pending".

It is clear that the learned taxing officer treated the matter before him, which was based on an application, as if it was an appeal. I therefore agree with learned counsel for the Applicant that the learned taxing officer applied the wrong principle which is prescribed in paragraph 9(2) instead of the correct one which is enshrined in paragraph 9(1). In the *Departed Asian Property Custodian Board v Jaffer Brothers Limited* (*supra*) Mulenga JSC said that where a taxing officer expressly bases his opinion on a wrong principle resulting in allowing too high or too low an amount, the court will intervene. I agree. In my opinion therefore, grounds 2 and 3 of this application ought to succeed.

I will now consider grounds 1 and 4 of the application. The reasonableness and quantum of costs awarded or to be awarded in connection with an application must depend on the instructions themselves and the amount of work done to make, support or oppose the application. Mr Masembe *Kanyerezi* submitted that the proceedings for stay of execution took less than forty-five minutes to complete. Counsel for the Respondent did not oppose or comment upon this duration of the hearing. Mr *Semuyaba*, learned counsel for the Respondent, submitted that through him the Respondent vigorously opposed the application for stay of execution. Counsel for the Applicant did not oppose or comment upon this submission. It can be surmised that both the presentation and opposition of the application for stay of execution were done within less than forty-five minutes. Nevertheless, in my opinion, this was an application, which should have taken a much shorter time than what is roughly indicated by

submissions of counsel. In the *Patrick Makumbi* civil application number 11 of 1994 (*supra*), in which taxed costs had been allowed by the taxing officer at UShs 12 million in an application which took minutes to complete, the learned Manyindo DCJ observed that the award was manifestly excessive and reduced it to a mere UShs2 million and this was in 1994. In *Attorney-General v Uganda Blanket Manufacturers (1973) Ltd* civil application number 17 of 1993, Odoki JSC said that allowance must be made for the fall in the value of money. This principle was also stated and applied in *Premchand Ltd v Quarry Services (Number 3)* (*supra*). In *Attorney-General v Uganda Blankets Manufacturers [1973]* (*supra*), the Learned Justice of the Supreme Court reduced an award of UShs 233 092 100 to a mere UShs 57 092 100. In each case, the Learned Justices were of the opinions that the awards had been manifestly excessive.

In my view, an award of UShs 10 million in a simple application stay of execution of another award of costs which is pending a review of a single Justice of the same court and where the main suit between the parties is still to be resolved, is manifestly excessive. Grounds 1 and 4 of this application ought to succeed. All in all, this appeal succeeds. Consequently, the taxing officer award of UShs 10 million is reduced to UShs 3 million. In light of what I have stated relating to the grounds of reference before me and the length it took to prosecute the application for stay of execution in civil application number 20 of 1999, each party is to pay its own costs.

For the Applicant:
Information not available

For the Respondent:
Information not available

Bantariza v Harbe International Trading Co Ltd
[2000] 2 EA 315 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of Ruling:	14 June 2000
Case Number:	14/99
Before:	Oder, Tsekooko, Karokora, Kanyeihamba and Mukasa-Kikonyogo JJSC
Sourced by:	B Tusasirwe
Summarised by:	H K Mutai

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[1] Practice – Alleged abuse of process of court – Costs – Respondent awarded costs by Supreme Court – Application to have order awarding costs set aside – Parties – Rightful parties to suit – Devolution of interest in suit property – Whether the Respondent abused the process of court by failing to state that it had disposed of the suit property – Order XXI, Rule 9(1) – Civil Procedure Rules.

Editor's Summary

The Applicant in the current matter instituted proceedings in the High Court against the Respondent in the current matter, seeking its eviction from the suit property on the grounds that it was a trespasser. On 5 November 1995, the suit was dismissed with costs to the Respondent. The Applicant successfully appealed against the dismissal to the Court of Appeal. The Respondent then

appealed to the Supreme Court seeking the reversal of the Court of Appeal's decision. The appeal was successful and was allowed with costs being awarded against the Applicant. The Applicant then filed the current application before the Supreme Court by way of notice of motion under section 8 of the Judicature Act and section 101 of the Civil Procedure Act (Chapter 65) seeking to have the Court set aside its previous judgment or, in the alternative, an order depriving the Respondent of the costs awarded to it. The Applicant's primary ground for its application was that the Respondent had abused the process of the court by failing to inform either the Court of Appeal or the Supreme Court that it had disposed of the suit property and therefore had no *locus standi* to file and argue the appeals. The Applicant's counsel argued that following the disposal of the property the new owner should have been substituted as the Respondent in the Court of Appeal pursuant to Order XXI, Rule 9(1) of the Civil Procedure Rules. Counsel for the Respondent opposed the application on the grounds, *inter alia*, that the application was based on new evidence and that, in any case, the Applicant having filed an appeal against it before the Court of Appeal, the Respondent was bound to contest it. At the hearing of the application, counsel for the Applicant appeared to give up the prayer challenging the judgment itself and restricted himself to the award of costs.

Held – Order XXI, Rule 9(1) of the Civil Procedure Rules was permissive in nature in that where there was an assignment, creation or devolution of an interest, *prima facie*, the suit could be continued in the name of the original party or assignee or person upon whom the interest had devolved. The principle underlying the rule was that the trial of a suit could not be arrested merely by reason of a devolution of the interest of a party in the subject matter of the suit.

A suit had to be tried in all stages on the cause of action as it existed at the date of commencement. In an appeal, the question was whether the trial court decision was correct on the facts as they stood when judgment was entered. It was only in exceptional circumstances that an appellate court could take notice of events that had happened since the institution of the suit and afford relief for the altered conditions; *Sheokumar v Central Cooperative Bank* [1974] 34 AIR 477 explained and adopted.

In this instance, there was nothing to show that after judgment in either the High Court or the Court of Appeal, an order had been made forbidding the Respondent to dispose of the suit property. It was also clear that the Applicant had appealed to the Court of Appeal and at that stage the Respondent was entitled, if it chose, to resist the appeal. Accordingly, there was no proof that the Respondent had abused the court process by fighting the appeal in the Court of Appeal or subsequently lodging an appeal in the Supreme Court. The application therefore failed.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Gajender Pal and another v Ram B Sirdaw [1961] EA 344

United Kingdom

Sheokumar v Central Co-op. Bank and another [1974] All ER 34

Ruling

ODER, TSEKOOKO, KAROKORA, KANYEIHAMBA AND MUKASA-KIKONYOGO JJSC: The Applicant Francis Rutagarama Bantariza has instituted a notice of motion seeking for orders to the following effect:

"(a) Setting aside the judgment of the Court dated 30 July 1999;

(b) Further or in the alternative the Respondent be deprived of the benefits, including costs, the said judgments gave to him as Appellant;

(c) The order extracted from the said judgments be set aside;

(d) The Applicant be awarded the costs of the appeals in the Supreme Court and the Court of Appeal; and

(e) For such further or other order or orders as shall to the court be just".

In the notice of motion, the Applicant has set out six grounds in support of the motion as follows:

"(i) When Court of Appeal civil appeal was heard and even decided, the Respondent had already sold of the suit property, but did not inform the Court that fact;

(ii) The Respondent, without *locus standi* and having wilfully disposed of the suit property filed a notice of appeal, filed an appeal and argued the appeal in the Supreme Court without disclosing that fact to the court;

(iii) The Respondent put itself in a position it could not lose by selling the suit property and proceeding with the appeals notwithstanding it could not have delivered the suit property to the Applicant if Applicant had won then and now unjustly stands to get costs of appeals;

(iv) The Respondent abused the process of the court;

(v) The ends of justice demand that the Respondent who put the suit property out of the jurisdiction of the courts as far as the appeals were pending in the Court of Appeal and later itself appealing to the Supreme Court, should not be rewarded by the court with costs and should, instead, reimburse the Applicant costs he has incurred by pursuing futile appeals;

(vi) It is just and equitable that the judgments be set aside and/or order be varied; and for an order that the costs of and incidental to this application be paid by the Respondent to the Applicant".

The application is made under section 8 of the Judicature Statute of 1996, section 101 of the Civil Procedure Act and Rules 1(3) and 41 of the Rules of the Court. The Applicant swore an affidavit in support of his application. To the affidavit are annexed annexures "A" to "I". Mr Nyanzi Yasin, advocate, made an affirmation, in reply to the Applicant's affidavit. The affidavits and the affirmation of Nyanzi are on the record. We see no need to reproduce their contents.

Dr J *Byamugisha*, counsel for the Applicant, in his submissions relied upon the contents of the notice of motion and the affidavit of the Applicant and

referred to the annexures thereto and contended that because of the provisions of Order 21, Rule 9(1) of the Civil Procedure Rules and section 8 of the Judicature Statute 1996, one Bagalaliwo who had purchased the suit property and acquired the same should have been the Respondent in the Court of Appeal instead of the present Respondent. He further contended that because the Respondent had sold and transferred his interest in the suit land to the said Bagalaliwo at the time the appeal was heard and decided by the Court of Appeal and subsequently in this Court, the Respondent who has no *locus standi*, therefore, was not entitled to judgment in this Court and the consequential order for costs and the costs. He submitted that the Respondent deceived the Court of Appeal and this Court when he did not disclose both in the Court of Appeal and before us that he had disposed of the suit land. Learned counsel then urged us to exercise our inherent power to prevent abuse of process of Court by depriving the Respondent of the costs in this Court and in the Court of Appeal which we had awarded to the Appellant as a successful party.

For the Respondent, Mr *Mbabazi* contended that the application is based on new evidence and that since our Rule 29(1) forbids us from accepting new evidence, the application should be rejected. Learned Counsel argued that by 5 November 1995 when the trial court gave judgment, the lease of the Applicant in the suit land had expired and therefore he had no *locus standi*. He further argued that since the Applicant had preferred an appeal against the Respondent to the Court of Appeal, the Respondent was bound to contest it and had to file the subsequent appeal to this Court to challenge the judgment of the Court of Appeal. Counsel also contended that Order 21, Rule 9(1) of the Civil Procedure Rules was not applicable to this case. Counsel further stated that the Applicant's contentions about costs should be raised elsewhere but not in this Court.

We understood Dr *Byamugisha* to have given up the prayer seeking to set aside our judgments. He appears to want us to deprive the Respondent of costs and therefore he asks us to vary our judgments only insofar as the award of costs is concerned. We think that Dr *Byamugisha* has acted properly in not challenging the validity of our judgments.

The issues raised in this application can then be summarised as follows:

(i) Was the Respondent entitled to oppose the appeal in the Court of Appeal?

(ii) Was Respondent justified in bringing his appeal to this Court after he lost in the Court of Appeal?

(iii) Has the Applicant established a case of abuse of the process of court by the Respondent which would justify our interference by depriving it of the costs which we awarded it in our judgments in the substantive appeal?

Issues (i) and (ii) in part raise the question whether Rule 9(1) of Order 21 of the Civil Procedure Rules affected the Respondent as a respondent in the Court of Appeal and subsequently as an appellant in this Court. Assuming that the Respondent had sold the land by the time the appeal in the court below was heard and determined, had he a right to be heard there? Order 21 is concerned with the consequence of death, consequence of insolvency and of marriage of a female party to a suit, during the pendency of a suit. Rules 1, 2, 3, 4, 5, 6, 7 and 8 of the Order show in effect that in general, death and

insolvency of a party or marriage of a female party to a suit does not abate a cause of action or proceedings. A legal representative in the case of death or an assignee or receiver in the case of an insolvent may continue the suit as a party. The said Rules 1 to 8 preceding rule 9 concern results on a pending suit/cause where the status of a party changes. Order 21, Rule 9(1) reads: "In other cases of an assignment, creation or devolution of any interest during the pendency of a suit, the suit may, by leave of the court, be continued by or against the person to or upon whom such interest has come or devolved".

Our understanding of this rule is that the provisions of this rule are permissive in that, *prime facie*, the suit may be continued in the name of the original party or assignee or a person upon whom interest has devolved. The rule found its way into our statutory provisions via India where courts have interpreted the rule in a number of cases.

In *AIR Commentaries on the Indian Code of Civil Procedure* by VR Manohar and WN Chitaley (10 ed), Volume 4, there are commentaries on the Indian Order 22, Rule 10 which corresponds exactly with our Order 21, Rule 9. The Indian Order 22, Rule 10(1) provisions are exactly in the same words as the words of our Order 21, Rule 9(1). It is therefore observed that the words "other cases etc" in the subrule mean cases other than those provided for in the preceding rules. These words include cases of transfer of property *inter vivos*. The applicability of the rule appears to be based on the principle that the trial of a suit cannot be arrested merely by reason of a devolution of the interest of a party in the subject matter of the suit, that the person acquiring the interest may continue with the leave of the court but that if he does not choose to do so the suit may be continued with the original party and the person acquiring the interest will be bound by or can have the benefit of the decree as the case may be.

In the Indian case of *Sheokumar v Central Coop Bank and another* [1974] All ER 34 at 477 a suit by a plaintiff for a declaration of title and possession against the bank and C was decreed, the decree directing that the costs of the suit to be borne by the bank alone. The bank had transferred its interest in the suit property to Central Co-op bank before the decree was passed. The bank appealed.

The second appellate court held that the bank had a right to the appeal independently of whether the bank still had a subsisting interest in the result of the litigation.

The main point which was argued before the second appellate court was that the appeal before the first court was incompetent on the ground that the bank had parted with its interest in the suit property and was no longer interested in the result of litigation. The transfer in question was a transaction of sale. From the facts of the case, it was apparent that at the time when the trial court passed the decree and also when the first appeal was filed, the bank had no subsisting interest in the suit property.

We would like to point out that it is a recognised rule that a suit must be tried in all stages on the cause of action as it existed at the date of commencement and that in appeal the question is whether the decision of the trial court is correct on the facts as they stood when the judgment of the trial court was rendered, and that no subsequent event or devolution of interest can affect that question. Of course an appellate court may take notice of events which have

happened since the institution of the suit and afford relief of the altered conditions. This doctrine however is of very exceptional character, and is to be applied in cases where it is shown that the original relief claimed has, by reason of subsequent change of circumstances, become inappropriate, or that it is necessary to base the decision of the court on the altered circumstances in order to shorten litigation or to do justice between the parties: *Sheokumar* case (*supra*).

In the *Sheokumar* case the court alluded to the application of the Indian Code of Civil Procedure, Order 22, Rule 10 and then observed that whereas Order 22, Rule 10 provides means by which a party upon whom an interest has devolved during the pendency of a suit may, by leave of the court, continue the litigation, the legislature has not provided that in the event of the person upon whom the interest devolves not obtaining leave of the court the suit would stand dismissed. With respect, we think that the same reasoning applies to the arguments advanced by Dr *Byamugisha* in the present application.

The decision in the *Sheokumar* case has persuasive value and appears to cover the facts of the present case. We have not been able to lay our hands on a Ugandan or East African Court decision directly on the issue before us. There is an instructive decision of the High Court of Uganda concerning consideration of our Order 21, Rule 4 of the Civil Procedure Rules. This is the case of *Gajender Pal and another v Ram B Sirdaw* [1961] EA 344.

In 1958 the Defendant RBS sued one, HR, who subsequently died. In April 1960, RBS moved the court to join the First Plaintiff as a party to the proceedings begun in 1958 as the son and legal personal representative of the deceased. The application was adjourned as defective since the deceased had appointed two executors, namely his son and widow, and by a letter written in June 1960 to the registrar and signed by the advocates for RBS and the executors, they requested that a consent order be made substituting the names of the executors in the proceedings for that of the deceased HR. The registrar simply recorded the filing of the letter of consent and made no order thereon. In September 1960, the hearing was resumed and on the basis that the executors had been duly impleaded, judgment was entered for RBS and a decree was later extracted.

The executors then sought to appeal and their advocate having discovered that no order had been made on the letter of consent tried to have the proceedings subsequent to HR's death set aside by consent but RBS would not agree. The executors then sued for declarations that the proceedings, judgment and decree were null and void, that the suit had abated and for the judgment and decree to be set aside. RBS defended claiming that he had done all that was necessary and that the Plaintiff executors were not entitled to question the proceedings to which they were active and consenting parties.

Rule 4 relied upon reads as follows:

> "4 (1) Where one of two or more Defendants dies and the cause of action does not survive or continue against the surviving Defendant or Defendants alone, or a sole Defendant or sole surviving Defendant dies and the cause of action survives or continues, the court, on an application made in that behalf, shall cause

the legal representative of the deceased Defendant to be made a party and shall proceed with the suit.

(2) …

(3) Where within the time limited by law no application is made under sub-rule (1), the suit shall abate as against the deceased Defendant".

Sheridan J held that:

"(g) Since Order 21, Rule 4, places the duty upon the court to implead the legal representatives when application is made, the parties should not be penalised for any shortcomings in carrying out the ministerial function of the court.

(ii) The claim of the Plaintiff was founded upon an immaterial irregularity and technicality, it would not be just to grant the declaration sought. The suit was dismissed."

The decision in the above case illustrated the point that proceedings in a suit may continue in the name of the original party. Our understanding of the proceedings giving rise to this application is this: that it was the Applicant who instituted in the High Court the suit against the Respondent; that in the eyes of the Applicant at the commencement of the suit the Respondent was a trespasser; that by the suit the Applicant sought to have the Respondent evicted from the suit land; that on 5 November 1995 when Mukanza J dismissed the suit and awarded costs against the Applicant as a losing Plaintiff, the Respondent had not disposed of the suit property. There is nothing to show that after judgment in the High Court either the trial court or the Court of Appeal made an order forbidding the Respondent to dispose of the suit property. The record shows clearly that it was the Applicant who appealed to the Court of Appeal. We think that at that stage the Respondent was entitled, if it chose, to resist the appeal. It has not been disclosed to us when exactly the Respondent disposed of the suit property. But whatever the date of the sale, our view is that even though it would have been proper for the Respondent to inform the Court of Appeal and subsequently this Court, of the disposal of the suit property, Order 21, Rule 9 does not make it mandatory for the Respondent to do so or indeed to move any court so that Mr Bagalaliwo could be substituted for the Respondent either in the Court of Appeal or here or in both courts. In these circumstances we are not persuaded by Dr *Byamugisha*, that the Respondent violated the principle against abuse of court process by fighting the appeal in the Court of Appeal or by appealing subsequently to this Court against the decision of the Court of Appeal in its own name.

It is not improbable to think that even if Bagalaliwo were substituted he would have insisted that the Respondent should bear all the consequences of the litigation.

The award of costs per se cannot be a basis for us to revise our judgments.

In the result this application must fail and it is dismissed with costs to the Respondent.

For the Applicant:
Information not available

For the Respondent:
Mr Mbabazi

Beysne v Republic of Romania
[2000] 2 EA 322 (HCT)

Division: High Court of Tanzania at Dar-Es-Salaam

Date of Ruling:	9 January 1998
Case Number:	88/94
Before:	Chipeta J
Sourced by:	A Bade
Summarised by:	H K Mutai

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[1] State and diplomatic immunity – International law – Foreign sovereign state – Immunity from suit – Agreement to lease part of diplomatic premises to Plaintiffs – Plaintiffs evicted from premises – Action to recover damages – Whether Tanzania applies absolute or restrictive theory of diplomatic immunity – Whether the Defendants could claim immunity – Articles 22, 32(3), and 39(2) – Vienna Convention on Diplomatic Relations 1961.

Editor's Summary

On 10 June 1989, the Republic of Romania and the Second Plaintiff entered into a lease agreement whereby the former leased to the latter a portion of its property, which was partly used as its Chancery, for a period of 4 years 11 months at a monthly rent of US$ 1 400. The lease provided, *inter alia*, that if the Plaintiffs failed to pay rent within 14 days after it was due, the Defendants could re-enter the premises whereupon the lease would determine. The First Plaintiff, who was the managing director of the Second Plaintiff, then went into occupation of the leased premises. Following the apparent breach of this term by the Plaintiffs, the Second Defendant, who at the time was Romania's *Chargé D'Affaires* and was acting under its instructions, allegedly removed the Plaintiffs' properties worth US$ 100 000 and evicted them from the premises.

The Plaintiffs reported the matter to the police but no action was taken apparently because of the Defendants' diplomatic or state immunity. The Plaintiffs then filed suit against the Defendants claiming damages. On learning of the suit, the Republic of Romania sent a *note verbale* to the Ministry of Foreign Affairs and International Co-operation claiming state and diplomatic immunity in respect of the suit and requesting the Ministry to inform the court to abstain from dealing with the matter on that ground. The Ministry thereafter wrote two letters dated 12 April and 15 April 1996 to the court informing it that the Defendants were not amenable to the jurisdiction of the court and that the court should accordingly desist from further dealing with the case. Counsel for the Plaintiffs submitted that in 1992 and again in 1995, the Defendants had initiated proceedings relating to the premises before a local tribunal in the form of the Dar-es-Salaam Regional Housing Tribunal thereby precluding them from raising the plea of state and diplomatic immunity under article 32(3) of the Vienna Convention. The Plaintiffs also contended that the Second Defendant no longer enjoyed diplomatic immunity since he had left the country and was no longer an employee of the Romanian Ministry of External Affairs. Lastly, the Plaintiffs averred that as the dispute was purely commercial in nature, the plea of state and diplomatic immunity was not available to the Defendants under the doctrine of restrictive diplomatic immunity.

After hearing the Plaintiffs' submissions, the court requested the opinion of the Attorney-General, in the capacity of *amicus curiae*, on the issue. The

Attorney-General submitted, *inter alia*, that in view of the *note verbale* from the First Defendant and the fact that at all material times the Second Defendant had been Romania's diplomatic agent, the plea of diplomatic immunity was available to the Second Defendant. The Attorney-General also submitted that there was no evidence to suggest that Tanzania had ever adopted the restrictive doctrine of diplomatic immunity and that, in view of the Ministry's letters, it was clear Tanzania still adhered to the absolute doctrine.

Held – Article 32(3) of the Vienna Convention was not applicable to this suit as it was the Plaintiffs, and not the Defendants, who had initiated the proceedings. Any acts done by the Defendants in proceedings before other tribunals were not relevant for the purposes of this suit.

At all material times the Second Defendant was a Romanian diplomat and, *prima facie*, enjoyed diplomatic immunity from civil, criminal and administrative jurisdiction. Accordingly, article 39(2) of the Vienna Convention applied and he enjoyed immunity in relation to the acts he performed in the exercise of his functions. The mere fact that he was no longer in the country did not end his immunity and, in any case, the Republic of Romania had categorically stated that it would not waive his immunity.

The absolute theory of state and diplomatic immunity provided that municipal courts would not, by their process, make a foreign sovereign a party to legal proceedings against its will whether the proceedings involved process against its person or claims to recover specific property or damages; *The Charkieh* [1873] LR 4 A and E 59 and *The Cristina* [1938] AC 485 approved. The restrictive theory on the other hand sought to differentiate between acts of the sovereign done in a public capacity and those acts done for commercial, financial or professional purposes, and then to grant immunity for the former and withhold it in the case of the latter; *Victory Transport v Comisaria General* 336 Fed Rep (2a) 354 and *Trendtex Trading Corp v Central Bank of Nigeria* [1977] QB 529 approved.

Where the restrictive theory was applied, the issue before the courts was where to draw the line between public acts and commercial acts. In deciding which theory to apply, a court should be free to exercise its judicial discretion on the basis of authorities and circumstances where the government of the receiving state took no stance in the matter. However, where the government of the receiving state took a definite stand on whether it adhered to the absolute or restrictive theory of state and diplomatic immunity, the courts would do well to defer to such a pronouncement. Applying that test to this case, the Ministry had clearly stated that state and diplomatic immunity was available to the Defendants and, from the tone of the letters, it appeared that Tanzania still adhered to the absolute theory. Moreover, it was clear that the suit premises were part of Romania's mission in Tanzania and therefore inviolable under article 22 of the Vienna Convention. The plea of state and diplomatic immunity would therefore be upheld and the suit dismissed accordingly.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

United Kingdom

The Charkieh [1873] LR 4 A and E 59 – APP

The Cristina [1938] AC 485 – APP

Trendtex Trading Corporation v Central Bank of Nigeria [1977] QB 529 – APP

United States of America

Victory Trasport v Comisaria General 336 Fed Rep (2a) 354 – APP

Ruling

CHIPETA J: The Plaintiffs in this suit, namely, Surafel Beyene, said to be an Ethiopian national, and Aduliu Zanzibar Ltd, have filed this suit against the Republic of Romania and Marin Ghetu, claiming damages arising from a tenancy agreement in respect of the property of the Republic of Romania situated on plot Number 11, Ocean Road, in Dar-es-Salaam.

The Defendants have pleaded state and diplomatic immunity in the suit. The Plaintiffs, through their learned advocate, Mr EH *Mbuya*, have resisted the plea, and Mr *Mbuya* has made submissions to the effect that on the facts and circumstances of the case, the plea of state and diplomatic immunity is not available to the Defendants. The Defendants filed no submissions but filed a copy of a *note verbale* written by the First Defendant to the Ministry of Foreign Affairs and International Co-operation of Tanzania (hereinafter referred to as "the Ministry"). The copy of the *note verbale* was received by the Court in this suit.

After receiving Mr *Mbuya*'s submissions, this Court (Kyando J) was of the view that the Attorney-General should be heard in the matter as an *amicus curiae.* The Honourable the Attorney-General has filed written submissions on the matter as invited by this Court to do.

Before I proceed to deal with those submissions and arrive at a decision of this Court, I think it is necessary to give a factual background of the matter, albeit briefly. From the contents of the plaint and what Mr *Mbuya* told the Court, it has come to light that on 10 June 1989, the First Defendant concluded and signed a lease agreement with the Second Plaintiff whose managing director was the First Plaintiff. By that lease agreement, the First Defendant demised a part of the property on plot Number 11, Ocean Road, described as Plot Number 5, for a period of four years and eleven months at a monthly rent of US$.1 400. As per the terms of that lease agreement, the First Plaintiff went into occupation of the demised premises and used it as his residence as managing director of the Second Plaintiff.

It was an express term of the lease agreement on that failure by the Plaintiffs to pay rent 14 days next after the rent was due, the Defendants were empowered at any time thereafter to re-enter into and upon the demised premises whereupon the term of the lease would cease and determine. Apparently the Plaintiffs breached that term of the lease agreement, and so, the Second Defendant, who was by then the *Charge D'Affaires* of the First Defendant, and acting on the instructions of the First Defendant, evicted the Plaintiffs from the demised premises and, it is alleged in the plaint, removed the Plaintiffs' properties worth US$ 100 000. The eviction was apparently done in the absence of the Plaintiffs. The Plaintiffs took offence to that action by the Defendants and so reported the matter to the police, but because of the First Defendant's diplomatic or state immunity, no criminal proceedings were instituted against the Defendants.

Mr *Mbuya* further informed the Court that in 1992, the First Defendant filed civil application number 489 of 1992 in Dar-es-Salaam Regional Housing Tribunal seeking, among other remedies, the eviction of the First Plaintiff from the demised premises. In those proceedings, the First Plaintiff counterclaimed special and general damages for forcible eviction and loss of his furniture and personal effects. That application, however, was withdrawn at the instance of the First Defendant.

It is also said that after the present suit was filed, the First Defendant filed application number 102 of 1995 in Dar-es-Salaam Regional Housing Tribunal seeking the same remedies as those sought in the application which had been withdrawn.

At the time this suit was filed, the second Defendant was no longer the *Charge D'Affaires* of the Republic of Romania in Tanzania and had in fact left Tanzania.

It is also relevant to note that the suit premises are within the premises of the *Charge D'Affaires* of the Republic of Romania in Tanzania.

On learning of the existence of the suit, the First Defendant sent a *note varbale* to the Ministry, as pointed out above, protesting against the institution of this suit against the two Defendants and claimed state and diplomatic immunity in respect of this suit. The First Defendant accordingly requested the Ministry to inform this Court to abstain from dealing with this matter on that ground. In response to the *note verbale*, the Ministry wrote two letters to this Court, reference numbers FAC/D.30/67 of 12 April 1996 and FAC/D.30/67 of 15 April 1996, in which the Ministry informed the Court that the Defendants were not amenable to the jurisdiction of this Court by reason of state and diplomatic immunity and that this Court should accordingly desist from further dealing with the case.

From the very outset, I would like to express my sincere gratitude to Mr EH *Mbuya*, learned counsel for the Plaintiffs, and the Honourable the Attorney-General for their lucid and powerful submissions which have been of great assistance to the Court in this matter.

Mr *Mbuya* objected to the plea of state and diplomatic immunity of the Defendants on three main grounds. In the first place, he submitted that the Defendants' actions in initiating proceedings in courts or tribunals of this country in the two applications over the same subject matter meant that the Defendants are now precluded from raising the plea of state and diplomatic immunity in this case in terms of article 32(3) of the Vienna Convention on Diplomatic Relations 1961 (hereinafter referred to as "the Convention").

Secondly, Mr *Mbuya* submitted that as far as the Second Defendant was concerned, the plea of diplomatic immunity was not available to him because at the time this suit was filed, the Second Defendant was no longer a diplomatic agent in Tanzania as he had left Tanzania, and was no longer an employee of the Ministry of External Affairs of the Republic of Romania.

Thirdly, Mr *Mbuya* submitted that the plea of state and diplomatic immunity was not available to the two Defendants because the cause of action and subject matter of the suit arose out of, and related to, a landlord and tenant relationship, which was a purely commercial transaction, and so, under the theory or doctrine of restrictive diplomatic immunity, the Defendants are amenable to the jurisdiction of this Court under international law.

With regard to Mr *Mbuya* first ground of objection, the Honourable the Attorney-General submitted that as this suit is different from the applications referred to, and that as this Court, constituted by the Constitution of this country, is different from these other tribunals, no inference should be drawn form the acts of the Defendants in the other courts or tribunals; and that article 32(3) of the Convention cannot be invoked by the Plaintiffs because these instant proceedings were not initiated by the Defendants but were initiated by the Plaintiffs themselves.

With regard to the second point that the plea of diplomatic immunity is not available to the Second Defendant because he had ceased to be a diplomatic agent in Tanzania and had left the country, the Honourable Attorney-General submitted that in view of the *note verbale* of the First Defendant, the two letters of the Ministry to this Court, and article 39(1) and (2) of the Convention, and further that as the Second Defendant had at all material times been a diplomatic agent of the First Defendant, the plea of diplomatic immunity is available to the Second Defendant in the absence of a waiver from the First Defendant.

Turning to the third ground, the Honourable the Attorney-General submitted, in effect, that in view of the fact that there was no evidence let alone a suggestion, that Tanzania, which is a common law orientated country, has ever adopted the restrictive diplomatic theory, and in view of the two letters of the Ministry to this Court, it was clear that Tanzania still adheres to the absolute doctrine of diplomatic immunity.

On the basis of those submissions, it was the opinion of the Honourable the Attorney-General that this suit be dismissed with costs to the Defendants.

Before I deal with the specifics, let me briefly discuss principles of international law, as far as they can be identified, on the questions raised in this case, particularly with regard to the absolute and restrictive theories of doctrines of diplomatic immunity.

From the authorities made available to me, there are, indeed, two schools of thought on the question of state and diplomatic immunity from civil suits, namely, the school of thought that advocates for the absolute theory of state and diplomatic immunity, and that which advocates for the restrictive state and diplomatic immunity in such cases.

The doctrine of absolute state and diplomatic immunity theory is, I think, to be found in the case of *The Charkieh* [1873] LR 4 A and E 59 in which Sir Robert Phillimore said:

> "The object of international law … is not to work injustice, not to prevent the enforcement of a just demand, but to substitute negotiations between governments, though they be dilatory and the issue distant and uncertain, for the ordinary courts of justice in cases where such use would lessen the dignity or embarrass the functions of the representatives of a foreign state".

Lord Atkin stated the absolute theory of state and diplomatic immunity in the case of *The Cristina* [1938] AC 485 at 490, in the following terms:

> "[Municipal courts] will not implead a foreign sovereign, that is, they will not by their process make him against his will a party to legal proceedings whether the proceedings involve process against his person or seek to recover from him specific property or damages".

The restrictive theory of state and diplomatic immunity seeks to differentiate between acts of the sovereign or head of state done in a public capacity *(acta jure*

imperii) and those acts done by the sovereign or head of state or his department or other authority for commercial, financial, or professional purposes (*acta jure gestionis*). The restrictive theory grants immunity in the former and withholds it in the case of the latter. The restrictive immunity theory of state and diplomatic immunity as well as the purpose thereof were expressed in the case of *Victory Trasport v Comisaria General* 336 Federal Republic (2a) 354, in which the United States Court of Appeals said:

> "The purpose of the restrictive theory of sovereign immunity is to try to accommodate the interest of individuals doing business with foreign governments in having their legal rights determined by the courts with the interest of foreign governments in being free to perform certain political acts without undergoing the embarrassment or hindrance of defending the propriety of such acts before foreign courts".

Lord Denning MR stated the restrictive diplomatic immunity theory in the case of *Trendtex Trading Corporation v Central Bank of Nigeria* [1977] QB 529, in the following terms at 558:

> "If a government department goes into the market places of the world and buys boots or cement – as a commercial transaction – that government department should be subject to all the rules of the market place. The seller is not concerned with the purpose to which the purchasers intends to put the goods".

It appears, then, that the absolute diplomatic immunity theory emphasizes safeguarding international comity or promotion of harmonious diplomatic relations between the sending and receiving states, sometimes to the detriment or disadvantage of interests of individuals, while the restrictive diplomatic immunity theory puts to the fore interests of individuals in commercial transactions as far as possible.

It is also clear from the authorities that in applying the restrictive diplomatic immunity theory, the vexing question for the courts has often been drawing the demarcation line between public acts and commercial acts. It is likewise evident that each case has largely been decided on the basis of its own peculiar facts and circumstances and, in some cases, the decisions have been influenced by the stand taken by the government of the receiving state.

Having made the foregoing observations, I now proceed to deal with the points raised in the submissions and come to may own findings and conclusions thereon. I propose to deal with them in the order in which they were dealt with by Mr *Mbuya* and the Honourable the Attorney-General.

With regard to the first point, I think that it should be realized that this Court, constituted by the Constitution, is different from, and superior to, the tribunals in the other two matters; and the suit before this Court is an independent suit. So, any acts done by the Defendants in other proceedings before other tribunals are, in my view, irrelevant for purposes of this suit. That being the position, no inference ought to be drawn from any other proceeding for purposes of this suit.

As for articles 32(3) of the Convention, it must be borne in mind that in this case, it was the Plaintiffs who initiated these proceedings and not the Defendants. Article 32(3) of the Convention provides as follows:

> "32 (3) *The initiation of proceedings by a diplomatic agent or by a person enjoying immunity from jurisdiction* under Article 37 shall preclude him from invoking immunity from jurisdiction in respect of any counterclaim directly connected with principal claim". (Emphasis supplied.)

In the instant case, therefore, the Plaintiffs cannot call in aid the provisions of article 32(3) of the convention because the Defendants did not initiate these proceedings.

For the above reasons, the first ground of objection by the Plaintiffs must accordingly fail.

The second ground relates to the Second Defendant alone. It was argued on behalf of the Plaintiffs that because the Second Defendant was no longer a diplomatic agent of the Republic of Romania in Tanzania and is no longer in this country, and because, it was alleged, the Second Defendant is no longer an employee of the Ministry of External Affairs of the Republic of Romania, the plea of diplomatic immunity is not available to him.

From the contents of paragraph 5 of the plaint and the First Defendant's *note verbale* to the Ministry, it is quite clear that at all material times, as far as this suit is concerned, the Second Defendant was a diplomat of the Republic of Romania accredited to Tanzania and, therefore, *prima facie*, enjoyed diplomatic immunity from civil, criminal, and administrative jurisdiction in Tanzania by virtue of articles 31 and 32 of the Convention, which have the force of law in Tanzania by virtue of Act Number 5 of 1986 of Tanzania. It is equally clear from the plaint insofar as the transactions that gave rise to this suit are concerned, that the Second Defendant, at all material times, was acting on the instructions of his principal, that is, the First Defendant, and not in his private capacity.

That being the position, the answer to this question, it seems to me, lies in article 39(2) of the Convention which reads:

> "2. When the functions of a person enjoying privileges and immunities have come to an end, such privileges and immunities shall normally cease at the moment when he leaves the country or on expiry of a reasonable period in which to do so, but shall subsist until that time, even in case of armed conflict. *However, with respect to acts performed by such a person in the exercise of his functions as a member of the mission, immunity shall continue to subsist*". (Emphasis supplied).

Ipso facto, the mere absence of the Second Defendant from Tanzania did not terminate his diplomatic immunity in this case because he performed the acts complained of in this suit in the exercise of his functions as a member of the First Defendant's mission and on behalf of his state. That immunity could only cease if the Republic of Romania had waived it, and such waiver must be specific. (See Charles Lewis on *State and Diplomatic Immunity* 1980 at 107).

In the instant case, there has been no such waiver. On the contrary, in the *note verbale* referred to above, the Republic of Romania has categorically stated that it has not and will not waive the Second Defendant's diplomatic immunity in this case. On these grounds, the second ground of objection also fails.

Finally, I turn to the third ground of objection. It has been submitted on behalf of the Plaintiffs that since this was a purely commercial transaction, on the basis of the restrictive theory of state and diplomatic immunity, that plea is not available to the Defendants.

In certain jurisdictions, such as the United States, where courts jealously guard the principles of judicial independence and the rule of law, courts pay great heed to the stance taken by the government of the receiving state. As observed Charles Lewis in his book *State and Diplomatic Immunity* 1980 at page 16: "It appears in fact that the United States courts hardly exercise their own

discretion since (the 'Tate Letter') … but merely accept the view of the State Department (although the United State statute transfers the responsibility to the courts)".

This statement is inferentially confirmed by the *Victory Transport* case (*supra*) in which the United States Court of Appeals observed:

> "We do not think that the restrictive theory adopted by the State Department requires sacrificing the interests of private litigants to the international comity in other than these limited categories. *Should diplomacy require enlargement of these categories, the State Department can file a suggestion of immunity with the court. Should diplomacy require contraction of these categories, the State Department can issue a new or clarifying policy pronouncement*". (Emphasis supplied.)

I take the view that where the government of the receiving state takes no stance in the matter or has chosen to be silent in the matter, municipal courts should be free to exercise their judicial discretion on the basis of the authorities and the facts and circumstances of each case. But where the government of the receiving state has taken a definite stand, that is an indication of whether such receiving state adheres to the absolute or restrictive theory of state and diplomatic immunity, and in such a case, the courts would do well to defer to such a prouncement because the government could have more facts than the courts as to the delicacy of the matter and the competing claims.

In the instant case, the Ministry has stated in no uncertain terms that state and diplomatic immunity is available to the Defendants in this case. With regard to the absolute and restrictive theory of state and diplomatic immunity, I tend to agree with the submissions of Honourable the Attorney-General that from the tone of the two letters of the Ministry to this Court, Tanzania, which is a common law orientated country, is still adhering to the absolute theory of state and diplomatic immunity which, it would appear, is the cornerstone of the Convention.

Apart from the stance of the Ministry on this matter, I have taken into account the facts and circumstances of this case. Paragraph 6 of the plaint reads in part as follows:

> "6 That the property on Plot Number 11, Ocean Road, Dar-es-Salaam which is owned by the Republic of Romania is partly used as Chancery for the said Republic as well as a residence of its *Charge D' Affaires* ..".

In other words, this suit touches upon part of the premises of the Defendants' Mission in Tanzania. Article 22 of the Convention, which has the force of law in Tanzania by the provisions of the Diplomatic and Consular Immunities and Privileges Act, 1986, provides as follows:

> "Article 22.
>
> 1 The premises of the mission shall be inviolable. The agent of the receiving state may not enter them, excect with the consent of the head of the mission.
>
> 2 The receiving state is under a special duty to take all appropriate steps to protect the premises of the mission against any intrusion or damage and to prevent any disturbance of the peace of the mission or impairment of its dignity".

For these reasons, I am of the considered view that the third ground of objection must also fail.

In the upshot, I hereby uphold the Defendants' plea and hold that state and diplomatic immunity are available to the two Defendants in this case. This suit is accordingly dismissed.

It was urged by the Honourable the Attorney-General that I should award costs to the Defendants. With respect, I have not felt comfortable about making such an order in view of the fact that the Defendants did not, as such, enter an appearance in this Court. I accordingly order that each party shall bear its/his own costs. Suit dismissed accordingly.

For the Applicant:
Information not available

For the Respondent:
Information not available

Bifabusha v Turyazooka
[2000] 2 EA 330 (CAU)

Division:	Court of Appeal of Uganda at Kampala
Date of judgment:	17 October 2000
Case Number:	3/00
Before:	Kato, Okello and Kitumba JJA
Sourced by:	B Tusasirwe
Summarised by:	M Kibanga

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[1] Practice and procedure – Court bailiff – Bailiff instructed to sell immovable property – Bailiff selling movable property also – Whether bailiff acted in excess of his power – Whether bailiff entitled to protection under section48 of the Judicature Act.

[2] Practice and procedure – Summary dismissal of suit – Order 7, Rule 11(a) and (b) – Civil Procedure Rules – Appellant filing suit against court bailiff for illegal sale – Court bailiff alleging protection of law – Section 48 – Judicature statute – Whether matter suitable for dismissal under Order 7, Rule 11(a) and (b) – Civil Procedure Rules.

Editor's Summary

The Appellant was a registered co-owner of an immovable property. His co-owner sued the Appellant successfully and an order was issued for the sale of the immovable property. The Respondent, who was a court broker, was given the attachment warrant to attach and sell and he attached and sold the property. The Appellant successfully challenged the decision to sue in the High Court but upon re-entering the property, he found that all his immovable property had been sold, stolen or vandalised.

The Appellant sued the Respondent for general and special damages arguing that by selling the Appellant's movable property, the Respondent had exceeded his powers given by the warrant of attachment and his conduct amounted to conversion. The Respondent's advocate raised a preliminary objection urging that the plaint disclosed no cause of action on the grounds that the Respondent acted lawfully and as a court broker he was protected by section 48 of the Judicature Statute. He prayed that the plaint be dismissed under Order 7, Rule 11(*a*) and (*b*) of the Civil Procedure Rules. The Learned

Judge upheld the objection and the Appellant appealed to the Court of Appeal.

Held – In an objection to the plaint under Order 7, Rule 11(*a*) of the Civil Procedure Rules the judge had to obsence and construe the plaint carefully and

see whether there was inherent defect in the plaint. A distinction must be drawn between an application to reject a plaint and one where a matter of law was set down for argument as a preliminary point. Under Order 7, Rule 11(*a*) of the Rules, an inherent defect in the plaint must be shown, rather than that the suit was not maintainable in law. In the latter case a preliminary point should be set down per hearing on a matter of law. *Wycliffe Kigundu v Attorney-General* (Supreme Court) civil appeal number 3 of 1993 (UR) and *Nurdin Ali Dewji and others v Maghji and others* [1953] 20 EACA 132 followed.

Whenever a court bailiff as a court officer was protected from suit for any lawful or authorised act done in the execution of a warrant under section 48(2) of the Judicature Statute, the protection was available only when the bailiff acted lawfully; *Maria Onyango Ochola v W Hannington Wasswa* [1988-1999] HCB 102 followed. The Appellant's contention that the Respondent sold some immovable property without authority should have been investigated by way of evidence. The issue of protection under section 48(2) of the Judicature Statute was a point of law suitable for investigation at a full hearing.

The appeal was allowed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Auto Garage and another v Motokov [1971] EA 514

Francis Micah v Nuwa Walakira Supreme Court civil appeal number 21 of 1994 (UR)

Katikiro of Buganda v AG of Uganda [1958] EA 765

Maria Onvango Ochola v W Hannington Wasswa [1988–1999] HCB 102 – **F**

Nurdin Ali Dewii and others v Maghji and others [1953] 20 EACA 132 – **F**

Wycliffe Kigundu v Attorney-General Supreme Court civil appeal number 3 of 1993 (UR) – **F**

Judgment

KITUMBA JA: This is an appeal from the ruling and order of Katutsi J dated 29 September 1999 whereby he rejected the Appellant's plaint as disclosing no cause of action and ordered him to pay costs to the Respondent.

The facts giving rise to this appeal are as follows. The Appellant was a registered co-owner of the property located at plot 5 Kazooba Road, Kabale Municipality, Kabale District. The Appellant was successfully sued by his co-owner in the Chief Magistrate's court. An order was made to sell off the property. The Respondent, who was a court broker, was given an attachment warrant to attach and to sell off the immovable property. He attached the immovable property and duly sold it off. The Appellant thereafter successfully challenged the decision of the lower court in the High Court. The High Court ordered that the Appellant re-enters the property. On re-entering the property, the Appellant found that all his movable properties had been sold, stolen or vandalished.

The Appellant sued the Respondent for general and special damages. In his pleadings, the Appellant contended that by selling the movable property, the Respondent exceeded the power given to him by the warrant of attachment and his conduct amounted to conversion. At the beginning of the trial, counsel for the Respondent raised a preliminary objection that the plaint disclosed no cause of action on the grounds that the Respondent acted lawfully and as a court broker he was protected by section 48 of the Judicature Statute. Counsel prayed that the plaint be dismissed under Order 7, Rule 11(*a*) and (*b*) of the Civil Procedure Rules for non-disclosure of cause of action and that the plaint was frivolous and vexatious. The objection was upheld by the Learned trial Judge.

The Appellant being aggrieved by this decision appealed to this Court. There are three grounds of appeal, namely:

> "1 That the Learned trial Judge erred in law and fact to hold that the plaint disclosed no cause of action.
>
> 2 That the trial Judge erred in law in rejecting of the plaint when there was a serious and important question of law that should have been determined by trial on pleadings.
>
> 3 The trial Judge erred in law when he held that the Defendant followed the law and that he was therefore protected by section 48(2) of the Judicature Statute as an officer of Court".

Mr Michael *Akampurira*, learned counsel for the Appellant, submitted on all the grounds together. I shall follow the same order.

Mr *Akampurira* contended that the Appellant had a cause of action and had shown that in his pleadings. Counsel submitted that the Appellant had the right to his property. This right was violated. The Respondent was responsible because during execution he exceeded what was authorized on the warrant. The warrant of attachment which was attached to the plaint as Annexture "A" only authorized and limited the Respondent to attach and sell immovable property at Plot 5 Kazooba Road, Kabale Municipality. As the Respondent exceeded his power in executing the warrant he was not protected by section 48 of the Judicature Statute. In support of this submission he relied on *Francis Micah v Nuwa Walakira Supreme Court* civil appeal number 21 of 1994 (UR).

Learned counsel criticized the Learned trial Judge for rejecting the plaint that it disclosed no cause of action whereas in paragraph 3(c) of the plaint it was averred that the Respondent exceeded the authority in the warrant of execution. In paragraph 5 of the plaint it was averred that the Respondent's disposing off the Appellant's movable property amounted to conversion. This disposal of movable property in counsel's view, necessitated the court's taking of evidence in order to determine whether the Respondent exceeded his authority. Counsel submitted that the matter should have been dealt with in Order 13, Rule 2 of the Civil Procedure Rules. He relied on Wycliffe Kiggundu v Attorney-General Supreme Court civil appeal number 3 of 1993 (UR) and Katikiro of Buganda v AG of Uganda [1958] EA 765. He prayed that the appeal be allowed, the case be reinstated and costs of the suit.

In reply Mr Bernard Tibesigwa, learned counsel for the Respondent, agreed with Mr Akampurira as to what constitutes a cause of action. However he submitted that if any of the three elements is missing, then there is no cause of

action. In support of his argument he relied on Auto Garage and another v Motokov [1971] EA 514.

He submitted that as the Respondent was protected by section 48 of the Judicature Act he was not liable. There was therefore no cause of action. Mr Tibesigwa conceded that if the Respondent exceeded the power of execution in the warrant he would be liable. He submitted that in this case the Respondent did not exceed his powers. The Appellant does not dispute the return of execution, Annexture B to the plaint. He denied that there were important points of law for determination and for those reasons Wycliffe Kigundu v Attorney-General (supra) and Katikiro of Buganda v Attorney-General (supra) were not applicable.

In his ruling the Learned trial Judge held that the Respondent lawfully executed the warrant of attachment. The Appellant did not dispute the genuineness of the warrant of attachment and the return which was filed after execution. The Learned trial Judge stated:

> "It would appear to me therefore that there are no necessary allegations which must be proved to entitle Plaintiff to a decree of this Court in the matter. Put differently I find no particular act on the part of the Defendant which give the Defendant cause to complain. Defendant followed the law".

With due respect to the Learned trial Judge the Appellant complained that the Respondent acted outside the law. In paragraph 3(c) of the plaint, the Appellant averred as follows: "[I]n contravention of the law and the said order the Defendant sold the suit premises and all the Plaintiff's property therein on the 23 December 1996. A copy of the return is attached hereto and marked Annexture 'B'". In paragraph 5 of the plaint the Appellant stated: "The Plaintiff contends that the Defendant's action in disposing of the Plaintiff's movable property was contrary to the order of court and amounted to conversion".

The law is that in an objection to the plaint under Order 7, Rule 11(*a*) of the Civil Procedure Rules the judge has to observe and construe the plaint carefully and see whether there is an inherent defect in the plaint. As was held in *Wycliffe Kigundu v The Attorney-General* (*supra*):

> "A distinction must be drawn between an application to reject a plaint, and one when a matter of law is set down for argument as a preliminary point. That distinction was very clearly explained in *Nurdin Ali Dewii and others v Maghji and others* [1953] 20 EACA 132. The distinction is that under Order 7, Rule 11(*a*) of the Rules, an inherent defect in the plaint must be shown, rather than that the suit was not maintainable in law. In the latter case a preliminary point should be set down for hearing on a matter of law. (In Tanganyika at that time Order 14, Rule 2 would have been relevant. In Uganda the relevant rule is to be found in Order XIII, Rule 2 of the Rules)".

Section 48(2) of the Judicature Statute provides:

> "An officer of the court or other person bonded to execute any order or warrant of any judge or person referred to in subsection (1) of this section acting judicially, shall not be liable to be sued in any civil court in respect of any lawful or authorised act done in the execution of any such order or warrant".

A court bailiff is only protected when he/she acts lawfully. See *Maria Onvango Ochola v W Hannington Wasswa* [1988–1999] HCB 102.

It was the contention of the Appellant that the Respondent sold the movable property which the attachment warrant did not authorize him to do. There was need to find out by way of evidence whether the Respondent did so. Then the

issue of the protection of section 48(2) of the Judicature Statute would come in. Issues of law and questions of facts were abundant in this case. If the Respondent had a preliminary point of law to object to the plaint the matter should have been dealt with according to Order 13, Rule 2 of the Civil Procedure Rules. All the grounds would therefore succeed.

I would allow the appeal and set aside the ruling of the High Court. I would order that the Appellant's record be remitted to the High Court for trial by another judge. I would award the costs of this appeal and in the court below to the Appellant.

(Okello and Kato JJA concurred in the judgment of Kitumba JA.)

For the Applicant:
Information not available

For the Respondent:
Information not available

Biwott v Clays Ltd
[2000] 2 EA 334 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	20 December 2000
Case Number:	1067 and 1068/99
Before:	Visram Commissioner of Assize
Sourced by:	LawAfrica
Summarised by:	W Amoko

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[1] Libel and defamation – Damages – Liability not disputed in court – Compensatory damages.

[2] Libel in court – Exemplary damages – Whether Plaintiff entitled to.

Editor's Summary

In 1999 the Plaintiff, a Minister in the Kenyan government, brought two separate actions against a total of six Defendants seeking damages for defamation arising from statements made in a book entitled "Dr Ian West's Casebook". The Plaintiff alleged that at page 88 the book contained words that, in their ordinary and natural meaning, were calculated to mean that the Plaintiff somehow participated in or was involved in the murder of the late Kenyan Minister for Foreign Affairs. The offending segment also allegedly contained words that implicated the Plaintiff in corruption. The Plaintiff's testimony was to the effect that the words had damaged his reputation by portraying him as a murderer and a corrupt person. The Defendants in the first action were the book's British printer and publisher together with two Kenyan companies. The two Defendants in the second action were W, a leading UK pathologist and S, a British writer. W had been the pathologist on the Scotland Yard team that had been called in to investigate the murder of the late Foreign Affairs Minister. The

investigation had never been completed and it had not been established how the deceased met his death. Though service of summons was effected in the UK on the British Defendants, they neither entered appearance nor filed any defences. The two Kenyan Defendants admitted liability and, on 12 July 2000, a consent judgment was entered against them requiring them to pay the Plaintiff

KShs 5 million each and to make an unqualified apology for publishing the offending material. Default judgments were entered against the remaining Defendants and the suits were now before the Court for assessment of damages. On the Plaintiff's application, the suits were consolidated pursuant to Order XI, rule 2 of the Civil Procedure Rules.

Held – (1) As liability was not at issue, the Court's only concern was the question of damages payable to the plaintiff and whether or not he should be awarded exemplary damages. The fact that the plaintiff had accepted payment of damages from the two Kenyan defendants did not prevent him from proceeding with the suit against the remaining defendants. (2) In awarding damages for libel a court had to be guided by the principle that the damages must compensate the plaintiff for the injury to his reputation and the hurt to his feelings. Such damages were known as compensatory damages and were aimed at vindicating the plaintiff in public and consoling him for the wrong done; *John v MGN* [1996] 2 All ER 35 applied. Though the assessment of damages was a complex matter, the principles governing the assessment of compensatory damages were: (i) the award must compensate the plaintiff for pain and suffering caused to him by the publication; (ii) the award should vindicate the plaintiff's reputation in the eyes of the public – *Cassell and Co. v Broome* [1972] 1 All ER 801 followed; (iii) the whole conduct of both the plaintiff and the defendant had to be considered from the time of publication to the time of judgment. The damages would be aggravated if the defendant partook in malicious and insulting conduct with such "aggravated" damages being aimed at compensating the plaintiff for additional injury going beyond that which flowed from the words alone – *Praed v Graham* 24 QBD – *Sutcliffe v Pressdram Ltd* [1990] 1 All ER 269, *McCarey v Associated Newspapers Ltd* [1964] 3 All ER 947 followed; (iv) the court would consider any previous damages recovered by the plaintiff in order to ensure that he was not compensated twice for the same loss – *Lewis v Daily Telegraph Ltd* [1963] 2 All ER 151 applied; and (v) the court would consider the manner of the publication and the extent of circulation. Applying these principles to the facts of the case, the Plaintiff was entitled to a sum that would represent proper compensation and vindication for the serious injury to his reputation. (3) Where a defendant knows that publication is tortious, his conduct is calculated to make him profit that may exceed the compensation payable to the plaintiff, and he nevertheless proceeds to publish the words complained of, then a court will award exemplary damages; *John v MGN* followed. Though the award of damages was not meant to enrich the plaintiff and a reasonable relation had to be maintained between the wrong done and the damages awarded, this would not prevent the court from making a high award in a proper case. The defendant's conduct after publication of the offending words in this instance merited the award of exemplary damages.

In the circumstances, the grave nature of the libels perpetrated against the plaintiff merited the award of compensatory damages in the sum of KShs 15 million and exemplary damages in a like amount of KShs 15 million. The Kenyan Defendants would be liable for no more than KShs 10 million as per their settlement and the First Defendant in the first action for no more than KShs 15 million, as exemplary damages had not been claimed against it. The Defendants would also be restrained from selling and circulating the book within the Court's jurisdiction.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Gicheru v Morton and another HCCC number 214 of 1999

Oraro v Mbaja HCCC number 85 of 1992

United Kingdom

Cassel and Co Ltd v Broome and another [1972] 1 All ER 801 – **F**

John v MGN Ltd [1996] 2 AII ER 35 – **AP** & **F**

Lewis and another v Associated Newspaper Ltd [1963] 2 AII ER 151 – **AP**

McCarey v Associated Newspaper Ltd [1964] 3 All ER 947 – **F**

Mitchell v Hirst, Kidd and Rennie Ltd [1936] 3 All ER 872

Praed v Graham [1889] 24 QBD – **F**

Sutcliffe v Pressdram Ltd [1990] 1 All ER 269 – **F**

Judgment

VISRAM COMMISSIONER OF ASSIZE: The honorable Nicholas Biwott (hereinafter "the Plaintiff") is a member of the Kenyan Parliament, and a senior minister in the government of Kenya.

As Minister representing the important portfolio of Tourism, Trade and Industry, the Plaintiff travels extensively around the world representing our nation at important conferences, seminars and negotiations aimed at attracting investment in, and business with, our country. His exposure and reputation, which extends far and wide beyond our borders, has been severely and wantonly attacked and injured by the Defendants in a book entitled "Dr Ian West's Casebook" published in the United Kingdom. As a result, he has brought two separate actions claiming damages and restraining orders against a total of six Defendants.

The first action, being HCCC number 1067 of 1999, is against four Defendants. The first two Defendants, namely Clays Ltd and Little Brown and Company (UK) Ltd are described as printers and publishers respectively of books and magazines in the United Kingdom (hereinafter collectively referred to as "the UK Companies"). The Third and Fourth Defendants are both Kenyans. The Kenyan Defendants, who filed a defence through their advocates, Salim Dhanji and Co of Nairobi, eventually admitted liability and a consent judgment was entered against them in terms of a joint statement read in court, on 12 July 2000. By that statement, which was made the order of this Court, the Kenyan Defendants were required to pay KShs 5million each (making KShs 10 million in total) to the Plaintiff in damages and to make an unqualified apology for their publication of the offending material by its sale. For this reason, we are not concerned with the Kenyan Defendants in the proceedings that follow. All the same, the award against these Defendants is relevant because it shall be taken into account in making the ultimate award. This is because it is

a cardinal tenet of justice that a person shall not be allowed to recover compensation twice over the same claim.

On the other hand, the UK companies did not take action even though they were served. The Plaintiff's advocates obtained leave of this Court to serve the UK companies with summons to enter appearance in the United Kingdom. They instructed David Price and Co Solicitors who were their agents in London. The London agent organized for and effected, service on the UK companies. Service was done by Ms Jacqueline judge who has sworn an affidavit to that effect, and also attended this Court as a witness and confirmed that she had indeed effected service upon the UK companies. As a result of the default to enter appearance within the prescribed time, an interlocutory judgment was entered against them.

The second action is HCCC number 1068 of 1999 in which two Defendants have been named – Dr Ian West, a UK pathologist who participated in the investigation of the murder of the late Dr Robert Ouko, and Chester Stem, an author based in the UK. These two Defendants were also served by the said Ms Jacqueline judge and both failed to enter appearance within the prescribed time. A default judgment was also entered against them. Both suits have now come before me for assessment of damages. The suits were consolidated on this occasion pursuant to the application of Mr *Oyatsi*, counsel for the Plaintiff, under Order XI, Rule 2 of the Civil Procedure Rules.

The offending book was compiled, authored and/or co-authored by Dr Ian West and Mr Chester Stem. The UK companies are responsible for the printing and publishing of the book. On page 88 of the book are contained the following words:

> "During the visit, there was an angry argument between Ouko and the Kenyan Energy Minister, Nicholas Biwott. It was to prove a costly outburst for the fifty-eight-year-old Foreign Secretary. Ouko criticised the foreign bank accounts held by Biwott and other Ministers, saying that the huge sums of money in them should be repatriated to Kenya to help pay for economic development. Their existence, which was known to the International aid authorities, was hindering Kenya's applications for foreign assistance. Biwott, widely suspected of being the most corrupt of Moi's Ministers with Overseas investments and cash sums alleged to top $200m, was furious and went to the President, a member of the same minority Kalenjin tribe and his closest political friend. [O]uko's position within the entourage was already precarious because he had been welcomed with open arms by President George Bush and the U.S. President Moi told Ouko that the foreign accounts issue was none of his business, ordered him to leave the government entourage and fly home on a commercial flight, and had his passport seized when he arrived in Nairobi. [I]n this atmosphere of hostility and suspicion Ouko sought a meeting with the President, but instead of reconciliation found himself banished to one of his three homes – a farm at Koru, forty miles from the shores of Lake Victoria. There he began an anxious wait, telling friends and family that he feared for his life because of his threats to expose a network of corruption within the government".

The Plaintiff 's case is that these words in their natural and ordinary meaning were calculated to mean, and did mean, that the Plaintiff killed or participated in the murder of the late Dr Robert Ouko. Dr Ouko was Kenya's Foreign Affairs Minister before his death. His death in 1990 has not been resolved. By this, I mean that it has not been established how he met his death. No person has been convicted in our courts for that death. The charge of murder in this country is very serious. A person convicted of murder must be sentenced to

face capital punishment. The Plaintiff's further case is that these words in their natural and ordinary meaning implicated him in corruption – an offence which carries a custodial sentence of five years. The offending book was published in the United Kingdom and is sold widely in many parts of the world including this country. The Plaintiff produced the book and a cash sale receipt for the book which is retailing at KShs 1 900 or thereabouts. In the United Kingdom, the book is sold at UK£ 18 just about the same retail price as in Kenya.

The Plaintiff testified that the circulation of the book has damaged his reputation both locally and internationally by portraying him as a murderer and a most corrupt person. He first noticed the book in 1999. He instructed his lawyers, Shapley Barret and Co of Nairobi to issue a demand for the retraction of the book. His lawyers sent a notice to the UK companies, Dr Ian West and Mr Chester Stem. Messrs Biddle, Solicitors of London, for Little Brown and Co Ltd, Dr Ian West and Mr Chester Stem replied as follows:

> "We do not accept that the words complained of bear the meaning which you attribute to them nor that they are defamatory of your client. The incidents in question have been investigated carefully and our clients have witnesses who are willing to testify as to the truth of the facts in issue …".

Of course, no witnesses were called to testify as all the Defendants in the United Kingdom failed to enter appearance in the actions. Clays Ltd wrote back and said they were investigating the matter and would revert to the Plaintiff's advocates "in the near future". The Plaintiff was not satisfied with the action of any of the Defendants and filed these suits. As was expected, the suits generated great media attention in this country, and were widely reported. One of the Defendants was reported in a national paper of this country, namely the *Sunday Nation* of 30 May 1999 as saying that he would not apologize for the book and its matter, whatever, and that the publishers of the book had no intention to withdraw it. The reporting on page 1 of that respected Kenyan newspaper was as follows:

> "Cabinet Minister Nicholas Biwott will not get an apology from British authors of a book implicating him in Dr Robert Ouko's murder. One of the authors Mr Chester Stern, yesterday said: 'There is no way we will apologize to Mr Biwott for suggesting he either murdered or was implicated in Dr Ouko's murder.' [M]r Stern welcomed Mr Biwott's suit seeking general and aggravated damages for libel in the book – *Dr Ian West's Casebook*. ['] There is no way I am going to admit liability over page 88 of the book, said Mr Stem who is a journalist on the *Mail on Sunday* newspaper in the United Kingdom. [']I will also not be apologizing to Mr Biwott. I understand also that the publishers have no intention of withdrawing the book and we will defend any libel action against us,' said Mr Stern".

As stated earlier, none of the UK Defendants entered appearance in any of these suits despite Mr Stern's assertion to the contrary as reported in the foregoing material. As a result of that failure, interlocutory judgments were entered against all the four UK Defendants. This was once again reported widely in the Kenyan media. On 6 August 1999 there was a report in the *Daily Nation*, a sister publication of the *Sunday Nation*, that Mr Chester Stem had never received the writ in respect of one of these suits.

Dr Ian West was part of the Scotland Yard Team (popularly known as the "Troon Team" because of its leader) that investigated the murder of Dr Ouko. He was the pathologist on the team. According to the evidence before this Court, that investigation was never completed. There was no official finding of

that team. The Plaintiff's evidence is that if anyone, Dr Ian West knows this well. It was, therefore, wrong of Dr Ian West to publish or participate in the publication of the offending material without any reference to the Plaintiff. "Dr Ian West only concerned himself with the profits he would reap from such publication without considering what damage it would cause me," said the Plaintiff, in his testimony.

When the Kenyan Defendants settled the Plaintiff's claim against them, there was once again a lot of media coverage of this matter. In the *Daily Nation* of 14 July 2000, it was reported that the publisher of the offending book was unmoved by the KShs 10 million award made to the Plaintiff against the Kenyan Defendants and that the same would continue to be sold internationally. Mr David Young, the managing director of the publisher was quoted as having said that he was aware of one of these suits in which the publisher is a Defendant "but no action has been brought against us either verbally by fax or in any other form". The publisher was also reported to have vowed to "vigourously defend" the book should the Plaintiff sue them in London. It was also reported on the same day that Mr Stem did not know anything about the case.

Mr Wangethi Mwangi, the editorial director of the Nation Media Group, the publishers of the *Daily Nation* and the *Sunday Nation* was called as a witness in these suits. He confirmed the accuracy of the reports carried in his papers.

Mr *Oyatsi*, counsel for the Plaintiff, has submitted that the Plaintiff is entitled to damages of KShs 75 million jointly and severally against all the UK Defendants, except Clays Ltd against whom there is no claim for exemplary damages but only compensatory damages of KShs 25 million. This is obviously a substantial claim. I do not think that there has been any claim of this magnitude for a tort of this nature in the history of this country. This case, therefore, calls for great attention and careful consideration. I have, therefore, taken the trouble to study and consider all the authorities provided to this Court by the Plaintiff's advocate, as well as several others. As would be expected (because of the novelty of the sums claimed) most of those authorities are English, as are the Defendants with whom we are now concerned. Let me now consider the principles of law which in my view will guide us to a fair decision in this case.

If I may, let me repeat once again that liability is not at issue here. This Court is concerned only with the damages payable to the Plaintiff for the injury caused to his feelings and reputation and whether he should be awarded exemplary damages and if so, what amount.

A plaintiff who has been defamed is entitled to bring an action against the person who published the defamatory material or caused it to be published. The plaintiff may sue one or some only of the persons liable to him for the offending material but this does not in anyway bar him from bringing an action against the others. Where the plaintiff chooses to sue persons liable to him in instalments, the sums recoverable by subsequent actions can only be limited to the amount awarded by the first judgment. Contributions are recoverable between tortfeasors liable for the same damage whether jointly or otherwise, but subject to any enforceable indemnity. A pPlaintiff may accept money paid into Court by one defendant and still continue the action against the others. (see generally *Hallsbury Laws of England* (3 ed) at 17). That is exactly what the Plaintiff has done with respect to the Kenyan Defendants. It is, therefore, perfectly in order for the Plaintiff to proceed with these actions notwithstanding the fact that he has compromised his claim against the Kenyan Defendants.

Under Order XI, Rule 1 and 2 of the Civil Procedure Rules, this Court has jurisdiction to order, on the application of any of the parties, for the consolidation of actions so that they may be tried together. The application may be made by chamber summons or orally in court. In the present case the consolidation was made on an oral application. Where the suits have been consolidated the court must assess the whole amount of the damages if any in one sum, but a separate verdict must be taken for or against each defendant as if the actions consolidated had been tried separately and where there is need to apportion the amount of damages which have been found between and against the defendants, this must be done (see generally *Halsbury's Laws of England* (3 ed) Volume 24 at 97). *In Mitchell v Hirst, Kidd and Rennie Ltd* [1936] 3 All ER 872 Lawrence J apportioned damages and costs in a libel action against the defendants equally.

If any defendant, in an action for libel against several defendants sued jointly, pays money into court, the plaintiff may elect to accept the money so paid in satisfaction of his claim against that defendant. After taxation of the costs against that defendant has been done the action against him must thereupon be stayed. The plaintiff may continue with the action against the other defendants, but the sum paid into court must be set off against any damages awarded against the other defendants. These matters shall become relevant at the point of assessment of damages which is dealt with later.

Now, what principles govern the award of damages in libel cases? They are as follows:

Damages in libel actions are awarded to compensate the Plaintiff for the following:

(1) injury to his reputation, and

(2) the hurt to his feelings.

These are called compensatory damages. There is no secret about the assessment of damages for libel actions. Therefore, compensatory damages in these cases have been said to be "at large". In *Cassel and Co Ltd v Broome and another* [1972] 1 All ER 801 at 825, Lord Hailsham of St Marylebone LC said as follows: "the whole process of assessing damages where they are 'at large' is essentially a matter of impression and not addition". At the same page, the Lord Chancellor said that damages when awarded must be a single lump sum in respect of each separate cause of action. The damages are awarded for the plaintiff to vindicate him to the public and to console him for the wrong done. In *John v MGN Ltd* [1996] 2 All ER 35 at 47 the Court of Appeal of England said as follows:

> "The successful plaintiff in a defamation action is entitled to recover, as general compensatory damages, such sum as will compensate him for the wrong he has suffered. That sum must compensate for the damage to his reputation; vindicate his good name; and take account of the distress, hurt and humiliation which the defamatory publication has caused".

The assessment of damages in libel actions is a complex matter. This is because in doing so, the law is attempting "to put monetary value on something which can be neither evaluated in money terms nor fully compensated for by a monetary award" (per Lord Donaldson MR in *Sutcliffe v Pressdram Ltd* [1960] 1 All ER 269 at 281). An award in a libel action should nevertheless compensate the plaintiff for pain and suffering caused to him by the publication. This must take into account the extent to which pain and suffering is aggravated, or

reduced by the defendant's subsequent conduct. The award should vindicate the plaintiff's reputation in the eyes of the public. In *Cassell and Co Ltd* (*supra*) at 824 Lord Hailsham LC said as follows:

> "In actions of defamation and in any other actions where damages for loss of reputation are involved, the principle of restitution *in integrum* has necessarily an even more highly subjective element. Such actions involve a money award which may put the plaintiff in a purely financial sense in a much stronger position than he was before the wrong. Not merely can he recover the estimated sum of his past and future losses but in case the libel, driven underground, emerges from its lurking place at some future date, he must be able to point at a sum awarded by a jury sufficient to convince a bystander of the baselessness of the charge".

The plaintiff must be awarded a sum to which he can refer to convince others that he was wrongfully accused. He must beat the defendant if you like. The award must cover "(injured feelings) the anxiety and uncertainty undergone in the litigation, the absence of apology, or the reaffirmation of the truth of the matters complained of, or the malice of the defendant" (*ibid* per Lord Hailsham LC).

In assessing damages the court must look at the whole conduct of the plaintiff and the defendant from the time of the publication until the time of judgment. The court will look at the conduct of the parties before action, after action and in court during trial. Malicious and insulting conduct on the part of the defendant will aggravate the damages to be awarded. These "aggravated damages" (as distinguished from exemplary damages) are meant to compensate the plaintiff for the additional injury going beyond that which would have flowed from the words alone, caused by the presence of the aggravating factors.

Exemplary damages go beyond compensation and are meant to "'punish" the defendant. Where exemplary damages are to be awarded against joint tortfeasors, only one sum should be awarded and this must represent the highest common factor, that is to say, it must not exceed the highest sum which the least blameworthy defendant ought to pay by way of punishment. I think similar principles apply to aggravated damages.

In the *Cassel and Co Ltd* case (*supra*) at 824 Lord Hailsham LC quoted with approval the following statement by Lord Esher MR in *Praed v Graham* [1889] 24 QBD at 55.

> "in actions of libel … the jury in assessing damages are entitled to look at the whole conduct of the defendant – I would personally add 'and of the Plaintiff' from the time the libel was published down to the time they give their verdict. They may consider what his conduct has been before action, after action and in court during trial".

A plaintiff who behaves badly, as for instance by provoking the defendant, or defaming him in return will be viewed less favourably; a defendant who has behaved well, for example, by apologizing will be treated with favour and vice versa. Damages will be aggravated by the defendant's improper motive, for example, where he is actuated by malice. Repetition of the libel, failure to contradict it, insistence on a defence of justification and a non-apologetic cross-examination are all matters that will aggravate damages.

In *Sutcliffe v Pressdram Ltd* [1990] 1 All ER 269 at 288 Nourse LJ quoted with approval the following words of Pearson LJ in *McCarey v Associated Newspaper Ltd* [1964] 3 All ER 947 at 958; 2 QB 86 at 104:

> "It has long been recognized that in determining what sum within that bracket should be awarded, a jury, or other tribunal, is entitled to have regard to the conduct of the

> Defendant. He may have behaved in a high-handed, malicious, insulting or oppressive manner in committing the tort or he or his counsel may at trial have aggravated the injury by what they there said.

That would going to the top of the bracket and awarding as damages the largest sum that could faily be regarded as Compensation".

In Nourse LJ's view, the following conduct by the defendant may be regarded as aggravating injury to the plaintiff's feelings, so as to support a claim for aggravated damages: failure to make any or any sufficient apology and withdrawal; repetition of the libel; conduct calculated to deter the plaintiff from proceeding; persistence, by way of prolonged or hostile cross-examination of the plaintiff or in turgid speeches to the jury, in a plea of justification which is bound to fail; the general conduct, either of the preliminaries or of the trial itself in a manner calculated to attract further wide publicity; and persecution of the plaintiff by other means.

The plaintiff's conduct and the degree of respect which he has shown for the feelings of others should be taken into account. In *Sutcliffe v Pressdram Ltd* [1990] 1 All ER 269 at 281 the Court of Appeal of England said as follows:

> "The first is that under the law as it stands at present what is called 'the measure of damage' is or may be different in two cases. In relation to claims for personal injury the law calls for compensation to be assessed by reference to the pain and suffering caused by the injury itself. In case of libel, the law calls for compensation to be assessed by reference not only to the pain and suffering caused to the plaintiff by the publication of the libel, but also to the extent to which this pain and suffering is aggravated, or reduced, by the defendant's subsequent conduct. It also requires account to be taken of the plaintiff's need to receive an award which will vindicate his or her reputation in the eyes of the public".

Once again, the court will have to consider any previous damages recovered by the plaintiff or that he has brought other actions for libel in respect of the publication of words to the same effect as the words on which the action is founded. Further, it will be relevant that the plaintiff has received or agreed to receive compensation in respect of such publication. In that case the court must consider how far the damage suffered by the plaintiff can reasonably be attributed solely to the libel with which the court is concerned, and how far it is the joint result of the two libels. Where some part of the damage is the joint result of the two libels, it should bear in mind that the plaintiff ought not to be compensated twice for the same lose. In *Lewis and another v Daily Telegraph Ltd; Lewis and another v Associated Newspaper Ltd* [1963] 2 All ER 151 at 156 Lord Reid said as follows:

> "I do not think that it is sufficient merely to tell each jury to make such allowance as they may think fit. They ought, in my view, to be directed that in considering the evidence submitted to them they should consider how far the damage suffered by the plaintiffs can reasonably be attributed solely to the libel with which they are concerned and how far it ought to be regarded as the joint result of the two libels. If they think that some part of the damage is the joint result of the two libels they should bear in mind that the plaintiffs ought not to be compensated twice for the same loss. They can only deal with this matter on very broad lines and they must take it that the other jury will be given a similar direction. They must do the best they can to ensure that the sum which they award will take into account that part of the total damage suffered by the plaintiffs which ought to enter into the other jury's assessment".

Finally, the court will consider the manner of the publication and the extent of circulation. The extent of the circulation and the geographical area within

which the distribution takes place and the nature of the audience are always relevant. Obviously where many copies are supplied to a wide population and area, the court will award more damages.

The foregoing are the principles which govern the assessment of compensatory (including aggravated) damages. Below is a brief discussion of the principles governing the assessment of exemplary damages.

Where the court is satisfied that the defendant's conduct was calculated to make him profit which may well exceed the compensation payable to the plaintiff, it may award the plaintiff exemplary damages. This will be the case where the defendant knew that the publication would be tortious, or was reckless as to whether or not it would be, and nevertheless decided to publish the words complained of on the basis that the prospective profits outweighed the likely compensatory damages. In the *John v MGN Ltd* case (*supra*) Sir Thoms Bingham quoted with approval the following passage in *Duncan and Neill on Defamation* (2 ed) 1983:

> "(a) exemplary damages can only be awarded if the Plaintiff proves that the Defendant when he made the publication knew that he was committing a tort or was reckless whether his action was tortious or not, and decided to publish because the prospects of material advantages outweighed the prospects of material loss. 'What is necessary is that the tortious act must be done with guilty knowledge for the motive that the chances of economic advantage outweigh the chances of economic, or perhaps physical penalty'".

The court will, therefore, award exemplary damages where it is satisfied that compensatory damages are insufficient.

There is no formula for assessment of damages in libel cases. Nevertheless, the courts have invented guidelines to help one reach at a figure. In *Sutcliffe v Pressdram Ltd* (*supra*) the Court of Appeal recommended that the purchasing power of the award must be taken into mind. In that case the jury had awarded the plaintiff in a libel action £600 000 (about KShs 60 million). The court set aside this award for being excessive. Nourse LJ said as follows:

> "How do I arrive at that conclusion? we must look into the minds of the jury; We must look as best as we can, into the minds of ordinary sensible men and women, people with ordinary incomes and mortgages, and a proper respect for the reputations and feelings of others, who have watched and listened attentively throughout the trial, knowing the values of houses, motor cars, foreign holidays and life insurance policies they could not regard £600 000 as anything other than an enormous sum of money, a sum which would transform the life of any of them who received it. However grave the injury to Mrs Sutcliffe's reputation, however pressing the need for its vindication, however profound the injury to her feelings and however disgraceful private eye's conduct, they could not, these ordinary men and women, think that that enormous sum was appropriate, far less necessary, as compensation for one who in other circumstances might have been numbered among them. And if, with Lord Donaldson MR, they were to look at the £600, 000 not simply as a capital sum but as one whose investment would both preserve it and provide Mrs Sutcliffe with a gross income of over £1, 000 per week they would think their view of it to be the more obvious still".

An award which is divorced from reality cannot stand. There must be some reasonable relation between the wrong done and the damages awarded. The damages are not meant to enrich the plaintiff but this does not prevent the Court from making a high award in a proper case (see generally *Sutcliffe v Pressdram Ltd*).

Now let us try and apply these principles of law to the facts before this Court. Here is a plaintiff who is one of the most high-ranking Ministers in the government of Kenya. He enjoys a high profile position within and outside our country. He attracts enormous media attention. He travels extensively around the world representing our nation in important meetings. Part of his job is to promote trade and business with this country, and to attract investment in his tourism portfolio. In this endeavour he rubs shoulders with the high and mighty around the world. He interacts as much with the ordinary wananchi – the thousands of people in his constituency who he represents in Parliament. And he deals routinely with his peers in Parliament, his friends outside, and his community around him. He is a respected member of the society. Now to call such a prominent man a "murderer" and "a most corrupt person" is to say the least, highly outrageous and serious. Indeed, these are among the most serious crimes in our country.

Murder is a heinous offence carrying the death sentence, while a person convicted of corruption may be sentenced to at least five years in prison. I accept the Plaintiff's testimony that these allegations have caused him much distress and hurt his feelings deeply. I accept his evidence that his reputation has been severely damaged as a result of this libel. According to the evidence before this Court the offending book is being sold internationally, including in this country. It is in hard-bound cover, and according to the Plaintiff represents reference material which will be found in libraries around the world for generations to come. Clearly, he cannot stop this unless he files for restraining orders in every country where the book is sold. Meanwhile, the Defendants continue to make profits on the book. Their aim according to the plaintiff is "wicked and mercenary", intended only to profit from their wrong, at the expense of the plaintiff. In addition, the conduct of the UK Defendants since the publication has not helped matters – in fact they have deliberately and arrogantly announced that they will neither apologize nor withdraw the book. They have even had the audacity to say that the offending words in the book are true, and that they have witnesses to swear to the truth of those words. Of course, no such witnesses have been produced. Although they have made public announcement that they will vigorously defend any action, they have not bothered to do so. They have simply continued to enjoy the media attention. As the exhibits in this case show, this subject has been headline and/or front page news of many publications in this country. Clearly, this is of great benefit to the Defendants who, because of this high media attention, continue to sell more books and make huge profits. They need not advertise the book. It is being done for them free of charge.

Having reviewed the principles of law governing the quantum of damages in libel cases, and taking into account the facts before this Court, the next and the most important issue is the measure of damages that the Plaintiff is entitled to in this case.

So, then, how much should this Court award him in this case?

The Plaintiff is entitled to a sum of money that represents, in my view, proper and vindicative compensation for the serious injury to his reputation. This is what I will call "compensatory" damages. In addition, the conduct of the Defendants, especially after the publication of the offending material, has been so wanton as to merit punishment. The libels perpetrated upon the

Plaintiff are grave, quite deliberate, and without regard to their truth, or recklessly without caring about their truth, for the sole purpose of personal gain notwithstanding the distress it might cause to the Plaintiff. And this is what gives rise to “exemplary damages”.

The counsel for the Plaintiff has submitted that an appropriate award for compensatory damages should be KShs 25 million, while exemplary damages should be double that amount, that is, KShs 50 million making a global award of KShs 75 million. His notion of “doubling” compensatory damages to arrive at exemplary damages is probably derived from some English authorities, especially the case of *Sutcliffe v Pressdarm Ltd* (*supra*). However, there is no basis for that proposition, and in the *Sutcliffe* case the Court of Appeal rejected the huge award of £600 000 made by a jury, and asked that the damages be re-assessed.

I have reviewed the awards made in the English authorities referred to me. In the *Sutcliffe* case (*supra)* the Plaintiff was a school teacher. She was the wife of a murderer known as “The Yorshire Ripper” who had been convicted of 13 murders and 7 attempted murders of young women. When he was arrested the press sought interviews with anyone remotely connected with the case. The press offered money for stories given by such people. This caused a public outcry against what was called “cheque-book journalism”. A magazine owned by the Defendant published an article stating that the Plaintiff had “made a deal” with a national newspaper “worth £250 000”.

The magazine repeated the statement in a subsequent article. The matter was found to be libelous of the Plaintiff in that the words in their natural meaning meant and were understood to mean that the Plaintiff, finding herself to be married to a murderer, had agreed to sell her story to a magazine. The magazine was not interested to justify the matter complained of but alleged that the words bore the alternative meanings that the Plaintiff was prepared to capitalise and benefit financially from her notoriety as the wife of a serial killer and to consider selling the story to the press for a substantial sum. Three months before trial the magazine published two further articles which the Plaintiff alleged meant that she knew before her husband’s arrest that he was a murderer and had lied to the police to provide him with a false alibi and that she was defrauding the Department of Social Security. The Plaintiff claimed aggravated damages on the basis of the two articles. At the trial, the magazine put forward no evidence in support of its plea of justification but relied entirely on cross-examination to prove its case. The jury found that the magazine had libelled the Plaintiff and awarded her £600 000 damages. On appeal, the Court of Appeal was of the view that this was an excessive award in the eyes of ordinary people like the Plaintiff and members of the jury. The case was sent for retrial but later the parties agreed to settle the claim in the sum of £60 000 general damages. In the *John v MGN* case the Court of Appeal awarded the famous rock superstar Elton John £25 000 as general damages and £50 000 as exemplary damages for a libelous statement that Elton John had a dietary disorder and was pursuing a bizzare form of diet which involved eating food and then spitting it out without swallowing.

I was not referred to any local authorities, although I have considered some of them. Admittedly, there are very few local authorities, and most of them are not relevant. In *Oraro v Mbaja* (HCCC number 85 of 1992) the High Court awarded KShs 1,5 million for defamation contained in an affidavit sworn in the

USA but published in Kenya. (In *Oraro v Mbaja* (HCCC number 85 of 1992)) the High Court awarded KShs 3,5 million for libel contained in a Kenyan newspaper called *Target*. The case that comes closest to the facts before this Court, and which is the most recent of all the cases, is the case of *Gicheru v Morton and another* (HCCC number 214 of 1999) where Aluoch J awarded KShs 2,25 million for libel contained in a book titled *Moi the Making of an African Statesman* by Andrew Morton.

I must say that I have been particularly troubled by the inordinately low awards made by the High Court in libel cases. This is especially so with the latest case of the Honourable Justice Gicheru. That award is manifestly and inordinately low. I believe I have found the reason for this low award. On page 12 of her judgment Aluoch J states: “The prayer for damages as I see it was left to the Court’s discretion as no obvious principle to be followed in calculating damages was given by either of the 2 lawyers”.

Clearly, the Honourable judge did not have the benefit of argument and proper submissions, and was unable to apply the proper principles of law. However, as I understand it, that case is before the Court of Appeal and I need say no more.

In assessing the measure of damages in the case before this Court, I believe the starting point is the settlement amount with the two Kenyan Defendants. They agreed that a fair compensation for their wrongdoing (which involved selling and distributing the offending book) amounted to KShs 10 million. In addition, they tendered an acceptable apology. If this sum represented fair settlement against two individuals whose role in the perpetration of libel was rather marginal; that the agony of a trial was avoided, and where an apology had been tendered, then obviously the measure of damages against the UK Defendants must be much higher. These UK Defendants have aggravated the damage. They have continued to repeat the libel, have refused to apologize and continue to make profits from their wrong. Accordingly, I have come to the conclusion that a fair award for compensatory damages is KShs 15 million, plus another KShs 15 million for exemplary damages, making a total of KShs 30 million which I award to the Plaintiff against all the Defendants jointly and severally except as follows:

1. The Kenyan Defendants shall be liable to no more than KShs 10 million as per their out of court settlement; and

2. Clays Ltd shall be liable to a maximum of KShs 15 million as exemplary damages have not been claimed against them, and none are awarded. I also award a permanent injunction restraining the Defendants from selling and circulating the book within the jurisdiction of this Court. And I award costs to the Plaintiff.

Let me conclude by saying that I fully recognize that the award made by this Court is the highest ever made in this country for the tort of libel. However, the fact that such an award has not been made in the past, does not mean it cannot be made at this time, or whenever appropriate circumstances present themselves.

I believe that time is propitious to send a clear message to all those who libel others with impunity, and who get away with ridiculously small awards, that the courts of law will no longer condone their mischief. No person should be

allowed to sell another person's reputation for profit where such a person has calculated that his profit in so doing will greatly outweigh the damages at risk.

The orders of this Court shall be as I have indicated earlier in this judgment.

For the Applicant:
Mr Oyatsi

For the Defendant:
Information not available

Bwagwasi v Muchiri
[2000] 2 EA 347 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	19 May 2000
Case Number:	189/99
Before:	Kwach, Akiwumi and O'kubasu JJA
Sourced by:	LawAfrica
Summarised by:	H K Mutai

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[1] Evidence – Unchallenged evidence of Plaintiffs regarding injuries – Production of documentary evidence – Whether Plaintiffs' unchallenged evidence could be relied upon.

[2] Practice – Courts – Working hours – Court hearing extending beyond normal working hours – Courts ought not to work outside normal working hours without good cause.

[3] Practice – Trial – Conduct of hearing – Two days set down for hearing – Application for adjournment to second day – Application refused – Appeal against refusal – Grounds for interfering with trial court's discretion – Whether the trial court had properly exercised its discretion.

Editor's Summary

The Appellants filed suit against the Respondent seeking damages for injuries sustained in an accident allegedly caused by the Respondent's negligence. The suit was set down for hearing on 18 and 19 May 1999. When the suit came up for hearing on 18 May, counsel for the Appellants requested the court to adjourn the matter, following the Appellants' testimony, to the following day. This was to enable the authors of the medical documents being relied on by the Appellants to come and give their testimony since the parties had not been able to agree on the documents to be produced in evidence. The Respondent opposed the application which was duly denied by the judge. The First Appellant then gave evidence describing how the accident occurred and produced, without objection, various documents including medical reports on the injuries suffered by himself and his son, the Second Appellant. The Second Appellant also gave unchallenged evidence describing, *inter alia*, the injuries he suffered in the accident. The trial Judge found the Respondent wholly liable for the accident but

failed to award any damages on the ground that the Appellants had failed to call the doctors to give evidence. The Appellants appealed primarily on the ground that the trial Judge erred in failing to grant them the adjournment sought.

Held – A Court of Appeal should not interfere with a trial Judge's exercise of discretion unless it is satisfied that the judge misdirected himself and as a result arrived at a wrong decision or unless it is clear that the judge was clearly wrong in the exercise of his discretion and as a result there had been an injustice; *Mbogo v Shah* [1968] EA 93 and *Openda v Ahn* [1982–88] 1 KAR 294 applied. In this instance, it was clear that the trial Judge unreasonably refused the request for an adjournment and as a result was clearly wrong in the exercise of her discretion. Even in the absence of the doctors' evidence, there was credible and unchallenged evidence of injuries suffered by the Appellants upon which the judge could have awarded damages for pain and suffering.

The official afternoon working hours of the court were from 2 to 5 pm and unless there were special reasons for doing so, the trial Judge erred in hearing the suit past 5 pm on 18 May. The appeal would therefore be allowed and the suit remanded to the High Court for a fresh hearing before a different judge.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Mbogo and another v Shah [1968] EA 93 – **AP**

Openda v Ahn [1982–88] 1 KAR 294 – AP

United Kingdom

Rose v Humbles [1970] 2 All ER 519 523

Judgment

KWACH, AKIWUMI AND O'KUBASU JJA: The present appeal from the judgment of Ang'awa J raises certain issues which we very much regret to observe, tarnish the judicial reputation of the Learned Judge.

We ought to now set out the background to this appeal.

The Appellants were injured in a motor accident which was undeniably caused by the negligence of the Respondent. The matter was set down for hearing over two days, namely, 18 and 19 May 1999. On 18 May 1999, when the matter came before the Learned Judge, counsel for the Appellants said that since the parties had not agreed on the documents, including medical reports, to be produced in evidence, the evidence of the Appellants be first heard that day, and the matter adjourned to the next day to enable the authors of the documents to be called to give evidence. Whilst counsel for the Respondent conceded that there had been disagreement as to the documents to be produced in evidence, she, however, objected to the application for adjournment on the grounds that the Appellants if they were serious, should have ensured that their witnesses were in court that day. The Learned Judge, without giving any reason for doing so, and in spite of the fact that she must have been aware that there was still another day that had been set down for the hearing of the matter,

summarily dismissed the application in the following four words: “Application for adjournment refused”.

The First Appellant then gave evidence describing his injuries and that of his son, the Second Appellant, and how the accident had occurred. He also produced without objection, various documents, including medical reports on the injuries suffered by himself, and his son, and also regarding the hospital expenses incurred by him. These documents the Learned Judge ironically accepted and marked for identification, by those who had made them and whom she well knew, would not be given the chance to do so, because of her refusal to grant the necessary adjournment applied for. The Second Appellant, a boy, then thirteen years old, gave unchallenged evidence that the accident had been caused by the negligence of the Respondent’s driver. He also described the injuries that he had suffered as a result of the accident. Counsel for the Respondent did not even cross-examine him. But, before giving his evidence, the young boy, obviously, in answer to questions put to him by the Learned Judge said: “I go to church – I know who God is. I am aged 13 years old. I know what it is to tell a lie. It is to say something that is not true. I know why I am here in court to give evidence”. After this, and without complying with the relevant parts of section 19(1) of the Oaths and Statutory Declarations Act, which is as follows:

> “Where, in any proceedings before any court …. any child of tender years called as a witness does not in the opinion of the court …. understand the nature of an oath, his evidence may be received though not given on oath, if, in the opinion of the court … , he is possessed of sufficient intelligence to justify the reception of evidence, and understands the duty of speaking the truth”.

the Learned Judge allowed the young boy to give evidence, merely noting that: “This Court warns itself in admitting the evidence of a minor”. But no matter.

In her judgment, the Learned Judge found that the Respondent was wholly liable for the accident but that even though the Appellants had suffered injuries, she would not award any damages because: “the Plaintiff failed to call the doctors to give evidence”.

This of course, is, we fear, rather untruthful, since it was the Learned Judge herself, who had as already shown refused for no reason to give the Appellants the chance to call the doctors to give evidence the next day which was still a day set down for the hearing of the suit. And in any case, if the Appellants as in this case, gave credible and unchallenged evidence, they should have been awarded some general damages for pain and suffering. There was proof of injuries suffered by the Appellants upon which the Learned Judge could quantify general damages. We think that her finding that there was no such evidence because the doctors were not called to give evidence, and for that reason, that the suit filed by the Appellants must be dismissed, was wrong.

But the main issue that was argued before us, was whether the Learned Judge erred in refusing to grant the application made on behalf of the Appellants on 18 May 1999, when the suit came up for hearing, that after the Appellants had given evidence, the hearing should be adjourned to the next day which was included in the dates set for the hearing of the suit, so as to enable those who had made medical and other reports, to present them to the Court. As already shown, the Learned Judge in the exercise of her discretion, peremptorily and imperiously rejected this application.

We are aware of the celebrated case of *Mbogo and another v Shah* [1968] EA 93 where it was held that a Court of Appeal should not interfere with the exercise of the discretion of a judge unless it is satisfied that the judge misdirected himself in some matter and as a result arrived at a wrong decision, or unless it is manifest from the case as a whole that the judge was clearly wrong in the exercise of his discretion and that as a result, there has been injustice. In the case *Openda v Ahn* [1982–88] 1 KAR 294, Kneller JA had this to say about the refusal to grant an adjournment:

> "The refusal of an adjournment is what Buckley J in *Rose v Humbles* [1970] 2 All ER 519, 523 f Ch D called an extreme course for a judgment to take but it is a matter for his discretion (Ord, r1) and it should not be interfered with by an appellate court unless it has been exercised in such a way that it caused an injustice when the appellate court must make sure it is further heard".

It is clear from the record of appeal, that the Learned Judge as shown, quite unreasonably refused the Appellant's application for adjournment. Furthermore, when it is considered that the Learned Judge did find that the Respondent was 100% liable for the injuries sustained by the Appellants, but had craftily put the blame for the Appellant's failure to call the authors of the supporting reports that the Appellants wished to produce in evidence, on the Appellants, it becomes manifest from all this, that the Learned Judge was clearly wrong in the exercise of her discretion which in our view, resulted in a gross miscarriage of justice.

Before we conclude, we would like to comment on statements made from the bar, by counsel appearing in the appeal before us, that the Learned Judge heard the suit after 5 pm on 18 May 1999. This, she should not have done, unless there were special reasons for doing so, which do not appear in the record of appeal. According to the Circular Reference Number Chief Justice 69 dated 27 April 2000 from the Chief Justice to all judges of the High Court, the official working hours of the High Court in the afternoon are 2:00 pm to 5:00 pm He put this clearly in his circular in this way:

> "2. Needless to say, official working hours are known to all of us. I may only recapitulate that they are as follows:
>
> 8:30 am – 1:00 pm
>
> 2:00 pm – 5:00 pm".

It must now be apparent that the present appeal must succeed. It is hereby allowed and the judgment of the Learned Judge delivered on 2 June 1999, and the proceedings of 18 May 1999, are all set aside and the suit filed by the Appellants in the High Court be heard and determined afresh by a judge of the High Court other than Ang'awa J. The Appellants shall have their costs of this appeal.

It is so ordered. It is also further ordered that a copy of this judgment be served on Ang'awa J.

For the Applicant:
Information not available

For the Respondent:
Information not available

Byagonza v Uganda
[2000] 2 EA 351 (SCU)

Division: Supreme Court of Uganda at Mengo

Date of judgment: 7 April 2000

Case Number: 43/99

Before:	Oder, Tsekooko, Karokora, Kanyeihamba and Mukasa-Kikonyogo JJSC
Sourced by:	B Tusasirwe
Summarised by:	M Kibanga

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[1] Criminal practice and procedure – Age – Appellant stating his age during trial – No order for medical examination to ascertain Appellant's age made – Whether such order necessary – Whether Appellant's age in issue.

Editor's Summary

The Appellant was charged with and convicted of the offences of murder, attempted murder and aggravated robbery committed in June 1991. He was sentenced to death in respect of the offences of murder and aggravated robbery and seven years' imprisonment for the attempted murder. The sentences in respect of the aggravated robbery and attempted murder were suspended.

During the trial the Appellant had testified that he was twenty-two years old (at the time of the trial). The offences had been committed three years earlier. The prosecution did not have the age of the Appellant ascertained at the trial.

The Appellant appealed to the Court of Appeal on the ground that the age of the Appellant was not ascertained and could have been below 18 years at the time the offence was committed, and asked the Court of Appeal to quash the sentence. The Court of Appeal ordered the medical examination of the Appellant to ascertain his age at the time of the offence. The court concluded that the Appellant was above 18 years at the time of the offence. Dissatisfied by that conclusion, he appealed to the Supreme Court on the grounds that the Court of Appeal did not ascertain the Appellant's age and had not complied with section 104 of the Trial on Indictment Decree and section 109 of the Children Statute (1996). The appeal was against the sentence only.

Held – One of the legally acceptable ways of proving age was a statement by a witness of his own age. Given what the Appellant had said was his age at the trial, the judge had no reason to doubt the age of the Appellant and, consequently, his age was not an issue at his trial. The provisions of section 104(1) of Trial on Indictment Decree (1971) were not applicable to the case.

It was unnecessary for the Court of Appeal to order a medical examination of the Appellant, considering what the Appellant had said was his age; *Moses Kayondo v Uganda* criminal appeal number 11 of 1992, distinguished.

Section 109 of the Children Statute (1996) was irrelevant to the case and was, in any event, enacted long after the Appellant had been tried and convicted.

Case referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Moses Kayondo v Uganda criminal appeal number 11 of 1992 – **D**

Judgment

ODER, TSEKOOKO, KAROKORA, KANYEIHAMBA AND MUKASA-KIKONYOGO JJSC: The Appellant, Christopher Byagonza, was tried and convicted by the High Court on an indictment which charged him with the offences of murder, attempted murder and aggravated robbery. He was sentenced to death in respect of the offences of murder and aggravated robbery and seven years' imprisonment for the attempted murder. The sentences in respect of the aggravated robbery and attempted murder were suspended. He appealed to the Court of Appeal against both conviction and sentence. The appeal was unsuccessful. He has now appealed to this Court.

According to the prosecution evidence as accepted by the trial Court and the Court of Appeal, the Appellant was the maternal uncle of Peter Bright (the deceased in this case) and three other children of Gerald Byaitaka (PW4) and Lydia Kabagenzi (PW5). On the morning of 9 June 1991, the parents of the four children went to church, leaving them at home. The Appellant went to the home where he found the children and asked them if they knew him. The children answered that they did. The Appellant removed a radio belonging to the father of the children (PW4), put it in a bag and went away with it. He returned to the house and hit the deceased with an axe. The deceased fell down unconscious. The Appellant tied the hands and legs of the deceased with banana fibres and put him in a bed in the children's bedroom. The Appellant came out and hit Andrew Sabiti (PW2), another son of Byaitaka, with an axe on the side of his head near the ear. The Appellant got some pieces of cloth and used them to gag Andrew Sabiti with it and took him to the bedroom of his father and covered him with clothes. One of Byaitaka's children, Vincent Musana (PW3) who had gone to church with the parents returned home earlier than them. He went to the children's bedroom and found the deceased with both legs and hands tied with banana fibres and lying on top of the baby who was called Immaculate Nema. He untied his legs and hands and asked him to wake up, but he did not respond. Musana next entered his father's room and found Andrew Sabiti on his father's bed, covered with a mattress. PW3 removed the mattress and brought Sabiti out. He found that Sabiti had been gagged in the mouth and nose. He removed the gag. PW3 asked Sabiti what had happened. As a result of what Sabiti told him PW3 returned to the church and informed his parents of what he had found at home.

The parents returned home with PW3 and found the deceased already dead. Sabiti had a swollen face and blood was oozing through his nose and ears. Their father, PW4, rushed Andrew Sabiti and Immaculate Nema to hospital. Nema was treated and discharged. Andrew Sabiti was kept in hospital for one week. The matter was reported to the local RC. On 14 June 1991 RC Bagaba Apolo pointed out the Appellant to P/C number 22379, Mwine Patrick (PW1), who arrested and took the Appellant to Kabarole Police Station. The Appellant was eventually charged with the offences for which he was tried and convicted.

In his defence the Appellant testified that on 9 June 1991 he was at his home weaving a mat. At 300 pm he bathed and went to the trading centre to buy meat which he took to his wife. Whilst he was at home one Joseph Byaruhanga went there to inquire about a tape measure which he had lent the Appellant. He went out with Byaruhanga and did not return home until it was dark. The following day he learnt about the death of Peter Bright and the attack on

Andrew Sabiti, (PW2) from a letter which Byaitaka (PW4) had written to the Appellant's stepfather, one Joseph Kikoni. The Appellant borrowed a bicycle and went to the hospital and visited Andrew Sabiti (PW2). He asked Sabiti how he was, Sabiti replied he was in a bad condition. After seeing another patient at the hospital he went home. He did not see Byaitaka (PW4) on that day. He informed his mother that Andrew Sabiti (PW2) was not alright. He stayed at home, carrying on with his normal duties until Thursday when he went to Kazinga to visit a friend, one Kahwa Deogratious. While he was at Kazinga he was arrested and taken to Fort Portal Police Station and detained there.

He admitted that Byaitaka (PW4) was his brother-in-law as Byaitaka was married to his sister Lydia Kabagenzi (PW5). He did not have any problem with Byaitaka and his family whom he used to visit. He also knew Peter Bright (the deceased), Musana (PW3) and Sabiti (PW2). He denied taking away the radio from the house. His defence was thus a total denial and an alibi.

The Learned trial Judge, believed the prosecution evidence, rejected the Appellant's alibi and convicted him as charged.

The appeal is based on two grounds which are that:

1) The Learned Justices of the Court of Appeal erred in law when they confirmed the Appellant's conviction and sentence without properly ascertaining his age.

2) The Learned Justices of the Court of Appeal erred in law when they confirmed the Appellant's conviction and sentence, without properly complying with section 104 of the Trial on Indictment Decree and section 95 of the Children Statute.

At the hearing of the appeal Mr *Bwengye* appeared for the Appellant and Mr *Michael Wamasebu*, Principal State Attorney, appeared for the State Respondent. We heard both counsel and came to the conclusion that the appeal had no merit and we dismissed it reserving our reasons for doing so. We now proceed to give those reasons.

From the outset Mr *Bwengye* informed the Court that the Appellant's prayer in this appeal is not that the conviction should be quashed. It is that the sentence should be set aside. Those were his client's instructions. The learned counsel then took both grounds of the appeal together. He essentially repeated the submissions which had been made for the Appellant under the third ground of appeal in the lower court. That ground is identical to the first ground in the present appeal. The learned counsel contended that although the Appellant said in his testimony that he was 22 years, he was not medically examined before his testimony. The age of the Appellant could have been proved by production of his birth certificate or evidence from his parents or anybody who was present at his birth, or by medical evidence. No such evidence was adduced by the prosecution. In the circumstances the Appellant may have been under 18 years of age at the time of the crime. The Court of Appeal therefore erred to have upheld the death sentence, especially as the Appellant's medical examination carried out on the orders of the Court of Appeal turned out to be inconclusive.

Secondly Mr *Bwengye* criticised the Learned Justices of Appeal for not having complied with the provisions of section 104 of the Trial on Indictment Decree.

The Learned Principal State Attorney supported the sentence of death imposed on the Appellant. He submitted that there was ample evidence that the

Appellant was over 18 years old at the time of the commission of the crime. The evidence came from the Appellant who said that he was 22 years old when he testified on oath. That was on 10 January 1994. The offence having been committed on 9 June 1991, it meant that the Appellant was 19 years on the date of the offence. In the circumstances, it was unnecessary for the Court of Appeal to order for medical examination of the Appellant as to his age.

With regard to section 109 of the Children Statute 1996, Mr *Wamasebu* contended that it is irrelevant because the statute was enacted long after the offence in this case had been committed. In any case, the provisions of that section are to the effect that the presumption of age by a court is conclusive evidence of a person's age and that a certificate signed by a medical officer as to the age of a person under eighteen years of age shall be evidence of that age.

It is clear that the appeal in this case is essentially against the sentence of death only. It is not against the convictions of the Appellant which the trial Court made and the Court of Appeal, rightly in our view, upheld.

Halsbury's Laws of England (4 ed) Volume 17, paragraph 42, states what we agree to be the correct position of the law on proof of age. It states:

> "Age may be proved by various means, including the statement by a witness of his own age and the opinion of a witness as to the age of another person, but when age is in issue stricter methods of proofs, may be required. In these cases, age may proved by the admission of a party; by the evidence of a witness who was present at the birth of the person concerned, by the production of a certificate of adoption or birth, supplemented by evidence of identifying the person whose birth is there certified, by the oral or written declarations of deceased persons, and in civil proceedings, by the statement in writing of a person who could have sworn to the fact. In certain criminal and other cases in which the age of a person is material, the age will be presumed or deemed, to be what appears to the court to be his age at the relevant time after considering any available evidence".

So far as they are relevant, the provisions of section 104 of the Trial on Indictment Decree 1971, say:

> "Sentence of death shall not be pronounced on or recorded against a person convicted of an offence, if it appears to the Court that at the time when the offence was committed he was under the age of eighteen years but *in lieu* thereof the Court shall order such a person to be detained in safe custody pending an order made by the Minister under sub-section (2) of this section in such place and manner as it thinks fit and the Court shall transmit the court record, or a certified copy thereof, together with a report under the hand of the presiding judge containing any recommendation or observations on the case he may think fit to make to the Minister".

In the instant case when the Appellant was put to his defense, he elected to give sworn testimony. His counsel at the trial, Mr *Mugamba*, led the Appellant in examination-in-chief. The relevant part of the record of proceedings at the trial reads as follows.

> "Mr Mugamba: My client will give a sworn statement but has no witnesses.
>
> Court: It is now 1:00 pm we adjourn to 3:00 pm for further hearing
>
> Sgd: M. Kireju
>
> JUDGE
>
> 10 January 1994
>
> 10 January 1994:
>
> Accused – In the dock.

> Parties – As before.
>
> Assessors – Present.
>
> Mr Gamukama – Court Clerk
>
> Mr Mugamba: Calls the accused to the witness box. Byagonza Christopher 22 years Casual Labourer, Katambi Village, Gombolola Karambi, Bulahya County. Catholic Sworn".

The Appellant then proceeded to give his testimony in his own defense.

As the record shows, it was the Appellant who, led by his defense counsel in examination-in-chief, stated his age to be 22 years on the day he testified. This is one of the legally acceptable methods of proving age according to the passage in *Halsbury's Laws of England* we have referred to in this judgment. In the light of what the Appellant said about his age, it appears that the trial Court had no grounds for doubting that the Appellant was over the age of eighteen years at the time the offence was committed. Consequently, the age of the Appellant was not an issue at his trial. On the evidence available before the Learned trial Judge, there was nothing to prevent her from imposing the death penalty on the Appellant after convicting him as charged. There was nothing which made it appear to the Learned trial Judge that at the time when the offence was committed the Appellant was under the age of 18 years. The provisions of section 104(1) of the Trial on Indictment Decree were, therefore, inapplicable to the case.

It was on appeal to the Court of Appeal that the age of the Appellant was made an issue. The issue was raised in ground 3 of the appeal in that court, which said:

> "The Learned trial Judge erred in law in sentencing the Appellant to death without ascertaining his age".

The Court of Appeal considered that ground of appeal and, in a purported following of the Supreme Court decision in *Moses Kayondo v Uganda* criminal appeal number 11 of 1992, ordered that the Appellant be medically examined to ascertain his age for purposes of compliance with section 104 of the Trial on Indictment Decree 1971 and section 95 (sic) of the Children Statute 1996. This was on 19 February 1999. Then on 19 August 1999, the Appellant was produced before the Court of Appeal apparently together with a report of the medical examination for which the Court of Appeal had ordered. The record of proceedings on that date indicates what happened. It reads:

> "Court: We dismissed this appeal on 19 February 1999, but we adjourned it for the Appellant's age to be determined medically so as to comply with section 104 of TID and section 95 of the Children's Statute 1996. The Appellant was medically examined and medical report dated 3 March 1999, indicates that he is above the age of 21 years. In our view, the report is vague as it fails to indicate the approximate age at the time he was examined. Since the Appellant himself at the trial stated his age to be 22 years, we take it that when he committed the offence in 1991, he was over the age of 19 years. The Learned trial Judge was therefore, correctly passing the sentence of death upon the Applicant".

The instant case is distinguishable from Moses Kayondo v Uganda (supra). In that case, the Appellant was convicted of murder contrary to section 183 of the Penal Code and sentenced to death. His appeal to this Court against the conviction was dismissed. On its own motion, the Court decided to order for medical examination of the Appellant to ascertain his age. This was done because of what the Appellant had said about his age in his testimony in defence at his trial. The Court said:

> "The Appellant stated that he was 20 years of age at the time of giving his evidence which was 21 October 1991. The incident was over two years before that date namely 21 October 1991. The Appellant's age was not put in evidence. It may be that the Appellant was under 18 years of age at the time of the offence. It may also be that he has understated his age. We therefore, adjourn the appeal for the Appellant's age to be considered so that section 104 of the trial on indictments decree may be complied with. The Registrar shall have the Appellant examined and brought back when examination is completed on 2 January 1999".

The medical evidence following the examination of the Appellant in that case showed that he might have been under 18 years of age at the time the offence was committed. Consequently, the Court set aside the sentence of death and ordered that he be detained in Luzira prison pending the order of the minister under section 104 of the Trial on Indictment Decree.

The instant case is distinguishable from the *Moses Kayondo* case (*supra*) in the following respects. Firstly, the Appellant in the latter case stated that he was 20 years of age at the time of his trial for an offence which had taken place two years previously. The Supreme Court was, therefore, justified in thinking that Kayondo might have been under 18 years of age at the date of the offence. The period of two years was too narrow to exclude that possibility. In the instant case the Appellant's evidence clearly indicated that he was over 19 years of age at the time of the offence. Secondly, the medical evidence in the *Kayondo* case, indicated that the Appellant there might have been under 18 years of age. In the instant case, the medical evidence was to the effect that the Applicant was above the age of 21 years. In the end the Court of Appeal in the instant case fell back on the original evidence that the Appellant was 22 years at the time of his trial and on that basis, concluded that the Applicant was over the age of 19 years at the time the offence was committed.

In the light of the evidence which was available before it and the trial court, we consider that it was unnecessary for the Court of Appeal to order for medical examination of the Appellant in the instant case.

Section 109 of the Children Statute, 1996, which must be the section the Court of Appeal had in mind, is about presumption of age and proof of age by medical evidence in court proceedings under that statute. It does not appear to be relevant to this case. In any case, the statute was enacted in 1996. This was long after the Appellant had been tried and convicted in this case on 28 January 1994.

In the circumstances, we are unable to say that the Court of Appeal was wrong in upholding the sentence of death passed on the Appellant by the trial court. There is no merit in both grounds of appeal. For these reasons we dismissed the appeal.

Before we leave this case we are compelled to express our unhappiness about the manner in which the prosecution failed to have the Appellant medically examined before his committal for trial by the High Court. Medical examination of accused persons during investigation of criminal cases is absolutely necessary for purposes of ascertaining their age, their mental condition and to ascertain any bodily injury where they claim to have been tortured. In the past, Police Form 24 was routinely completed by the police and taken to medical officers who examine accused persons. We have not been informed that Police Form 24 has been abolished. Yet no medical examination of accused persons ever seems to take place any more. The present is one of numerous cases in

which the accused person was not medically examined. There is absolutely no explanation why it was not done. This dismal state of affairs must be brought to the attention of the authorities concerned.

The registrar is accordingly directed to draw the attention of the Director of Public Prosecutions to this judgment.

For the Applicant:
Mr Bwengye

For the Respondent:
Mr Wamasebu

Caledonia Supermarket Ltd v Kenya National Examination Council
[2000] 2 EA 357 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	22 December 2000
Case Number:	184/99
Before:	Kwach, Shah and O'kubasu JJA
Sourced by:	LawAfrica
Summarised by:	W Amoko

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[1] Landlord and tenant – Protected tenant – Termination – Landlord threatens unlawfully to terminate the tenancy – Whether the tenant can apply to the High Court for an injunctive relief.

[2] Landlord and tenant – Protected tenant – Termination – Manner in which a protected tenancy may be properly terminated – Section 4 – The Landlord and Tenant (Shops, Hotels and Catering Establishments) Act.

Editor's Summary

In 1998, the Kenya National Examination Council ("the Appellant") acquired property on which several shops and flats had been constructed and Caledonia Supermarket Ltd ("the Respondent") was a protected tenant occupying one of the shops on which it carried on the business of a supermarket. On 11 August 1998, the Appellant served upon the Respondent a notice to vacate the premises. The Respondent refused to comply with the said notice and commenced action before the High Court against the Appellant seeking orders restraining the Appellant from terminating the tenancy and damages. It also applied for an interlocutory injunction to issue pending the hearing and determination of the case. This application was heard and dismissed by Kuloba J who held that the Respondent had not made out a *prima facie* case with a probability of success and further ordered it to vacate the premises it occupied by 28 February 1999. The Respondent appealed.

Held – The Landlord and Tenant (Shops, Hotels and Catering Establishments) Act (Chapter 201) was passed to protect tenants from eviction and exploitation and if an acquisition of the property was

subject to tenancy, in order to terminate the tenancy the Appellant had to comply with section 4 of the Act.

Even if the Respondent had lost its status as a protected tenant, the Appellant was still obliged by law to issue a proper notice of termination under section 106 of the Law of Property Act which it had not done.

As it was faced with an illegal eviction and it had been served with an invalid notice depriving the Business Premises Tribunal (which, in any case, did not have the power to grant injunctive relief) of jurisdiction, the Respondent had properly sought redress from the High Court. Dictum of Kwach JA in *Tiwi Beach Hotel Ltd v Julian Ulrike Stamm* [1990] 2 KAR 189 followed.

As there was no evidence that the Appellant was a state corporation, its reliance on the proviso to section of the Landlord and Tenant (Shops, Hotels and Catering Establishments) Act (Chapter 201) was misplaced and had to be rejected.

On the material before him, the judge should have granted the injunction. However, as the Respondent had already vacated the premises, it was not just to issue an injunction against the Appellant. The Respondent's tenancy was illegally terminated and it was entitled to recover damages for the loss and damage it had suffered.

Matter remitted back to the High Court for assessment of damages by any judge other than Kuloba J.

Case referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Tiwi Beach Hotel Ltd v Stamn [1990] 2 KAR 189 – **F**

Judgment

KWACH, SHAH AND O'KUBASU JJA: These two appeals have been consolidated and heard together. For the purposes of this judgment we invited counsel to restrict their submissions to civil appeal number 184 of 1999.

The Kenya National Examinations Council, the Respondent in this appeal (hereinafter called "the Council") is the registered owner of a property known as Plot LR Number 209/357/1 Dennis Pritt Road, Nairobi (hereinafter called "the premises") consisting of shops and flats. For many years Caledonia Supermarket Ltd, the Appellant (hereinafter called "the Appellant"), occupied as a tenant one of the shops in which it operated the business of a supermarket. Before the Council acquired the premises they were owned by two gentlemen who sold and transferred them to the Council on or about 17 July 1998. Upon acquiring title to the premises, the Council decided that it needed to occupy them for its own purposes and issued a notice through its advocates requiring the Appellant to vacate the premises and deliver vacant possession. The notice dated 11 August 1998 required the Appellant to vacate the premises within 30 days.

It is common ground that the Appellant was a protected tenant under a controlled tenancy within the meaning of section 2(1) of the Landlord and Tenant (Shops, Hotels and Catering Establishments) Act (Chapter 201) ("the Act").

Such a tenancy could not be terminated or its terms altered to the detriment of the Appellant otherwise than in accordance with the provisions of section 4 of the Act.

When the Council served the Appellant with notice to vacate, the Appellant refused to comply and immediately filed a suit against the Council in the superior court seeking, among other reliefs, an injunction to restrain the Council from terminating its tenancy and damages. Simultaneously with the filing of the suit, the Appellant applied by chamber summons under Order 39 of the Civil Procedure Rules for a temporary injunction restraining the Council from evicting it from the premises pending the hearing of the suit or further order. The application was supported by an affidavit sworn by Anastacia Wariara Wagiciengo, a director of the Appellant. The Council contested the application and filed a lengthy affidavit in reply sworn by its Deputy Secretary in charge of Finance and Administration, one Ahmed Sheikh Abdullahi, in which he deponed *inter alia*:

> "(24) That I am advised by the Council's advocates on record which I verily believe to be true that the Defendant, the Kenya National Examinations Council is a government body established by an Act of Parliament namely Chapter 225A of the Laws of Kenya.
>
> (25) That I am advised by the Council's advocates which I verily believe to be true that the Defendant is lawfully registered as owner of the property herein and the notices issued are lawful, legal and valid.
>
> (31) That I am advised by the Council's advocates which I verily believe to be true that the Plaintiff is not a protected tenant who cannot be disturbed for 5 years. They further advise me that there is nothing in law as protected tenant and only tenancies can be controlled. The Plaintiff's premises are not controlled within the meaning of Chapter 301 Laws of Kenya".

The Council filed a defence denying the Appellant's claim to be a protected tenant and also claimed to be a government body and a state corporation in the Ministry of Education to which the provisions of the State Corporations Act apply.

The application was heard by Kuloba J. He held that the Appellant had not made out a *prima facie* case with probability of success and dismissed the application. He also made an order requiring the Appellant to vacate the premises on the last day of February 1999. It is against that decision that the Appellant has now appealed.

Although the decision of the Learned Judge has been challenged on several grounds, we asked Mr M G *Sharma*, for the Appellant, to address us only on the issue whether the Appellant enjoyed a controlled tenancy, and if so, whether it had been terminated in accordance with the relevant provisions of the Act. Although statutory protection was pleaded and urged at the hearing, the Learned Judge did not address it in his ruling. All he said was:

> "It is not established on any affidavit evidence that the Respondent purchased the property subject to any encumbrances or rights and interests of third parties. It is not suggested that the Respondent was a party to any tenancy agreements between the Applicants and the previous owner of the property who sold it to the Respondent. It is not said that by its conduct or otherwise the Respondent has led or misled the Applicants to be and to remain in possession as tenants in the suit premises. In the absence of proof of these matters, it appears doubtful whether the Applicants will have a good case to restrain the Respondent by a permanent injunction at the trial such as the one they seek in the suit itself. On an interlocutory application such as this

> one, I cannot express a conclusive opinion as to the parties' respective chances of success or failure; but, on the material presently before the court, and speaking neutrally so as not to hinder the free and unprejudiced consideration of the case on full evidence at the trial, I state that as of now, the Respondent: as a purchaser for value of the premises free of encumbrances and with no contractual clauses saving the interests of the sitting tenant, is free to take vacant possession of the premises and the Applicants, probabilities of success are not demonstrated".

Mr *Sharma* submitted that since the Appellant's tenancy was a controlled tenancy it could not be terminated or its terms altered to the detriment of the Appellant except as provided by section 4 of the Act, the relevant parts of which provide:

> "4 (1) Notwithstanding the provisions of any other written law or anything contained in the terms and conditions of a controlled tenancy, no such tenancy shall terminate or be terminated, and no term or condition in or right or service enjoyed by the tenant of, any such tenancy shall be altered, otherwise than in accordance with the following provisions of this Act.
>
> (2) A landlord who wishes to terminate a controlled tenancy, or alter, to the detriment of the tenant, any term or condition in, or right or service enjoyed by the tenant under, such a tenancy, shall give notice in that behalf to the tenant in the prescribed form (emphasis added).
>
> (4) No tenancy notice shall take effect until such date, not being less than two months after the receipt thereof by the receiving party, as shall be specified thereon (emphasis added).
>
> (5) A tenancy notice shall not be effective for any of the purposes of this Act unless it specifies the grounds upon which the requesting party seeks the termination, alteration or reassessment concerned and requires the receiving party to notify the requesting party in writing, within one month after the date of receipt of the notice, whether or not he agrees to comply with the notice".

Mr *Sharma* submitted that the notice of termination issued by the Council dated 11 August 1998 was not in the prescribed form. The prescribed form is Form A in the Schedule to the Act. It is plain beyond argument that the notice given by the Council did not satisfy this statutory requirement. Secondly, instead of the Council giving the Appellant not less than two months' notice it purported to give it only 30 days to vacate. The Council was not entitled, by virtue of the proviso to section 7(1)(*g*) of the Act to oppose a reference if filed by the tenant, assuming a valid notice of termination of tenancy had been given. Lastly, the notice did not require the Appellant to indicate within 30 days whether or not it agreed to comply with the notice. The Council's failure to comply with these mandatory statutory requirements rendered the purported notice null and void and incapable of enforcement.

Mr *Ibrahim* did not seriously dispute these contentions but he submitted that once the premises were sold and transferred to the Council, the Appellant automatically lost its statutory protection under the Act and he relied on the proviso to section 20 of the Act which states that no tenancy to which the government or a local authority is a party, whether as a landlord or as a tenant, shall be a controlled tenancy. On this ground, he maintained the notice issued by the Council was valid.

The Act was passed to protect the tenants of business premises from eviction and exploitation. Upon acquiring title to the premises, the Council had a clear choice. If the acquisition was subject to file tenancy, the Council was obliged to comply with section 4 of the Act to obtain vacant possession. The fact that the

Council had not accepted rent was irrelevant. But even assuming for the sake of argument only that the Appellant had lost its status of a protected tenant as urged by Mr *Ibrahim*, then even in that situation the Council was obliged by law to issue a proper notice of termination in accordance with section 106 of the Transfer of Property Act of 1882. The notice given by the Council did not comply with this statutory provision either. It was not a valid notice.

Faced with what was clearly an illegal eviction, the Appellant could not seek protection from the Business Premises Tribunal because the notice given being an invalid notice deprived the Tribunal of the power to intervene. In any case the Tribunal has no power to issue an injunction. That left the Appellant with only one course of action. It had to seek redress from the High Court. In the case of *Tiwi Beach Hotel Ltd v Julian Ulrike Stamn* [1990] 2 KAR 189 where a protected tenant applied to the High Court for an injunction when, as in the present case, she was threatened with an illegal eviction, Kwach JA put the matter beyond dispute when in the course of his judgment he said at page 200:

> "Although Mr Lakha stressed that both these letters constituted an offer for a lease, in my judgment it is plain beyond argument that they were a demand by a landlord for rent from a tenant in possession. The tenant claimed, quite properly in my view, statutory protection under the Landlord and Tenant (Shops, Hotels and Catering Establishments) Act and the Appellant, as landlord of the premises was therefore obliged to comply with the statutory procedure under the Act if it was its intention either to terminate the tenancy or alter its terms to the detriment of the Respondent. If the Appellant thought that those letters were notices, it must disabuse it: of that notion by stating at once that they were not: in the prescribed form and consequently had no effect on the Respondent's tenancy. For this reason alone the Respondent was entitled to an order restraining the Appellant and the judge was therefore perfectly justified in making the order".

Mr *Ibrahim* sought to rely on the proviso to section 2(1) of the Act. There is an averment in paragraph 12 of the defence filed by the Council claiming that the Council is a government body and a state corporation in the Ministry of Education of the government of Kenya and the provisions of the State Corporations Act (Chapter 446) apply to it. This averment was also repeated in the replying affidavit of Ahmed Sheikh Abdullahi to which we have already alluded. The problem with this submission is that it has been made without any attempt to place before the Court any evidence to back it up. Section 3 of the State Corporations Act gives the President the power, by order, to establish a state corporation as a body corporate to perform the functions specified in the order. We were not shown any legal notice issued by the President establishing the Council as a state corporation. In the absence of any such order the Council's claim to be a state corporation must be rejected and are completely baseless.

For all these reasons we allow this appeal and set aside the ruling and order of Kuloba J dated 9 December 1998. As the Appellant has already vacated the premises and given the Council vacant possession, it would not be just to issue an order of injunction against the Council. We declare that on the material placed before the judge the Appellant was entitled to an injunction and the Learned Judge erred in refusing to grant it. The result of that denial was that the Appellant's tenancy was illegally terminated. It is therefore entitled to recover damages from the Council for the loss and damage it suffered. We remit the case to the superior court for assessment of damages as the issue of liability has been determined in favour of the Appellant. The exercise will be

undertaken by a judge other than Kuloba J. The Appellant will have the costs of this appeal.

For the avoidance of doubt the orders we have made in this appeal will also apply to civil appeal number 129 of 2000.

For the Appellant:
Mr MG Sharma

For the Respondent:
Mr Ibrahim

Ceneast Airlines Ltd v Kenya Shell Ltd
[2000] 2 EA 362 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	26 May 2000
Case Number:	174/99
Before:	Omolo, Akiwumi and Owuor JJA
Sourced by:	LawAfrica
Summarised by:	H K Mutai

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[1] Judgment – Judgment in default of appearance – Application to set aside – Factors to be considered – Existence of prima facie *defence – Exercise of judicial discretion – Whether the trial court's discretion should have been exercised in favour of the Appellant – Order IXA – Civil Procedure Rules.*

[2] Practice – Summons to enter appearance – Time within which to enter appearance – Summons must provide at least ten days – Order IV, Rule 3(4) – Civil Procedure Rules.

Editor's Summary

Judgment in default of appearance against the Appellant was entered on 4 January 1999. On 15 January the Appellant applied under Order IXA, Rule 3(1), Civil Procedure Rules for the judgment to be set aside on the grounds that it had not been served with summons to enter appearance and that the amount claimed in the plaint was disputed. The application was dismissed on 20 July 1999. On appeal.

Held – The Court had a wide discretion to set aside a judgment on terms that were just but it would not usually set aside a regular judgment unless it was satisfied that there was a *prima facie* defence which should go to trial for adjudication; *Patel v EA Cargo Handling* [1974] EA 75 applied. In this instance, the fact that the KShs 21 438 007-95 claimed by the Respondent included value added tax whereas it appeared that the products supplied were exempted from value added tax at the material time, raised a triable issue that should have moved the court to exercise its discretion in the Appellant's favour.

Per curiam: It was a mandatory requirement of the Civil Procedure Rules Order IV, Rule 3(4) that the time given for entering appearance had to be at least ten days. A summons that required a defendant to enter appearance within ten days of service was invalid and of no effect.

Case referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Patel v EA Cargo Handling Service [1974] EA 75 – **AP**

Judgment

OMOLO, AKIWUMI AND OWUOR JJA: In our judgment in this matter delivered on 30 March 2000, we allowed the appeal by the Appellant company (hereinafter referred to as "the Appellant") with no order as to costs. We also ordered that the Appellant must enter appearance and file a defence within seven days from that date, in respect of High Court civil case number 593 of 1998 wherein the Appellant had been sued by the Respondent for Shs 21 438 007-93 being the balance of the amount due from the Appellant to the Respondent for goods sold and delivered by the latter to the former in 1993. We now give our reasons for our judgment.

On 23 December 1998, over three months after filing its plaint, the Respondent requested judgment for the large sum it claimed, on the ground that the Appellant, though served with a copy of the plaint and summons to enter appearance on 9 December 1998, had failed to do so.

The Respondent subsequently obtained, on 4 January 1999, judgment for the amount claimed in default of the Appellant's failure to enter appearance and to file a defence. In his request for judgment which appears at page 6 of the record of appeal, the Defendant against whom the judgment was sought, was not named as mandatorily required by Order IXA, Rule 3(1) of the Civil Procedure Rules. But no matter. On 15 January 1999, the Appellant applied to the High Court under Order IXA, Rule 10 of the Civil Procedure Code, for the setting aside of the judgment entered on 4 January 2000, which the court can do upon such terms as are just, and which Duffus P in *CA Patel v EA Cargo Handling Service* [1974] EA 75, had defined as conferring on the High Court "a very wide discretion".

The grounds in support of the application were firstly, that the Appellant had not been served with summons to enter appearance and secondly, and this became apparent in the various affidavits filed in connection with the application, that the amount claimed in the Respondent's plaint was not what the Appellant owed it. On 20 July 1999, the application was dismissed by the Learned Commissioner of Assize Gacheche on the grounds that the summons to enter appearance had been properly served on a director of the Appellant and that the Appellant had not come to court with clean hands. It is against this ruling that the Appellant has now appealed to this Court.

Whilst the available evidence showed that one of the directors of the Appellant had indeed been served with the summons to enter appearance, it did show, however, that there were indeed triable issues involved in the suit, which according to the scanty plaint, was for "Shs 21 438 007-95 the balance of the agreed and/or reasonable amount due for goods sold and delivered to the Defendant at Nairobi during 1993". This large amount, it later became clear, was the cost of jet fuel and aviation spirit supplied by the Respondent to the Appellant and which include the value added tax imposed on such transactions

at the time. It transpired that prior to this in 1992, the Ministry of Finance had exempted such products from value added tax and yet the Respondent had included this in its costs for the jet fuel and aviation spirit supplied to the Appellant. This alone, in our view, gives rise to a triable issue which together with the exercise of the High Court's discretion, under Order IXA, Rule 10, was described as follows by Duffus P in *Patel* (*supra*):

> "The main concern of the court is to do justice to the parties, and the court will not impose conditions in itself to fetter the wide discretion given to it by the rules. I agree that where it is a regular judgment as is the case here the court will not usually set aside the judgment unless it is satisfied that there is a defence on the merits. In this respect defence on merits does not mean, in my view, a defence that must succeed, it means as Sheridan J put it 'a triable issue' that is an issue which raises a *prima facie* defence and which should go to trial for adjudication".

We think that the Learned Commissioner of Assize should have in the circumstances of the matter before her, exercised her unfettered discretion in favour of the Appellant.

A matter which was not argued before us, but which came to our notice after we had on 30 March 2000 allowed the Appellant's appeal and made our consequential orders, relates to the validity of the summons to enter appearance which was served on the director of the Appellant. An examination of this summons raises the following important issue as to its validity. Order 4 of the Civil Procedure Rules, having first provided in subrule (1) of rule 3 that when a suit is filed, a summons will issue to the Defendant ordering him to appear within the time specified in the summons, then goes on in subrule (4) of rule 3 to state as follows: "The time for appearance shall be fixed with reference to the place of residence of the Defendant so as to allow him sufficient time to appear. Provided the time for appearance shall not be less than 10 days".

This mandatory provision means that the time for entering appearance cannot be less than 10 days or within 10 days of the service of the summons. It must at least, be on the tenth day of service or any day thereafter, as may be specified in the summons. The summons which was served on the Appellant in its pertinent part is as follows:

> "You are required within 10 days from the date of service hereof to enter appearance in the said suit.
>
> Should you fail to enter an appearance within the time mentioned above, the Plaintiff may proceed with the suit and judgment may be given in your absence".

This is a clear breach of Order 4, Rule 3(4) and makes the summons invalid and of no effect.

For the Appellant:
Information not available

For the Respondent:
Information not available

Central Kenya Ltd v Trust Bank Ltd
[2000] 2 EA 365 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	18 February 2000
Case Number:	222/98
Before:	Gicheru, Bosire and Owuor JJA

Sourced by: LawAfrica

Summarised by: H K Muta

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[1] Practice – Pleadings – Amendment of pleadings – Application to amend plaint – Application to join more parties as Defendants – Factors to be considered in determining application – Orders I and VIA – Civil Procedure Rules.

Editor's Summary

The parties to this appeal were involved in a protracted dispute over a parcel of land located in Thika Municipality of which the Appellant was originally the registered owner. In 1995, the Appellant filed a plaint against the Respondents seeking various orders related to the suit property. It also sought an interlocutory injunction from the court to restrain the Respondents from dealing with the suit property. The application was denied. An appeal to the Court of Appeal in civil appeal number 215 of 1996 was dismissed on the grounds, *inter alia*, that certain issues raised by the appeal touched parties not joined to the suit and against whom orders could not be made without affording them an opportunity to be heard. The Appellant then reverted to the High Court and applied under Orders I and VIA of the Civil Procedure Rules for leave to join seven additional persons as Defendants to the suit and also for leave to amend the plaint in order to fully spell out its claim against the original and the intended defendants. The application was declined. The Appellant now appealed against that decision on the grounds, *inter alia*, that the judge had not been dispassionate in his handling of the matter, that he had considered extraneous matters in making his decision and that he had failed to consider that the Respondents did not plead that they would suffer any loss not compensable by damages if the proposed amendments were allowed.

Held – The amendment of pleadings and joinder of parties was aimed at allowing a litigant to plead the whole of the claim he was entitled to make in respect of his cause of action. A party would be allowed to make such amendments of pleadings as were necessary for determining the real issue in controversy or avoiding a multiplicity of suits provided (i) there had been no undue delay, (ii) no new or inconsistent cause of action was introduced, (iii) no vested interest or accrued legal right was affected, and (iv) the amendment could be allowed without injustice to the other side. Accordingly, all amendments should be freely allowed at any stage of the proceedings, provided that the amendment or joinder did not result in prejudice or injustice to the other party that could not be properly compensated for in costs; *Beoco Ltd v Alfa Laval Co Ltd* [1994] 4 All ER 464 adopted. Neither the length of the proposed amendments nor mere delay were sufficient grounds for declining leave to amend. The overriding considerations were whether the amendments were necessary for the determination of the suit and whether the delay was likely to prejudice the opposing party beyond compensation in costs.

The judge erred in making remarks that were inappropriate in the circumstances of an interlocutory application and that tended to prejudge the merits of the Appellant's case, especially as the parties were yet to adduce evidence in support of their respective cases. These remarks tended to suggest that the judge was not dispassionate.

Though the decision as to who to sue was essentially the Plaintiff's, the Court could, under Order I, Rule 10(2) of the Civil Procedure Rules, give appropriate directions if it considered that there were parties who should have been joined or were improperly joined. In civil appeal number 215 of 1996, the Court had suggested that some of the proposed defendants should have been made parties and the judge should have taken that as a cue to grant the application. Accordingly, the appeal would be allowed and the Appellant granted the leave prayed for.

Case referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Beoco Ltd v Alfa Laval Co Ltd [1994] 4 All ER 464 – **A**

Judgment

Gicheru, Bosire and Owuor JJA: The parties in this appeal are here again. The Appellant, Central Kenya Limited, as Plaintiff in High Court civil case number 3590 of 1995, was originally the registered owner of among other property, LR number 7705/2, Thika Municipality. In civil appeal number 121 of 1995, it was the First Respondent with Trust Bank Limited, Trust Finance Limited and First National Finance Limited, as the other Respondents, in that order. Floriculture International Limited ("Floriculture"), was the Appellant. The appeal arose from a decision of the superior court (Hayanga J) in its civil case number 1597 of 1994 (originating summons), in which he granted leave to Central Kenya Limited ("Central Kenya"), to amend its originating summons, ordered the consolidation of three pending interlocutory applications, and ordered the joinder of Floriculture and First National Finance ("First National"), as additional Defendants in the originating summons. Floriculture was aggrieved and filed the aforementioned appeal. This Court, differently constituted, after hearing the appeal, came to the conclusion that Central Kenya's suit was improperly commenced by originating summons, which was not a manner prescribed in the Civil Procedure Rules for seeking the aid of the court for the reliefs it had claimed, and ordered it to be struck out. Central Kenya had, in its originating summons, sought orders, *inter alia*, that the superior court cancel the charges which had been registered against the aforementioned parcel of land in favour of Trust Bank Limited ("Trust Bank") and Trust Finance, respectively, to secure repayment of two loans which had been made to Katka Islands Limited ("Katka"), a company in which one Anthony Muiruri Gachoka was one of the directors. He was also a director of Central Kenya, along with his brother Joseph Muiruri Gachoka, and their mother Margaret Njeri Muiruri.

It would appear to us that civil case number 3590 of 1995, aforementioned, which was instituted by plaint by Central Kenya, was instituted, after the

striking out of the aforestated originating summons. Apart from Trust Bank and Trust Finance, Floriculture, First National Finance and the registrar of titles, were included as Defendants. In that suit Central Kenya seeks declaratory orders that the two charges we alluded to earlier were invalid allegedly because it did not, as registered proprietor, execute them, that they should be recalled for cancellation and that a sale of the charged property to Floriculture in purported exercise of a statutory power of sale was null and void. There was also a prayer for special and general damages but against the first two Defendants only. So Floriculture was made a party because as at the date of the suit it was the registered owner of the aforementioned parcel of land. The registrar of titles was joined as a Defendant because he had registered the two aforementioned charges, the transfer of the subject land to Floriculture and thereafter a charge over the property in favour of First National Finance, which had lent money to Floriculture for the purchase of the property. The Appellant alleges that the transfer of the property to Floriculture and the registration of a charge over it in favour of First National Finance, were effected fraudulently and in flagrant violation of the provisions of section 52 of the Transfer of Property Act, and blames the chief executive of Trust Bank and Trust Finance, the principal shareholder of Floriculture, the liquidator of Katka Islands Ltd, and its director, Anthony Muiruri Gachoka, for it.

The second time the parties were before this Court, is when the Appellant unsuccessfully appealed against the refusal by the superior court (Msagha J) to grant it an interlocutory injunction to restrain the Defendants from dealing with the subject property. In the course of its judgment in that appeal, civil appeal number 215 of 1996, the court, differently constituted from the earlier appeal, made remarks, to the effect, *inter alia*, that the suit as presented raised issues which touched on certain parties who had not been joined in the suit and against whom orders would not be made unless they had been given an opportunity to be heard on the matter. The Appellant must have taken a cue from those remarks as it thereafter moved the superior court by chamber summons under Order 1, Rule 10(2) and Order VIA, Rules 3 and 8 of the Civil Procedure Rules, for leave, firstly, to join in the suit as Defendants, Anthony Muiruri Gachoka, Shaun Warren Barretto, Kuldeep Singh Chawla, an advocate of the High Court who drew the first two charges, Ajay Indravavadan Shah (the chief executive officer of Trust Bank and Trust Finance), Satish Chandra Venilal Naker (the principal shareholder of Floriculture), The Commissioner of Lands, and the Attorney-General. Secondly, the Appellant wanted leave to amend its plaint in order to fully spell out its claim against the original and the intended Defendants and to plead the relevant law. On this last aspect we believe the Appellant had in mind the provisions of Order VI, Rule 7 of the Civil Procedure Rules, which provides that a party may by his pleadings raise any point of law.

The application was heard by Kuloba J who, after hearing submissions from counsel from both sides, declined to grant the leave, and made certain remarks in his ruling which the Appellant and its counsel, and also counsel for First National Finance, Mr *Oduol*, contend, show the Learned trial Judge was not dispassionate in his handling of the matter. The issue has been raised as the first ground of appeal. The other grounds may concisely be stated as follows:

(1) The Learned Judge in arriving at his decision considered extraneous matters.

(2) The Learned Judge ignored decisions of this Court by failing to consider that the Defendants (Respondents) did not plead that they would suffer any

loss not compensatable by damages, if the proposed amendments to the plaint were allowed.

(3) The decision was capricious and unjust.

The crux of submissions by Mr *Mwangi* for the Appellants, is that the trial Judge did not address his mind to the real issues under Order 1, Rule 10 and Order V, Rule 3 of the Civil Procedure Rules, under which the Appellant's application was brought.

Mr *Billing* for Trust Bank and Trust Finance does not think the trial Judge manifested any bias in his ruling. In his view if consideration is given to the proposed amendment and the record of the superior court respecting civil suit number 3590 or 1995, the court would arrive at an inescapable conclusion that the trial Judge's alleged biased remarks were well founded.

Mr *Ochieng Oduol* for the Third and Fourth Respondents, while in effect conceding the appeal, did not think that the Appellant's proposed plaint could be accepted in its totality, more so because in it the Appellant has improperly pleaded evidence and made extensive averments on case law.

The settled rule with regard to amendment of pleadings has been concisely stated in (6 ed) Volume 2, at 2245, of the *AIR Commentaries on the Indian Civil Procedure Code* by Chittaley and Rao, in which the learned authors state:

> "that a party is allowed to make such amendments as may be necessary for determining the real question in controversy or to avoid a multiplicity of suits, provided there has been no undue delay, that no new or inconsistent cause of action is introduced, that no vested interest or accrued legal right is affected and that the amendment can be allowed without injustice to the other side".

And at 2248, they continue to say that an amendment merely clarifying the position put forward in the plaint or written statement of defence must be allowed.

This is an interlocutory appeal in which the Appellant challenges the exercise of discretionary jurisdiction of the trial court. It is trite law that an appellate court will not lightly interfere with the exercise of a court's discretion unless it is satisfied that the discretion was wrongly exercised or there is an error in principle. It is also trite law that as far as possible a litigant should plead the whole of the claim which he is entitled to make in respect of his cause of action. Otherwise the court will not later permit him to re-open the same subject of litigation (see Order II, Rule 1 of the Civil Procedure Rules) only because they have from negligence, inadvertence or accident omitted that part of their case. Amendment of pleadings and joinder of parties is meant to obviate this. Hence the guiding principle in applications for leave to amend is that all amendments should be freely allowed and at any stage of the proceedings, provided that the amendment or joinder as the case may be, will not result in prejudice or injustice to the other party which cannot properly be compensated for in costs (see *Beoco Ltd v Alfa Laval Co Ltd* [1994] 4 All ER 464).

In declining to grant leave, Kuloba J held, inter alia, that although the proposed amendments in a way clarified the averments in the plaint, they were too lengthy; the new facts were all along within the knowledge and possession of the Appellants even as at the date of the suit; the failure to incorporate them in the plaint was not an oversight but a calculated move by the Appellant

to litigate by installments the various issues raised by the suit after getting the gist of the opposing side's case; the proposed amendments were in any case argumentative and did not raise any new points; that the Appellant was seeking to plead legal arguments; the application for leave was belated and if allowed it would offend the provisions of section 77(9) of the Constitution and section 3(2) of the Judicature Act, both of which enact that civil proceedings should be concluded without unreasonable delay; and that in all the circumstances, the application was intended to delay the expeditious finalisation of the suit; and considering the various previous proceedings the Appellant had been involved in over the suit property, the application was mala fide.

In the course of his ruling the Learned Judge made various remarks which, in our view, considering that he was handling an interlocutory matter, were inappropriate and tended to prejudge the merits of the Appellant's case, more so because the parties had yet to adduce evidence in support of their respective cases. For instance he remarked that the proposed amendments were nothing but "… a wheeling and peddling of wild accusations of imaginary fraud …", that the Appellant was taking advantage of the hindsight of a fool to repeat the story it had pleaded in the plaint, and that in doing so it was seeking a further opportunity to taunt the hapless Defendants; and that it was playing the clever dick, too clever by half. Our view is that averments in the plaint are merely allegations (see Order 1, Rule 3 of the Civil Procedure Rules). Except in clear cases, this not being one, until a party has been given an opportunity to prove the truth thereof, it is our view that remarks such as the ones we have alluded to above are uncalled for, they tend to prejudice the case of the party affected by them and they also tend to suggest that the trial Judge was not dispassionate. It is no wonder that in a later application to the same court, the Appellant accused the said judge of bias.

The jurisdiction of the court under Order 1, Rule 10(2), and Order VI, Rule 3(1) of the Civil Procedure Rules, respectively, is specific. The decision as to who to sue is essentially that of the Plaintiff, and the court's duty thereafter, is to consider the allegations made against the named Defendants and if it considers that there are other parties who should have been joined or were improperly joined give appropriate directions under Order 1, Rule 10(2), above. In civil appeal number 215 of 1996, aforementioned, this Court made observations which suggested that some of the proposed Defendants should have been made parties, to facilitate the effectual, complete and just adjudication of the Appellant's suit. The Learned trial Judge should have but did not take a cue from them and granted the leave the Appellant had sought in its application.

Likewise, the Learned trial Judge having come to the conclusion that the Appellant's proposed amendments to the plaint did in a way clarify the Appellant's case, he should have granted leave as by doing so the other parties would neither be prejudiced nor would the amendments lead to undue delay in resolving the matters in controversy between the parties.

As we stated earlier the Learned trial Judge took issue with the length of the proposed amendments. In his view they were too long. Mere length of proposed amendments is not a ground for declining leave to amend. The

overriding consideration in applications for such leave is whether the amendments are necessary for the just determination of the controversy between the parties. Likewise, mere delay is not a ground for declining to grant leave. It must be such delay as is likely to prejudice the opposite party beyond monetary compensation in costs. The policy of the law is that amendments to pleadings are to be freely allowed unless by allowing them the opposite side would be prejudiced or suffer injustice which cannot properly be compensated for in costs.

Before we wind up this judgment there is an aspect which the Learned trial Judge, in rather strong and inappropriate language, said showed lack of good faith on the part of the Appellant. It may be recalled that Anthony Muiruri Gachoka, as director of both the Appellant company and Katka Islands Co Ltd, was the beneficiary of the loan from Trust Bank Ltd, using the aforementioned land as security. It is apparent that Anthony Muiruri used his position as director of the Appellant company to get access to the title documents for the suit parcel of land from it. The Learned trial Judge did not think that Anthony Muiruri Gachoka should be made a party in the Appellant's suit before prior compliance with the rules for suing directors; in his view if Anthony Muiruri was joined as a Defendant it would mean that since he is a director in the Appellant company he would become both Plaintiff and Defendant, more so, in his view, because Anthony Muiruri Gachoka, is the main man in the Appellant company. These issues were, in our view, prematurely raised. There are certainly several issues raised in the Appellant's suit which, in absence of Anthony Muiruri Gachoka, might not be fully answered. Whether or not the Appellant had complied with the requisite rules for suing a director, is not in our view a relevant factor in an application under Order 1, Rule 10(2) of the Civil Procedure Rules. The paramount consideration is whether the party concerned is necessary for the effectual and complete adjudication of all the questions involved in the suit. Anthony Gachoka released the title documents for the suit land to Trust Bank Ltd, or so we think. He probably negotiated and secured the loan from Trust Bank Limited, in favour of Katka Islands Limited. The other intended Defendants are alleged to have participated in one way or another to facilitate the release of the loan, and/or the registration of charges against the suit land. They are therefore, prima facie, necessary for the effectual and complete adjudication of the Appellant's case.

For the foregoing reasons the appeal is not without merits. We therefore allow it, set aside the superior court's order made on 12 March 1998 refusing the Appellant leave to join other parties as Defendants and to amend its plaint, and in place therefore substitute an order granting the leave prayed for in prayers (1) and (2) of the Appellant's chamber summons dated 4 February 1998 and allow the Appellant 14 days from the date hereof to file a proper amended plaint. The costs of the appeal are awarded to the Appellant against all the Respondents.

For the Appellant:
Mr Mwangi

For the Respondent:
Mr Oduol

Cheserem v Immediate Media Services
[2000] 2 EA 371 (CCK)

Division: Milimani Commercial Courts of Kenya

Date of judgment: 18 April 2000

Case Number: 398/00

Before: Khamoni J

Sourced by: LawAfrica

Summarised by: W Amoko

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[1] Defamation – Libel – Injunction – Interlocutory injunction – Whether court can grant injunctions in defamation cases – Circumstances in which court will grant injunctions in defamation cases – Test for grant of interim injunctions – Factors to be taken into consideration.

Editor's Summary

In the 17 March 2000 issue of The Independent, a weekly magazine, the lead article entitled "Central Bank boss in major scandal" claimed that the Applicant (the Plaintiff in a defamation action), then the Governor of the Central Bank of Kenya, had used his position to entice several married women into relationships with him and that to cover up one of those liaisons, he paid or caused to be paid a substantial sum of money to the husband of the affected lady. The articles went on to make allegations concerning the Applicant's remuneration and family and concluded with the promise that more was to follow. The Applicant instituted action for libel against Immediate Media Services, the publisher of the magazine; Kiprono Kemei, its editor; and Oluoch Akech, Nyambura Kamau and Wang'ombe Mutahi who were its distributors. He also made the instant application for an interlocutory injunction to restrain the Respondents from publishing and distributing the article.

Held – Applications for interlocutory injunctions in defamation cases are treated differently from ordinary cases because they bring out a conflict between private interest and public interest. Though the conditions applicable in granting interlocutory injunctions set out in *Giella v Cassman Brown and Co Ltd* [1973] EA 258 generally apply, in defamation case those conditions operate in special circumstances. Over and above the test set out in *Giella's* case, in defamation cases the court's jurisdiction to grant an injunction is exercised with the greatest caution so that an injunction is granted only in the clearest possible cases. The court must be satisfied that the words or matter complained of are libellous and also that the words are so manifestly defamatory that any verdict to the contrary would be set aside as perverse. *Francis P Lotodo v Star Publishers and another (UR)* HCCC number 883 of 1998 adopted.

The right to freedom of expression enshrined in section 79 of the Constitution should be enjoyed by every news media, the press, newspapers, their journalists and everybody in Kenya free from all drastic interference that may be caused by granting an injunction unless there is a substantial risk of grave injustice and the private interest in preventing the publications outweighs the public interest. *Francis P Lotodo v Star Publishers and another* (UR) HCCC number 883 of 1998; dictum of Lord Coleridge CJ in *Bonard and another v Perryman* [1891–4] All ER 965 at 968 and dictum of Lord Denning MR in *Fraser v Evans and Others* [1969] 1 All ER 8 at 10, 12 adopted.

Normally the court would not grant an interlocutory injunction when the defendant pleads justification or fair comment because of the public interest that the truth should out and the court aims to protect a humane, responsible, truthful and trustworthy defendant. However the right to freedom of expression is not absolute and the court will only protect a defendant free from malice and a plaintiff is also under the Constitution entitled to protection of the law. *Francis P Lotodo v Star Publishers and another* (UR) HCCC number 883 of 1998 explained.

As by the time of the hearing theRespondents (Defendants in that matter) had not filed a defence nor intimated in their replying affidavit that they intended to raise the defences of justification, fair comment or qualified privilege, the Court could not take into account those pleas and on the merits, the Applicant had to demonstrate a *prima facie* case with a probability of success that further publication would cause him irreparable injury which might not be adequately compensated in damages and that the balance of convenience lay in favour of preventing further damage to the Applicant's reputation. *Giella v Cassman Brown and Co Ltd* [1973] EA 258 applied.

Per curiam: It is not right and might even be dangerous for a journalist to rely solely on good faith. To be entitled to the protection of the law, he should base the information he disseminates on factual truth.

It does not always follow that when there is a conflict between the public interest and private interest, public interest will always prevail. It is a question of balancing the competing interests on a case by case basis and doing what is just.

Application granted.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Giella v Cassman Brown and Co Ltd [1973] EA 358 – **AP**

Lotodo v Star Publishers and another HCCC number 883 of 1998 – **A** & **E**

United Kingdom

Bonnard and another v Perryman [1891–4] All ER 965 – **A**

Fraser v Evans and another [1969] 1 All ER 8 – **A**

Ruling

KHAMONI J: In the chamber summons dated 13 March 2000 supported by the affidavit of same date plus annexures thereon, the Applicant Micah Cheserem, is praying that this Court:

> "be pleased to grant an injunction to restrain the Defendants and each of them whether by themselves or their servants or agents or otherwise howsoever, from publishing, circulating or disseminating in any manner whatsoever the words concerning and in respect of the Plaintiff in the article published in the

> issue of *The Independent* Volume 1 Number 6 of 17 March 2000 or any words in any manner defamatory of the Plaintiff in any manner whatsoever until the hearing of this suit".

The Applicant in this chamber summons before me is the Plaintiff in the main suit in which the chamber summons application has been filed against the Defendants. Properly, this chamber summons should have referred to the Plaintiff as the Applicant, and to the Defendants as the Respondents and the prayer I have quoted above should have had the word "Respondents" where the word "Defendants" appears and the word "Applicant" where the word "Plaintiff" appears. For the purpose of this ruling therefore, I will be referring to the Plaintiff as the Applicant and to the Defendants as the Respondents.

The First Respondent, Immediate Media Services, is a firm carrying on business in Nairobi and other places in Kenya and is the publisher of a magazine known as *The Independent*.

The Second Respondent, Kiprono Arap Kemei, is a male adult the editor of the aforesaid magazine. The Third, Fourth and Fifth Respondents, namely Oluoch Akech, Nyambura Kamau and Wang'ombe Mutahi respectively, are adults and distributors of the said magazine.

The Applicant is represented by Mr JA *Ougo* from M/s Oraro and Company Advocates, while the Respondents are represented by Mr KA *Nyachoti* from M/s KA Nyachoti and Co Advocates.

The Applicant is a public figure in Kenya, a well-known personality in the financial sector and is presently the Governor of the Central Bank of Kenya. His complaint is that *The Independent* magazine in its issue Volume 1 Number 6 of 17 March 2000 and more particularly the lead article under the banner headlines "Central Bank boss in major sex scandal" made a scathing, unwarranted and scandalous attack against his personal character, integrity and moral standing. He has annexed to his affidavit a photocopy of the article complained of and says the author of the said article falsely and maliciously alleged that he (the Applicant) had used his position to entice married ladies to enter into illicit relationship with him and more particularly that such relationship had led to a breach of the marriage of a lady employed by Trust Bank whose husband, allegedly employed by Barclays Bank of Kenya, was comprised by payment of substantial sums through a settlement allegedly by lawyers engaged by him and the husband. There are allegations about the Applicant's salary, children's education in Britain and motor vehicles.

At the end of the article, the Respondents say: "More to follow on the man entrusted to oversee Kenya's financial sector".

The Applicant says the article does not contain the truth. It is false and scandalous, disparaging and maliciously defaming. He says the injuries caused to him cannot in any way be compensated in any form and that even if he succeeds in the suit, the Respondents, from the nature of their publication are unlikely to compensate the Applicant in damages awarded by the court or in any manner.

The Respondents on the other hand, oppose this application arguing that the Applicant can be adequately compensated through payment of damages and that no evidence has been adduced to prove that the Respondents are incapable of paying the damages that the court may award. They accept having published the article complained of but deny that the article was a scathing, unwarranted

and scandalous attack against the Applicant's personal character, integrity and moral standing. They claim that the article was based on information given at the First Respondent's offices which information was believed to be true and which the Second Respondent had no reason to doubt its accuracy. They say the article was reported without any intention to defame, without malice and assert that any view expressed therein are based on fair comment.

The Second Respondent goes on to say that as a journalist, he has the right to freedom of speech and expression as guaranteed by the Constitution of Kenya and that such freedom cannot be taken away from the press which freedom is in the public interest for shaping up the society. It is therefore submitted for the Respondents that where public interest conflicts with private interest, the public interest shall prevail and that that is the position in the instant case making the case unsuitable for the grant of an injunction.

The suit or the main suit which this chamber summons is referring to, and in which the chamber summons is herein filed, is yet to be heard. The plaint has been filed by the Applicant/Plaintiff, but the defence is yet to be filed by the Respondents/Defendants. In other words, pleadings in the main suit are not yet complete. The stage for hearing the main suit has not been reached. I am not therefore hearing the main suit. I am only hearing an application in the main suit. That application is a chamber summons which does not and should not determine the main suit. The main suit will be heard and determined later. That is when *viva voce* evidence will be adduced, tested and canvassed, evaluated and determined.

I am therefore handling this matter simply because the Applicant has come with this chamber summons application under Order XXXIX, Rule 2 of the Civil Procedure Rules and section 3A of the Civil Procedure Act. The Applicant is saying he is apprehensive the Respondents may carry out their promise to the public to publish more such articles about the Applicant. He seeks the court's protection from that further publication. It means the injunction the Applicant is seeking in this chamber summons is temporary. It is an interlocutory injunction different from the permanent injunction the Applicant, as Plaintiff, is seeking in prayer (a) of his plaint in the main suit. If an interlocutory injunction is granted therefore, it will subsist only up to the determination of the main suit as prayed in the chamber summons.

I should add that although I was fully addressed on the facts of this case during the hearing of the chamber summons, learned counsel on both sides did not think much about the relevant law apart from the two provisions of the Civil Procedure Act and Rules quoted in the heading of the application and two short paragraphs read to me by Mr *Ougo* pages 177 and 178 of the (fourteenth edition) of the book of *Gatley on Slander* where I was being told that the court has power to restrain by an injunction the publication of libels or slanders when satisfied that there is a reasonable apprehension that a defendant, unless so restrained, will continue to publish or repeat the publication of the defamatory mater of which complaint is made.

Maybe both counsel did not address me fully on the relevant law because it is not appreciated that the question of an injunction in defamation cases is treated in a special way. Here injunction is not treated in the way it is treated in other cases. I looked at the relevant authorities and considered the matter in the case of *Francis P Lotodo v Star Publishers and Magayu Magayu* in HCCC number 883

of 1998 and found that though the conditions applicable in granting an injunction as set out in the case of *Giella v Cassman Brown and Co Ltd* [1973] EA 358 generally apply, in defamation cases those conditions operate in special circumstances. Those conditions have to be applied together with the special law relating to the grant of injunctions in defamation cases where the court's jurisdiction to grant an injunction is exercised with the greatest caution so that an injunction is granted only in the clearest possible cases. The court must be satisfied that the words or matter complained of are libellous. It must be satisfied that the words are so manifestly defamatory that any verdict to the contrary would be set aside as perverse.

But how will the court be so satisfied when the application for an injunction in a defamation action is, like in the instant case, filed at the initial stage? It is filed before pleadings are closed. How will the court be so satisfied?

Further, even where the court is satisfied that the words are so manifestly defamatory that any verdict to the contrary would be set aside as perverse, can the court grant an injunction where the respondent has the defence of qualified privilege or where the respondent is pleading justification or fair comment? We will be at a stage where the court has not yet heard and seen witnesses testify. Their evidence has not therefore been tested, canvassed and evaluated. The respondent or defendant is pleading qualified privilege and therefore justification or fair comment, being a defence which defendants in actions which are not for defamation normally do not have. Does the court grant an interlocutory injunction?

From the authorities and the law I considered in the case of *Francis P Lotodo*, I found that defamation cases are special actions as far as the granting of injunctions is concerned. This is because generally and basically, actions or cases of defamation bring out a conflict between private interest and public interest, and this is more so in Kenya where we have the country's Constitution which has provisions to protect fundamental rights and freedoms of the individual including the protection of freedom of expression.

In connection with the above see what Lord Coleridge CJ, as he then was, said in the English case of *Bonnard and another v Perryman* [1891–4] All ER 965 at 968. He said:

> "It is obvious that the subject matter of an action for defamation is so special as to require exceptional caution in exercising the jurisdiction to interfere by an injunction before the trial of an action to prevent an anticipated wrong. The right of free speech is one which it is for the public interest that individuals should possess, and, indeed, that they should exercise without impediment, so long as no wrongful act is done; and unless an alleged libel is untrue, there is no wrong committed; but, on the contrary, often a very wholesome act is performed in the publication and repetition of an alleged libel. Until it is clear that an alleged libel is untrue, it is not clear that any rights at all have been infringed; and the importance of leaving free speech unfettered is a strong reason in cases of libel for dealing most cautiously and warily with the granting of interim injunctions".

Years later Lord Denning MR came to say in the case of *Fraser v Evans and another* [1969] 1 All ER 8 at 10 as follows: "There is no wrong done if it is true, or if it is fair comment on a matter of public interest". At page 12 he said:

> "It all comes back to this. There are some things which are of such public concern that the newspapers, the press, and indeed, everyone is entitled to make known the truth and to make fair comment on it. This is an integral part of the right of free

> speech and expression. It must not be whittled away. The *Sunday Times* assert that, in this case, there is a matter of public concern. They admit that they are going to injure the Plaintiff's reputation, but they say that they can justify it; that they are only making fair comment on a matter of public interest; and therefore, that they ought not to be restrained. We cannot pre-judge this defence by granting an injunction against them. I think that the injunction which has been granted should be removed. The *Sunday Times* should be allowed to publish the article at their risk. If they are guilty of libel … that can be determined by an action hereafter and damages awarded against them. But we should not grant an interim injunction in advance of an article when we do not know in the least what it will contain. I would allow the appeal accordingly and discharge the injunction".

There are three things to note from that passage. First, the interlocutory or interim injunction was being sought in that case, to prevent publication which was to be done after the hearing and determination of the application for the injunction. Secondly, parties were aware of the articles to be published and there was no dispute that the articles, when published, were going to be defamatory of the plaintiff. That was why the plaintiff was trying to prevent the publication. But the court refused to grant the injunction although the court was told by the parties that the articles were going to be defamatory. Thirdly, since the defendants were claiming they were going to justify the defamation which was to be caused to the plaintiff, the defendants had to be allowed to publish the article, but with an element of a warning that they would publish the article at their own risk. That is for example, where publication had already been done and suit filed like in the instant case, if the defendants could be ordered at the end of the suit to pay KShs 10 million without further publication, with further publication the defendants could end up being ordered, by the court, to pay an additional KShs 5 million on account of the publication made after the suit had been filed, so that the total damages payable by them could be KShs 15 million.

Having said the above, see what section 79(1) of the Constitution of Kenya which protects freedom of expression says:

> "Except with his own consent, no person shall be hindered in the enjoyment of his freedom of expression, that is to say, freedom to hold opinions without interference, freedom to receive ideas and information without interference, freedom to communicate ideas and information without interference (whether the communication be to the public generally or to any person or class of persons) and freedom from interference with his correspondence".

That section is under Chapter V of the Constitution containing provisions for the protection of fundamental human rights and freedoms It sounds like what I have been quoting from the English cases. It means the rights, freedoms, principles and conditions I am discussing in this application are rights, freedoms, principles and conditions enshrined in section 79(1) of the constitution of this country; and as I held in the case of *Francis P Lotodo*, those rights, freedoms, principles and conditions should be enjoyed by every news media, the press, newspapers, their journalists and everybody in Kenya, free from the drastic interference that may be caused by the granting of an interlocutory injunction, unless there is a substantial risk of grave injustice and the private interest in preventing the publication the Applicant seeks to prevent outweighs the public interest.

But that is on the basis that it is "in the public interest that the truth should out" when malice is discarded. The respondent or defendant must be saying the truth when the court accepts his plea of justification or fair comment before

evidence is adduced. The court is trusting him when it refuses to grant an injunction at that stage and he should not abuse that trust. In other words, the court in refusing to grant the injunction the plaintiff is asking for in defamation actions aims to protect a humane, responsible, truthful and trustworthy defendant, a defendant devoid of malice. Short of that, defendants in defamation actions should not blame the court when courts grant interlocutory injunctions, as the constitutional provisions relating to fundamental rights and freedoms of the individual, including section 79, do not give the individual, even if it is a news media, including the press, newspapers, managers, editors, journalists and all those engaged in publishing, communicating or disseminating ideas and information, absolute freedom. Their freedom is subject to the freedom of other people. The freedom is also subject to public interest, and they should do to others what they would like those others do to them. Better, they should love their neighbour as they love themselves. Otherwise it is a fundamental right of every individual under this country's constitution, see section 70(*a*), that the individual receives the protection of the law. That is why the Applicant came to this Court with this chamber summons application.

In *Francis P Lotodo*'s case, I refused to grant him the interlocutory injunction he wanted because I held the opinion that the pubic interest in the matter far outweighed the private interest of the applicant and saw no substantial risk of grave injustice being caused to him.

He had filed a suit alleging that the defendants had defamed him in various of their issues and had systematically published and/or caused to be published stories and allegations which were wholly untrue, malicious, libellous and extremely defamatory. While the defendants did not dispute publication of the words the plaintiff was complaining about, they had filed a defence in which they averred that those words were true, void of malice and libel and were therefore not defamatory and that even if they were defamatory, they were published under qualified privilege and therefore the plaintiff was not entitled to the orders he was seeking in the plaint.

When the main suit was pending, the plaintiff filed a chamber summons praying for an injunction to prevent publication of more stories about him by the defendants before the hearing and determination of the main suit. That was the application which was before me and I heard and decided it. I had had the opportunity to look at the plaint, the defence, the chamber summons and its supporting documents in addition to the submissions I heard. The opposition by the defendants in their replying affidavit in the chamber summons was substantially based on the issues in their filed defence while the plaintiff based his chamber summons on the issues in the plaint including the apprehension that the defendants were going to make further publication.

In the instant case before me, while the Applicant filed his plaint, the respondents have not yet filed their defence. I do not therefore know what the defence will contain and the documents filed by the respondents in opposition to the chamber summons do not give sufficient indication as to what the defence of the defendants will be in the main suit.

Looking at the Law of Defamation Act, Chapter 36 Laws of Kenya, there is qualified privilege of newspapers under section 7(1). But that is only if what was published was a fair and accurate report on a matter of public interest and malice is not proved. Once that qualified privilege does exist, it remains in

existence even if in the course of publishing the fair and accurate report on a matter of public interest, a matter defamatory to the plaintiff is included. That is qualified privilege as spelled out in paragraph 6 under Part II of the Schedule to the Defamation Act.

In this matter, the Respondents have not filed their defence. I have said I do not know what that defence will contain. I do not know whether it will include a defence of qualified privilege. Even if that defence will be included, I do not know how the Respondents will conduct or are conducting themselves. This is because the defence of qualified privilege can be lost by a defendant even after he has included it in his defence. This happens if the plaintiff demanded an explanation or contradiction as required under section 7(2) of the Defamation Act, and the defendant refused or neglected to give that explanation or contradiction or the defendant gave the explanation or contradiction in a manner not adequate or not reasonable having regard to all the circumstances.

I have not been told the Applicant before me demanded from the Respondents such an explanation or contradiction. I have not been told what the response if any, of the Respondents was. Perhaps I have not been given that information because it is reserved for the main trial, that is for the hearing of the main suit. It may be because of the fact that pleadings in this suit are not yet closed.

Those are statutory procedural stages to be observed by parties in a libel case before the hearing of the main suit starts in Kenya. Otherwise a defendant in such a suit may, at the time the suit is filed against him, plead, in his filed defence, a defence of qualified privilege and therefore a plea of "justification" or "fair comment" only to discover at the time the main suit is heard, that he has already lost that defence through failure to observe the requisite technicalities of the law. That happens where the defendant has filed a defence. In the case before me, Respondents/Defendants have not yet filed a defence.

The law with regard to the granting of a temporary or an interlocutory injunction in defamation cases comes to the protection of the defendant where he has filed a defence so that it can be seen whether or not he has pleaded defence of "justification" or "fair comment". Otherwise the defendant should show by affidavit that he is going to plead the defence of "justification" or "fair comment".

In the case of *Bonnard and Another vs. Perryman* mentioned earlier, it was said:

> "Although the publication, if true, would clearly be libellous, an interlocutory injunction will not be granted where the defendant pleads justification unless the court can be sure his defence cannot be sustained at the trial and that the plaintiff will receive more than nominal damages".

Here pleadings had been closed and the court had no problem.

In *Fraser v Evans and others* also referred to earlier, it was held: "The court would not restrain the publication of an article, even though it was (defamatory) when the defendants said that they intended to plead justification or fair comment".

In that case the defendants only intended to plead justification or fair comment. It was because they were to be restrained from publishing before they published the article the plaintiff feared could be published and defame him. The defendants admitted that the article, when published, would be defamatory

of the plaintiff but said that, if they were sued, they would plead justification or fair comment.

The court said it could not restraint the defendants when the defendants said they intended to justify the article or to make fair comment on a matter of public interest. The defendants had said that through a replying affidavit. The court went on to say:

> "That has been established for many years ever since *Bonnard v Perryman (I).* The reason sometimes given is that the defences of justification and fair comment are for the jury, which is the constitutional tribunal, and not for a judge; but a better reason is the importance in the public interest that the truth should out".

That case, from what I have just quoted, makes clearer the two reasons upon which courts in England refuse to grant interlocutory injunctions. Since courts in Kenya do not need the services of juries and judges make their own decisions in civil cases it is the second reason which is of interest to me: "[T]he importance in the public interest that the truth should out". *Gatley on Libel* (8 ed) from at 641 paragraph 1574 says: "When once a defendant says that he is going to justify (the words complained of), there is an end of the case so far as an interim injunction is concerned".

That reads more or less, like a passage from Mr Richard Kuloba's book titled *Principles of Injunctions* at 102 where the subject of his discussion is "injunctions to restrain defamation". He states: "When once a defendant says that he is going to justify the words complained of, there is an end of the case so far as a temporary injunction is concerned; and it will be refused even if the words complained of are *prima facie* libellous and untrue". Mr Richard Kuloba is now a judge of the High Court of Kenya.

The learned author, like Mr Gatley, says the court will intervene to stop further or future publication of matter, slander or libel, which is injurious to the plaintiff. But at the same time the court will not do anything which will unnecessarily interfere with the cherished principle of freedom of expressing the truth. "Accordingly", he adds, "although the court has jurisdiction to grant an interlocutory injunction to restrain a defendant from further publishing libellous matters of and concerning a plaint, this jurisdiction will be exercised with great caution". He concludes:

> "The importance of leaving free speech unfettered is the strong reason in cases of defamation for dealing most cautiously and warily with granting temporary injunction. So no injunction will be granted where the defendant swears that he will be able to justify the words and the court cannot say whether the libel or slander complained of it untrue".

The Respondents/Defendants in this chamber summons have not shown either by a filed defence or by a sworn affidavit that they will justify the words complained of. The replying affidavit they rely upon deponed by the Second Respondent, Kiprono arap Kemei, constitutes a denial of the alleged defamation only. Paragraph 4 is the most important. It denies that the words complained of were defamatory and explains that the publication was based on information given at the First Defendant's offices which information was believed to be true and the Second Respondent had no reason to doubt its accuracy and reported it without intention to defame and without malice and asserts that any views expressed therein are based on fair comment. The paragraph states:

> "That the contents of paragraph one and two of the Plaintiff's sworn affidavit save that the publication of the 'The Independent' in its issue Volume I of March 17 inclusive of the article complained of Central Bank boss in major sex scandal was not a scathing unwarranted and scandalous attacks against the Plaintiff's personal character, integrity and moral standing but to the contrary the same was based on information given at the First Defendant's offices which information was believed to be true and which I had no reason to doubt its accuracy and the said article was reported without any intention to defame without malice and any views expressed therein are based on fair comment".

I do not take what is being said in that paragraph or in any other paragraph of that affidavit, to mean that the Respondents are swearing that they will be able to justify the words complained of either in the article published on 17 March 2000 or in any articles that are intended to be published as promised at the end of the article complained of. I take into account Mr *Nyachoti*'s submissions before me that if the Applicant is alleging the article is defamatory and untrue, what the Applicant is alleging will have to be proved by *viva voce* evidence at the hearing of the main suit and that the information which was published was so published by the Respondents believing the same to be true and was published without any malice or intention to defame.

But in the absence of a filed defence containing a plea of "qualified privilege of the press" and therefore a plea of "justification" or "fair comment" and alternatively in the absence of the Respondents' sworn affidavit, in the chamber summons, containing the aforementioned pleas, I do not take what is contained in the Respondents' replying affidavit filed on 3 April 2000 and the submissions by Mr *Nyachoti* to have included the Respondents' swearing that they will be able to justify the words complained of and that they are going to plead justification or fair comment in their defence. If the Respondents intend to do that, those facts should have been clearly and specifically deponed in an affidavit, if not in the replying affidavit which is already filed.

The law as I understand it is that those pleas be either in a filed defence or in a filed affidavit at the time of hearing an application for an interlocutory injunction. That is where a defence has been filed, those pleas must be in the filed defence. Where a defence has not yet been filed, those pleas must be in the Respondents' filed affidavit. Where the pleas are neither in a filed defence nor in a filed affidavit, as in the matter before me now, I do not think the court should accept or say that the Respondents or Defendants have those pleas and should not therefore treat the Respondents as if they have those pleas. Consequently I will not treat the Respondents herein as having those pleas and the case for an interlocutory injunction against the Respondents does not end here because I should now move to the conditions for granting an interlocutory injunction as set out in the case of *Giella v Cassman Brown* already referred to earlier.

The Court of Appeal for East Africa having stated in that case that the conditions for the grant of an interlocutory injunction were well settled in East Africa, went ahead to list the following three conditions:

> "First, an applicant must show a *prima facie* case with a probability of success.
>
> Secondly, an interlocutory injunction will not normally be granted unless the applicant might otherwise suffer irreparable injury, which would not adequately be compensated by an award of damages.
>
> Thirdly, if the Court is in doubt, it will decide an application on the balance of convenience".

Starting with the first condition, the Respondents have not yet filed a defence to the Applicant's plaint filed on this matter to institute this suit. The matter is still at an initial stage and I do not know how the defence, if filed, will look. But I have seen the plaint and from the comments I have already made concerning some of the provisions of the Defamation Act, in the absence of a filed defence, I think the Applicant has a *prima facie* case with a probability of success.

If that conclusion is not sufficient, let me move on to consider the second condition. The Applicant says that having been already defamed by what the Respondents have published, he will be defamed more if the Respondents are left to publish further articles and he fears he will not be adequately compensated by an award of damages. Moreover the financial standing of the Respondents is not known and their ability to pay high damages doubted.

The Respondents on the other hand say that the Applicant has failed to adduce evidence to show that they are incapable of paying the damages that may be awarded. But having said that, the Respondents do not go on to show that they are capable of paying the damages. They merely say they can pay and stop there.

Look at the status of the Applicant in society and the seriousness of the allegations already made against him. If the Respondents do not succeed in their defence, they are already liable to pay heavy compensation in damages. If therefore the Respondents are going to be allowed to publish more and similar articles about the Applicant, the Applicant may be defamed more not only increasing the quantum of the compensation to be paid, but the defamation may as a result be so injurious that he may thereby suffer irreparable injury which may not adequately be compensated by an award of damages.

That leaves me with the third condition in *Giella v Cassman Brown*. This condition was not discussed by both advocates. The balance of convenience. But upon the basis that the publication complained of has already caused some injury to the Applicant it could be stressed that if the interlocutory injunction is not granted, the Respondents would make further publications from which the Applicant will suffer more injury which may finish him completely.

The Respondents whose defence is yet to be known, cannot convincingly claim that what is complained of is not defamatory and that therefore what is intended to be published is not going to be defamatory and they cannot go on to claim the plea of justification or fair comment on matters of public interest as it is not even known whether they will have the defence of qualified privilege of newspapers. In the circumstances, it is my opinion that the balance of convenience tilts in favour of the Applicant as I think the inconvenience which the Applicant will suffer by the refusal of the court to grant the injunction is greater than the inconvenience which the Respondents will suffer, if the injunction is granted. Indeed there is a substantial risk of grave injustice to be caused upon the Applicant.

Before I conclude, I will try to correct three things. First, the right of a journalist to freedom of speech and expression as guaranteed by the Constitution of Kenya is not absolute and it is not correct for the Respondents to say that that right cannot be taken away from the press. I have already discussed the limitation to freedom of expression elsewhere. Secondly, it is not sufficient and I think it is dangerous and not good, for a journalist to disseminate information based solely on good faith. He should base the information on factual truth if he

expects the law to protect him. Thirdly, it is not correct to say, as the Respondents say, that: "Where public interest conflicts with private interest, the public interest shall prevail". This is public interest v private interest in defamation actions and the end result is not always the same. The result can be in favour of the public interest or in favour of the private interest. If there is a substantial risk of grave injustice and the private interest in preventing the publication the Applicant seeks to prevent outweighs the public interest, then the court will declare that private interest prevails over public interest, and from my discussion in this chamber summons dated 13 March 2000, that is exactly the way I am ending this ruling.

There being a *prima facie* case with probability of success in favour of the Applicant who may also suffer injurious and irreparable injury as compensation by way of an award of damages may not be adequate and the balance of convenience is tilting in his favour in this suit where it is not known whether the Respondents have a defence of qualified privilege of newspapers and therefore a plea of justification of fair comments, it is my humble opinion that the private interest of the Applicant far outweighs the public interest the Respondents purport to serve as there is a substantial risk of grave injustice being caused to the Applicant if the interlocutory injunction prayed for in the chamber summons is not granted.

Accordingly, the said chamber summons be and is hereby granted as prayed, the publication, circulation or dissemination being restrained by this interlocutory injunction relating only to publications done after the date of this ruling.

For the Applicant:
Mr JA Ougo instructed by *M/s Oraro and Company*

For the Respondents:
Mr KA Nyachoti from M/s KA Nyachoti and Co

Cogecot Cotton Co Ltd v Tanzania Marketing Board
[2000] 2 EA 382 (HCT)

Division:	High Court of Tanzania at Dar-Es-Salaam
Date of Ruling:	26 January 2000
Case Number:	34/96
Before:	Mapigano J
Sourced by:	A Bade
Summarised by:	H K Mutai

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[1] Bankruptcy – Attachment of property – Application by decreee – Holder to sell attached assets belonging to public corporation – Corporation placed under receivership of Parastatal Sector Reform Commission – Whether attached property should be released to receiver – Section 43 – Public Corporations (Amendment) Act 1993 – Sections 9(1), 38 and 45 – Bankruptcy Ordinance (Chapter 25).

Editor's Summary

The powers vested in the Parastatal Sector Reform Commission under section 43 of the Public Corporations (Amendment) Act go beyond those vested in an

ordinary receiver under the Bankruptcy Ordinance. Those powers include, *inter alia*, the power to write off any debt of a private debtor and the power to reschedule the payment of such debt. Accordingly, the inference must be drawn that where the Commission has been constituted the official receiver of a specified public corporation, a decreeholder's title over attached property does not prevail over that of the Commission.

No cases referred to in judgment

Ruling

MAPIGANO J: Cogecot Company SA holds a decree of this Court against the Tanzania Cotton Lint and Seed Board, a public corporation. Writs of execution of the decree have issued against the judgment debtor, that is, an order for attachment of immovable assets and a prohibitory order in respect of moneys in various bank accounts, and those orders have been carried out. Cogecot has brought an application for an order for sale of the immovable assets, but an objection has been taken by the Presidential Parastatal Sector Reform Commission (hereinafter "the Commission"). The Commission seeks an order dismissing Cogecot's application; setting aside the order for attachment of the immovable assets; and directing the court broker to release those assets to the judgment debtor.

The Commission is a statutory body established under the provisions of section 21 of the Corporations Act, 1992, as amended by the Public Corporations (Amendment) Act, 1993. It is conferred with powers of restructuring or liquidating parastatal bodies which have been specified in accordance with that Act. It is admitted by Cogecot and it is clear that the judgment debtor has been declared such a specified public corporation by the Minister of Finance *vide* GN 330A published on 12 July 1998. With effect from the date of operation of the GN the judgment – debtor has been placed under the Commission for restructuring or liquidating purposes. It also admitted by Cogecot that the Commission was, by virtue of section 43(1) of the Public Corporations (Amendment) Act, 1993, constituted the official receiver of the judgment debtor from the date of the publication of the GN, and that it has power and all rights of a receiver appointed in accordance with or pursuant to the Bankruptcy Ordinance, Chapter 25.

Accordingly, by virtue of section 9(1) of Chapter 25, the Commission became receiver of the judgment debtor's property and entitled to take possession; all remedies enjoyed by creditors except secured creditors, whose debts are provable in bankruptcy, are barred, and such creditors are left with a right to prove in bankruptcy; all actions and proceedings against the property and the estate of the debtor are stayed unless their continuance is sanctioned by the court. Citing that provision, Mr *Mselem* who advocates for the Commission makes the following contentions. First, that to entertain Cogecot's application for an order for sale would be illegal. Second, that since the assets of the judgment debtor have been placed under the Commission they cannot he attached or sold by Cogecot. Third, that since the same assets have been attached in miscellaneous civil case number 58 of 1996 of this Court, which is not in dispute, it would be absurd to grant Cogecot's application.

Learned counsel for Cogecot, Captain *Kameja*, thinks otherwise. He contends that section 9(1) should be read subject to section 45 of the Ordinance. Insofar as it is relevant to the matter at hand, sub-section (1) of the latter section provides that where a creditor has issued execution against the lands of a debtor, he shall not be entitled to retain the benefits of the execution against the trustee in bankruptcy of the debtor, unless be has completed the execution before the date of the receiving order, which in this case is to be equated with the date of the publication of GN 330A of 1998. By subsection (2) of that section, execution against land is completed by seizure. Captain *Kameja* accordingly submits that since Cogecot had completed execution upon the lands of the judgment debtor before the date of the publication of the GN, the execution is protected against the operation of section 9(1) of the Ordinance. With regard to the execution which has issued in miscellaneous civil case number 58 of 1996, Captain *Kameja* says, and he is right, that the law does not prohibit multiple attachments.

The question arises as to whether Cogecot had completed execution upon the assets before the date of the application of the GN 20 is not in dispute that the warrant for the attachment of those assets was executed by the court broker before the GN was published, and the court broker took possession thereof. To my mind, seizure, in the context of section 45 of the Ordinance, may be reasonably construed to mean taking possession of the land in question. It seems to me, therefore, that under that section Cogecot would be entitled to retain the benefits of the execution against the Commission.

The crucial question, however, is whether it would be proper to let Cogecot retain such benefits and proceed with the sale of the assets, given the provisions of section 43(2) of the Public Corporations (Amendment) Act, 1993. I respectfully think not. As already stated, the Commission has the power and all the rights of a receiver appointed in accordance with or pursuant to the Bankruptcy Ordinance. But Mr *Mselem* has made a valid point that in actual fact the Commission enjoys wider powers than those vested in a receiver by the Ordinance.

Under section 43(2)(*b*) of the Act, the Commission is empowered, *inter alia*, to write off any debt of a private creditor; and to reschedule the payment of such debt. The inference must be that unlike an ordinary receiver, the Commission is not obliged to give priority to the preferential debts enumerated under section 38 of the Ordinance. I am of the opinion, therefore, that to let Cogecot's title prevail over the Commission's would be the negation of section 43(2)(*b*) of the Act. For this reason, the objection is upheld.

Accordingly, the attachment is raised and the assets under that attachment are to be released to the Commission.

For the Applicant:
Information not available

For the Respondent:
Information not available

Galaxy Paints Co Ltd v Falcon Guards Ltd
[2000] 2 EA 385 (CAK)

Division: Court of Appeal of Kenya at Nairobi

Date of judgment: 14 April 2000

Case Number: 219/98

Before: Gicheru, Shah and Bosire JJA

Sourced by: LawAfrica

Summarised by: H K Mutai

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[1] Practice – Trial – Pleadings – Issues for determination – Whether a court could pronounce judgment on issues not pleaded or framed for its determination – Whether the Appellant could rely on an issue that had not been pleaded at trial – Orders XIV and XX – Civil Procedure Rules.

Editor's Summary

Some time in 1982, the Appellant engaged the Respondent to provide one day and one night guard for its factory in the industrial area of Nairobi. Though no written contract was executed, a document containing the standard conditions on which the guards were provided was delivered to the Appellant for signature. The Appellant never signed the document nor did it object to any of its terms. The document contained an exemption clause that provided, *inter alia*, that the company would not be responsible to the client under any circumstances for any deliberate wrongful act committed by an employee in or with reference to the services provided. On the night of 27 or 28 August 1984, 45 drums of assorted chemicals, each weighing 200 kilograms, were stolen from the Appellant's premises. The guard on duty failed to either raise any alarm or do anything to prevent the burglary and theft and it was not until the morning of 28 August that the Appellant's employees discovered the theft. The Appellant sued the Respondent claiming KShs 219 975, being the value of the stolen drums, on the grounds that the theft occurred due to the negligence of the Respondent's guard.

The trial Judge found as fact that the relationship between the parties was governed by the document delivered to the Appellant and that a theft had indeed occurred. He also found that the Respondent's guard must have participated in the theft either passively or actively and that, as a result, the Respondent was not liable due to the exemption clause in its standard conditions of contract.

On appeal, counsel for the Appellant submitted that the trial Judge erred in finding that the guard must have participated in the theft and surmised that the guard must have been absent when the theft took place. The Respondent argued that the Appellant's case as pleaded and presented to court was based on the guard's negligence not on his absence from the factory, that the case had been correctly heard and decided on that basis and that consequently, the trial Judge could in no way be faulted for his conclusions.

Held – The issues for determination in a suit generally flowed from the pleadings and a trial court could only pronounce judgment on the issues arising from the pleadings or such issues as the parties framed for the court's determination. Unless pleadings were amended, parties were confined to their pleadings; *Gandy v Caspair* [1956] EACA 139 and *Fernandes v People Newspapers Ltd* [1972] EA 63 considered. Accordingly, the possibility of the Respondent's guard being

absent on the material night not having been included in the agreed issues, it was not open to the trial Judge to consider that issue. The judge had considered and dealt with all the issues agreed on by the parties and there was no basis upon which to interfere with his decision.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Fernandes v People Newspapers Ltd [1972] EA 63 – **C**

Gandy v Caspair [1956] EACA 139 – **C**

Judgment

GICHERU, SHAH AND BOSIRE JJA: The Appellant, Galaxy Paints Company Ltd, which we shall hereafter refer to as "the Appellant", unsuccessfully impleaded, Falcon Guards Ltd, hereafter referred to as "the Respondent", for pecuniary damages of KShs 219 975 being the value of 45 drums of assorted chemicals, each weighing 200 kilos, which were stolen in the course of a burglary at its premises in the industrial area of Nairobi. The Appellant's case was that the Respondent was contractually bound to provide two guards, one at day time and the other at night time, who would be stationed at the factory to prevent any breakage into and theft from the factory premises, but due to negligence on the part of its guards, a burglary and theft took place.

In dismissing the Appellant's claim, the trial Judge, Akiwumi J (as he then was) found as fact, *inter alia*, that indeed 45 drums of assorted chemicals were stolen as claimed, that their value was as pleaded in the plaint, that the Respondent's guards either actively or passively participated in burglary and theft and that because of that the Respondent was not liable because of an exemption clause in the Respondent's standard conditions of contract, which both parties in this appeal agreed, governed their contractual relationship. He therefore dismissed the Appellant's case and thereby provoked this appeal.

Several grounds of appeal were raised in the memorandum of appeal, but when the appeal came on for hearing Mr *Le Pelley* for the Appellant, narrowed them to only one, namely, whether on the evidence before the trial court, the trial Judge was justified in finding that the Respondent's guards must have passively or actively participated in burglary and theft, the subject matter of this litigation.

In or about 1982, at the request of the Appellant, the Respondent, a limited liability company incorporated in Kenya which provides security guards to desiring persons, agreed to provide one day and one night guard for its factory in the industrial area of Nairobi. No written contract was executed, but evidence was adduced to the effect that the Respondent delivered to the Appellant a document containing standard conditions upon which the guards were provided, which document had a form for the Appellant to complete and sign but which it failed to do. The Appellant never raised any objection to any of its

terms. One of the conditions on that document was an exemption clause from liability, which read thus:

> "General provisions as to liability of company: The Company in providing services and acting for the purposes of the contract herein, will (to the extent only set out below) be responsible for any want of proper care on the part of the company itself in the selection or employment of the employee put on and in charge of such services. Subject thereto the company shall not be responsible to the client under any circumstances whatever for any deliberate wrongful act committed by an employee of the company in or with reference to such services or otherwise. The company shall, so far as concerns any loss suffered by the client through burglary, theft, fire or any other cause (to the extent only set out below) be liable only if and so far as such loss is caused by the sole negligence of the company's employees acting within the course of their employment".

The trial Judge found as fact that the standard conditions aforestated governed the relationship between the parties herein, and on that, there is no dispute. He also found that the Appellant's claim was based on breach of a term thereof. Whilst the contract was still in force, the Appellant's factory was burgled and the 45 drums of assorted chemicals were stolen. The guard on duty, an employee of the Respondent, neither raised an alarm nor did anything to prevent the burglary and the theft. The burglary and theft, as found by the trial Judge, happened this way.

The Appellant's factory which abuts Kitui Road had a chainlink wire fence around it and another one within the factory compound surrounding an open yard where the Appellant stored the drums containing assorted chemicals. The burglars made an opening on each of the two fences and gained access into that yard. They rolled and spirited away 45 of those drums on or about the night of 27 and 28 August 1984. There was only one guard on duty. He was not called to testify, but the evidence which was adduced and accepted by the Learned trial Judge was to the effect that the guard neither raised any alarm nor took any other steps to warn the police or the guards in the neighbouring premises about the burglary, nor did he activate the burglar alarm which the Appellant, by private arrangement with the guards, had provided to him. He did not report the burglary and theft to anybody. The theft was discovered by the employees of the Appellant on the morning of 28 August 1984.

The Learned trial Judge after evaluating that evidence and the further evidence that the drums which were stolen were heavy, and that each of them needed more than three men to load onto a lorry, came to the conclusion that the loading must have taken quite a long time, a fact which would not have escaped the attention of the guard on duty. Consequently, he said, the circumstances were such that the guard was either passively or actively involved in the act, which act, in his view, brought the Respondent within the exemption clause, aforequoted.

In his submissions before us, Mr *Le Pelley* stated that in order to be entitled to rely on the exemption clause the Respondent was obliged to but failed to show that it did all that it was bound to under the contract. He surmised that the Respondent's guard must have been absent when the burglary took place, otherwise he would have triggered the distress alarm or shouted for help.

Mr *Ojiambo* for the Respondent, in answer to that submission, expressed the view that the Appellant's case as pleaded in the plaint and as presented to the court was not that the Respondent's guard was absent from the Appellant's factory, but that the guard was present but was negligent. The trial Judge he said, heard and decided the case on the basis of the pleadings and he could not therefore, be properly faulted in that regard.

It is trite law, and the provisions of Order XIV of the Civil Procedure Rules are clear, that issues for determination in a suit generally flow from the pleadings, and unless pleadings are amended in accordance with the provisions of the Civil Procedure Rules, the trial court, by dint of the provisions of Order XX, Rule 4 of the aforesaid Rules, may only pronounce judgment on the issues arising from the pleadings or such issue as the parties have framed for the court's determination.

In *Gandy v Caspair* [1956] EACA 139 it was held that unless the pleadings are amended, parties must be confined to their pleadings. Otherwise, to decide against a party on matters which do not come within the issues arising from the dispute as pleaded clearly amounts to an error on the face of the record. And in *Fernandes v People Newspapers Ltd* [1972] EA 63 Law AVP said: "A civil case is decided on issues arising out of the pleadings. No allegation of negligence against the Appellant has ever been made, and it was not open to the court to find negligence on his part".

The issues in this case were agreed upon between the parties, and the Learned trial Judge, in a well-considered judgment, dealt with all those issues on the basis of the evidence which was before him. None of those issues related to the possibility of the Respondent's guard being absent from the Appellant's factory on the material night of the burglary and theft in that factory. Was it therefore open to the Learned trial Judge to consider the issue? In our view no. Even if he was minded to do so, there was no evidence before him to lead to that conclusion. The Appellant's case as pleaded was, as rightly pointed out by the trial Judge, based on alleged negligence on the part of the Respondent's employees and the particulars in that regard were that he failed to exercise due care, or remain alert, failing to warn or give any alarm of burglary, or to prevent it or to notice those who committed the burglary. Nothing was alleged about him being absent at the time of the burglary. That being so, and the Appellant having not based its case on fundamental breach of the contract of service between the parties, it is our judgment that the Learned trial Judge, quite properly came to the conclusion that the guard or guards were either passively or actively involved in the burglary and theft which gave rise to this suit. The evidence and the circumstances of the case clearly support that conclusion. We find no basis for interfering with the decision.

In the result, we dismiss the appeal with costs to the Respondent both here and in the court below.

For the Appellant:
Mr Le Pelley

For the Respondent:
Mr Ojiambo

Kaganda v Mzumbe
[2000] 2 EA 389 (HCT)

Division: High Court of Tanzania at Dar-Es-Salaam

Date of judgment: 4 September 1998

Case Number: 121/97

Before: Mackanja J

Sourced by: A Bade

Summarised by: H K Mutai

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[1] Appeal – Industrial dispute – Appeal from the Industrial Court – Procedure to be followed – Jurisdiction to hear appeal – Whether the Civil Procedure Code applies to appeals from the Industrial Court – Whether a single judge of the High Court has the jurisdiction to hear an appeal from the Industrial Court – Section 27(I)C – Industrial Court Act.

Editor's Summary

The decision of the High Court in *OTTU (on behalf of PP Magasha) v Attorney-General* that section 27(I)C of the Industrial Court Act was unconstitutional to the extent that it deprived a person of his basic right of appeal except on grounds of jurisdiction, left a lacuna in the appeal procedure by failing to provide for the proper procedure to be followed in appeals from the Industrial Court. The responsibility for filling this void lay with Parliament, which had the power to legislate an appropriate appellate procedure. In the absence of such legislation, there was nothing in any statute to justify the hearing by a single judge of the High Court of an appeal from the Industrial Court, especially in view of the fact that the Industrial Court did not fall within the definition of the words "subordinate court". Accordingly, until Parliament legislated otherwise, appeals from the Industrial Court should lie to the High Court sitting as a full Bench as was the case with references to the High Court for revisions of Industrial Court proceedings under the remaining part of section 27(I)C.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Harman Singh Bhogal v Jadva Karsan [1953] EACA 17

OTTU (on behalf of PP Magasha) v The Attorney-General and another civil case number 53 of 1994

R v Industrial Court, Ex parte Aeronautical Engineering Association [1953] 1 Lloyd's Report 597

Judgment

MACKANJA J: This appeal arises from the decision of the Deputy Chairman of the Industries Court in trade dispute number 18 of 1994. The Appellants lodged the trade dispute to challenge the Respondent's decision to terminate their contracts of employment. At the end of the trial the Industrial Court found for them. They could not execute the award under which they were to

be re-instated because the Respondent successfully applied for stay of execution. It is this stay of execution that the appeal is all about. The memorandum of appeal is accompanied only by the ruling, but the drawn order staying the execution and from which it is appealed, does not accompany the memorandum of appeal. When I noticed that omission I invited the parties to argue, *inter alia*, whether or not Order XXXIX, Rule I as read with Order XL, Rule 2 apply to the memorandum of appeal in these proceedings.

The Appellants have made a spirited argument regarding procedures that should govern their appeal. They contend, with considerable verve, that there is no law under which appeals to this Court are to be pursued. They argue Civil Procedure Code is meant for civil cases, unless so specifically stated within the Code itself or in any other statute of relevance to a case such as this one. The force in the Appellants' arguments the Respondents with the unenviable task of rebutting those arguments, for indeed there is no statute at the moment that provides for appeals from the Industrial Court to this Court.

Mr *Kisusi*, learned counsel for the Respondent, tackled his task with great clarity. As is obvious from his arguments, he also believes that this Court is not a proper forum for appeals from the Industrial Court because there is no statute which has created such a procedure. It is his contention that a right to appeal can only be founded on a statute. He cites two cases as authority for this: *Harman Singh Bhogal v Jadva Karsan* [1953] EACA 17 at 18 and *R v Industrial Court, Ex parte Aeronautical Engineering Association* [1953] I Lloyd's Report 597 at 601.

Learned counsel has made the point that even though this Court has declared as unconstitutional section 27(I)C of the Industrial Court Act of 1967 to the extent it deprives a person of his basic right of appeal except on grounds of jurisdiction in terms of civil case number 53 of 1994, the Court stopped short of saying:

(a) to which court a person aggrieved by a decision of the Industrial Court on grounds other than lack of jurisdiction may appeal;

(b) in what form the appeal should be;

(c) who should sit to determine the appeal;

(d) in how many days the appeal should be made, and

(e) the powers which the appellate court should have when determining appeals from the Industrial Court on matters other than lack of jurisdiction.

This point, albeit in a lay way, has also been raised by the Appellants. In fact, they have gone further. They argue, in effect, that a decision that decisions of the Industrial Court are appeallable is usurpation of legislative functions which defeats the whole purpose of separation of powers. They argue, and the argument is quite tempting, that the question of legislation belongs to Parliament. Mr *Kisusi* is at one with the Appellants on the question of legislative functions when he argues that the power to enact laws rests with Parliament. So once this Court declared section 27(I)C of the Industrial Court Act to be unconstitutional, it remained for Parliament to enact provisions of law enabling persons aggrieved by decisions of the Industrial Court on grounds other than lack of jurisdiction to appeal to whatever forum Parliament was going to set up or to

seek such other remedy as Parliament considered fit. That forum need not be this Court. I am persuaded to accept this argument.

Learned counsel's submissions remind me of the English system of industrial justice. In England they have industrial tribunals which are headed by judges. Anyone aggrieved by their decisions may appeal to the Employment Appeals Tribunal. So who knows, maybe Parliament may be inclined to emulate that system. They say, and I am a believer in it, that Parliament has undoubted wisdom. It would not have been impossible for that august body to come out with legislation which would take care of all the complications which have been brought about by a decision of this Court which all fair-minded people would say is a milestone in the development of our young jurisprudence in the field of human rights.

I admire the zeal with which Mr *Kisusi* has approached the problems which were created when, for the first time in the history of this nation, workers and their employers have been given access to another judicial institution in search of justice. He has taken up the issue with the Attorney-General to whom he made very impressive proposals, stressing that the right of appeal is not governed by any general principles. I agree. It must be conferred by statute. Mr *Kisusi* backed up his arguments with the authoritative and scholarly works of SA de Smith in his *Administrative Law* (3 ed) at 14. This is in addition to the two cases he has cited to me in this appeal. The suggestions he put to the Attorney-General are very sound. Let me emphasise the fact that our country needs a dynamic law that has to be abreast of changing circumstances. It will do a lot of good to this country, and particularly to industrial justice, if the government took serious account of the need to take steps to streamline the Industrial Court of Tanzania Act of 1967, with the decision of this Court in *OTTU (on behalf of PP Magasha) v The Attorney-General and another* civil case number 53 of 1994.

The *Magasha* case has left a *lacuna* in the appeal procedure. What, then can be done before the position is normalized? The answer is not easy to find.

It is public knowledge that the Industrial Court is headed by a judge of the High Court. I can find nothing on the statute book which could justify an appeal from this Court to be heard by a single judge of the same Court. That is probably why a reference to this Court for revision of revisional proceedings of the Industrial Court under the remaining part of section 27(I)C is done by a full Bench of this Court. In fact a full Bench sat to decide *Magasha*'s case.

I have not lost cognizance of the fact that the Industrial Court does not fall within the definition of the words "subordinate court". One would say, then, that the High Court is not seized of appellate jurisdiction over decisions originating from the Industrial Court. On the same parity of reasoning the Industrial Court, though headed by a judge, is not equivalent to the High Court, nor, unlike the Loans and Realisation Trust Tribunal whose decisions are declared to be equivalent to those of this Court in terms of the Loans and Advances Realisation Trust Act, do the decisions of the Industrial Court rank *pari passu* with the decisions of this Court. In these circumstances the Industrial Court lies somewhere between courts subordinate to this Court and this Court. This being the case, and in order to bring credence to our judicial system, appeals from the Industrial Court should lie to the High Court sitting as a full Bench unless and until Parliament, in its undoubted wisdom, deems it necessary to

legislate on an appellate procedure or if the Court of Appeal, on an appeal to it, directs otherwise. That being my view, I feel I will not act *intra vires* my powers if I go on to determine the appeal on the merits. That should be done by this Court sitting as a full Bench. The appeal, therefore, remains intact.

Accordingly, the record of proceedings shall be remitted to the honourable the judge-In-charge to re-assign it to a full Bench of this Court.

For the Appellant:
Information not available

For the Respondent:
Mr Kisusi

Karmali v Shah
[2000] 2 EA 392 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	26 May 2000
Case Number:	178/97
Before:	Akiwumi, Tunoi and Bosire JJA
Sourced by:	LawAfrica
Summarised by:	H K Mutai

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[1] Evidence – Documentary evidence – Documents produced by Plaintiff and not challenged by Defendant – Weight to be placed on such documents – Whether such documents can form basis for judgment in Plaintiff's favour.

Editor's Summary

On 21 June 1994 the Appellant's vehicle was involved in an accident with a vehicle belonging to the Respondent. The Appellant then filed suit against the Respondent on the basis of negligence on the part of the Respondent's driver claiming damages for, *inter alia*, loss of user for the three weeks it took to repair the vehicle. The parties subsequently agreed that the Respondent be liable for the cost of the police abstract and investigator's fees as well as 80% of the proved damages. At the trial, the only witness to testify was the Appellant's general administrator who gave evidence to establish the average monthly income earned by the vehicle and produced various documents to back its claim in respect of loss of user. The hearing was then adjourned by consent to 21 April 1997 for assessment of damages. On that date, the Respondent applied for an adjournment of the hearing but the application was denied. Counsel for the Appellant then made his submissions to which no submissions in reply were recorded. On 15 May 1997, the trial Judge dismissed the Appellant's claim for special damages for loss of user on the ground that the Appellant had failed on a balance of probability to prove his claim for loss of use and income. On appeal.

Held – The documents produced by the Appellant were not challenged and provided *prima facie* evidence of the special damages suffered. The fact that the documents were produced by the Appellant did not mean that they were unreliable. Additionally, the circumstances of the case as a whole including the Respondent's behaviour in not really caring what happened in the case showed that the trial Judge erred in rejecting the unassailed documentary evidence of

the Appellant. Accordingly, the appeal would be allowed and the Respondent ordered to pay the proved special damages less the 20% agreed contributory negligence.

Case referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Mbogo and another v Shah [1968] EA 93

Judgment

AKIWUMI, TUNOI AND BOSIRE JJA: The Appellant's large vehicle, a prime mover with a tanker trailer, was on 21 June 1994 involved in an accident with the Respondent's vehicle, a semi-trailer tanker. The Appellant, alleging negligence on the part of the Respondent's driver who at the time was driving the Respondent's semi-trailer tanker, sued the Respondent for damages for the extensive damage done to his large vehicle and for the resultant loss suffered by him. In this respect, the Respondent sought special damages, *inter alia*, for the cost of repairs and the pre-accident value of his large vehicle, and for loss of user for the three weeks that it took to repair the large vehicle at the rate of KShs 25 000 per day making a total of KShs 525 000. Subsequently, it was agreed by consent that apart from the Respondent being liable in full for the cost of a police abstract of KShs 100 and the investigator's fees of KShs 13 939, the Respondent be only liable for 80% of the proved damages sustained.

Kenneth Karike, an advocate from Kampala who was employed as the legal adviser and general administrator of the Appellant's business, was the only one who gave evidence at the trial held by Juma J. The purpose of his evidence was to establish the average income which, prior to the accident, the Appellant's large vehicle earned per month, and upon which the Appellant's claim for loss of user could be based. He said that this was between US$ 9 000 and US$ 9 100. In support of this, he produced without any objection by the Respondent or the Learned Judge two invoices respectively, for trips made by the large vehicle between 22 February and 17 March 1994, and during April 1994. He also produced copies of the two letters from the Appellant acknowledging receipt of the payments made in respect of the invoices. The validity of these invoices and the letter of acknowledgement of payment were not challenged. After this, the matter was stood over by consent to 21 April 1997, for the assessment of damages. On that date, the Respondent applied for an adjournment, which the Learned Judge dismissed in the following significant words: "The hearing date was obtained by consent. It appears the Defendant is not serious with this case. Previous applications for adjournment were at the request of the Defendant. Application for adjournment refused".

After this ruling, the Learned Judge upon the application of the Appellant dismissed the Respondent's counterclaim for non-attendance by the Respondent. Counsel for the Appellant then made his submissions and with respect to the loss of use, drew attention to the invoices and the letters of acknowledgment and to the current rate of exchange of the US Dollar to Kenya Shillings namely, KShs 56 to the US Dollar. According to him, the first and second

invoices and their corresponding letters of acknowledgement demonstrated respectively, a loss of use at the rate of KShs 24 128 and KShs 24 656 a day. He then asked for KShs 25 000 a day for three weeks namely, KShs 525 000. Counsel for the Respondent does not seem to have made any submissions in reply.

The matter was then stood over for judgment on 15 May 1997. On that day, the Learned Judge dismissed the Appellant's claim for special damages for loss of use and income. The pertinent part of his judgment is as follows:

> "To prove his claim for loss of income the Plaintiff produced his invoice to Peninsular Oils Ltd and his letter of acknowledgment to the said company confirming payment. Whereas I agree that the Plaintiff's said vehicle was used in transporting cargo from Mombasa to Kampala, I am not persuaded as to the cost of hiring the vehicle. There was no sufficient evidence in this respect. One cannot expect the court to rely on documents solely produced or authorised by the Plaintiff. There was no Hire Agreement produced between the Plaintiff and his customers. One would have expected at least a document from the customer either forwarding payment or acknowledging the invoice. On the evidence before me I hold that the Plaintiff has failed to prove on a balance of probability his claim for loss of use and income. That aspect of the claim is therefore dismissed".

It is against this part of the judgment of Juma J that the Appellant has appealed. The main ground of the appeal is that the Learned Judge, having regard to the evidence given at the trial, erred in dismissing the Respondent's claim for special damages for loss of use and income. We are aware of the celebrated case of *Mbogo and another v Shah* [1968] EA 93 where it was held that a Court of Appeal should not interfere with the exercise of the discretion of a judge unless it is satisfied that the judge misdirected himself in some matter and as a result arrived at a wrong decision, or unless it is manifest from the case as a whole that the judge was clearly wrong in the exercise of his discretion and that as a result, there has been injustice.

It is clear from the evidence adduced before the Learned Judge that the documentary evidence produced by the Appellant to prove its claim for special damages for loss of use and income in respect of its damaged and undeniably commercial vehicle, which was not challenged, was *prima facie* evidence as to the special damages suffered by the Appellant. These documents it is true, were produced by the Appellant, but that does not mean that they must be unreliable merely because of this. These documents also show that the Appellant had received money for the hire of its vehicle, which is taxable, something which in normal circumstances, one is unlikely to openly admit when one has not really received such money. Indeed, this is why we find the following categorical principle expressed by the Learned Judge to be a clear misdirection: "one cannot expect the court to rely on documents solely produced or authored by the Plaintiff".

But apart from that, it is manifest from the case as a whole – the uncontested admission, or challenge of the veracity, of the invoices and letters of acknowlegment produced by the Appellant and indeed, the behaviour of the Respondent as already referred to by the Learned Judge, in not really caring what happened in the case – that the Learned Judge was clearly wrong in the exercise of his discretion in rejecting the unassailed documentary evidence of the Appellant, and which in our view, resulted in an injustice.

We have considered all the authorities cited in this appeal and have come to the conclusion that in the particular circumstances of the case, the Appellant was able to establish that on an average, the special damages claimed for loss of use and income for the three weeks amounted to KShs 525 000. We, therefore, allow the appeal and order that the Respondent pays to the Appellant the sum of KShs 525 000 by way of proved special damages for loss of use and income less 20% agreed contributory negligence on the part of the Appellant, plus interest at court rates. The Appellant will also have its costs of this appeal.

For the Applicant:
Information not available

For the Respondent:
Information not available

Katumba v Uganda
[2000] 2 EA 395 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of judgment:	9 May 2000
Case Number:	45/99
Before:	Wambuzi CJ, Oder, Tsekooko, Kanyeihamba and Mukasa-Kikonyogo JJSC
Sourced by:	B Tusasirwe
Summarised by:	M Kibanga

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[1] Criminal law – Rape – Corroboration – Whether corroboration was in respect of particular ingredients of offence or of the offence as a whole.

[2] Evidence – Corroboration – What constituted corroboration.

[3] Evidence – Rape – Penetration – Corroboration – Whether a requirement of law to corroborate evidence of penetration specifically.

Editor's Summary

On 8 March 1997 at about 3:00 pm, the complainant was walking along a village path when she noticed the Appellant following her. He ran after her and demanded to have sex. She refused and the Appellant dragged her into some bushes a few metres from the path where he forcefully raped her. During the rape, the complainant raised an alarm which was responded to by two persons. The Appellant ran away, but was later arrested and charged with rape contrary to sections 117 and 118 of the Penal Code.

During trial the complainant testified that the Appellant penetrated her during rape. The doctor who examined the complainant after the rape did not give evidence. One of the persons who answered

to the complainant's alarm testified that he recognised the Appellant at the time of the offence and in fact saw him between the open legs of the complainant. The High Court convicted and sentenced the Appellant of rape. His appeal to the Court of Appeal was dismissed and he appealed to the Supreme Court on the ground that the Court of Appeal did not re-evaluate the evidence and had therefore arrived at the wrong conclusion.

During the appeal, the Appellant's advocate submitted that there was no corroboration of the complainant's testimony that the Appellant had penetrated her and therefore a major ingredient of rape had not been satisfied. The advocate argued that it was a mandatory requirement that the evidence of penetration by the complainant be corroborated.

Held – A court was not prevented from convicting a person of a sexual offence on the evidence of the complainant alone, if she was believed by the court to be a truthful witness, although the practice in such a case was that the complainant's evidence be corroborated. It was generally unsafe to base a conviction on the evidence of a complainant only, in sexual offences; *George Bangirana v Uganda* [1975] HCB 361 cited with approval.

Corroboration was additional independent evidence which connected the accused with the crime, confirming in some material particular not only the evidence that the crime had been committed, but also that the accused had committed it. Corroboration was therefore in relation to the offence of rape as a whole and not the ingredient of penetration only.

Appeal dismissed.

Case referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

George Bangirana v Uganda [1975] HCB – **APP**

Judgment

WAMBUZI CJ, ODER, TSEKOOKO, KANYEIHAMBA AND MUKASA-KIKONYOGO JJSC: We heard the appeal in this case and dismissed it on 14 March 2000 and intimated that we would give our reasons later. We now do so.

This was an appeal from the decision of the Court of Appeal dated 29 July 1999, in which the Learned Justices of that Court upheld the decision of the High Court dated 1 December 1997 in which the Appellant was convicted and sentenced to ten years for rape, contrary to sections 117 and 118 of the Penal Code Act.

The facts of the case were that on 8 March 1997, at about 3:00 pm, the complainant Tereza (PW1) was walking along a village path through a forest when she noticed that the Appellant was also walking behind and deliberately, following her. He called and asked her to stop but she refused. He then ran after her, caught up with her and demanded to have sex. When she refused he grabbed her and threw her down. After overpowering her in this manner, the Appellant dragged her to a spot in the forest of about three metres from the path and raped her. During the rape, the complainant Tereza continuously resisted and raised an alarm. The commission of the rape took about 15 minutes. A witness, John Turyakira (PW2) and one Cotts Semakade who did not testify at the trial, heard and answered the alarm raised by the complainant, Tereza (PW1).

When John Turyakira and according to him, his friend Semakade, reached the place where the alarm was coming from, they saw the Appellant on top of and in the open legs of the complainant. When the Appellant saw Turyakira (PW2), he ran away from the scene but not before Turyakira saw and recognised him. Turyakira escorted the complainant home and later the matter was reported to local authorities and to the police who arrested and charged the Appellant with rape. The complainant was taken to Entebbe hospital for medical examination. The examining doctor did not give evidence at the trial.

Police Constable Owony (Number 29474) (PW3) visited the scene of the crime and interviewed several witnesses. In his defence, the Appellant denied the offence and pleaded an alibi in his defence. The defence called no other witnesses: One of the two assessors advised conviction while the other advised acquittal.

The Judge agreed with the first assessor, rejected the opinion of the second assessor, convicted the Appellant for rape contrary to sections 117 and 118 of the Penal Code and sentenced him to 10 years' imprisonment. The Appellant appealed to the Court of Appeal, which dismissed the appeal – hence, this appeal.

There is one ground of appeal, framed as follows:

> "The Learned Justices of the Court of Appeal erred in law and fact when they failed to re-evaluate the evidence on record and came to a wrong conclusion".

Mr *Kugumikiriza*, counsel for the Appellant, made submissions on one essential ingredient of the offence of rape. He contended, quite rightly in our opinion, that there are three elements in the offence of rape which the prosecution must prove. These are, that there had been penetration of the victim's vagina, that the sexual act which resulted in the penetration was without the consent of the victim and lastly, that it was the accused who in fact committed the offence. Counsel contended further that it was not enough simply to show that the three elements of rape enumerated above were proved because in sexual offences, it is essential that there must be corroboration of the victim's allegations of the offence. Counsel submitted that in this particular case, the prosecution had failed to present evidence in corroboration of the fact that the Appellant had succeeded in penetrating the complainant (PW1). It was counsel's contention that only the complainant had stated that she had been penetrated by the Appellant and none of the other prosecution's witnesses had said that they witnessed this very important ingredient of rape, namely, penetration. Mr *Kugumikiriza* conceded that not every ingredient of rape need be corroborated but strangely, contended that in the case of penetration, it must be corroborated. Counsel cited no authorities and he clearly could find none for this novel proposition. For the Respondent, Ms *Khisa*, Principal State Attorney, supported the decision of the two courts below. She submitted that the evidence of Turyakira corroborated that of Tereza.

From the record of proceedings, it is quite clear that both the Court of Appeal and the High Court considered corroboration an essential part of the evidence on rape. In our opinion, both courts properly considered and applied the law on corroboration and correctly evaluated and re-evaluated the evidence. Corroboration is additional independent evidence which connects the accused with the crime, confirming in some material particulars not only the evidence that the crime has been committed, but also that the accused has

committed it. Corroboration is therefore in relation to the offence of rape as a whole. The Learned Justices of the Court of Appeal agreed with and confirmed the findings of the Learned trial Judge on corroboration when he said in his judgment that:

> "It is true that a court is not prevented from convicting a person of sexual offence, on the evidence of the complainant (prosecution) alone if she is believed by the court to be a truthful witness. But the practice in such a case consistently and rightly has been that the complainant's evidence be corroborated. It is generally considered unsafe to base conviction on the evidence of a Complainant unsafe (prosecution) in sexual offences (see *George Bangirana v Uganda*, 1975 HCB page 361). In the present instant case there is sufficient Corroboration of PW1's testimony that she was sexually intercoursed (*sic*) by the testimony of PW2".

We are satisfied that these findings were correct and evidence of corroboration of the offence of rape was underscored by the evidence of Turyakira PW2 who found the Appellant in the act of raping Tereza. The struggle and the raising of the alarm by PW1 at the scene of the crime and the flight from the scene by the Appellant when he was discovered in the act of rape, all corroborate the evidence of Tereza.

It is for these reasons that we found no merit in this appeal and dismissed it on 14 March 2000.

For the Appellant:
Mr Kugumikiriza

For the Respondent:
Information not available

Kenya Breweries Ltd v Kiambu General Transport Agency Ltd
[2000] 2 EA 398 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	11 August 2000
Case Number:	9/00
Before:	Gicheru, Akiwumi and Lakha JJA
Sourced by:	LawAfrica
Summarised by:	C Kanjama

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[1] Contract – Variation of terms – Estoppel – Whether subsequent letter varied terms of written contract – No consideration – Whether subsequent letter would found cause of action.

Editor's Summary

In June 1980 the Respondent, Kiambu General Transport Agency Ltd, was appointed a wholesale distributor of beer by the Appellant, Kenya Breweries Ltd The letter, which the Respondent accepted and signed, provided that the contract was terminable by twelve months' notice given by either party. Three months later in October 1980 the managing director of the Applicant wrote a letter to the

Respondent, wherein a ten-year termination notice was suggested to be a reasonable one. Subsequently, the Respondent was prevailed upon to

sign a fresh letter of appointment dated July 1996 by which the termination period of the agreement was stated to be three months. In March 1997, pursuant to the latter distribution agreement, the Applicant gave the Respondent a three-month termination notice, as a result of which the distributorship arrangement was terminated.

The Respondent then brought this suit in the superior court claiming that the above termination was unlawful and was done in breach of contract. It claimed general and special damages for breach. The Respondent's case was that the letter of 1980 specified a ten-year termination notice. Further, that the agreement of 1996 was procured by undue influence. The High Court judge accepted these submissions and found that the letter of 1980 acted as an estoppel. She awarded damages of KShs 71 million for winding-up costs and KShs 169 million for loss of profits.

On appeal, it was contended for the Applicant that the letter of 1980 did not vary the terms of the earlier contract, let alone affect the subsequent agreement.

Held – (Lakha JA dissenting) Variation of an existing contract involves an alteration as a matter of contract of the contractual relations between the parties. The variation must be supported by consideration and the parties must be *ad idem*. If the agreement is mere *nudum pactum*, it would give no cause of action for breach particularly if its effect was to give a voluntary indulgence to the other party. *Vanbergen v St Edmunds* [1933] 2 KB 223 followed.

On the evidence, the letter of 1980 was not intended to vary the terms of the contract.

Per curiam: A written contract cannot be amended by an implied stipulation unless it can be said to be mutually intended and necessary to give business efficacy to the contract. *Matiri and Sons v Nithi Timber Co-operative Society* [1987] LLR 1512 (CAK) adopted.

Appeal allowed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Matiri and Sons v Nithi Timber Co-operative Society Ltd [1987] LLR 1512 (CAK) – **A**

Ouma v Nairobi City Council [1976] KLR 297

Peters v Sunday Post Ltd [1958] EA 424

United Kingdom

Carter v Hyde Park Hotel Ltd [1948] 64 TR 177

Central London Property Trust Ltd v High Trees House Ltd [1956] 1 All ER 256

Singh v Pirbhai [1951] AC 688

Tool Metal Manufacturing Co Ltd v Tungsten Electric Co Ltd [1954] 2 All ER 28

Vanbergen v St Edmunds Ltd [1933] 2 KB 223 – **F**

Judgment

GICHERU JA: Addressing this Court on 28 June 2000, Mr *Gatonye* who appeared with Mr *Kimani* for the Respondent submitted that the heart of the dispute between the parties to this appeal was the letter dated 17 October 1980 and addressed to Honourable JN Karume, Member of Parliament (PW 1) by the Appellant's managing director, Mr BH Hobson. That letter was tendered in evidence in the superior court and marked exhibit 4. Its contents which were on a paper bearing the letterheads of East Africa Breweries Limited were as follows:

> "The Hon JN Karume MP
>
> Kiambu General Transport Agency Ltd
>
> P O Box 134
>
> Kiambu
>
> Dear Hon Karume
>
> I refer to your letter of 4 November 1978 addressed to our Chairman. Delay in replying to it due to oversight on our part is regretted.
>
> As you know, we have a standard contract for all our distributors. Generally speaking, we do not take away business from our distributors except in the cases where they are unable to distribute our products for one reason or the other. We believe in keeping our distributors for as long as possible so long as their performance remains satisfactory.
>
> It sounds as if you are concerned that your distributorship could be terminated without notice. This is not the case. You have been our long serving distributor and we have had a very happy association. Consequently, I would give assurance that so long as you continue to perform satisfactorily we have no intention of terminating your agency. In the unlikely event of circumstances arising for us to want to terminate your services, we would no doubt give you a reasonable notice and the ten years would be reasonable to enable you to make the necessary adjustments in your businesses. I sincerely hope that that would not be necessary as it is not even contemplated.
>
> Yours sincerely,
>
> BH Hobson
>
> Managing Director".

In his evidence in the superior court in connection with this letter, PW 1 who has been one of the directors of the Respondent since its inception had this to say:

> "In 1980, Hobson was managing the breweries. He knew me as a customer. I look at page 3 clause 17 in the 1980 agreement. The termination period was 12 months. I produce the agreement as exhibit 3. I was happy with the termination clause at that time. After awhile I went to see Hobson the managing director. I saw him and we discussed as we had worked for so long. I thought the period was too short. I said so, because since 1958, I had invested heavily and the time could not allow me to dispose of the motor vehicles. I put to him my problem and first he said he was happy with our relation.
>
> He told though (the) agreement was 12 months or 1 year, nobody from Kenya Breweries could come and tell me you go because of the long period. That 12 months was only a formality. He told me that nobody could terminate my business of 12 years. I told him to give me a note. I look at a letter dated 17 October 1980. This letter was written to me by Mr Hobson. He told me that considering all those years, the only reasonable period I could be given was 10 years".

PW 1 further testified that in 1980 BH Hobson was the managing director of the Appellant and exhibit 4 was written in connection with his distribution agency. He also said that it was possible that he might have written to Mr Hobson on 4 November 1978.

The Respondent was incorporated on 23 December 1966 with two subscribers, one of whom was PW 1 who was and still is one of its directors. Prior to its incorporation, PW 1 was trading in beer distribution in the name and style of Kiambu General Transport Agency and his first letter of appointment as a distributor for the products of Allsop (EA) Limited and dated 28 February 1963 was from the Brewers' Association of East Africa amongst whose members was East African Breweries Limited which later became Kenya Breweries Limited and has now reverted back to its original name of East African Breweries Limited. He confirmed his acceptance of the terms of that letter of appointment by his endorsement on it on 1 March 1963. That letter was tendered in evidence in the superior court and marked exhibit 2. Clause 9 of the eleven terms in this exhibit read as follows:

> "9 This appointment can be terminated by either party giving the other one month's notice in writing, except in the event of non-compliance with the above terms in which case either party shall be entitled to terminate the arrangements immediately".

These arrangements were superseded and revoked by the Appellant's letter of appointment to the Respondent as a distributor of its beer products, namely, Tusker, Pilsner, White Cap, City, Tusker Export and Guiness Stout in almost the whole of the old Kiambu District. This letter was dated 12 June 1980 and was received by the Respondent on 25 August 1980. PW 1 as a director of the Respondent accepted on its behalf the appointment as the Appellant's distributor of its beer products on the terms and subject to the conditions set out in that letter. That letter was tendered in evidence in the superior court and marked exhibit 3. Clause 17 of this exhibit stipulated that:

> "17 Subject to the provisions of clause 18 hereof, your appointment, hereunder will remain in force until termination by not less than twelve (12) months notice, expiring on the last day of any calendar month, served in writing by either party on the other".

Clause 18 related to the Respondent's distributorship being terminated for breaches of certain terms and conditions set out in exhibit 3 and clause 19 of the said exhibit clearly stated that: "This letter of appointment supersedes and revokes any and every letter or agreement of similar nature previously accepted by you or entered into between us".

It would seem therefore from the foregoing clauses that after exhibit 3 superseded and revoked the arrangements in exhibit 2, save for breaches of certain terms and conditions set out in the former exhibit, termination of the Respondent's distributorship was otherwise well taken care of, for in terms of clause 17, it was to remain in force until a notice in that regard of not less than twelve (12) months expiring on the last day of any calendar month was served in writing by either party to the distributorship agreement on the other. It would appear to me therefore that the anxieties referred to in exhibit 4 that the Respondent's distributorship of the Appellant's beer products could be terminated without notice cannot have been in connection with exhibit 3 for a termination notice of not less than twelve (12) months expiring on the last day of any calendar month as is referred to above could well have been more than twelve

(12) months and thus take care of the parties' long and happy relationship as testified to by PW1 in his evidence in the superior court and as is referred to in exhibit 4. In referring to PW 1's letter of 4 November 1978, it looks like the focus of exhibit 4 was exhibit 2 wherein the distributorship of Kiambu General Transport Agency could be terminated by its being given one (1) month's notice in writing or without notice in the event of non-compliance with the terms of the said exhibit.

When PW 1 was re-examined in the superior court by counsel then appearing for the Respondent herein in that court, Mr *Kimani*, who is now being led by Mr *Gatonye* for the same party in this appeal, had this to say in relation to exhibits 3 and 4:

> "I am looking at exhibit 3 – agreement dated 12 June 1980. I see clause 17. It provided a period notice of 12 months. I was not satisfied with that period notice, that's why I went to the Defendant's office and was given 10 years. That agreement was altered by a letter exhibit 4. To date the period notice I know of to terminate any distribution agreement is 10 years. That letter was signed by a senior person BH Hobson, the managing director, who later became chairman of KBL. Exhibit 4 came from the Defendant company and was signed by Hobson who was with KBL for over 40 years. Exhibit 4 was written subsequent to my negotiation with Hobson. Our discussion related to my dissatisfaction with the period notice. We discussed and I said that because I had invested heavily a period of 12 months was not enough. I am looking at exhibit 3. KBL used to be EABL before it changed its name. The Defendant used to use these letterheads".

According to PW 1, exhibit 4 was subsequent to his negotiation with BH Hobson over the period of notice stipulated in clause 17 of exhibit 3. Peter Gachathi Wanjama (DW 3), the Appellant's marketing director, however, when cross-examined in the superior court by Mr *Oraro*, the leading counsel then appearing for the Respondent in that court, over exhibit 4 testified that the same was a response by BH Hobson to a letter dated 4 November 1978 addressed to the then chairman of East African Breweries Limited, Mr KSN Matiba. It re-assured PW 1 that his distributorship agreement would not be terminated without notice and that he would be given reasonable notice.

At the hearing of this appeal on 26, 27, 28, 29 and 30 June 2000, the submission of counsel for the Appellant, Mr *Kilonzo*, on exhibit 4 was that it made no reference to Exhibit 3. Indeed, according to him, it related to exhibit 2 which was then in force when the anxieties contained in it were expressed by PW 1. It had no relevance to exhibit 3 and was not a variation of the same for uncertainty. It was not submitted to the Appellant's board of directors for approval. According to counsel, exhibit 4 was no more than a letter of comfort from one good friend to another. Mr *Gatonye*'s submission on this document, however, was that it constituted a variation of exhibit 3 so that the Respondent was entitled to a period of 10 years' notice from the Appellant before the termination of its distributorship of the Appellant's beer products. It was a binding contract between the parties and the consideration on the part of the Respondent was the undertaking to perform satisfactorily in its distributorship. Exhibit 4 changed the period of notice of termination in clause 17 of exhibit 3 from 12 months to 10 years. Thus, the parties' business and legal relationship was given effect by exhibit 4 as they so intended.

Exhibit 2 was signed for the Brewers' Association of East Africa and on the acceptance of its terms and subsequent by PW 1 on behalf of Kiambu General

Transport Agency, it constituted a binding contract between the parties thereto. Similarly, exhibit 3 was signed for the Appellant by the latter's sales and marketing manager and on the acceptance of its terms and conditions set out therein coupled with the subsequent endorsement by PW 1 on behalf of the Respondent, it too constituted a binding contract between the Appellant and the Respondent. Exhibit 4 which from the date-stamped on it was received by PW 1 on 22 October 1980 though authorised on a paper with East African Breweries Ltd letterheads by BH Hobson, managing director, it is noteworthy that the latter neither authorised it for East African Breweries Ltd nor on behalf of the Appellant. As Mr *Kilonzo* for the Appellant pointed out in his submission on it, it may well have been no more than a letter of comfort from one good friend to another.

A variation of an existing contract involves an alteration as a matter of contract of the contractual relations between the parties. Hence, the agreement for variation must itself possess the characteristics of a valid contract. To effect a variation therefore, the parties must be *ad idem* in the same sense as for the formation of a contract. Indeed, the agreement for variation must further be supported by consideration – see *Halsbury's Laws of England* (4 ed) Volume 9 at 391 paragraph 569. If the agreement is a mere *nudum pactum* it would give no cause of action for breach particularly if its effect was to give a voluntary indulgence to the other party to the agreement – see the voluntary indulgence to the other party to the agreement – see the case of *Vanbergen v St Edmunds Ltd* [1933] 2 KB 223.

Although Mr *Gatonye* for the Respondent submitted that the undertaking by the Respondent to perform satisfactorily in its distributorship of the Appellants' beer products constituted the consideration on its part in relation to exhibit 4, clause 18(b)(v) of exhibit 3 required the Respondent to do so. Indeed, the same was couched in the following terms:

> "18 (*b*) Your appointment as our distributor may be terminated forthwith upon service on you of notice in writing to that effect … If in the opinion of KBL as it may in its absolute discretion determine you are not maintaining sufficient stocks as may be specified by KBL in its absolute discretion of our products to adequately supply your area with our products within 14 days of the receipt by you of a notice in writing from KBL specifying the stocks of our products to be carried by you".

Clearly the undertaking by the Respondent as is referred to above constituted no consideration on its part in relation to exhibit 4. In its form, the said exhibit was no more than to give the Respondent a voluntary indulgence. In any event, from what I have attempted to outline above, it had no bearing on exhibit 3. If anything, it looked towards exhibit 2 which later was abrogated by exhibit 3.

Exhibit 3 was superseded and revoked by the letter dated 18 July 1996 addressed to the Respondent by the Appellant. That letter appointed the Respondent as a distributor of the Appellant's products with effect from the date above-mentioned in certain areas of Kiambu District. That letter generated some controversy between the Respondent and the Appellant and eventually sparked off the Respondent's claim against the Appellant. Its terms and conditions had after some discussion between the Respondent and the Appellant been accepted and endorsed by PW 1 on behalf of the Respondent. It was

tendered in evidence in the superior court and marked exhibit 6. Clause 19(a) of that exhibit provided as follows:

> "19 (a) This Agreement may be terminated by either party giving to the other ninety (90) days notice".

Pursuant to that clause, the Appellant by a letter dated 5 March 1997 and addressed to the Respondent gave to the latter ninety (90) days' notice of termination of their distributorship agreement – exhibit 6. This letter was tendered in evidence in the superior court marked exhibit 7. At the expiry of that notice on 2 June 1997 the aforementioned distributorship agreement was terminated.

As I indicated at the beginning of this judgment, the dispute between the Appellant and the Respondent was predicated on exhibit 4. Indeed, this exhibit was the fixed point upon which the judgment of the superior court was grounded. Without reliance on it, that judgment which awarded the Respondent damages in the sum of KShs 241 586 711-58 together with costs and interest would tumble down like a house of cards. If as I have held this document had no bearing on exhibit 3, then, it was of no relevance to the execution of exhibit 6 and all the energy expended and the expense incurred by the parties to this appeal in relation to the said document was sadly wasted. In my view, the Respondent could not lay a claim against the Appellant based on Exhibit 4 for the termination of its distributorship agreement with the Appellant in terms of exhibit 6. Having come to this conclusion, I consider that to engage in any further debate in this appeal is superfluous and I do not intend to do so. Consequently, I would allow the Appellant's appeal, set aside the judgment and decree of the superior court and award the costs of this appeal and of the trial in the superior court to the Appellant. As Akiwumi JA agrees, there will be a majority judgment of the Court in these terms.

AKIWUMI JA: This appeal is against the judgment of Aluoch J wherein, she awarded a total of KShs 241 586 711-58 by way of special and general damages, to the Respondent for the wrongful termination of the Respondent's existing letter of appointment as a wholesale distributor of the Appellant's beer, and for the Respondent having been made by undue influence, to accept another letter of appointment under which the Appellant purported to terminate the Respondent's distributorship of the Appellant's beer.

The Respondent in this appeal is a limited liability company, substantially owned by James Njenga Karume. This company and another firm, which was not a limited liability company and in which Karume had substantial interest, had been a wholesale distributor for many, many years of the well-known brands of beer brewed by the Appellant, also a limited liability company, and its predecessors which, until only recently, enjoyed the monopoly of brewing beer in the country.

On 28 February 1963, the predecessor to the Respondent, Kiambu General Transport Agency, a firm, owned by Karume, had accepted a letter of appointment as a wholesale distributor of beer, not of the Appellant, but of another institution namely, the Brewers' Association of East Africa whose membership consisted of seven limited liability beer brewing companies in Kenya, Uganda and Tanganyika, including the East African Breweries Ltd in Kenya. This letter of appointment provided for its termination by either party giving the other one month's notice. Subsequent to this, the Kiambu General Transport

Agency, by a letter of appointment of 12 June 1980, was appointed a wholesale distributor, not of the Brewers' Association of East Africa, but of the Appellant, which is a different legal entity and a limited liability company at that. This letter of appointment which was signed by Karume, to show that he accepted the terms contained therein, provided for its termination by twelve months' notice given by either party, to the other. It is also noteworthy that although the Respondent had been incorporated on 23 December 1966, as a limited liability company, and upon which, according to the Respondent's plaint, it had "acquired all the business carried out by Kiambu General Transport Agency", it was the Kiambu General Transport Agency, a non-existent or separate legal entity, that was named as the distributor in the letter of appointment, and which, to make matters more confusing, was signed by Karume as having accepted its terms, in his capacity as managing director of the Respondent which was not the distributor designated in the letter of appointment. A few months after this appointment of Kiambu General Transport Agency as a wholesale distributor of the Appellant's beer, Karume on 22 October 1980, received a letter dated 17 October 1980, addressed to him on behalf of the Respondent and not Kiambu General Transport Agency, from HB Hobson, the managing director not of the Appellant, but of East African Breweries Ltd Although the letterhead of this letter showed that East African Breweries Ltd had an interest in Kenya Breweries Ltd the two companies were nevertheless, separate legal entities. Anyway, this letter which stated that a ten years' notice to terminate Karume's distributorship would be reasonable, and which was to assume crucial importance in the case of the Respondent, was undoubtedly in reply to a letter which Karume had written some two years before, on 17 October 1978, not to the Appellant whose beer Kiambu General Trading Agency was, according to its letter of appointment of 12 June 1980, then distributing, but to East African Breweries Ltd Karume, in his evidence, chose to ignore this letter and gave a different reason why Hobson wrote his following letter of 17 October 1980:

> "East African Breweries Ltd 17th October 1980
>
> The Hon, JN Karume, MP
>
> Kiambu General Transport Agency Ltd
>
> P. O. BOX 134,
>
> *Kiambu.*
>
> Dear Hon. Karume,
>
> I refer to your letter of 4 November 1978 addressed to our chairman. Delay in replying to it due to an oversight on our part is regretted.
>
> As you know, we have a standard contract for all our distributors. Generally speaking, we do not take away business from our distributors except in the cases where they are unable to distribute our products for one reason or the other. We believe in keeping our distributors for as long as possible so long as their performance remains satisfactory.
>
> It sounds as if you are concerned that your distributorship could be terminated without notice. This is not the case. You have been our long serving distributor and we have had a very happy association. Consequently, I would give assurance that so long as you continue to perform satisfactorily we have no intention of terminating your agency. In the unlikely event of circumstances arising for us to want to terminate your services, we would no doubt give you a reasonable notice and the ten years would be reasonable to enable you to make the necessary adjustments

in your businesses. I sincerely hope that that would not be necessary as it is not even contemplated.

Yours sincerely,

BH Hobson

Managing Director".

According to this letter, Karume must have complained in writing that his distributorship could be terminated without notice. When Hobson wrote his vague and unspecific letter of 17 October 1980, Karume was a Member of Parliament, and Hobson appears, though uncommital, to have been rather deferential because of this: first of all, he unnecessarily emphasised the role of Karume himself, and not that of the Respondent or the one designated in the 12 June 1980, letter of appointment, as the distributor of beer, and without stating of which particular brewery; secondly, Hobson must have known at the time, that neither the Respondent nor Karume was a distributor of East African Breweries Ltd and was therefore, questionably, merely exploiting his position as managing director of East African Breweries Ltd, the holding company of the Appellant, to palliate a Member of Parliament; and the rather ludicrous statement that ten years would be reasonable notice for the termination of Karume's services, without specifying which particular standard contract and in respect of which brewery, he was talking about.

In his evidence on oath and in his attempt to support this documentary evidence, Karume, as I have stated earlier, avoided any mention of his letter of 4 November 1978, to the chairman of East African Breweries Ltd Strangely, and rather dubiously, he relied not on this letter, but rather on unpleaded discussions that he said he had had with Hobson not in 1978, but in 1980. This is what he said:

"In 1980, Hobson was managing the Breweries. He knew me as a customer. I look at page 3 clause 17 in the 1980 agreement. The termination period was 12 months. I produce the agreement as exhibit 3. I was happy with the termination clause at that time. After a while I went to see Hobson the managing director. I saw him and we discussed as we had worked for so long. I thought the period was too short. I said so, because since 1958, I had invested heavily and the time could not allow me to dispose of the motor vehicles. I put to him my problem and first, he said he was happy with our relation.

He told me though agreement was 12 months or 1 year, nobody from Kenya Breweries could come and tell me you go because of the long period.

That 12 months was only a formality. He told me that nobody could terminate my business of 12 years. I told him to give me a note. I look at a letter dated 17.10.80, this letter was written to me by Mr Hobson. He told me that considering all those years, the only reasonable period I could be given was 10 years".

Assuming that Hobson's vague and unspecific letter, which seems not inconsistent with the above excerpt of Karume's wishy-washy evidence, was written on behalf of the Appellant and not East African Breweries Ltd as appears on the face of it, and taking into account its conflicting background which is apparent from the letter itself, and Karume's evidence, can this letter be regarded as amounting to a specific or implied amendment not only of an existing, but also, of future written standard contracts of distributorship that the Respondent as such, or Karume in his personal capacity, has, or may enter into, with the Appellant as opposed to East African Breweries Limited? I would say, no! and will revert to this later.

However, the Respondent in its plaint, claimed that as a result of Hobson's letter, it embarked on substantial investments in real property and motor vehicles, the particulars of which were also pleaded. But the Respondent was not being truthful as all the six real estates referred to in this regard, in its plaint, were, according to the further particulars supplied by the Respondent, purchased before Hobson wrote his now famous letter. The motor vehicles, however, appear to have been purchased afterwards.

Apart from the letter of appointment of 12 June 1980, the other letter of appointment by the Appellant of the Respondent as its wholesale distributor, which the Appellant allegedly wrongfully breached, and which constitutes one of the grounds of the Respondent's suit against the Appellant, was the one dated 8 July 1996. The terms of this letter of appointment were accepted by Karume on behalf of the one designated as the distributor therein. This letter of appointment contains the following important terms. In paragraph 19(a), it is provided that the agreement may be terminated by either party giving the other "90 days notice" and in paragraphs 19(b) and (c), even "forthwith", under certain conditions. All these negate the ten years' notice contained in Hobson's letter of 17 October 1980.

As in the letter of appointment of 12 June 1980, this one of 8 July 1996 also provided in paragraph 20 that: "This letter of appointment supersedes and revokes any and every letter of Agreement previously accepted by you or entered into between us" which supersedes Hobson's letter of 17 October 1980, assuming it had any force at all. The letter of appointment then contains this final paragraph: "We hereby give you notice that your present appointment (if any) as our distributor will terminate one calendar month after the date of this letter if not revoked sooner by your acceptance of this offer", which means that the Respondent's then existing letter of appointment, if it can be said that it had one, was to be relinquished not by a ten years' notice, but after one calendar month. And lastly, the letter of appointment of 8 July 1996, designated Kiambu General Transport Agencies and not the Respondent or Kiambu General Transport Agency, as the distributor. The acceptance was signed by Karume, but the capacity in which he signed the acceptance is illegible. But be that as it may, and since no clerical mistake was urged, it is arguable whether the Respondent, not being the designated distributor, can bring the action it did. But no matter.

On 7 May 1985, the managing director of the Appellant had written to Karume that he would be paid compensation for relinquishing the Respondent's distributorship in respect of the Gatundu and Githunguri areas. What is important, however, is that this letter reiterated that payment of compensation for relinquished distributorship areas will "be treated in the context of the one year notice applicable to our standard agency agreement". James Njenga Karume only endorsed on this letter that its contents had been duly noted. He did not raise any objections to the one year notice that was reiterated. He must have accepted it. If he genuinely relied on Hobson's letter, one would have expected him to have objected to it.

In the concluding part of his cavalier evidence, Karume summed up his case as follows:

> "I don't know how this agreement was taken back to KBL after I had signed. I never gave Chomba any document to take to the Defendant. I am looking at exhibit 7 Notice of Termination I received. 90 days was reflected. Notice was given in accordance with clause 19(a). Exhibit 3, the previous agreement, at clause 17. The Notice clause, for 12 months. There was a letter written by Hobson assuring me that my contract could only be terminated after 10 years. Such a letter is exhibit 4. I maintain that I am entitled to 10 years letter not the 3 months I got. I am claiming damages for profit based on 10 years. I am also claiming termination benefits paid to the Plaintiff staff because I had to terminate them as the agreement was no more. My finance manager will have termination benefits. Also somebody from my auditors will come and give the details of the 10 years I am claiming. Mr Weru is my firm manager. Kang'ethe and Associates are my auditors. Again I look at exhibit 6 clause 20. By signing this agreement it did not revoke previous agreements".

The other ground upon which the Respondent's case was based was that even if Hobson's letter of 17 October 1980, did not apply, his acceptance of the letter of appointment of 8 July 1996, had been procured by undue influence exercised on Karume by PG Wanjama, the general manager in charge of sales, marketing and general distribution of the Appellant. In his evidence on this issue, Karume, who was clearly an astute business man, and whom Aluoch J in her judgment described as "a very shrewd business man who helped to popularise the sale of KBL's products for many years, and built an empire from beer business", stated as follows in his examination-in-chief:

> "In 1996, I had no problem with Breweries as far as distribution was concerned. In 1996, there was a Circular sent by the Breweries. This is the one I produce it. The Breweries said they discovered anomalies.
>
> They said they had a new agreement to be signed by everyone to ensure that relationship continue. They showed us a copy of a (*sic*) agreement. Somebody was sent to bring it to me. They sent Wachira to bring it to me. He was on the management. He brought to my office in Kiambu. I look at a copy of agreement which I produce as exhibit 6. I read the agreement entitled letter of appointment. At first, I refused to sign it. I was worried, afraid because I thought it was a trap meant to kick me out. I knew there was another agreement in existence termination within 12 months. I sent the agreement back with Wachira. The following day I talked to the general manager PJ Wanjama, who is present in court. I told him that I refused to sign the new agreement brought to me. He told me that there was nothing they intended to change on my part. That they would not change my distribution. I agreed I had been given such assurance since 1958. Eventually, I told him to have the documents brought back and I would sign.
>
> Wachira brought the documents the same day and I signed the agreement. I told him I have agreed to sign because I was given assurance by the general manager. Wachira also assured me that there would be nothing. My business would go on as usual. I knew Wanjama. We come from the same village and we are friends. His father was my friend. I was the master of ceremony at his wedding. I knew him from family background. When I talked to Wanjama, I believed him. I had no reason to doubt it. If I had doubt, I would have refused to sign. I look at page 4 of the agreement. I signed it. It was a termination clause at paragraph 19. Either party can terminate by giving 90 days. On 5 March 1997 my agency was terminated. This was the letter of termination".

In cross-examination, Karume gave the following unhelpful evidence:

> "I recall when I signed exhibit 6, the agreement is dated 8 July 1996 and at the back I can verify my signature. I cannot tell whether I signed before the Safari Park Hotel

> meeting. There is no date when I signed. I talked to Mr Wanjama who is in court before I signed this agreement. I discussed with him on the telephone. I had called him. Mr Wanjama, must be a very forgetful person because, I talked to him. I was dealing with Wanjama directly. I talked to Wanjama, not Chomba. If the agreement was drafted on 8 July 1996 why was it delayed until after 31 July 1996. I think the whole thing is being fabricated. I remember I signed after I had talked to Mr Wanjama and after reading the whole document. We discussed at length with Wanjama, he said there was nothing wrong and my business would not be affected. He did not pressurise me but he advised me that I could lose my agency distribution if one month expired and I had not signed. The agreement of 8 July 1996 the notice of termination was 90 days. When I spoke to Wanjama I asked him why the notice had been reduced to 3 months he said they wanted a uniform agreement for all the distributors … I spoke to Mr Wanjama. I told him there was no point in signing this agreement as there was another agreement. I signed when Wanjama convinced me that there was nothing wrong. I signed because I had dealt with KBL for 38 years and nothing changed. I thought the present officers were the same as the old ones. We talked of Clause 19. Wanjama assured me that nothing would change. Clause 19 is none of the reasons I did not want to sign the agreement I had talked to Wanjama on the phone many times. I know Chomba casually. He works in the Sales Department. I did not discuss this agreement with him. I don't know if my workers did. I cannot recall when I signed this agreement. I did not keep a record because I did not know a case would arise".

My assessment of this evidence which I, as a member of the bench hearing the first appeal from the decision of Aluoch J can do (see *Peters v Sunday Post* [1958] EA 424) is that the evidence of Karume does not support the proposition that Hobson's letter superseded the letters of appointment of 12 June 1980, or 8 July 1996. The vagueness of the evidence of Karume to my mind, shows evasiveness on his part. He appears to have deliberately avoided making any direct reference to Hobson's letter or to any specific assurance given to him by Wanjama as to the ten years' termination notice, which induced him to accept the letter of appointment. In this respect, Karume also had said that, Wanjama "did not pressurise me but advised me that I could lose my agency distribution if one month expired and I had not signed".

On Karume's own evidence, he did not in my view, establish that he had by undue influence, been induced by Wanjama to accept the letter of appointment of 8 July 1996. It is true that the Learned Judge of the High Court, had the benefit of seeing and hearing Karume and Wanjama give evidence in person, but my assessment of their evidence leads me to a conclusion that differs from that of the Learned Judge. She had observed that:

> "Given the importance which the Defendant attached to the new agreement as accompanied by exhibit 5, is it possible that Mr Wanjama could have given PW 1 assurance in order to him to sign the new agreement?
>
> As I consider that question, I must bear in mind the fact that Mr Wanjama had information about PW 1 on competition. Information which was disturbing to the Defendant company, yet PW1 was refusing to sign the new agreement on suspicion that the Defendant wanted to kick him out.
>
> Given the circumstances I have described above I find that Mr Wanjama gave assurances to PW1, Honourable Njenga Karume that there was nothing they intended to change on his part, so he should go ahead and sign the agreement. I watched both Mr Wanjama and honourable Njenga Karume give evidence in court. I observed that Mr Wanjama tried to distance himself from Honourable Njenga Karume, whilst talking about him. He was very official about him, only describing him as 'past distributor at

> KBL and the local Member of Parliament for Kiambu, where my parents come from', yet there was evidence to the contrary.
>
> I observed that Mr Wanjama was 'too careful' whilst answering questions on whether he gave assurance to honourable Njenga Karume or not. His voice was a bit shaky whilst answering questions on this matter of assurance to PW 1.
>
> This made me come to the conclusion that he did not give his evidence truthfully on this point, and I conclude that he gave assurances to PW 1 that they intended to change nothing on his part and on that assurance, PW 1 signed the new agreement"..

She then went on to say that: "Honourable Njenga Karume struck me as a fairly simple minded person and very trusting in his dealing with KBL. He trusted Wanjama, and on that basis signed the new agreement, which was later used to terminate his distributorship …"

I do not think that Karume was a "fairly simple minded person and very trusting in his dealing with KBL", as the Learned Judge held. The extent of his business empire is inconsistent with this finding by the Learned Judge. Furthermore, if he was that trusting, why did he, in his evidence-in-chief, and in which carefully avoiding any reference to his letter of complaint of 4 November 1978, say that in 1980, he verbally complained to Hobson about the 12 months' notice of termination contained in the 12 June 1980 letter of appointment and then astutely asked Hobson to put in writing that his distributorship would only be terminated upon the giving of a ten years' notice. I would say that it is out of character for a man of such astuteness as Karume, who said he had demanded and obtained a written assurance from Hobson, not to have in the existing circumstances, asked for a similar one from Wanjama, if Wanjama had really given him a verbal assurance that the letter of appointment of 8 July 1996, would be terminated only by a ten years', and not a ninety days', notice. Karume said that he had relied on Wanjama's vague and inconsequential remark that "there is nothing wrong". Finally, the onus is on the Respondent and not the Appellant, to first establish the Respondent's case.

On my assessment of the evidence of the Respondent, I fear that I have come to a conclusion different from that reached by the Learned Judge, in which she does not arrive at any clear and specific conclusion on the crucial issue, namely, the role that Hobson's letter played in the whole affair. In my view, the evidence adduced on behalf of the Respondent to establish its case of undue influence, is by itself, unsatisfactory. The Learned Judge misapprehended the evidence on this score. The Respondent's claim for damages on the ground that he was unduly influenced into accepting the letter of appointment, fails.

And now, I go back to the issue whether Hobson's letter of 17 October 1980, can be said, having regard to the background evidence which I have analysed above, to have amended not only the 12 June 1980 letter of appointment but also, the one of 8 July 1996. This Court in the case of *Matiri and Sons v Nithi Timber Co-operative Society Ltd* [1987] LLR 1512 (CAK), held in the unanimous judgment of Platt, Gachuhi and Apaloo JJA, that a written contract cannot be amended by an implied stipulation unless it can be said to be mutually intended and necessary to give efficacy to the contract. In that case, the implied condition was not even one that arose out of an alleged separate written undertaking, but one that was contained in the contract itself, under the heading "other conditions". In his judgment, Apaloo JA as he then was, put the matter in his customary succinct manner, this way:

> "The question for consideration in this part of the case, is whether as a matter of law, such stipulation should be implied. The rights and obligations of the parties were founded on their written contract of the 10 November 1984. And if my appreciation of the law on this aspect of case is correct, no stipulation can be implied in a written contract unless it can be said to be mutually intended and necessary to give business efficacy to the contract. It is clear to me that the Appellant intended to have a refund of his deposit once he provided the Bank Guarantee. The difficult question is, on the evidence, can it be said that the society shared that intention? Did it intend to give up its cash security for a bank guarantee? That guarantee was subject to review on 30 June 1986, just one year of its date and is liable to cancellation on thirty days' notice to the society. As a form of security, it is less advantageous to the society than the cash held. There is nothing in the evidence to which one can point at as showing a clear and unambiguous intention on the part of the society to give up its cash guarantee for what was, after all, a paper security. So whatever may have been the Appellant's intention, it is not shown that that was equally the society's. That being so, there is no basis for holding that both parties mutually intended the stipulation contended for on behalf of the Appellant".

As I have already adverted to, Hobson cannot legally be said, when he wrote his letter of 17 October 1980, to have been acting on behalf of the Appellant so that the Appellant would be bound by it. In my view, and as I have already observed, the ridiculous ten years' notice of termination if at all granted by the Appellant, cannot be said to apply to all future letters of appointment by the Appellant of the Respondent as its wholesale distributor so as to affect the clear terms of that of 8 July 1996. Indeed, such ten years' notice cannot be said to give efficacy to the letters of appointment allegedly breached by the Appellant. If anything, it would undermine their efficacy and as the circumstantial evidence adduced seems to show, enable Karume through his acquired interest in a rival company of the Appellant, to distribute the products of that rival company. The dubious account by Karume as to how Hobson came to write his letter of 17 October 1980, does not help matters.

There is nothing in Hobson's letter which one can point at as showing a clear and unambiguous intention on the part of East African Breweries Limited, let alone the Appellant, to replace the 12 months' notice and the 90 days' notice of the termination respectively, of the letters of appointment of 12 June 1980 and 8 July 1996, in which the Respondent is not even designated as the distributor, with the ten years' notice of termination referred to in Hobson's letter of 17 October 1980. There is also nothing in the documentary and verbal evidence adduced by the Respondent to imply this on the part of the Appellant, that its letters of appointment were subject to Hobson's letter. In my view, once Karume accepted the letters of appointment of 12 June 1980 and 8 July 1996, on behalf of the Respondent, if that can be said to be so, in the circumstances that I have described, the Respondent was bound by the terms of those letters. But of course, from the ambiguity that pervades not only the circumstances leading to the writing of Hobson's letter of 17 October 1980, and the letter itself, but also the distributors designated in the letters of appointment, it cannot even be said that the Respondent was the distributor designated in the letters of appointment of 12 June 1980 and 8 July 1996. So as to vest in it, the right to sue the Appellant in the first place, for the same reasons too, Wanjama's alleged verbal assurances, even as described by Karume, cannot amount to an amendment of the 8 July 1996 letter of appointment.

The Appellant's hundred grounds of appeal can be summarised as contained in the ninety-eighth ground of appeal, that: "The award of KShs 241 586 711-58 to the Respondent by the Court lacks factual and legal basis and the Court proceeded on wrong … principles in reading such an award". I agree entirely with this ground and allow the appeal and set aside the judgment of the Learned Judge. The Appellant will have its costs of this appeal and in the High Court.

LAKHA JA (dissenting): This appeal is from a decision of the superior court (Mrs Alouch J) made on 27 October 1999. The judge entered judgment for the Plaintiff, Kiambu General Transport Agency Limited, for substantial damages against the Defendant, Kenya Breweries Ltd.

In outline, the Plaintiff's claim is that because the Defendant unlawfully terminated its appointment as the distributor of the Defendant within Kiambu district in the Republic of Kenya in breach of agreement it suffered loss and damage. A total of seven witnesses testified at the trial whereof the Plaintiff called three while the Defendant called four. The hearing lasted eighteen days and the Learned Judge took about four months before she delivered judgment on 27 October 1999, running into forty-seven foolscap sheets.

The Plaintiff 's case

At the hearing of the appeal it was accepted by Mr *Gatonye* (who had not appeared in the superior court) on behalf of the Plaintiff that the letter of 17 October 1980 was the heart of the Plaintiff's case. It varied the agreement between the parties as was conceded by Mr *Kilonzo* (who had also not appeared in the superior court) on behalf of the Defendant, there being special business relationship extending to about forty years. The letter provided that the Plaintiff's agreement would not be terminated unless it was given ten years' notice. Yet by its letter of 5 March 1997 the Plaintiff in breach of the agreement between the parties terminated the same giving only 90 days' notice entitling the Plaintiff to damages. Relying on the representations contained in the said letter the Plaintiff committed substantial investment, financial commitment and developed appropriate infrastructure for the promotion of the Defendant's products.

In the alternative, the Defendant procured the Plaintiff's execution to the distribution agreement dated 8 July 1996 by undue influence.

The court is asked to set aside the said distribution agreement, to declare the Plaintiff's termination of its distribution agreement unlawful and void and to award damages.

The Defendant's case

Mr *Havelock* who appeared for the Defendant in the superior court accepted that the letter of 17 October 1980 varied the terms the contract between the parties. He denied its authenticity and admissibility. He also made submissions that subsequent execution by the Plaintiff of the agreement of 1996 created estoppel waiver and acquiescence so that the Plaintiff could not rely on them and repeated the denial of any undue influence. Both liability and damages were disputed.

The judgment in the superior court

The judge found in favour of the Plaintiff. She held, first, that the letter of 17 October 1980 to the Plaintiff varied the terms of the 1980 distribution agreement as concerns the notice period of termination of the agreement for the Plaintiff which became ten years resulting in the Defendant being in breach. Secondly, that the letter exhibit 1 dealt with compensation for agency areas relinquished. Thirdly, that the Plaintiff acted on the representations made to it and made substantial investments and finally that the new agreement was procured by undue influence exercised by the Defendant. She awarded damages in the sum of KShs 241 586 711-58 plus costs and interest.

Conclusions

(1) *Liability*

The one single issue that was hotly contested was the Defendant's letter of 17 October 1980 (exhibit 4). It reads in part as follows:

> "… It sounds as if you are concerned that your distributorship could be terminated without notice. This is not the case. You have been our long serving distributor and we had a very happy association. Consequently, *I would give assurance that* so long as you continue to perform satisfactorily we have no intention of terminating your agency. In the unlikely event of circumstances arising for us to want to terminate your services, we would no doubt give you a reasonable notice and ten years would be reasonable notice to enable you to make the necessary adjustments in your business. I sincerely hope that that would not be necessary as it is not even contemplated". (emphasis supplied)

Mr *Kilonzo* objected to its admissibility as Mr *Havelock* did before the superior court. But the only ground was that the letter was addressed from East Africa Breweries Ltd, which is not the Defendant although there is evidence that they all used the same names. There was only one distribution agreement the Plaintiff held for the distribution of beer and that was from the Defendant. It could have referred to nothing else. The existence and authenticity of the letter was not in dispute. As a matter of pleadings, upon a careful consideration of the defence and, in particular, of paragraphs 6, 7 and 8 of the defence, I am satisfied that there is no specific denial of the letter. What is more it is apparent from Mr *Havelock*'s submissions before the superior court that he adopted the letter as varying the distribution agreement. In all the circumstances the letter, in my judgment, was properly admitted. But even Mr *Kilonzo* himself, before this Court, conceded that the letter constituted a variation of the 1980 agreement between the parties.

I now turn to consider the effect, meaning and the impact of the letter. As already stated, Mr *Kilonzo* considered it as varying the terms of the 1980 Agreement. The contents of the letter amount to the plainest possible assurance, as the letter itself claims. I have no doubt that the assurance therein contained is binding on the Defendant.

This estoppel applies to representations as to the future. Take the kind of assurance which was held binding in *Central London Property Trust Ltd v High Trees House Ltd* [1956] 1 All ER 256 and in *Tool Metal Manufacturing Co Ltd v Tungsten Electric Co Ltd* [1954] 2 All ER 28 revsd. HL [1955] 2 All ER 657. In

each of those cases a creditor during the war gave an assurance to the other party that he would for the time being forgo sums which were thereafter to become due to him. In the first, it was rent; in the latter, it was sums payable by way of compensation. The assurance was not a contract binding in law, but it was an assurance as to the future; it was intended to be acted on, it was acted on and it was held binding on the party who gave it.

This estoppel arises also to representations about legal relations. In *Harnam Singh v Jamal Pirbhai* [1951] AC 688 which was an appeal (number 8 of 1950) from an order of the Court of Appeal for Eastern Africa (9 March 1949) affirming an order of the Supreme Court of Kenya (5 November 1948) it was an unequivocal statement by a tenant that he "will remain in occupation as a statutory tenant". The statement was not a contract, and not regarded as such, but it was an assurance as to the legal position as to the legal consequence known to both – which was intended to be acted on, was acted on, and was held to be binding. It did not give rise to a cause of action in itself, but it did prevent the party making from setting up a defence which would otherwise be open to him. In that sense it gave rise to an estoppel, which can here be raised as it is supported by pleaded facts.

The judgment of their Lordships was delivered by Lord Radcliffe. At page 699 he stated:

> "Their Lordships have found it impossible to accept the Learned Judge's conclusion that at the date of the suit there was in existence something other than a statutory tenancy. They consider that as between these parties this point is disposed of by the letter which the Respondent's solicitors wrote to the Appellant on 25 August 1943, and which is referred to in paragraph 11 of the amended plaint. The Appellant had on the previous day served the Respondent with one of several successive notices to quit, possession being required on or before 30 September 1943. To this the solicitors replied: "Our client will not vacate the premises in accordance with your notice but will remain in occupation as a statutory tenant from the date of the expiry of the notice". This statement is both explicit and conclusive. It is an unequivocal intimation that as from 30 September the Respondent will claim no tenancy rights as a matter of subsisting contract but will thereafter treat himself as a tenant holding over under the protection of the Ordinance. In their Lordships' view that letter created an estoppel between the parties".

I am unwilling to regard the present case as anything different in principle. The letter of 17 October 1980 amounted to and indeed, was a clear assurance that the notice period for termination of the contract was ten years. The Plaintiff acted on that assurance, it altered its position on the faith of it, and it is binding on the Defendant, who cannot now be allowed to go back on it; and that is all we are concerned with here.

I think the judge was right on this point.

Quite apart from the fact that Mr *Havelock* did not deny the agreed issue number 4 raising the question whether the Plaintiff acted on the assurance, the Learned Judge made an express finding in this regard when she stated:

> "My further finding from the evidence on record is that the Defendant's warranties and descriptions as described in paragraphs 6 and 7 of the plaint induced the Plaintiff to make substantial investments and other financial commitments and to develop capital intensive infrastructure for the promotion of the Defendant's products".

With respect, I agree. It does not appear to me that these findings of fact can be successfully challenged in this Court having regard to the settled principles and practice of this Court to when it can interfere with the findings of fact.

What then is the impact of the letter of 17 October 1980 to the agreement between the parties. The governing agreement at the time of the termination was the agreement of 12 June 1980. Mr *Havelock*, for the Defendant, conceded, properly in my view, that the letter varied the Agreement. It varied the notice period to that of ten years. The Learned trial Judge so found and, with respect, I agree. In my judgment, the assurance was binding on the Defendant and fully applied.

But it is then said that by executing the last agreement dated 8 July the Plaintiff had waived or acquiesced in the period of the notice as stated in the agreement and there was an estoppel. None of these special defences was pleaded, urged or relied on in the superior court and are therefore not open to the Defendant before this Court.

In view of the above, the only other issue to which it is necessary for me to refer is the question of undue influence. It is not necessary to decide this appeal on this ground. However, the prospects of the Defendant reversing the trial Judge is unreal. This is so because of the express finding of fact made by the trial Judge on this issue in believing the evidence of the Plaintiff as against that of Mr Wanjala, the third witness for the Defendant. As the Learned Judge herself described she preferred the evidence of the Plaintiff to that of the Defendant on the basis of the demeanour of the witness. And it does not appear to me that this was an exceptional case in which this appellate court would be justified in reversing the decision of the trial Judge founded upon the judge's opinion of the credibility of witness formed after seeing and hearing his evidence: see also *Peters v Sunday Post Ltd* [1958] EA 424.

(2) *The damages*

It is perhaps convenient at this stage to consider and assess the damages, if any, to which the Plaintiff is entitled. These must be viewed by the critical application of the averments pleaded in paragraph 14 of the plaint. It claims the Plaintiff's alleged loss and damages. It has two limbs, cost of winding-up the business, KShs 70 962 296-90 (as amended) and loss of profit. KShs 169 624 414-68.

The Plaintiff had to wind up its distribution business and there was evidence before the trial Judge that payment to the employees added up to KShs 5 025 356-69. In addition, there was evidence which the trial Judge accepted that some KShs 65 million being unpaid to the banks from the business. I have no reason to depart from the Learned Judge's findings nor have I been persuaded that they are in any way erroneous. I am satisfied, as the trial Judge was, that the cost of winding up the Plaintiff's business was KShs 70 962 296-90.

In an endeavour to prove its loss over a period of ten years the Plaintiff called as an expert Mr Reuben Munyao Kimotho, BA in Economics from Makerere University in 1971 with an MBA from the University of Alberta in Canada in 1973. Based on his financial forecast the trial Judge awarded a sum of KShs 169 634 414-68 by way of loss of profits.

With respect, it is unfortunate that I am unable to accept the forecast so made as a basis for an award of damages for loss of profits. In the first place,

there is nothing to show that the element of mitigation of damages was considered sufficiently or at all in reaching the final figures for loss. Secondly, the figure was not in any way discounted to take account of early receipt or accelerated payment. Thirdly, it took no account of the risks that the business might not be able to operate successfully or profitably for a further period of ten years. Fourthly, the Plaintiff's distribution agreement itself was subject to earlier termination for breach or for possible competition by collaborating with South African interests. Mr Kimotho's calculations were all very fine in theory but his overall figures have no relation whatever to reality.

It is the duty of the Plaintiff to prove its claim for damages as pleaded. It is not enough simply to put before the court a great deal of material and expect the court to make a finding in its favour. As was said by Lord Goddard CJ in *Bonham Carter v Hyde Park Hotel Ltd* [1948] 64 TR 177:

> "Plaintiffs must understand that if they bring actions for damages it is for them to prove damage, it is not enough to write down particulars and, so to speak, throw them at the head of the Court, saying, 'this is what I have lost, I ask you to give me these damages'. They have to prove it". See also the case of *Ouma v Nairobi City Council* [1976] KLR 297 at 304.

I am not obliged to go through the charade of making my own discount from the expert's figure. I, therefore, make no award in favour of the Plaintiff for the claimed loss of profits.

Nor am I willing to allow the Plaintiff to change the basis of its claim to that of loss of commission. This was neither pleaded nor urged and the trial Judge made no decision on it. It is, therefore, not open to the Plaintiff to rely upon it.

The trial Judge also made an award of KShs 1 million. No general damages can lie for a breach of contract. This award of KShs 1 million is unsustainable and I would set it aside.

(3) *Caveat*

The question of production and admission in evidence of an agreement between the Plaintiff and a South African party is not dealt with in this judgment. The defence of a breach on the part of the Plaintiff for competition based thereon was not pleaded or relied on in the letter of 5 March 1997 as a ground for termination of the distribution agreement. It was not an issue before the superior court and, therefore, not relevant.

(4) *Result*

It is for these reasons that I am reluctantly compelled to propose to allow the appeal to the extent of deleting paragraph 3 of the decree appealed against and substituting therefor the following: "That the Defendant do pay to the Plaintiff the sum of KShs 70 962 296-90 as cost of winding up with interest thereon at 12% per annum from 28 October 1999 until payment in full".

I would order that each party shall bear its own costs of this appeal.

For the Appellant:
Information not available

For the Respondent:
Information not available

Kimani v Republic
[2000] 2 EA 417 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	8 August 2000
Case Number:	36/94
Before:	Omolo, Tunoi and Lakha JJA
Sourced by:	LawAfrica
Summarised by:	C Kanjama

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[1] Crime – General defences – Insanity – Whether accused was insane at the time she killed her daughter.

[2] Evidence – Expert evidence – Value to be given to such evidence.

Editor's Summary

Kimani conceived the victim, N, out of wedlock. In 1991 N was about twelve years old. She went to visit her mother in Nairobi on 14 April. On 15 April the day of her death, N was seen going out with Kimani. Circumstantial evidence adduced before the Court linked Kimani with the killing of N. During the trial, a consultant psychiatrist gave evidence that Kimani was suffering from an "affective illness" at the time, and that in that state she would not know that what she was doing was wrong. The trial Judge concurred with two assessors in finding Kimani guilty of murder and sentencing her to death.

On appeal, it was contended that Kimani was insane at the moment of the killing.

Held – There is something strange in a mother killing her child in the manner narrated. However, there cannot be a presumption of insanity.

Though the courts must give proper respect to the opinions of experts, such opinions are not binding on the courts. Such evidence must be considered along with all other available evidence, and the court would be entitled to reject it if the expert opinion is not soundly based. *Dhalay v R* criminal appeal number 10 of 1997, *Ndolo v Ndolo* CA 128/95 followed.

K's conviction for murder set aside and substituted with a finding of killing while insane.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Dhalay v Republic [1997] LLR 514 (CAK) – **F**

Ndolo v Ndolo [1995] LLR 390 (CAK) – **F**

Okeno v Republic [1972] EA 32

Judgment

OMOLO, TUNOI AND LAKHA JJA: Once upon a time, Eunice Njoki Kimani, hereinafter called "the Appellant", had a daughter whose name was Nancy Nyambura. We shall hereinafter refer to her

simply as Nancy. The Appellant

conceived Nancy out of wedlock and by around 15 April 1991, Nancy was about twelve years old. The Appellant lived and worked with a firm called Fine Garments in Nairobi while Nancy lived with the Appellant's parents in Murang'a and went to school there. So mother and daughter did not live together. On 13 April 1991, Geoffrey Kungu Kimani (PW2) who is the brother of the Appellant and who lived at Pangani Mlango Kubwa in Nairobi went to visit his parents at home in Murang'a. On 14 April 1991, PW2 returned to Nairobi with Nancy. The daughter had come to visit her mother during the school holidays. That same day, PW2 took Nancy to the place where her mother was residing. The Appellant was not present. PW2 found two neighbours and asked them to hand over Nancy to the Appellant. The two neighbours did so, for when PW2 visited the Appellant on 16 April 1991 and found Nancy absent, the Appellant told PW2 that Nancy had gone to visit her aunt. The last person to see the Appellant and Nancy together was apparently Janet Atieno (PW7) who alleged that she saw the Appellant go out with Nancy at around 2:00 pm on 15 April 1991. That was the last time Nancy was seen alive. Patrick Odero Ochilo (PW1) who worked as a watchman with Kenya Co-operative Creameries, found the body of Nancy in a bush at Dandora on 15 April 1991 at about 4:00 pm. According to PW5, when the Appellant was asked about Nancy, the Appellant said she had taken Nancy to a brother at Huruma and that brother was to take Nancy to Langata. Mwangi Wallace Kimani (PW4) is another brother of the Appellant. He lived and worked in Thika. PW4 said that he went with the Appellant to their home in Murang'a because the Appellant asked him to take her there so that she could report that Nancy had been run over and killed by a vehicle. These conflicting reports, and the obvious absence of Nancy from the Appellant's residence, led the neighbours into arresting the Appellant and handing her over to the police. The body of Nancy which PW1 had discovered in a bush was being kept at a mortuary. The police remembered about it and it was not surprising that on 13 June 1996, the Appellant appeared before the late Mr Justice Mango charged with the murder of Nancy.

The information preferred against her by the Republic stated in its particulars that on 15 April 1991, at Dandora in Nairobi, the Appellant murdered Nancy Nyambura Njoki. Mr Justice Khamoni tried the Appellant with the aid of three assessors. Having heard the evidence of the Republic and that of the Appellant, two of the assessors, Mr Leonard Gitau and Mr Peter Maina Njoroge were of the opinion that the Appellant was guilty of the manslaughter of her daughter. The two assessors rejected the evidence of the Appellant and that of Dr Mark Manase Okonji (DW1), a deputy director of mental health and a consultant psychiatrist at Mathare Mental Hospital, to the effect that the Appellant was suffering from what Dr Okonji called "affective illness" or mood disorder and that in that state, the Appellant would not be in a position to know that what she was doing was wrong. The third assessor, Mrs Rose Karuga, thought otherwise. She told the Learned Judge:

> "In my opinion the accused killed the deceased. The prosecution did not bring medical evidence on the state of the mind of the accused. We have medical evidence of Dr Okonji which says the accused was mentally sick when she committed the offence. I agree with that.
>
> Even the people she told the watchman that she had seen and had attacked, those may have been people in her imagination. In the last verdict, the accused is not guilty of any offence because she was not in control of her mind. That is all".

For his part, the Learned trial Judge agreed with the first two assessors in rejecting the evidence of Dr Okonji but convicted the Appellant of the murder of Nancy and sentenced her to death. The Appellant now appeals to this Court against the conviction and sentence and Mr Keriako *Tobiko* who ably argued this appeal before us, filed a total nine grounds of appeal in their supplementary grounds of appeal and it was those grounds which were argued before us, and not those which had been filed by the Appellant herself.

Mr *Tobiko* argued the grounds on two broad propositions, namely:

(1) that the prosecution failed to prove beyond any reasonable doubt that the Appellant was guilty of the charge brought against her; and

(2) and in the alternative that if the Appellant committed the act of killing Nancy then she was, to put it straight, insane at the time she committed the act.

We can dispose of the first proposition fairly quickly.

We agree with Mr *Tobiko* that the duty of a first appellate court, which we are in this appeal, is: "to reconsider the evidence, evaluate it itself and draw its own conclusions in deciding whether the judgment of the trial court should be upheld".

See, for example, *Okeno v Republic* [1972] EA 32. We are mindful of that duty, but we nevertheless have no doubt that on the recorded material, the conclusion that the Appellant killed Nancy was inevitable. There was no controversy on the recorded evidence that PW2 did bring Nancy to the Appellant and that the Appellant received Nancy in her house. Again PW2 went to the Appellant's house on 16 April 1991; Nancy was not there and the evidence of PW2 that the Appellant told her that Nancy had gone to visit an aunt was not really challenged. That allegation by the Appellant was clearly false because on 15 April 1991, at 5:00 pm PW1 discovered the body of Nancy in a bush. Again PW4, the other brother of the Appellant, narrated to the judge and the assessors how he went with the Appellant to their parents' home in Murang'a to report there that Nancy had been run over by a vehicle. That evidence was also not seriously challenged and we repeat that PW2 and PW4 are brothers of the Appellant. They would have no reason to invent such stories about their sister. We now know from the evidence that Nancy had not been run over by any vehicle and that she had not gone to visit any aunt either at Huruma or at Langata. PW5 saw her with the Appellant on 15 April 1991; the Appellant was going out with her. It does not seem to us to be terribly important whether the time was 12 noon or 2:00 pm or even 4:00 pm PW5 was not asked if she was wearing a watch or had a clock nearby and there is nothing on record to show how literate PW5 was. But it was never suggested to her that she (PW5) never saw the Appellant going out with Nancy. She swore throughout her evidence that she saw the Appellant going out with Nancy and that the Appellant carried a panga.

We have already set out the verdict of assessor Rose and in that verdict, she refers to some watchmen. One of those watchmen was Mulevu Ndungo (PW21) who was guarding a construction site in Dandora. On 15 April 1991, when he was in his house preparing lunch, he heard screams coming from the City Council dumping site. He ran in the direction of the screams; he was with a colleague Reuben Ngunga. On the way they met a woman wearing a white blouse and carrying a panga. The blouse had blood stains and when they asked

the woman what had happened, she told them that she was being chased by three people and that she had cut one of those people with her panga and hence the blood stains on her blouse. She told PW21 and his colleague that the attackers had run in the opposite direction to that from which she had come. PW21 and his colleagues followed the alleged attackers but none was seen. PW21 identified the Appellant as the woman he met under these circumstances. We now know that the body of Nancy was found within the vicinity from which the woman PW21 met was running. We agree that the identification of the Appellant by PW21 was not very satisfactory, but was it just a coincidence that PW5 said she saw the Appellant carrying a panga leave with Nancy, and that sometime thereafter PW21 should meet a woman with a blood-stained blouse carrying a panga and running from the direction in which the body of Nancy was to be found? We ask again, were these all a coincidence? The Learned trial Judge and the assessors did not think so. We equally do not think so.

So that even if we were to ignore the cautioned inquiry statement of the Appellant in which she admitted killing her daughter there was strong circumstantial evidence from which a reasonable tribunal properly directing itself on the law with regard to evidence of circumstances, could safely conclude that the circumstances pointed exclusively to the Appellant and to no one else as the killer of Nancy. The Appellant both retracted and repudiated her statement under inquiry but that statement was fully corroborated by the circumstantial evidence on record and like the judge and assessors we are fully satisfied that it was the Appellant who hacked her daughter Nancy to death during the afternoon of 15 April 1991.

We will now deal with the alternative argument Mr *Tobiko* advanced on behalf of the Appellant: was the Appellant sane when she killed her own daughter?

On the very face of it, there is something strange in a mother killing her own child in the manner we have already narrated, but there cannot be a presumption of insanity; on the contrary the law assumes that every person is sane and intends the natural and probable consequences of his or her actions until the contrary is proved. Since the burden of such proof is on the accused person, it is to be discharged upon a balance of probabilities.

Her first explanation as to why she killed her daughter was in her statement under inquiry to which we have alluded. There she blamed it all on the devil, the powers of darkness and her frustrations. But in her unsworn statement made during her trial she told the judge and the assessors:

> "I loved my daughter although I got her when I was very young. I would not have done anything harmful to her in my right mind. I was not in control of my actions. I do not know what really happened. I realised much later. For some of the things I have heard in this Court I am surprised. I had that child only, and I would not have liked to stay without a child. That is all I have to say".

Then follows the evidence of Dr Okonji to which we referred earlier in this judgment. Dr Okonji told the Court that he held Bachelor of Medicine and Bachelor of Surgery degrees from the University of Nairobi, that he was a Member of the Royal College of Psychiatrists of the United Kingdom and that he held a Diploma in Psychiatry (DPM) from the University of London. He had been in medical practice for twelve years. There could not have been any

doubt on the evidence that Dr Okonji is an expert in his field. In the case of *Dhalay v Republic* [1997] LLR 514 (CAK) this Court had this to say regarding the evidence of experts:

> "We think we should at this stage say something about the opinions of experts when they appear to assist the courts. It is now trite law that while the courts must give proper respect to the opinions of experts, such opinions are not, as it were, binding on the courts and the courts must accept them. Such evidence must considered along with all other available evidence and if there is proper and cogent basis for rejecting the expert opinion, a court would be perfectly entitled to do so. We will repeat what this Court said in the case of *Ndolo v Ndolo* [1995] LLR 390 (CAK). There the Court said with regard to the evidence of experts:
>
> > 'The evidence of PW1 and the report of Munga were, we agree, entitled to proper and careful consideration, the evidence being that of experts but as has been repeatedly held the evidence of experts must be considered along with all other available evidence and it is still the duty of the trial court to decide whether or not it believes the expert and give reasons for its decision. A court cannot simply say: "Because this is the evidence of an expert, I believe it". That, we think, is the proper direction which a court dealing with the opinion of an expert or experts must give itself and the assessors when it is necessary to direct the assessors on such evidence. Of course, where the expert who is properly qualified in his field gives an opinion and gives reasons upon which his opinion is based and there is no other evidence in conflict with such opinion, we cannot see any basis upon which such opinion could ever be rejected. But if a court is satisfied on good and cogent ground(s) that the opinion though it be that of an expert, is not soundly based, then a court is not only entitled but would be under a duty, to reject it' ".

Dhalay's case was decided in 1997, and we think it correctly states the law on this point. We would see no reason for departing from it or doubting its correctness on this point.

We have said Dr Okonji was a properly qualified medical practitioner in the field of psychiatry. He examined the Appellant on the 24 August 1994, and during that examination, he learned that there was a history of mental illness in the family. There was a younger brother of the Appellant who had been admitted to Mathare Hospital for a psychiatric illness. In 1997 the Appellant had a short episode of psychiatric illness for which she was treated at the Nairobi Hospital. Because the Learned trial Judge and two of the assessors who sat with him rejected the evidence of Dr Okonji we must go into some detail about that evidence and the reasons why it was rejected. Dr Okonji told the judge that at the time he examined the Appellant she was in remission of her illness, but that the probability was very high that when she committed the offence she was mentally ill. According to Dr Okonji, the illness called "a mood disorder" has two faces. There is the phase when one becomes elated, over-active and very restless. Then there is the "depressed phase", when the mood is depressed, the victim is tearful, looks at the world through dark glasses, feels hopeless, helpless and worthless. In between the two phases, the victim of the disease looks very normal until either of the phases sets in. In the normal phase, the victim will handle problems normally, while in the depressed phase, homicide and suicide are common and the victim does it in the hope that he is doing the best thing. During the two phases, the victim loses insight and may not know there is something wrong with them and is unwilling to go for medical care unless compelled to do so. Dr Okonji ended his evidence-in-chief by saying that such a person may be well today but may be unwell the following day. The remission may come at any time and the illness has no effect on

the patient. Such a person can tell lies. Dr Okonji was thoroughly cross-examined by the prosecuting counsel, Mrs *Oduor*, but he stuck to his evidence and reading the record of evidence it cannot be said that the medical evidence called by the Appellant was in any way discredited by the prosecution. For their part, the prosecution chose not to call any medical evidence.

Sergeant Christopher Magut (PW23) said in his evidence that he was investigating officer in the case. On 21 May 1991, he and another officer called Magere, took the Appellant to the police surgeon, Nairobi Area, for medical examination. The surgeon examined the Appellant and completed a P3 form. But the prosecution did not even produce the P3 form during the trial. What did that form contain? We cannot tell.

The truth of the matter is that the Appellant raised a reasonable probability that she might well have been mentally ill at the time she hacked her own daughter to death. The burden then shifted to the prosecution to dislodge, and do so beyond any reasonable doubt, that the Appellant was in fact sane when she killed Nancy.

And why did the Learned Judge and two of the assessors reject the medical evidence called by the Appellant?

In his summing-up notes to the assessors, and having summarised the evidence of Dr Okonji which we have set out elsewhere in the judgment, the Learned Judge directed the assessors as follows:

> "Evidence before this Court is that the accused completely concealed the offence right from the very second the offence was committed on 15 April 1991, up to the day she was taken to the police on 15 May 1991. Consider whether that can be the behaviour of a person who was suffering from a depressed phase of mood disorder or an affective illness".

The first assessor, Leonard Gitau, then gave his verdict as follows:

> "In my opinion the accused killed the deceased. When doing so she was not suffering from a mental illness. She was normal knowing very well what she was doing. I do not agree with the medical evidence. On the verdict generally I find that the accused is guilty of manslaughter considering her young age – she got the child while in school and she had not been staying with the child. Those are my reasons".

The second assessor Peter Maina Njoroge's verdict was:

> "In my opinion, the accused killed the deceased. At that time she was not mentally sick – mood disorder stays for a week. At the time she killed the deceased the accused was knowing what she was doing and knew it was bad. That could not have been mood disorder.
>
> On the charge generally, the accused is guilty of manslaughter. This is because she was still young and got the child when in school".

We have already set out the verdict of the third assessor, Mrs Rose Karuga and we need not repeat it. She herself had no doubt that the prosecution had failed to dislodge the medical evidence called by the Appellant and she consequently found that the Appellant was mentally sick when she killed Nancy. It is however, to be noted that not even the first and second assessors were prepared to convict the Appellant of murder. Having found that she was not mentally ill when she killed Nancy and she being approximately 27 years old at the time, the only verdict open to the two assessors was one of murder. But they shied away from that verdict.

In his judgment, the Learned Judge, in rejecting the evidence of Dr Okonji, had this to say, among other things:

> "Evidence before this Court is that the accused completely concealed the offence right from the very second the offence was committed on 15 April 1991 up to the time she was being taken to the police station on 15 May 1991. She was able to work on the 14 and worked on the 16 April 1991 and subsequent days until arrested. With all due respect to Dr Okonji, that cannot be the behaviour of a person who was suffering from a depressed phase or mood disorder or affective illness, if the doctor's evidence that the depressed phase or mood disorder takes at least one week from the time of the attack to the time of remission is to be believed. Since the accused was able to work on 14 April 1991, and there is no evidence from the accused or the relatives or the co-workers or her neighbours that the accused was under attack by mood disorder before or on 14 April 1991, let it be assumed that she could have been attacked by mood disorder late on 14 April 1991. In my opinion it is inconceivable in those circumstances that remission could have set in a minute or minutes or hours or even a day after the accused had committed such a horrible act of killing the deceased on 15 April 1991 to enable her conceal the killing as she did. In terms of section 12 of the Penal Code, I do not think that can be the behaviour of a person who through a disease affecting her mind is incapable of understanding what she is doing or of knowing that she ought not to do the act or make the omission. I therefore, rule out the assumption that the accused may have been attacked by mood disorder late on 14 April 1991. Dr Okonji did not tell the court the date of the attack by the mental illness he claims to have seen in August 1992".

So the Learned Judge rejected the evidence of Dr Okonji principally on the grounds that the Appellant was able to conceal the disappearance and death of Nancy, and that she was, immediately before and immediately after the time of the offence, able to go on with her normal duties, such as going to work and so on and that her relatives, neighbours and colleagues at work did not notice any abnormal behaviour on her part.

With the greatest respect to the Learned Judge, whom we must say otherwise did an excellent job, the conclusion he reached on the issue of the mental state of the Appellant at the time of the offence was not justified by the evidence of Dr Okonji or any other evidence. Dr Okonji never said and he was never cross-examined on that point, that a person suffering from mood disorder would not be able to pursue the daily chores of life. On the contrary, he specifically stated that the illness has no effect on the patient and the patient can tell lies, which we understand to mean that during the illness the patient can tell lies. The Appellant was clearly telling lies when she told people that Nancy had been run over by a vehicle or that she had gone to visit various relatives. We must not forget that the evidence of Dr Okonji was that of an expert. We repeat that the judge was entitled to reject such evidence but only for sound and cogent reasons. The Learned Judge himself recognised that the prosecution themselves had not only failed to call any medical evidence, but had even failed to produce the P3 form which they must have had in their possession. The opinions of the judge, we fear, were purely speculative for they were not based on sound and cogent evidence. Mrs Rose Karuga thought so and specifically told the judge that the prosecution had failed to place before the court any evidence with respect to the mental condition of the Appellant at the time she killed her daughter. We agree with Mrs Karuga on this point. However, we must disagree with Mrs Karuga on her general verdict that the Appellant was not guilty of any offence because she was not in control of her mind, which would mean an acquittal of the Appellant. We equally must disagree with the

two male assessors that the Appellant was guilty of manslaughter, just as much as we do not agree with the Learned Judge that the Appellant was guilty of murder.

The conclusion at which we ourselves must arrive must be based on section 166(1) of the Criminal Procedure Code. We accordingly allow the appeal to the extent that we set aside the conviction for murder and the sentence of death and substitute the conviction with a special finding under the above-stated section to the effect that the Appellant committed the act of killing her daughter Nancy but that at the time she killed Nancy, the Appellant was insane. Pursuant to section 166(2), we order that the Appellant shall be detained in prison custody pending the pleasure of His Excellency the President. These shall be our orders in this appeal.

For the Appellant:
Mr K Tobiko

For the Respondent:
Mrs Oduor

Kungu v Diamond Trust (K) Ltd
[2000] 2 EA 424 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	31 July 2000
Case Number:	4/00
Before:	Kwach, Tunoi and Keiwua JJA
Sourced by:	LawAfrica
Summarised by:	W Amoko

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[1] Hire purchase – Agreement – Interest – Penal interest – Whether a party who received notice that his default triggered the levying of penal interest without demur is precluded from challenging the rate of interest charged.

[2] Hire purchase – Contract – Frustration – Breach of hire purchase agreement – Whether defaulting party can rely on its on breach as a basis of a claim that the contract had been frustrated.

Editor's Summary

By a hire purchase agreement for the hire and use of motor vehicle registration number KAA 088V between the Plaintiff and the Defendants, the Defendants, agreed, *inter alia*, to pay to the Plaintiff the hire purchase charges amounting to KShs 2 695 610-80 became payable by 36 monthly hire rentals of KShs 222 100-00 commencing 19 November 1994. The agreement also provided that the motor vehicle would not be taken outside Kenya without prior agreement in writing. The Defendants defaulted and after a demand which was not honoured, the Plaintiff on 30 April 1996 informed the Defendants that they were in arrears in the amount of KShs 2 797 746-25 which if not liquidated as requested would attract penal interest at the rate of 40%. The Defendants in their reply promised

payment, which promise was not honoured. The Plaintiff's attempts to repossess the vehicle did not succeed. The Plaintiff then commenced action. In their defence the Defendants stated that insurgents in Zaïre had commandeered the vehicle and that as the Plaintiff had failed to retrieve the

vehicle from them, the contract between the parties was frustrated. The Plaintiff's application for the defence to be struck out and summary judgment entered in the sum of KShs 18 169 994-10 with interest at 40% per annum was granted by the High Court. On the Defendants' appeal.

Held –The hire purchase agreement had not been frustrated. There was no evidence that the vehicle had disappeared as alleged by the Defendants. As the contract did not provide for that eventuality, the Defendants could not successfully invoke the doctrine of frustration. Further, the Defendants could not rely on their own breaches of the contract to resist the Plaintiff's claim against them.

The Defendants were precluded from raising the issue of penal interest as they did not demur when the Plaintiff informed them that without payment of all sums due by them, interest would be charged at the rate of 40% and the issue of interest had not been raised in their joint defence. Appeal dismissed.

Judgment

KWACH, TUNOI AND KEIWUA JJA: This is an appeal from the decision of the superior court (Mbaluto J) delivered on 13 August 1999, in its civil case number 382 of 1999 in which the Learned Judge granted the Plaintiff's application brought under Order 6, Rule 13(*b*), (*c*) and (*d*) and under Order 35, Rule 1 of the Civil Procedure Rules and section 3A of the Civil Procedure Act. The application prayed for the defence to be struck out and summary judgment to be entered as prayed in the plaint which prayed for judgment in the sum of KShs 18 169 994-10 and interest on that sum at the rate of 40% per annum from 1 January 1999. The Plaintiff's claim stemmed from a hire purchase agreement between the Plaintiff and the Defendants in respect whereof the Defendants defaulted in performance, in that they did not remit to the Plaintiff the agreed hire rentals payable for hire and use of the Plaintiff's lorry registration number KAA 088V Isuzu. The Defendants had admitted the defaults on their part and have also admitted a further breach of the agreement of hire purchase when they removed and took the vehicle out of jurisdiction to Zaïre. The Defendants under the hire purchase agreement had the option to pay the Plaintiff a cash price of KShs 5.3 million which they did not go for but that sum together with hire purchase charges amounting to KShs 2 695 610-80 became payable by 36 monthly hire rentals of KShs 222 100-30 commencing on 19 November 1994.

The Defendants were on 17 May 1995, notified by the Plaintiff that their account was in arrears to the tune of KShs 1 402 964 and should be paid within 14 days thereof. On 30 April 1996 another letter was sent indicating that the account was at that time in arrears to the tune of KShs 2 797 746-25 and payment was requested, failing which, the Plaintiff was to charge penal interest at the rate of 40% per annum. The Defendant replied and promised payment without raising any objection as to interest or the rate of it. The Defendants did not respond thereafter and did not inform the Plaintiff that the vehicle, under hire to them, had been commandeered by insurgents in Zaïre. The Plaintiff attempted through repossessors to repossess this vehicle but all efforts came to nought. It seems that the first time the Defendants disclosed that the vehicle was lost was when their defence was filed in court in May 1999. In that defence the Defendants, surprisingly, blamed the Plaintiff for failing to retrieve the vehicle from the insurgents.

That accusation by the Defendants sounds thoroughly dishonest. The Defendants were, under the hire purchase agreement, bound not to take the vehicle

out of Kenya, unless prior agreement to do so was obtained from the Plaintiff. To our minds the alleged disappearance of the vehicle is suspect in the extreme. The Defendants did not deem it fit to place any evidence of disappearance of the vehicle before either the superior court or this Court. There is no proof that any report had been made to the authorities, either in Zaïre or in Kenya. There is yet another riddle in the case, which is this. In their joint defence, the Defendants plead that, because of the feigned disappearance of the vehicle, the hire purchase agreement had been frustrated and the Defendants were no longer under a duty thereafter, to pay for the hire of the lorry. In our judgment such a defence is does not avail to the Defendants because the hire purchase agreement did not provide for such an eventuality, to enable the Defendants to take refuge in the doctrine of frustration of contract. The other reason why that plea will not do, is because the hire purchase agreement prohibited the taking or removal of the vehicle out of Kenya. But, in defiance of that provision, the Defendants brazenly opted for that risk. In our judgment, the Defendants should not be heard to want to blame the Plaintiff for their own deliberate and indefensible misadventure.

We were addressed at length on the chargeability of interest under the agreement either at penal rates or at all. We have elsewhere in this judgment, pointed out that the Plaintiff had, before it brought the suit, warned the Defendants of risking a charge of penal interest at the rate of 40% per annum unless they paid all the sums they were in arrears with. The Defendants did not heed, and only have themselves to blame. The plaint in paragraphs 6 and 7 together with prayer (b) thereof claimed interest at the rate of 40% per annum. The Defendants in their sham defence did not plead to those claims in the plaint with the result that the claim for interest, either at penal rate or otherwise, has not been challenged by the defence filed on behalf of the Defendants. In view of all these failings on the part of the Defendants to bring to the fore their defences, we do not see how the Learned Judge can be blamed for not exercising his discretion, in their favour, to grant leave to defend the claim. We accordingly dismiss the appeal with costs to the Respondent.

For the Appellant:
Information not available

For the Respondent:
Information not available

Kyamanywa v Uganda
[2000] 2 EA 426 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of judgment:	7 April 2000
Case Number:	16/99
Before:	Oder, Tsekooko, Karokora, Kanyeihiamba and Mukasa-Kikonyogo JJSC
Sourced by:	B Tusasirwe
Summarised by:	H K Mutai

[1] Constitutional law – Constitutionality – Corporal punishment – Appellant sentenced to receive six strokes of the cane – Appeal against constitutionality of corporal

punishment – Whether the Supreme Court had the jurisdiction to determine the issue – Section 274A – Penal Code – Articles 24, 132(3) and 137 – Constitution.

[2] Criminal law – Jurisdiction – Sentence – Appeal against sentence – Appeal against sentence must be on a matter of law – Section 6(3) – Judicature Statute 1996 – Section 108(1) – Trial on Indictment Decree.

Editor's Summary

The Appellant and his co-accused were convicted of the offence of robbery contrary to sections 272 and 273(2) of the Penal Code and sentenced to death. The two accused appealed separately to the Court of Appeal where their convictions were reduced to simple robbery contrary to sections 272 and 273(1)(*b*) of the Penal Code. The Court of Appeal then sentenced the Appellant to six years' imprisonment, six strokes of the cane and three years of police supervision after serving his term of imprisonment. He appealed to the Supreme Court against the sentence of six strokes of the cane on the ground that the sentence of corporal punishment was in conflict with the Constitution and thus illegal. Counsel for the Respondent raised a preliminary objection to the appeal on the ground that the Appellant had no right of appeal to the Supreme Court on the ground laid out since the appeal did not comply with the provisions of section 6(3) of the Judicature Statute. The Court heard arguments on the objection but postponed its ruling on the preliminary objection and instead invited the parties to proceed with their substantive submissions. Counsel for the Appellant submitted that caning constituted a form of torture and was a cruel, inhuman and degrading punishment contrary to article 24 of the Constitution. Counsel for the Respondent argued firstly that only the Constitutional Court could declare corporal punishment unconstitutional and, as it had not done so, it was a legal form of punishment under section 274A of the Penal Code. Secondly, he submitted that corporal punishment was legal because it was sheltered by the savings provision of article 273 of the Constitution, since the Penal Code had been in existence at the time the Constitution came into force in 1995.

Held – (1) Section 6(3) had been complied with in that (i) the sentence was not one fixed by law, as the provisions of section 108(1) of the Trial on Indictment Decree and section 274A of the Penal Code, apart from providing for a maximum, did not specify or fix the number of strokes to which a person would be sentenced, and (ii) the appeal was not against the severity of the sentence but against its legality. The preliminary objection would accordingly be overruled. (2) (Kanyeihamba JSC dissenting) Article 137 of the Constitution endowed the Constitutional Court with original jurisdiction over matters of constitutional interpretation. In order to decide on the constitutionality of corporal punishment, the Supreme Court would be required to construe the meaning of article 24 in relation to section 274A, an exercise that was clearly an act of interpretation. Section 132(3) of the Constitution gave the Supreme Court appellate powers in constitutional matters and it could not therefore entertain the appeal in the same manner as a court with original jurisdiction. Moreover, since it was likely that it would be necessary to adduce evidence to prove that corporal punishment was a form of torture, cruel, inhuman and degrading, the matter was better handled by the Constitutional Court as a court of first instance. Accordingly, a substantial question of law having arisen, the

provisions of article 137 of the Constitution would be applied and the issue referred to the Constitutional Court where the issues could be properly and fully canvassed and a determination made on the question of whether corporal punishment contravened the Constitution.

Case referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Major-General Tinyefuza v Attorney-General (SC) constitutional appeal number 1 of 1997 (UR)

Judgment

ODER, TSEKOOKO, KAROKORA AND MUKASA-KIKONYOGO JJSC: The Appellant, Simon Kyamanywa, and another person were tried and convicted by the High Court on the first count of an indictment of two counts of robbery contrary to sections 272 and 273(2) of the Penal Code. The particulars of the count on which they were convicted were that the Appellant, Simon Kyamanywa, and his co-accused, Sunday Joseph, on or about 26 May 1994, at Kijuujubwa Village, in Masindi District, robbed September Mathias of one NIA Radio Cassette, model CRC 3 OOT KY II and one torch and at or immediately before or immediately after the said robbery, threatened to use a deadly weapon, to wit a gun, on the said September Mathias. The Appellant and his co-accused were sentenced to death. The co-accused separately appealed to the Court of Appeal which substituted a conviction for simple robbery for the one of capital robbery. The Appellant's appeal to the Court of Appeal against his conviction also succeeded. His conviction for robbery contrary to sections 272 and 273(2) of the Penal Code was quashed and the sentence of death set aside. The Court of Appeal substituted a conviction of robbery contrary to sections 272 and 273(1)(*b*) for the one of robbery for which he had been convicted by the High Court. The Court of Appeal sentenced the Appellant to a term of imprisonment of six years and six strokes of the cane. The Court of Appeal also ordered that he should undergo police supervision for three years after serving the term of imprisonment. The co-accused, Sunday Joseph, made a separate appeal to this Court (criminal appeal number 5 of 1998). On 8 September 1999 that appeal was withdrawn with the leave of this Court.

The Appellant has now appealed to this Court against the sentence of six strokes of the cane. The only ground of appeal is set out in the memorandum of appeal as follows:

> "1) The decision of the Court of Appeal that the Appellant be sentenced to receive 6 strokes of the cane is in conflict with the provisions of the 1995 Constitution and is therefore, illegal. It is proposed to ask Court for an order that:
>
> (a) The appeal be allowed.
>
> (b) Sentence be set aside".

When the appeal was called for hearing, Mr Charles Ogwal *Olwa*, Principal State Attorney, for the State Respondent, took a preliminary objection to the appeal, and prayed that the appeal should be struck out. Mr Joseph *Zagyenda*

appearing for the Appellant opposed the objection. The learned counsel then made their arguments on the objection. We postponed our ruling on the same and asked both the parties to proceed with their respective submissions on the merit of the appeal. We indicated that we would give our ruling on the objection in our judgment. We now proceed to do so.

In essence the objection is that the appeal is incompetent because the Appellant has no right of appeal to this Court on the ground set out in his memorandum of appeal. The appeal is not properly before this Court.

Section 6(3) of the Judicature Statute 1996, provides: "In the case of an appeal against a sentence and an order other than one fixed by law, the accused person may appeal to the Supreme Court against the sentence or order on a matter of law not including the severity of sentence".

In the instant case, the Appellant is appealing against a sentence of corporal punishment imposed on him by the Court of Appeal. Sentence of corporal punishment is provided for by section 274A of the Penal Code which states: "Without prejudice to anything contained in any written law, any person who is sentenced to a term of imprisonment under the provisions of section 273 or section 274 of this Code, shall, in addition thereto, be sentenced to corporal punishment".

Corporal punishment is not defined by the Penal Code Act. The *Shorter Oxford Dictionary* 1973 Volume I defines it as: "Punishment inflicted on the body, now confined to flogging". The *Concise Oxford Dictionary* defines it as: "Punishment inflicted on the body especially by beating". The provisions of section 108(1) of the Trial on Indictment Decree appear to be consistent with this definition. The section indicates what weapon or instrument should be used in inflicting corporal punishment and how it should be meted out. It states:

> "108 (1) Only one sentence of corporal punishment shall be imposed at one time. Such corporal punishment shall be inflicted with a rod or cane to be approved by the minister. The sentence shall specify the number of strokes which shall not exceed twenty-four".

Section 274A of the Penal Code by virtue of which the Court of Appeal sentenced the Appellant to six strokes of the cane does not specify or fix the number of strokes of the cane to which a person must be sentenced on conviction under sections 273 and 274. It does not say, for instance, that: "any person who is sentenced to a term of imprisonment under the provisions of section 273 or section 274 of this Code, shall, in addition thereto, be sentenced to X strokes of the cane of corporal punishment".

The above words are our addition for purposes of explaining the point. If the section provided for the number of strokes of the cane which a court must impose, then the sentence would be fixed. As it is, the number of strokes of the cane applicable is left to the discretion of the trial court. Section 108(1) of the Trial on Indictment Decree sets out the maximum within which that discretion may be exercised. The limit is 24 strokes. In the circumstances the sentence of corporal punishment by strokes of the cane to which the Appellant was sentenced by the Court of Appeal is one which is not fixed by law for purposes of section 6(3) of the Judicature Statute. For that reason, this appeal is competent.

The appeal is competent for another reason. The Appellant is not appealing against severity of sentence. He is appealing against the legality (or constitutionality) of the sentence. He contends that the sentence of corporal punishment to

which he was sentenced by the Court of Appeal is illegal because it is in conflict with article 24 of the Constitution. It is contended that the punishment is a form of torture, is cruel, inhuman and degrading. This is a matter of law not including severity of sentence. It is a condition required by section 6(3) of the Judicature Statute for a person to appeal to the Supreme Court against sentence.

For the above reasons, we see no merit in the Respondent's preliminary objection to this appeal. It is therefore overruled.

In his submission on the merit of the appeal, Mr Joseph *Zagyenda*, the Appellant's learned counsel, contended that the punishment of six strokes of the cane imposed on the Appellant, is in conflict with article 24 of the Constitution. Caning is a form of torture, cruel, inhuman and degrading punishment. We should therefore declare it to be unconstitutional, and set aside the Appellant's sentence to corporal punishment of six strokes of the cane.

For the Respondent, Mr Charles Ogwal *Olwa*, Principal State Attorney, opposed the appeal. He submitted in his reply that because the Constitutional Court has not yet declared corporal punishment unconstitutional, corporal punishment is legal under section 274A of the Penal Code Act. Only the Constitutional Court under article 137(3) of the Constitution can declare corporal punishment unconstitutional. Secondly, corporal punishment created by section 274A of the Penal Code Act is legal because it was saved by article 273 of the Constitution when the Constitution came into force in 1995, the Penal Code Act having been in existence before. He prayed for dismissal of the appeal.

Article 24 of the Constitution which the Appellant contends the corporal punishment is in conflict with provides: "No person shall be subjected to any form of torture, cruel, inhuman, or degrading treatment or punishment".

This appeal requires us to decide whether, and declare that, corporal punishment is inconsistent with article 24 of the Constitution. The constitutionality of corporal punishment is therefore being challenged by the Appellant. We have to decide whether corporal punishment is constitutional or not. In order to make that decision, it is necessary, in our view, to construe the meaning of that article in relation to section 274A of the Code Act. In our view that clearly involves interpretation of the Constitution.

The jurisdiction for interpretation of the Constitution in the first instance is the preserve of the Constitutional Court under Article 137(1) of the Constitution which says:

> "137 (1) Any question as to the interpretation of this Constitution shall be determined by the Court of Appeal sitting as the Constitutional Court".

This means that it is the Constitutional Court which has the original jurisdiction on matters of interpretation of the Constitution. It also has the original jurisdiction in cases where a person seeks a declaration that an Act of Parliament is inconsistent with a provision of the Constitution. This is provided for in article 137(3) which states:

> "(3) A person who alleges that:
>
> An Act of Parliament,
>
> ...

is inconsistent with or in contravention of a provision of this Constitution may petition the Constitutional Court for a declaration to that effect, and for redress where appropriate".

In the instant case the Appellant is, in essence, seeking a declaration that the corporal punishment to which he has been sentenced is inconsistent with or contravenes the provisions of article 24 of the Constitution. The sentence of corporal punishment is provided for by an Act of Parliament. If corporal punishment were to be declared to be inconsistent with the provisions of article 24 of the Constitution the result would be that to that extent section 274A of the Penal Code would be inconsistent with the provisions of article 24.

Insofar as this appeal seeks for an interpretation of the Constitution and for a declaration under article 137(3)(*a*) of the constitution that corporal punishment is unconstitutional, it follows that it is the Constitutional Court which has the original jurisdiction on these matters as the court of first instance to consider and determine the issues raised by this appeal.

This Court cannot determine at this stage the issues raised in the appeal for the following reasons.

First, in constitutional matters this Court is an appellate court. Article 132(3) provides:

"(3) Any party aggrieved by a decision of the Court of Appeal sitting as a Constitutional Court is entitled to appeal to the Supreme Court on questions of law".

As the appellate court in constitutional matters this Court cannot entertain and determine this appeal as a court with original jurisdiction or a court of first instance. The issues raised by this appeal are being raised for the first time in this Court. It has not come to this Court on appeal. The Appellant has not been aggrieved by a decision of the Constitutional Court on the question raised by his appeal, which is a condition precedent before this Court can entertain and determine the question.

Secondly, it is the Constitutional Court as the court of first instance on the issue, and not this Court, which should first deal with the matter, because it may be necessary to adduce evidence before the Constitutional Court to prove that corporal punishment is a form of torture, cruel, inhuman and degrading treatment or punishment. On the basis of such evidence (if any) and submissions by counsel, the Constitutional Court would then make the necessary decision and declaration on the issue raised in this appeal.

In view of what we have said above in this judgment, a question as to the interpretation of the Constitution has arisen in the procedures of hearing this appeal in this Court. The provisions of clause (5) of article 137 of the Constitution are, therefore relevant. The clause says:

"5. Where any question as to the interpretation of this Constitution arises in any proceedings in a court of law other than a Field Court Martial, the Court

(*a*) may, if it is of the opinion that the question involves a substantial question of law; and

(*b*) Shall, if any party to the proceedings requests it to do so,

refer the question to the Constitutional Court for decision in accordance with clause (1) of this article".

In the instant case, none of the parties to the appeal has requested the Court for a reference to the Constitutional Court of the question of interpretation of the

Constitution which has arisen. Accordingly, clause (5)(*b*) of article 137 is inapplicable to this case. The Court, therefore, is not obliged to comply with clause 5(*b*).

Under clause 5(*a*), the court concerned has discretion to refer a question arising before it if it is of the opinion that the question involves a substantial question of law. The provisions of this clause notwithstanding, another question now arises whether this Court should exercise its discretion under clause 5(*a*) of article 137 of the Constitution in the instant case in view of its position and jurisdiction in the hierarchy of courts in the judicial system as established by the 1995 Constitution? Clause 5(a) appears to empower any court before which a question as to the interpretation of the Constitution arises in any proceedings before it to refer the question to the Constitutional Court at its own discretion. Only the Field Court Martial is excepted. This Court is not excepted. If it was the intention of the makers of the Constitution to do so, they would have no doubt done so as they did the Field Court Martial. In the circumstances our view is that the expression "any proceedings in a court of law other than a Field Court Martial" is wide enough to include the proceedings in this appeal in which the question under discussion has arisen and this Court before which the question has arisen.

We also think that the question of interpretation of the Constitution which has arisen in this appeal is a substantial question of law. It is therefore necessary for the Constitutional Court to decide on the question in relation to section 274A of the Penal Code. That is to say, it should answer the question whether corporal punishment is in conflict with or contravenes provisions of the Constitution. There appears to be no good reason for this Court to negatively exercise its discretion by not referring the question to the Constitutional Court. It would be an arbitrary decision to do so, given the fact that a substantial question of law involving interpretation of the Constitution has arisen. On the other hand as discretion must be exercised judiciously, our view is that it is the proper course to take. Moreover, it has to be appreciated that the issue raised in this appeal is bound to have consequences in respect of other offences for which convictions entail corporal punishment. It is therefore important that issues raised in this appeal should be properly and fully convassed in the Constitutional Court which should make its views on the matter known. Many courts below will be affected by such a decision. For these reasons, we think that this Court should make such a reference in accordance with clause 5(*a*) of article 137 of the Constitution.

Clause (6) of article 137 of the Constitution provides:

> "(6) Where any question is referred to the Constitutional Court under clause (5) of this article the Constitutional Court shall give its decision on the question and the Court in which the question arises shall dispose of the case in accordance with that decision".

If this Court referred the question to the Constitutional Court it would do so as the court in proceedings before which the question has arisen. As we have already said before in this judgment it would do so like any other court other than a Field Court Martial under clause (5) of article 137 of the Constitution. It would not be doing so in its jurisdiction as the appellate Constitutional Court

consisting of all its members, which constitutionally it is, under article 131(2) of the Constitution.

Similarly after the Constitutional Court has given its decision on the question referred to it, this Court would dispose of the appeal before it, not as the Constitutional Appellate Court, but as the Court from the proceedings before which the question arose. It would have to dispose of the appeal in accordance with the decision of the Constitutional Court on the question. To us, that appears to be the effect of the mandatory language of clause (6) of article 137. In case the decision of the Constitutional Court on the question is appealed (which at this stage can only be a matter for speculation), then such an appeal would come to this Court in its jurisdiction as the appellate Constitutional Court consisting of all the members of the Court. In case the decision of the Constitutional Court on the question referred to it is not appealed, then such a decision would stand as the law until it is overturned or upheld on appeal by the appellate Constitutional Court in another case in the future.

In the circumstances, and in accordance with the provisions of clause 5(*a*) of article 137 of the Constitution and the Schedule to the Interpretation of the Constitution (Procedure) Rules, 1992 (Modification) Directions 1996 (Legal Notice Number 3 of 1996), the following question is hereby referred to the Constitutional Court.

Form:

Reference to the Constitutional Court.

In The Constitutional Court of Uganda.

The Interpretation of The Constitution (Procedure) Rules.

The Reference of the Honourable Justices of the Supreme Court, Oder, Tsekooko, Karokora, Kanyeihamba (dissenting) and Mukasa-Kikonyogo JJ.SC, of the Supreme Court sitting at Kampala in Supreme Court criminal appeal number 16 of 1999.

The Supreme Court being of the opinion that a substantial question of law as to the interpretation of the Constitution has arisen in the above proceedings.

The question or issues are:

> "On 16 March 1999, the Court of Appeal of Uganda at Kampala (Kato, Engwau and Twinomujuni JJA) in the Court of Appeal criminal appeal number 52 of 1998, *Simon Kyamanywa v Uganda*, convicted the Appellant of robbery contrary to sections 272 and 273(1)(*b*) of the Penal Code Act and sentenced him to imprisonment for six years and to six strokes of the cane. It was also ordered that the Appellant should undergo police supervision for three years. The sentence of six strokes of the cane was imposed under section 274A of the Penal Code Act. Is the sentence of six strokes of the cane inconsistent with or does it contravene the provisions of article 24 of the Constitution?"

The Supreme Court desires the Constitutional Court to determine the question or issues in order to dispose of the above appeal.

KANYEIHAMBA JSC (dissenting): The facts and circumstances leading to this appeal are ably described in the majority judgment of my learned brothers and sister and I need not repeat them except in so far as they are relevant to this judgment.

> Suffice to say that the Appellant Simon Kyamanywa and another accused, Sunday Joseph, were charged on two counts of capital robbery contrary to sections 272 and 273(2) of the Penal Code Act. The High Court convicted and sentenced them to death. In separate appeals, the Court of Appeal allowed the appeals but convicted the two of simple robbery contrary to sections 272 and 273(1)(*b*) of the Penal Code Act and sentenced them to terms of imprisonment, corporal punishment and made some other orders which are not relevant to this appeal. The Appellant appealed against corporal punishment. There was one ground of appeal in the memorandum of appeal which read as follows: "The decision of the Court of Appeal that Appellant be sentenced to receive 6 strokes of the cane is in conflict with the provisions of the 1995 Constitution and is therefore illegal".

Appellant asked this Court for an order allowing the appeal and setting aside the sentence of corporal punishment. Counsel's submissions and arguments are adequately summarised in the majority judgment.

I will first deal with the question of whether or not this Court has jurisdiction to hear this application.

Article 50 of the Constitution provides:

"(1) Any person who claims that fundamental or other right or freedom guaranteed under this Constitution has been infringed or threatened is entitled to apply to a competent court for redress which may include compensation.

(2) Any person or organisation may bring an action against the violation of another person's or group's human rights.

(3) Any person aggrieved by any decision of the court may appeal to the appropriate court.

(4) Parliament shall make laws for the enforcement of the rights and freedoms under this Chapter".

In *Major-General Tinyefuza v Attorney-General (SC)* constitutional appeal number 1 of 1997, (UR), this Court held that under article 50 of the Constitution, any person if aggrieved by any decision of a court may appeal to the appropriate court including the Constitutional Court for a remedy.

In my opinion any court and any tribunal which is properly constituted has jurisdiction to hear and determine any dispute arising from the application and enforcement of any provision of the Constitution. Where a matter arises as to whether any act, decision or behaviour is contrary to the provisions of the Constitution, anyone in a position to do so may declare such an act, decision or behaviour to be contrary to the provisions of the Constitution. It is then upon the person disagreeing with that declaration to seek the assistance of the Constitutional Court to interpret the declaration. If it were to be held that every time any matter affecting or related to the provisions of the Constitution had to go to the Constitutional Court for interpretation or construction, the Constitution would become stale and entirely unreliable. The Appellant has sought the protection of this Court and in my opinion, this Court must give him that protection or deny it to him on legal and reasoned grounds. In my view, litigants or Appellants who, come before court are entitled to have a ground or grounds of their claim or appeal, as the case may be, considered and resolved by the court if that ground or grounds would, if not dealt with, leave some matter or matters raised in the case unresolved. Failure by the court to consider and resolve such matters would, in my opinion, be a failure on the part. of that court to do its duty. As far as this appeal is concerned there is nothing prohibited

by the Constitution or by the laws of Uganda. On the contrary, my own understanding of the Constitution and the laws of Uganda would suggest that this Court should grant the remedy sought.

Section 6(3) of the Judicature Statute 1996, provides: “In the case of an appeal against a sentence and order other than one fixed by law the accused person may appeal to the Supreme Court against the sentence or order on a matter of law not including the severity of the sentence”.

The appeal in this case is on a point of law in that it is contended in the memorandum of appeal that the sentence contravenes provisions of the Constitution. In my opinion, it is clear therefore that the Appellant properly brought the appeal to this Court. This Court has jurisdiction to entertain the appeal since it is on a point of law, namely, whether the infliction of corporal punishment is inconsistent with article 24 of the Constitution. Article 24 provides: “No person shall be subjected to any form of torture, cruel, inhuman or degrading treatment or punishment”.

The Appellant claims that in imposing corporal punishment upon him, the Court of Appeal contravened the provisions of article 24. In my view, this Court does not need to refer this case to the Court of Appeal for interpretation in accordance with the provisions of article 137. The Court can proceed under article 50 because what the Appellant seeks is the protection of his freedom from the evils envisaged in article 24 and not the interpretation of the Constitution. The provisions of the law which authorise the infliction of corporal punishment are to be found in section 274A of the Penal Code Act which was enacted before the promulgation and coming into force of the 1995 Constitution. Article 273 of the Constitution provides:

> “273 (1) Subject to the provisions of this Article, the operation of the existing law after the coming into force of this Constitution shall be construed with such modifications, adaptations, qualifications and exceptions as may be necessary to bring it into conformity with this Constitution.
>
> (2) For the purposes of this article, the expression ‘existing law’ means the written and unwritten law of Uganda or any part of it as existed immediately before the coming into force of this Constitution, including any Act of Parliament or Statute or statutory instrument enacted or made before that date which is to come into force on or after that date”.

In my opinion, article 273 is addressed to the whole world in general and to executive, legislative and judicial authorities in particular, whose duties include the protection and enforcement of the Constitution. Every time a matter arises which appears or is alleged to be in conflict with the provisions of the Constitution, the persons and authorities I have alluded to above must act at once to protect and enforce the Constitution. Whoever disagrees with their act or decision may petition the Constitutional Court for the interpretation of the provisions under article 137.

Every court in Uganda is vested with the jurisdiction to construe, apply and enforce the provisions of the Constitution in relation to any dispute before it. Every time there is a constitutional appeal to the Supreme Court and the court either agrees or disagrees with the findings and decisions of the Constitutional Court, the Supreme Court is construing and enforcing the Constitution. In doing so, the Supreme Court does not confine itself to submissions or arguments which were available in the Constitutional Court only, but admits documents, authorities and submissions on matters which, are sometimes extrinsic

to those which were available in the Constitutional Court or were obtained from outside our own jurisdiction. Whether or not corporal punishment contravenes article 24 is a question which the Supreme Court can answer without having to remit it to the Court of Appeal. If it were to be field that every time the question of contravening the provisions of the Constitution comes up, resort must be had to the Constitutional Court, constitutional litigation in that court would be a daily routine for some officials, an occupational hazard. In my opinion, and by way of examples, an administrative registrar who is presented with a child of 14 to marry or an election agent who is presented with a parliamentary candidate aged 10 are able to construe the Constitution there and then and refuse to marry or approve the candidature of respectively these children since to do otherwise would be contrary to the provisions of the Constitution. Anyone disagreeing with the decisions of the registrar or the parliamentary agent, as the case may be, would be entitled to petition the Constitutional Court for interpretation.

In my opinion therefore, this Court could have heard this appeal on merit without having to refer it back to the Constitutional Court.

For the Appellant:
Mr T Zagyenda

For the State:
Mr CO Olwa

Langat v Kenya Posts and Telecommunications Corporation
[2000] 2 EA 436 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	10 March 2000
Case Number:	144/99
Before:	Kwach, Lakha and Keiwua JJA
Sourced by:	LawAfrica
Summarised by:	M Kibanga

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[1] Employment – Wrongful dismissal – Appellant employee of Kenya Posts and Telecommunications Corporation – Appellant dismissed in 1992 – Whether suit brought within time – Section 109 – Kenya Posts and Telecommunications Act (chapter 411).

Editor's Summary

The Appellant was employed by the Kenya Posts and Telecommunications Corporation (KPTC). In October 1991 he was dismissed from employment. In October 1997 the Applicant filed suit against KPTC for wrongful dismissal, damages, salary *in lieu* of notice and pension. At the hearing KPTC raised a preliminary objection that the Applicant had not complied with section 109 of the KPTC Act that is, had not given the Respondent one month notice of the suit and had not brought suit within one

year of the date the cause of action arose. The High Court upheld these objections and dismissed the Appellant's suit whereupon this appeal was provoked.

Held – The Appellant had not discharged his duty to show that the statutory one month notice had been served on the Respondent and that the suit had been brought within one year after the cause of action arose.

The Applicant's claim fell within section 109 of the KPTC Act and the section had not been satisfied.

Appeal dismissed with costs. No cases referred to in judgment.

Judgment

KWACH, LAKHA AND KEIWUA JJA: Joel Kiprono Langat ("the Appellant") was at one time employed by the Respondent, Kenya Posts and Telecommunications Corporation ("KPTC"), as a mechanic. On 30 October 1991, KPTC dismissed him. In October 1997, the Appellant filed suit in the superior court against KPTC alleging wrongful dismissal and sought, among other reliefs, a declaration that his dismissal was wrongful; general damages; salary *in lieu* of notice and pension. KPTC filed a defence denying the Appellant's claim and also contended that the suit was incompetent for failure on the part of the Appellant to comply with the mandatory provisions of section 109(*a*) and (*b*) of the Kenya Posts and Telecommunications Corporation Act (Chapter 411) ("the Act").

When the suit came up for hearing before Ang'awa J the advocate for KPTC raised a preliminary objection that the suit was time-barred because it was not brought within the time limited by section 109 of the Act. The Learned Judge upheld the objection and dismissed the suit with costs. She gave leave to the Appellant to appeal to this Court.

The grounds upon which this appeal is brought are that the Learned Judge misapprehended the meaning, scope and tenor of section 109 of the Act and erred in law and fact in dismissing the Appellant's suit on the ground that it was time-barred.

Section 9 of the Act which deals with limitation of actions against KPTC provides:

> "109 Where any action or other legal proceeding is commenced against the Corporation for any act done in pursuance or execution or intended execution, of this Act or of any public duty or authority, or in respect of any alleged neglect or default in the execution of this Act or of any such duty or authority, the following provisions shall have effect:
>
> (*a*) the action or legal proceeding shall not be commenced against the Corporation until at least one month after written notice containing the particulars of the claim, and intention to commence the action or legal proceeding, has been served upon the managing director by the plaintiff or his agent;
>
> (*b*) the action or legal proceeding shall not lie or be instituted unless it is commenced within twelve months next after the act, neglect or default complained of or, in the case of a continuing injury or damage, within six months next after cessation thereof".

The gravamen of the Appellant's case is that he was unlawfully dismissed by KPTC without notice. When KPTC raised a preliminary objection that the suit was incompetent, it was incumbent upon the Appellant to prove first, that he was entitled to be given notice before being dismissed, and, second, having been dismissed without notice, he had complied with the mandatory provisions of section 109 of the Act. In the defence filed by KPTC it was denied that the Appellant was dismissed without notice or without sufficient cause. It was also averred that his dismissal was effected in accordance with his contract of service.

This being the position taken by KPTC, we would have thought that in resisting the preliminary objection taken by KPTC the Appellant would have seen the need not only to place before the Learned Judge his contract of service which would contain the terms and conditions of his engagement, but also a copy of the notice be alleged he had served on the managing director of KPTC as required by section 109(*a*) of the Act. Neither of these documents were produced. The only way the Appellant could prove that he had served the notice under section 109(*a*) of the Act was by tendering a copy of such notice in evidence. Having not done so, the plea in the defence by KPTC that no such notice was served, was well founded and the Learned Judge rightly found that it was not served.

As regards the requirement that the proceedings have to be brought within twelve months from the date of the occurrence of the act complained of, Mr *Bussinei*, for the Appellant, submitted that a claim for damages for wrongful dismissal does not fall under that provision and being a contractual claim can be brought within six years under the relevant provisions of the Limitation of Actions Act (Chapter 22). One only needs to read section 104(1) of the Act to see that Mr *Bussenei*'s interpretation is wrong. Under the rubric "Staff" it states:

> "104 (1) Subject to this Act, the Board may appoint such employees of the Corporation as may be necessary for its efficient working under such terms and conditions, including conditions relating to discipline and dismissal, as it may think fit".

It is plainly obvious from this section that appointment, discipline and dismissal of staff is an act done by KPTC in pursuance of execution of the Act within the meaning of section 109 thereof. It must follow from this that if the Appellant wished to contest his dismissal by KPTC he had to institute proceedings within the time frame fixed under section 109 of the Act. He did not serve a notice of intention to commence action on the managing director nor did he institute the action within twelve months from the date of his dismissal. The result of this default is that the suit bought by the Appellant was incompetent and did not lie. We can find no misdirection in the decision of the Learned Judge.

The consequence of this is that this appeal has no merit and it is dismissed with costs.

For the Appellant:
Mr Bussinei

For the State:
Information not available

LZ Engineering Construction Ltd v Deposit Protection Fund Board
[2000] 2 EA 438 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	22 December 2000
Case Number:	244/00
Before:	Tunoi, Shah and Owuor JJA
Sourced by:	LawAfrica
Summarised by:	W Amoko

[1] Practice and procedure – Court of Appeal – Notice of appeal – Time of appeal –Suspension of time by an application for copies of proceedings – Whether the letter requesting proceedings should be filed and copied to all Respondents – Whether the notice of appeal Court of Appeal Rules – Proviso to Rule 85(1).

[2] Practice and procedure – Court of appeal – Notice of appeal – Service of documents – How service is to be effected – Rule 17(1) – Court of Appeal Rules.

Editor's Summary

The Deposit Protection Fund Board ("the Board") lodged timeously, on 13 June 2000, a notice of appeal against the decision of the High Court which notice stated the parties upon whom the Board intended the notice to be served. The notice was not served upon at least one of them. The Board also applied to the High Court for copies of the proceedings. It was alleged that the letter was not filed nor was it copied to two of the firms of advocates named in the notice of appeal. LZ Engineering Construction Ltd applied to have the notice of appeal struck out on two grounds but the argument pursued was that the appeal had not been filed within 60 days of the date of the filing the notice of appeal.

Held – The application would be allowed because the Board could not take advantage of the proviso to Rule 81(1) suspending the running of time as the letter requesting copies of the proceedings had not been filed in the High Court and the time for filing the appeal lapsed and as no appeal had been filed by that date, the notice of appeal was a dead letter and was deemed to be withdrawn.

Under Rule 17(1) of the Court of Appeal Rules, absent any special direction, service of a document must be made personally on the person to be served or a person authorised to appear on his behalf. As the letter was not copied to at least one of the advocates named in the notice, the proviso to Rule 81(1) could not enure to the Board's benefit.

Application allowed. Notice of appeal struck out.

Ruling

TUNOI, SHAH AND OWUOR JJA: We have before us an application brought under Rules 42(1) and 80 of the Rules of this Court ("the Rules") whereby the Applicant, LZ Engineering Construction Ltd, seeks an order for striking out of the notice of appeal lodged by the First Respondent, Deposit Protection Fund Board, on the ground that the First Respondent has failed to file its intended appeal within the time limited by Rule 81 of the Rules.

The facts leading to the application are that the judgment of the superior court (Ole Keiwua JA as he now is but sitting as a judge of the superior court at the material time) was delivered on 31 May 2000. The First Respondent lodged a notice of appeal to challenge that judgment. That notice of appeal lodged on the 13 June 2000 was in time. In the body thereof the First Respondent stated that it intended to serve copies of the said notice of appeal upon:

"1 Esmail and Esmail Advocates
Corner House
Kimathi Street
P O Box 11021
NAIROBI

2 Ramesh Manek Esquire Advocate
Agip House
Haile Selassie Avenue
P O Box 14635
NAIROBI

3 Okwach and Company
Pioneer House
Moi Avenue
P O Box 52831
NAIROBI".

It is common ground that a copy of the said notice of appeal was not served on Ramesh Manek, Esquire, Advocate for the Second Respondent, Yaya Towers Ltd For the purposes of this application it is immaterial whether or not a copy thereof was served on M/s Okwach and Company advocates.

Although the application before us was originally a two-pronged one, Mr *Esmail*, who appears for the Appellant, has abandoned one of those prongs namely that although the First Respondent was in possession of copies of proceedings and judgment by 9 June 2000 it failed to lodge the appeal by 9 August 2000. As this ground stands abandoned we will not delve into it.

The main prong of Mr *Esmail*'s application is that the First Respondent did not send a copy of the letter bespeaking a copy of the proceedings to Mr Ramesh Manek or to M/s Okwach and Company and further that there was no indication that the letter requesting a copy of the proceedings was ever filed in the superior court registry. Mr *Esmail*, in the affidavit sworn in support of the application, in regard to the lodgment of the said letter with the registry of the superior court says: "Further, there is no indication on the copy of this letter (that is the letter requesting copy of the proceedings, dated 22 June 2000) when, if at all, the letter was filed in court".

In the replying affidavit sworn on behalf of the First Respondent by Mr *Peter Le Pelley*, Advocate, there is no denial of the above-stated averment. Nor did Mr *Le Pelley* respond to Mr *Esmail*'s argument in this Court on that issue during the course of the hearing before us. We can therefore only assume that the said letter was not on the file of the superior court. Mr *Le Pelley*'s affidavit in response to this application has annexed to it an affidavit by Mr *Esmail* sworn on 1 December 2000 wherein Mr *Esmail* deposed to the same fact as follows:

> "2. I have on more than one occasion searched the file in the Superior Court relating to High Court civil case number 3791 of 1993 in order to find out: when, if at all, the First Respondent's advocates' letter of 22 June 2000 addressed to the Registrar of the Superior Court seeking a copy of all proceedings therein was filed in the Superior Court; however despite these efforts I have not been able to find this letter on the Court files relating to the said case".

Faced with these depositions and in the absence of anything having been said in regard thereto by Mr *Le Pelley*, we called for the file of the superior court. We were also unable to trace that letter in the superior court file of HCCC number 3791 of 1993. Therefore, the proviso to Rule 81(1) of the Rules does not enure to the benefit of the First Respondent and the intended appeal, hence, ought to have been lodged by or about 13 August 2000. Such appeal not having been filed by that date the notice of appeal becomes a dead letter and is deemed to be withdrawn.

There is yet another issue. Mr *Le Pelley* argued that the firm of M/s Esmail and Esmail, advocates, having been served with a copy of the letter requesting a copy of the proceedings, and Mr *Esmail* being a director of Yaya Towers Ltd, there is a good enough service of that letter on Yaya Towers Ltd by way of informal notification. In support of this argument Mr *Le Pelley* relied on Rule 81(2) of the Rules which reads:

> "(2) An appellant shall not be entitled to rely on the proviso to subrule (1) unless his application for such copy was in writing and a copy of it was sent to the respondent".

What Mr *Le Pelley* urged was that service on M/s Esmail and Esmail, advocates, in which firm Mr *Esmail* is a partner, is good enough service on the Second Respondent, Yaya Towers Ltd, whose director Mr *Esmail* is, as Rule 81(2) caters for service on the respondent and not its advocate.

When service of a document is to be effected it cannot be argued that an informal notification could amount to good service. Rule 17(1) of the Rules expressly provides that in the absence of any special direction the service shall be made personally on the person to be served or any person entitled under Rule 22 to appear on his behalf. Rule 17(2) of the Rules provides that if an advocate is on record it shall be sufficient if one copy of that document is served on that advocate. There is nothing in the Rules to suggest, even remotely, that informal notification is good service. Quite clearly Mr *Manek* had to be served with a copy of that letter. He was not served so that yet again the proviso to Rule 81(1) of the Rules does not enure to the benefit of the First Respondent. The appeal not having been filed on or by 13 August 2000 the notice of appeal is a dead letter.

On those two limbs only we order that the notice of appeal lodged in the superior court by the First Respondent on 13 June 2000 be struck out. The Applicant will have the costs of this application.

For the Appellant:
Mr Esmail

For the Respondent:
Mr Le Pelley

Magana Holdings Ltd v Mungai
[2000] 2 EA 441 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	3 December 1999
Case Number:	143/96
Before:	Gicheru, Omolo and Shah JJA
Sourced by:	LawAfrica
Summarised by:	W Amoko

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[1] Practice and procedure – Court of Appeal – Record of appeal – Contents – Orders – Form of the orders – Whether an order should be drawn up in the same manner as a decree – Consequences of the record of appeal containing an order not drawn up in the same manner as a decree – Court of

Appeal Rules – Rule 851(h) and Order XX, Rule 7(1) and (6) of the Civil Procedure Rules – Section 89 – Civil Procedure Act (Chapter 21).

Editor's Summary

The Respondent applied to have the appeal struck out as the order which was appealed against and the order granting leave to appeal, both which were included in the record of appeal, were fatally and totally defective as they were not drawn in the same format as that of a decree.

Held – Rule 85(1)(*h*) of the Court of Appeal Rules does not require an order to be drawn in the same manner as a decree.

As the Respondent's advocate failed to respond to the Appellant's advocates' request to approve the draft orders sent to him and the High Court's registry approved and sealed the said orders in terms of Order XX, Rule 7(1) of the Civil Procedure Rules as read with sub-rule (6) thereof, it was not open to the Respondent to argue that the orders as drawn did not comply with procedural requirements.

Under the forms prescribed in the various Schedules to the Civil Procedure Rules, the format for drawing a decree differs from that of an order. By section 2 of the Civil Procedure Act (Chapter 21), an order is different from a decree and section 89 of the Civil Procedure Act mandates that rules of procedure shall be followed so far as applicable in any court of civil jurisdiction. It is not required that an order should be drawn up in like manner as a decree. *Suryakant Bhagwanji Raja Shah v Aperit Investment SA* overruled.

Case referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Shah v Aperit Investment SA [1999] LLR 1014 (CAK) – **O**

Ruling

GICHERU, OMOLO AND SHAH JJA: Mr *Ochieng Oduol* who appears for the Respondent in the appeal has moved this Court by way of a notice of motion in the appeal for orders to the effect that the appeal itself be struck out with costs. He also sought orders to the effect that his client be at liberty to apply for further orders and/or directions as this Court may deem fit and just to grant.

The grounds upon which he seeks the striking out of the appeal are as follows:

> "The order against which this appeal has been preferred is fatally defective in so far as it does not comply with the requirement of Order XX rules 6(1) and 7(6) of the Civil Procedure Rules. It does not set out the relief sought in the application, which was the subject matter of the ruling appealed from which renders the appeal incurably defective.
>
> The order granting leave to appeal is totally defective in so far as it does not comply with the requirement of Order XX rules 6(1) and 7(6) of the Civil Procedure Rules.
>
> An essential step has not been taken as is required by the Rules".

The sub-stratum of Mr *Oduol*'s argument is that an order appealed against must follow the same format as is used in the drawing of a decree of the superior court, that is to say, that it must first set out the claim and then the body of the order must set out what is normally set out in a decree. He says that the formal

order appealed against is a primary document and therefore must comply fully with the Civil Procedure Act and Civil Procedure Rules.

A decree is defined in section 2 of the Civil Procedure Act as follows:

> "'decree' means the formal expression of an adjudication which, so far as regards the court expressing it, conclusively determines the rights of the parties with regard to all or any of the matters in controversy in the suit and may be either preliminary or final; it includes the striking out of a plaint and the determination of any question within section 34 or section 91 of this Act, but does not include:
>
> Any adjudication from which an appeal lies as an appeal from an order; (underlining supplied) or
>
> Any order of dismissal for default".

The same section defines "order" as follows: "'Order' means the formal expression of any decision of a court *which is not a decree* and include rule *nisi*".

It is clear that section 2 of the Civil Procedure Act defines a "decree" and an "order" separately and that a "decree" does not include "any adjudication from which an appeal lies as an appeal from an "order".

The order against which this appeal has been lodged was made on 13 February 1996 by the superior court (Hayanga J). It is common ground that the Appellant's advocates drew the order in question, as well as the order giving leave to appeal and sent the same to Mr *Ochieng Oduol* for approval. He did not respond to the request and the registry of the superior court approved and sealed the same upon request by the Appellant's advocates in terms of Order XX, Rule 7(2) of the Civil Procedure Rules as read with sub-rule (6) thereof.

Mr *Ochieng Oduol* cannot now be heard to say that the order as drawn does not comply with procedural requirements.

Further in so far as this Court is concerned the requirement in rule 85(1)(h) does not call for drawing of an order in the manner a decree is drawn.

Mr *Ochieng Oduol* drew our attention to what was stated by this Court in the case of *Shah v Aperit Investment SA* [1999] LLR 1014 (CAK). The Court said, *inter alia*:

> "Another defect of similar effect is that the Order does not as required by Order 20 rules 6(1) and 7(6) of the Civil Procedure Rules, to be prepared in a like manner as a decree, set out as it should, the particulars of the claim or the relief sought in the application which was the subject matter of the Ruling. We will no longer condone this kind of infringement of the provisions of the Civil Procedure Rules where a primary document is involved".

We do not know whether the attention of the Court was drawn to the fact that there are forms prescribed under the Civil Procedure Rules. The format of a decree is separate from the format of an interlocutory order. The definitions of "decree" and "order" in the Civil Procedure Act are different. We need not say any more on this point; suffice it to say that section 89 of the Civil Procedure Act mandates that the procedure in regard to suits shall be followed as far as it may be applicable (underlining supplied) in any court of civil jurisdiction. As an illustration of what we are saying, Form Number 6 in Appendix B to the Civil Procedure Rules, sets out the format of an order to produce documents for inspection. Although it is the form of an order made after hearing both parties it does not follow the format of a decree. It follows the kind of format adopted by the Appellant in this appeal. The same observations would apply to Form Number 8 in Appendix E or Forms Number 13 and 14 in Appendix G. It may

well be that the court's attention was not drawn to these Forms and if that is so, the observations in the case of *Shah* (*supra*) would have been made *per incuriam.*

In the result the application dated 26 November 1999 is dismissed with costs.

For the Applicant:
Information not available

For the Respondent:
Information not available

Mawanda v Uganda
[2000] 2 EA 444 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of judgment:	28 February 2000
Case Number:	4/99
Before:	Tsekooko, Karokora, Mulenga, Kanyeihamba and Mukasa-Kikonyogo JJSC
Sourced by:	B Tusasirwe
Summarised by:	M Kibanga

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[1] Appeal – Advocate conceding to lesser offence on appeal – Appellant convicted of and sentenced for lesser offence – Whether conviction and sentence sustainable.

[2] Appeal – Duty of court on appeal – Whether court has duty to re-evaluate evidence on appeal.

[3] Criminal practice and procedure – Unequivocality – Appellant convicted of and sentenced for aggravated robbery – On appeal Appellant's advocate conceding to simple robbery – Whether such concession an unequivocal admission of guilt.

Editor's Summary

On the night of 13 January 1993 a husband and wife (the complainants) were attacked in their bedroom by about three men, who assaulted them and stole various items from them. Early the following day, security personnel on patrol intercepted a man carrying a bag containing diverse items and later two other men, one of whom was the Appellant. The security personnel took the men to the home of the complainants and the complainants identified the items as their property. The Appellant's two colleagues escaped custody at different times before trial and the Appellant was tried alone at the High Court for the offence of aggravated robbery contrary to sections 272 and 273(2) of the Penal Code convicted and sentenced to death.

The Appellant appealed to the Court of Appeal on the ground that there was insufficient evidence to convict him, and prayed for an acquittal. However, unlike in the memorandum of appeal to the Court of Appeal, counsel for the Appellant, in his submissions, did not pray for an outright acquittal

and appeared to concede to the Appellant's commission of simple robbery. Although this argument did not seem to confirm to the grounds in the memorandum, none of the grounds was withdrawn. The Court of Appeal in reliance on the concession by counsel quashed the High Court conviction and sentence and substituted therefor a conviction of simple robbery and a sentence of imprisonment for ten years, with orders for police supervision for 3 years,

corporal punishment of six strokes, and compensation to the complainants of UShs 100 000.

Against that conviction, the Appellant appealed further to the Supreme Court on three main grounds, namely: that the initial conviction was erroneously based on the recent possession of a stolen radio cassette when it was not proved that a radio cassette had been stolen; that the Court of Appeal had erred by basing its decision on concession by counsel that the Appellant had participated in the robbery; and that the court had failed to consider the defence of alibi raised.

Held – As a general rule, whatever counsel said to the court, whether a statement of fact or an argument, was deemed to be said on instructions of the client. A statement amounting to an admission that the client committed the offence in issue was, however, to be treated in accordance with section 28(3) of the Constitution, which provides that for an accused person to be convicted on a plea it must be himself who pleads guilty and his advocate cannot enter a plea on his behalf; *Manager, Tank Building Contractors v Republic* [1968] EA 120 followed.

Where a convicted person opted to challenge the verdict, an alteration of his position to admit commission of the offence should be treated like a change of plea. A purported plea by an advocate on behalf of his client was to be taken as the advocate's own opinion of the evidence; advocates were not to assume the role of judges.

The Court of Appeal was under a duty to re-evaluate the evidence on record and make its own conclusion on the guilt or innocence of the Appellant, notwithstanding the counsel's concession; *Kifamunte Henry v Uganda* criminal appeal number 10 of 1997 (UR) and *Begere Moses and another v Uganda* criminal appeal number 1 of 1997 (UR) followed. There was no sufficient evidence to warrant conviction of the Appellant.

The appeal was allowed, the conviction quashed and the sentence set aside.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Bogere Moses and another v Uganda criminal appeal number 1 of 1997 (UR) – **F**

Ezera Kyabanamaizi v R [1962] EA 309

Kifamunte Henry v Uganda criminal appeal number 10 of 1997 (UR) – **F**

Manager, Tank Bulding Contractors v Republic [1968] EA 120 – **F**

Musa Luinda v R [1960] EA 470

Judgment

TSEKOOKO, KAROKORA, MULENGA, KANYEIHAMBA AND MUKASA-KIKONYOGO JJSC: Mawanda Edward, to whom we shall herein refer as the Appellant, was convicted by the court sitting at Kampala, of robbery with aggravation contrary to sections 272 and 273(2) of the Penal Code Act and was sentenced to death. On appeal, the Court of Appeal quashed that conviction and set aside the death sentence, and substituted therefor a conviction of simple

robbery, and a sentence of imprisonment for 10 years, with orders for police supervision for three years, corporal punishment of six strokes, and compensation to the complainant in the sum of UShs 100 000. The Appellant being dissatisfied with that decision appeals to this Court against both conviction and sentence.

The undisputed facts of the case may be stated briefly. In the night of 13 January 1993 at Namungoona village, Zone B, in Lubaga Division, one Numani Gita, who gave evidence at the trial as PW1, and his wife, Hasifa Nabankema, who also gave evidence as PW3 (to whom we shall herein refer to as Gita and Hasifa respectively), were attacked in their bedroom by about three men, who assaulted them and stole diverse goods from them. In the early morning hours of 14 January 1993, in the neighbouring zone, LDU personnel on patrol intercepted first, one Mulekezi carrying a large bag containing diverse items, and later two other men. One of the two was alleged to have been carrying a radio cassette, and the other had nothing. The latter escaped. The former was the Appellant. Mulekezi and the Appellant, with the area RCI Chairman, Samuel Lugemwa, who gave evidence as PW2, and the LDU personnel and other people who had gathered, went to Gita's home. There, Gita and Hasifa identified items brought with the suspects, as property stolen from their house earlier in the night. Eventually, Mulekezi and the Appellant were jointly indicted for robbery. Before trial, however, Mulekezi was apparently mysteriously released from custody, and the Director of Public Prosecution had to enter a *nolle prosqui* in respect of him. The Appellant was tried alone.

There were eight grounds of appeal filed. When the appeal came up for hearing before us, Mr *Nsibambi*, counsel for the Appellant, combined grounds 1, 3, 4 and 5 to argue that the Court of Appeal erred in failing to re-evaluate the evidence as a whole and in convicting the Appellant of simple robbery when there was no, or not sufficient, evidence proving his guilt. Although he sought to argue ground 2 separately, namely that the Court of Appeal failed to evaluate the defence of alibi, much of its substance was covered by his argument of the combined grounds and we shall consider it in that context. Counsel's arguments on these grounds may be broken down into three main contentions. The first is that the Appellant's initial conviction was erroneously based on his alleged recent possession of a stolen radio cassette when it was not proved that a radio cassette had been stolen. The second is that the Court of Appeal erred in basing its decision on concession by counsel that the Appellant had participated in the robbery. And the third is the substance of ground 2, namely that the court failed to consider the defence of alibi. We shall consider the second contention first, because the answer to it has much bearing on the other two.

The second contention arises from the following passage in the judgment of the Court of Appeal. Their Lordships said:

> "The Appellant, in his unsworn statement denied participating in the robbery, during the hearing before us, however, it was conceded that he participated in the robbery.
>
> The only point that was argued before us was whether there was proof that a deadly weapon was used or threatened to be used" (emphasis added).

It is important to note that their Lordships did not go further to satisfy themselves that the concession was justified having regard to the evidence.

Mr *Nsibambi* argued his contention in the alternative. He submitted first, that the Appellant's counsel in the Court of Appeal did not, as a matter of fact, concede that the Appellant participated in the robbery. According to him, what was conceded was that evidence showed that a simple robbery was committed. In the alternative, Mr *Nsibambi* submitted that in criminal proceedings counsel can not legally concede commission of an offence by his client, and that if there was such a concession in the concession, it was a misdirection on the part of the Court of Appeal, to rely on it. He maintained that because, where it occurs, such a concession would be very prejudicial to the Appellant, the court ought to involve such Appellant personally, to ascertain that he in fact does admit having committed the offence. In the instant case, however, that was not done. In reply Ms *Khisa*, Principal State Attorney, maintained that the concession was made and that in absence of the Appellant challenging the participation in the Court of Appeal, that court was entitled to rely on the concession.

Neither the Court of Appeal record nor the learned Principal State Attorney suggested that the Appellant, at any stage, personally made the concession. Whatever concession was made, it was by his counsel. We have carefully examined the record and found that there wasn't any express concession to the effect that the Appellant participated in the robbery. The separate notes of counsel's submissions recorded by each of the three learned Justices of Appeal do not contain any unequivocal statement by the Appellant's counsel that the Appellant participated in the robbery. The most that he is recorded as saying is that "there was ample evidence of simple robbery". But all the three recorded him as concluding his submissions by praying the court to: "Allow the appeal, quash the conviction and set aside the sentence and substitute conviction for simple robbery and a sentence that would ensure his immediate release".

Apparently, unlike in the memorandum of appeal, counsel did not in his submission pray for outright acquittal. Also, the reply by counsel for the Respondent was evidently premised on the Appellant's participation in the robbery having been conceded. We do not doubt at all, that the Appellant's counsel, by what he said and what he did not say, led the Court of Appeal to the conclusion which is now complained of, that the Appellant's participation in the offence was conceded. However, in the first ground of appeal, the complaint was that the trial Judge had not evaluated the evidence and had arrived at a wrong decision; and the principal prayer was that the conviction be quashed, the sentence be set aside and the Appellant be set free. Neither the first ground of appeal, nor the principal prayer in the memorandum of appeal, was withdrawn. That left the issue shrouded in uncertainty. We agree with Mr *Nsibambi*, that where the court is faced with such a concession, and intends to rely on it, the proper course would be to ascertain, and record in unequivocal terms, the content of the concession, and the stance taken on any pleading that is inconsistent with the concession. With the greatest respect to the Learned Justices of Appeal, we are unable, in the circumstances of the instant case, to say that the record supports the conclusion relied on by them that the Appellant's participation in the robbery, was unequivocally conceded.

Mr *Nsibambi*'s second submission on this issue raised a more fundamental question, namely: can advocate's concession on appeal, that the client committed the offence in question, be legally binding on the client to the extent that the court can convict or confirm a conviction, on the strength of that concession?

As a general rule, whatever counsel says to the court, is deemed to be said on instruction of his client and is therefore binding on the client. That is true of statement of fact as well as an argument. In our view, however, a statement amounting to admission that the client committed the offence in issue, must be treated differently. The criminal justice system in this country is still based on the old principle, now entrenched in article 28(3)(*a*) of the Constitution, that a person charged with a criminal offence shall: "be presumed to be innocent until proved guilty, or until *that person* has pleaded guilty" (emphasis added).

That principle is applied strictly. For an accused person to be convicted on a plea, it must be himself to plead guilty. His advocate cannot enter the plea on his behalf. Even where the advocate engages in plea bargaining, the ultimate plea must be by the client himself. The Tanzanian case of *Manager, Tank Building Contractors v Republic* [1968] EA 120 supports the view. Although the principle is primarily applicable to original trials, it provides guidance for handling an appeal as well, should the situation arise. Of course where a person is convicted, the presumption of innocence ceases, and he is deemed guilty unless and until a higher court quashes the conviction. The convicted person has the option to accept the verdict or to challenge it by appealing to a higher court. Where, however, he has opted to challenge the verdict, as happened in the instant case, an alteration of his position to admit commission of the offence should be treated like a change of plea. In the instant case the position is that the Court of Appeal convicted the Appellant of simple robbery not because it was satisfied, as a first appellate court, after re-evaluating the evidence, that he had been proved guilty, but because his guilt was assumed to have been conceded by his counsel. That was an error. In absence of the Appellant's own admission, the said concession remained counsel's opinion of the evidence on record. It did not exonerate the court from its duty to re-evaluate the evidence, in order to be satisfied that the evidence proved or did not prove the Appellant's guilt. While counsel, as an officer of the court, has a duty to refrain from misleading the court or wasting its time by contesting incontestable issues, he must not particularly, in a criminal case, assume the role of judge.

It is pertinent to observe that in the instant case, the Court of Appeal omitted to evaluate the evidence and opted to base its decision on the equivocal concession, notwithstanding that it had noted, and criticised, unsatisfactory features in the judgment of the trial court. One such feature, in the following passage in the judgment of the Court of Appeal:

> "There are many unsatisfactory features in the 'judgment' of the Learned trial Judge. The law requires judgment to contain the point or points for determination, the decision on the point or points and reasons for the decision (see section 85 of the trial on indictment decree). The judgment in this case was just a reproduction of the summing up to the assessors. The judge did not make any findings of fact on any, of the ingredients of the offence beyond the direction she gave to the assessors. This point was conceded by the learned Principal State Attorney, Mr *Bireije*".

We agree with that criticism. In our view, however, it should have constrained the Court of Appeal all the more, to re-evaluate the evidence and make its own findings of fact on the ingredients of the offence, and in particular, in view of the defence of alibi, on the issue of the participation in the offence. Even if the Court of Appeal had been correct in its view that the Appellant's participation was conceded by counsel, its duty to be satisfied that the concession

was consistent with the evidence, would have remained. The omission to re-evaluate the evidence was an error of law and as this Court has held in a number of its decisions, that it is imperative for us now to re-evaluate the evidence (see *Kifamunte Henry v Uganda* criminal appeal number 10 of 1997 (UR) and *Bogere Moses and another v Uganda* criminal appeal number 1 of 1997 (UR). In the circumstances we have to consider the evidence on record adduced to implicate the Appellant in the commission of the offence.

On the evidence adduced to implicate the Appellant, Mr *Nsibambi* pointed out that it was in two sets, namely evidence of identification and evidence of recent possession of stolen property. He submitted that the former was so unreliable that the trial court had decided to ignore it. On the latter, he submitted that it was a misconception on the part of the trial court, and the first appellate court to apply the doctrine of recent possession of stolen property, when the item allegedly found in the Appellant's possession, namely a radio cassette, was not proved to have been stolen property. Ms *Khisa* conceded that the conviction was based on the evidence of Appellant's possession of the radio cassette, and maintained that the theft of the radio cassette was proved by the evidence of Hasifa and that of Lugemwa.

We agree that there was no credible evidence of identification. The only persons who witnessed the robbery and who would have identified the robbers were Gita and Hasifa. When Gita first gave evidence-in-chief, on 17 November 1994, he repeatedly stated that he did not recognise the attackers. He said:

> "I did not recognise the person who hit me with the block. They had a Knife. I did not look at it carefully to see how long or big it was because I had been forced to lie facing down. I did not see anything except I heard a gun being fired ... I did not recognise anybody. I could not recognise them because it was night".

When the same witness resumed giving evidence under cross-examination a year later on 22 November 1995, he claimed that he could clearly identify the attacker who slapped him and hit him with the block, and that it was the Appellant, who also had the knife and who demanded the money. But in further cross-examination he said: "I told court I could not see the attackers. I am not changing my story". The evidence of Hasifa, who testified in court on 23 January 1996, was similarly inconsistent. In one breath she stated that she could not see because the attackers, each of whom had a torch, were flashing their torches in their (victim's) eyes, and in another breath she claimed to have recognised the Appellant, whom she did not know before the incident in the light from the torch of his colleague. These inconsistencies were not, and probably could not be, explained. Be that as it may, it is clear from the evidence of the two eye witnesses that the conditions pertaining at the time of the robbery, made it difficult for them to identify their attackers. The factors which ordinarily facilitate identification were either absent or of no help. The two witnesses were suddenly awakened from sleep and immediately roughed up, getting hardly any opportunity, to observe their attackers. It was night time and the only light in their bedroom was torch light, which could have assisted the witnesses to see, but which seems to have blinded them instead. Although the attackers did talk when they were demanding money, we cannot infer that this helped the witnesses to identify the Appellant whom they did not know and whom, therefore, they had not seen (or heard) before. We find that the conditions at the material time did not favour correct identification. The possibility that Gita and Hasifa claimed to have identified the Appellant as an afterthought,

or out of vague memory of seeing him at their home after being intercepted, cannot be ruled out. The Learned trial Judge who saw and heard the two witnesses did not believe them. We are in agreement with her, that it would be unsafe to rely on the identification evidence by the two witnesses. It has to be ignored, leaving for consideration only the evidence on the aspect of recent possession of stolen property.

That aspect is the prosecution case that very soon after the robbery, the Appellant was intercepted in the neighbouring zone, in possession of one of the items stolen during the robbery, namely a radio cassette. The evidence to consider is in two parts. On the one hand, Gita and Hasifa testified on the items stolen from them during the robbery and those which were brought back to their home after Mulekezi and the Appellant were intercepted by RCI Chairman Lugemwa and LDU's. On the other hand, Lugemwa testified on the circumstances of intercepting the Appellant with the radio cassette. We shall consider the latter first.

Lugemwa testified that at about 4 am on 14 January 1993 as he was returning to his house after night patrol with the LDU, the LDU personnel, with whom he had been, brought to him Mulekezi whom he knew because he resided near his house, with a report that they had intercepted him at a nearby park with a bag full of property which they suspected to be stolen. On being asked about the property, Mulekezi said he had stolen it. He agreed to show them where the property was stolen from and intimated that he had been with two colleagues. He led Lugemwa and his team to the alleged colleagues whom they found walking to the main Hoima Road. Mulekezi told them their names. One of them was Mawanda, the Appellant. According to Lugemwa, the Appellant was holding a radio cassette. On the crucial part concerning the Appellant's reaction, the evidence is not as clear as should be. Lugemwa said in examination-in-chief:

> "We talked to the men and asked them where they had got the property from. They said they stole the radio. I took the man where I had parked the vehicle. By that time so many people had surrounded us. Haji escaped, only Mawanda remained. He took us to where they stole them from; Namuni's home ... it was already daybreak – about 6:00".

In cross-examination however, the same witness said: "I never knew the two men before. We took them to complainant's home within 30 minutes. *At first they denied but Mulekezi insisted they stole.* Since complainant remembered the radio cassette Mawanda was holding was his cassette it was proper to arrest him" (emphasis added).

The Appellant's defence was that he did not take part in the robbery. On the night in question he stayed at Nsambya. In the morning of 14 January 1993 at about 8 am, while travelling in a public vehicle on his way to collect school fees from his brother-in-law at Nansana, he was stopped at a roadblock. He said that because he was still a student, he did not have an ID or a tax ticket on him, and that for that reason he was detained at the spot and was not allowed to go back on the vehicle to continue his journey like the others. Later he was taken to the police. He denied being found with a radio cassette. The Learned trial Judge without indicating any reasons, accepted that the prosecution had established its case under the doctrine of recent possession; and rejected the defence of alibi merely as "the usual rogue's defence easily fabricated and unsubstantiated".

On analysis of the prosecution evidence, however, it becomes apparent that, much as it contains statements that are prejudicial to the defence, it is not entirely credible, let alone sufficiently weighty. Thus what is first presented by Lugemwa as an admission in which the Appellant participated, that the radio cassette was stolen, turns out, in cross-examination of that witness, to have been that it was an allegation by Mulekezi which the Appellant denied. Secondly it is not clear from Lugemwa's evidence whether the Appellant was the person who led Lugemwa and his team to Gita's home. It is just as possible that it was Mulekezi who led them. Needless to say, if it had been proved beyond reasonable doubt that the Appellant had confessed to Lugemwa that he stole or participated in the theft of the radio cassette, and that he had led Lugemwa and his team to the home from where the radio cassette was stolen, that would have gone a long way to prove the Appellant's guilt. But it was not so proved. Lugemwa's evidence on who confessed to the theft of the radio cassette and who led the team to Gita's house, is equivocal if not vague. Furthermore, although under section 28 of the Evidence Act, the confession of an accused person implicating a co-accused, may be taken into consideration as against that co-accused, Mulekezi's confessions cannot be taken into account against the Appellant under that section, because Mulekezi was not tried jointly with the Appellant. His confessions, to the extent they implicate the Appellant, would have to be treated as inadmissible hearsay. Besides, even where such a confession is taken into account, it cannot be the basis of a conviction. It is only taken into consideration in support of other substantial evidence (see *Musa Luinda v R* [1960] EA 470 and *Ezera Kyabanamaizi v R* [1962] EA 309).

Lastly we turn to Mr *Nsibambi*'s submission that the prosecution did not prove that the radio cassette allegedly found in the possession of the Appellant, was stolen during the robbery at Gita's house. Both Gita and Hasifa named the property that was stolen during the robbery and the property brought back to their house after interception of Mulekezi and the Appellant. The radio cassette was not mentioned by either witness among the items stolen during the robbery or those returned to the house. Even Lugemwa did not initially include it among the items identified by the complainant, when he arrived with the suspects. He testified:

> "When we knocked at the door the complainant immediately identified the properties and the people who were with what they had stolen from them. There was a wall clock – it was new –I cannot describe it now, it was a long time ago. All I know is that *there was a wall clock, a hurricane lamp, clothing which I do not remember but for men and women, that is all I can remember. They were in a bag with wheels … complainant recognised clock, clothing, lamp and bag*"(emphasis added).

It was only in cross-examination, as noted earlier in this judgment, while justifying the arrest of the Appellant, that Lugemwa said that the complainant had "remembered" the radio cassette. In his own evidence, Gita did not confirm this. It is also in passing that Hasifa made mention of a radio. When explaining how she recognised the Appellant she said: "I only recognised accused. While his colleague was kicking me accused was grabbing the radio".

She did not go on to say that he took the radio or that it was a radio cassette. In the end, it is only those two incidentally adduced pieces of inconclusive evidence that stand against the Appellant. We do not think, in the circumstances, that this constituted sufficient evidence to prove beyond reasonable doubt, that a radio cassette was stolen during the robbery and that the Appellant was found in recent possession of it, thereby destroying the defence of alibi. We

think, therefore, that it would not be safe to uphold the conviction on basis of that evidence alone.

Before taking leave of the case, we are constrained to observe that most, if not all, the weaknesses in the prosecution case which we have pointed out in this judgment, resulted from bad handling of the case. The Learned trial Judge, in her judgment, quite rightly criticised those responsible for the inordinate delay in prosecution of the case. For the trial of a criminal case starting one year and ten months after commission of the offence to last another one year and four months, from 11 October 1994 till 15 February 1996, with only three witnesses giving evidence, suggests that there is something wrong with the system and those administering it. We think, however, with respect that the Learned trial Judge, being in overall charge of the proceedings, has to take some of the blame, for permitting the hearing to be so dragged out. That, however, is only one aspect, which obviously had a negative impact on the memory of witnesses. The other is the amateurish manner in which witnesses were led to give evidence. A few more guided questions may well have resulted in better quality evidence. Lastly the handling of the exhibits was pathetic, to say the least. In the proceedings it is recorded on the first day of hearing after PW1 gave evidence-in-chief, that the prosecuting State Attorney obtained adjournment because exhibits were not in court and the Police had "just gone to get them". When hearing resumed with the same witness on 6 December 1994, the record shows only two items produced in evidence, namely a wall clock as exhibit P1; and a bag with two wheels missing, as exhibit P2. Almost a year later on 22 November 1995, after cross-examination of PW2, the State Attorney once again obtained adjournment because exhibits were not in court. It is not clear whether that refers to exhibits already produced or additional ones. Thereafter, however, there is no record of any more exhibits having been produced in evidence. Indeed when the Appellant was given opportunity to reply to the State Attorney's submissions, his own counsel having apparently abandoned him, he explicitly drew the trial court's attention to the fact that no radio cassette had been exhibited. We would have thought it very unlikely for him to make that bold assertion and the court accepts to record it, if in fact the radio cassette had been produced in evidence. However, when reviewing the evidence in her judgment, the Learned trial Judge referred to a radio cassette Sanyu as Exhibit P2, the zipper bag on wheels as exhibit P3 and other (clothing) as exhibit P4-7. There is no trace on the record of proceedings of a radio cassette having been produced in evidence and having been marked as exhibit P2. The disparity is puzzling.

Be that as it may, we find that the evidence on record is not sufficient to support the conviction. Grounds 1, 2, 3, 4 and 5 therefore succeed, and in view of that, it is unnecessary to consider grounds 6 and 7, which relate to sentence. Ground 8 was not argued as such, because counsel considered it rather as an accompaniment to the first five grounds.

In the result we allow the appeal, quash the conviction, and set aside the sentence. We order that the Appellant be set free unless he is held for any, other lawful reason.

For the Appellant:
Information not available

For the Respondent:
Information not available

Midwa v Midwa
[2000] 2 EA 453 (CAK)

Division: Court of Appeal of Kenya at Nairobi

Date of Ruling:	31 July 2000
Case Number:	197/2000
Before:	Kwach, Tunoi and Keiwua JJA
Sourced by:	LawAfrica
Summarised by:	H K Mutai

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[1] Children – Custody – Custody of children given to husband – Principles to be applied in custody disputes where children are of tender age – Whether mother should be deprived of custody of the children.

[2] Practice – Application for stay of execution – Divorce petition – Grounds of cruelty – Wife tested positive for HIV – Court order given removing wife from matrimonial home – Whether wife should be allowed back in matrimonial home.

Editor's Summary

In January 2000 the Respondent filed a petition before the High Court seeking a divorce from his wife of ten years on the grounds of cruelty. In particular, he alleged that the Applicant, having tested HIV-positive around December 1996, was endangering his life and that he could not live under the same roof with her. On 6 June 2000, the High Court ordered that the Applicant be expelled from the matrimonial home and consigned to the servants' quarter and that the Respondent be awarded custody of the parties' two children pending the hearing of the cause. The Applicant applied to the Court of Appeal for stay of the High Court's orders pending the hearing and determination of her appeal against them. She contended that part of her salary went towards the payment of the mortgage on the house and it was therefore totally unjustified for her to be confined to the servants' quarter. She also averred that no exceptional circumstances existed to justify giving custody of the children to the father.

Held – The order compelling the Applicant to live in the servants' quarter of her own house, whose mortgage her salary was servicing, was traumatising, dehumanising and likely to adversely affect her health. All things being equal, children of tender age ought to be with their mother and, in giving custody of such children to the father, it was incumbent on the court to ensure there were sufficient grounds for doing so; *Re S (an infant)* [1958] 1 All ER 783 and *Karanu v Karanu* [1975] EA 18 applied. The High Court judge had erred in applying this principle as no exceptional circumstances had been shown to justify depriving the mother of custody. The intended appeal was thus arguable, the application would be allowed and the Applicant restored to the matrimonial home.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**"

means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Karanu v Karanu [1975] EA 18 – **AP**

United Kingdom

Re S (an infant) [1958] 1 All ER 783 – **AP**

Ruling

KWACH, TUNOI AND KEIWUA JJA: This is an application under Rule 5(2)(*b*) of the Court of Appeal Rules seeking an order for a stay of execution of the order of the superior court (Rawal J) dated 6 June 2000, by which order the Applicant, the wife in the petition, was expelled from the matrimonial home and consigned into the servants quarter euphemistically labelled an outhouse pending the hearing and determination of the intended appeal.

Though this is a peculiar case and one of its rare kind to reach this Court, we are somehow perturbed in the manner in which the Learned Judge approached it. In the process she ignored the medical condition of the wife and the tender age of the children of the marriage and consequently made certain orders which plainly cry loudly for justice.

The parties are husband and wife. They solemnised their marriage under the African Christian Marriage and Divorce Act at the All Saints' Cathedral, Nairobi, on 10 February 1990. The husband works with Total Kenya Ltd while the wife is an officer with the National Bank of Kenya. They are blessed with two sons, now aged 7 and 10. The marriage appears to have been reasonably happy until in or about December 1996 when the wife tested HIV positive. The medical status of the husband has so far not been revealed.

On 24 January 2000, the husband petitioned for divorce on the grounds of cruelty; the particulars thereof being given as that the wife having tested HIV positive was endangering the life of the husband. Other instances of cruelty cited in the petition are assaults, abuse and other matrimonial offences allegedly committed by the wife upon the person of the husband and the children. These are not relevant to the application before us and neither have they been tried in the cause which is still pending before the superior court.

Under the Matrimonial Causes Act (Chapter 152) Laws of Kenya only impotence, insanity and infectious venereal diseases are recognized as grounds of petition for divorce and for decree of nullity.

Ms Abida *Ali* for the wife, submits that the servants quarter is unfurnished, unpainted and incomplete. It has only a simple bed and a cooker. The wife is denied access and enjoyment of the matrimonial home and yet her salary is deducted every month in payment of the mortgage taken for its construction. She contended that it was totally unjustified for the Learned Judge to confine the wife there in her present predicament.

As for the children, Ms *Ali* argues that there do not exist any exceptional circumstances so as to justify giving their custody to the father. She contended that to separate them from their mother will make them suffer psychologically and emotionally thereby causing them irreparable loss and damage.

We have no hesitation in holding that the intended appeal is arguable and not frivolous. The ruling of the Learned Judge, on its face, smacks of insensitivity and total inconsideration of the facts presented before her. It is not denied that the wife is 50% holder of the entire property and that her salary services the mortgage. It is traumatising and dehumanising to order her to live in the servants quarter of her own house. We agree with Ms *Ali* that in such conditions her health is likely to be adversely affected.

It is trite law that, *prima facie*, other things being equal, children of tender age should be with their mother, and where a court gives the custody of a child of tender age to the father it is incumbent on it to make sure that there really are sufficient reasons to exclude the *prima facie* rule. See *Re S (an infant)* [1958] 1 All ER 783 at 786 and 787 and *Karanu v Karanu* [1975] EA 18. The Learned Judge, in our view, did not correctly direct herself on the principle that in cases of custody of the children the paramount consideration is their welfare. Moreover, as the record shows, there were no exceptional circumstances shown to justify depriving the mother of her natural right to have her children with her.

The husband in countering the application maintains that he cannot live together with his wife under the same roof as she poses a grave risk to his life. We sympathise. The wife is still working and servicing the mortgage. She avers that she is still strong and healthy despite the fact that she was diagnosed HIV positive about five years ago. Until the Court decrees otherwise the husband should not desert his wife. Presently it would be morally wrong.

If anything is done to upset and alter the state of health of the wife, substantial harm may be occasioned and the intended appeal will be rendered nugatory.

We allow the application and grant a stay of execution. We order that the wife be put back in the matrimonial home forthwith. The costs of this application shall be in the intended appeal.

For the Appellant:
Information not available

For the Respondent:
Information not available

Mucheru v Mucheru
[2000] 2 EA 455 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	1 December 2000
Case Number:	212/96
Before:	Akiwumi, Tunoi and O'Kubasu JJA
Sourced by:	LawAfrica
Summarised by:	W Amoko

[1] Civil procedure – Originating summons – Observations on the procedure – Issues of adverse possession and trust – Additional question of burial and succession – Whether

appropriate to deal with complex matters on originating summons – Order XXXVI – Civil Procedure Rules.

[2] Land – Trust – Declaration of trust in agricultural land – Whether subject to Land Control Board consent – Statute Law (Repeal and Miscellaneous Amendments) Act 1980

Editor's Summary

In 1984 the Respondent filed originating summons seeking an order which would allow her to bury her deceased husband on the property which was the subject of the appeal, which property was in the control of the Appellant, the widow of the registered proprietor. It was said on the Respondent's behalf that her deceased husband was entitled to a portion of the property under Kikuyu customary law, and that the same devolved to the Respondent on the demise of the deceased. With the originating summons was filed an interlocutory chamber summons seeking to bury the deceased on the subject property.

The trial Judge held that the questions raised in the application were complex and required the taking of oral evidence. She then proceeded to so order and entertain hearing in order to dispose of the whole suit. She held that a trust under Kikuyu customary law had been proved, and ordered that the deceased be buried on a portion of the subject property.

Sixteen years later, in 2000, an appeal against the judge's decision came up for hearing in the Court of Appeal. The court considered the propriety of the proceedings and whether it was proper to deal with complex issues in an action commenced by originating summons.

Held – The procedure by originating summons is intended to enable simple matters to be dealt with in a quick and summary manner. *Bhari v Khan* [1965] EA 94, *Kibutiri v Kibutiri* [1982–88] 1 KAR 60 followed; *Kenya Commercial Bank v James Osebe* [1982–88] 1 KAR 48 considered.

Declaration of a trust in agricultural land is a dealing in the land requiring Land Control Board consent, following the Statute Law (Repeal and Miscellaneous Amendments) Act 1980. Hence any such trust declared without the relevant consent is void for all purposes. *Gatimu Kinguru v Muya Gathangi* [1976] KLR 253 distinguished.

Per curiam: If the Learned Judge thought that a matter begun by originating summons should have continued by plaint, she should have invoked the provisions of Rule 10(1) of Order XXXVI and made a specific order to that effect.

Appeal allowed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Bhari v Khan [1965] EA 94 – **F**

Francis Munene Paul Muthuita v Milka Wanie Muthuita [1982–88] 1 KAR 42

Gatimu Kinguru v Muya Gathangi [1976] KLR 253 – **D**

Kenya Commercial Bank Ltd v James Osebe [1982–88] 1 KAR 48 – **C**

Kibutiri v Kibutiri [1982–88] 1 KAR 60 – **F**

Kuslum Bhai v Abdulhussein [1957] EA 699

Official Receiver v Sukhdev [1970] EA

Salehmohamed Mohamed VPH Saldanha 3 (Mombasa) civil case number 243 of 1953 (UR)

Judgment

AKIWUMI, TUNOI AND O'KUBASU JJA: This is an appeal against the judgment of Aluoch J, in which she declared a piece of land as belonging to the dead husband of the original Respondent, Teresia Mucheru, and which she and her children had inherited upon the death of her husband, and also ordered that he be buried on that piece of land. The complex issues that were involved in the proceedings before the Learned Judge will now be recounted.

By originating summons, the Respondent, Teresia Mucheru, sought the determination of the following questions:

1 Whether she by herself, servants or agents was entitled to bury her deceased Husband, Francis Mucheru.

2 Whether Francis Mucheru was entitled to a portion of the suit land, land Parcel Ngenda/Gituru/310, which was registered in the name of Mucheru Karanja the deceased husband of the Appellant, Beatrice Mucheru, and whether it devolved unto Teresia Mucheru on the death of her husband Francis Mucheru.

3 Was the said portion of the suit land identifiable in the light of the clan elders' decision that it was held in trust by Mucheru Karanja for the benefit of Francis Mucheru?

4 If Francis Mucheru was entitled to the said portion of the suit land, what was its dimension and site?

After the filing of the originating summons, Teresia Mucheru applied by chamber summons to be allowed to bury her husband on the suit land. This was on the basis that even though the suit land was registered in the name of Mucheru Karanja, he held a portion of it in customary Kikuyu trust on behalf of Francis Mucheru. Objections to this application raised complex issues such as, whether Kikuyu customary trust could override the registration of the suit land in the name of Karanja Mucheru as its beneficial owner; whether the burial of Francis Mucheru on the suit land was merely a ruse to obtain title to the affected part of the suit land; whether the burial of Francis Mucheru and other related issues were matters that could be brought by way of originating summons; and whether Beatrice Mucheru could be made a party to the proceedings. In her ruling on this application, the Learned Judge, Aluoch J, first held that the originating summons was properly before the court; secondly, that Beatrice Mucheru had been properly made a party to the suit; and thirdly, and significantly, that:

> "I have found that the dispute in this case goes deeper than just the question of the burial of the dead body, now lying at the City Mortuary. The ownership of the land in question, is a point to be determined. The 2 issues are co-related, and to decide on one without the other, would be to pre-judge issues. I have found that I cannot decide on such issues on affidavit evidence alone, I have to hear the oral evidence … I will now go ahead and hear oral evidence in this case".

The Learned Judge presumably rejecting the submission that the matter should not have been brought by way of originating summons and being of the view that it was unnecessary to raise the matters involved by way of a suit, then went on to hear oral evidence to determine not only the chamber summons but also the originating summons in which Teresia Mucheru as heir to the portion of the suit land which Mucheru Karanja held in trust for her husband, Francis Mucheru, sought the determination of the complex questions raised in the originating summons and as hereinbefore set out. But was she right to do so? We must first consider the applicable substantive Civil Procedure Rule under which the origination summons was filed. This is rule 1 of Order 36 which so far as it is relevant, provides that:

> "any person claiming to be interested in the relief sought as ... heir ... of a deceased person ... may take out ... an originating summons ... for such relief of the nature or kind following, as may by the summons be specified and the circumstances of the case may require, that is to say, the determination ... of any of the following questions:
>
> (*a*) any question affecting the rights or interest of the person claiming to be ... heir ...".

One may well suppose that the question regarding the issue whether Teresia Mucheru, as heir to Francis Mucheru, was entitled to his share of the suit land and the dimension and particulars of the same, if it were in the circumstance, a simple issue, which as it happened was not the case, came within the ambit of Order 36, Rule 1. But can the same be said about the first question set out in the originating summons, that is, whether Teresia Mucheru was entitled to bury her dead husband? We would say, no! What is more, the issues involved in the originating summons were, as the Learned Judge herself, as already shown, admitted, of a complex nature and which should not have been dealt with by way of the originating summons as the Learned Judge did. As Newbold AVP espoused in his judgment in *Bhari v Khan* [1965] EA 94 at 101: "An originating summons is a form of legal proceedings designed to give in certain specific cases, a quick summary and inexpensive remedy". Newbold AgVP then went on at page 105 to observe as follows: "The other items were, however, certainly not matters which could be agitated on an originating summons under Order 36, and while Rules 9 and 10 of that Order permit of evidence being taken, this is only so if the matters in respect of which relief is sought can be disposed of in a summary manner".

Subsequently, in *Kibutiri v Kibutiri* [1982-88] 1 KAR 60 Law JA had this to say: "The procedure by way of originating summons is intended: 'to enable simple matters to be settled by the court without the expense of bringing an action in the usual way, not to enable the court to determine matters which involve a serious question' ".

This was said in *In re Giles* (2) [1980] 43 Ch. D. 91, a decision cited with approval by this Court's predecessor in *Kuslum Bhai v Abdulhussein* [1957] EA 699. See also *Bhari v Khan* [1965] EA 94, in which it was held that the scope of an inquiry which could be made on an originating summons and the ability to deal with a contested case was very limited. When it becomes obvious that the issues raise complex and contentious questions of fact and law, a judge should dismiss the summons and leave the parties to pursue their claims by ordinary suit . . . Finally, I would like to advise judges who have to deal with an originating

summons to consider the judgment of this Court in *Kenya Commercial Bank Ltd v James Osebe* [1982–88] 1 KAR 48 and in particular the judgment of Hancox AJA in which the law and practice relating to originating summons, and their scope, are extensively reviewed".

We now set out the following pertinent part of the judgment of Hancox AJA (as he then was) in *Kenya Commercial Bank Ltd v James Osebe* (*supra*):

> "In support of the first limb of his submissions Mr Kwach cited Sir Ralph Windham CJ's judgment in *Kulsumbhai v Abdulhussein* [1957] 1 EA at 701 where he said:
>
> > 'It was pointed out in *In re Giles* (2) [1980] 43,Ch D 391, that such procedure was intended, so far as we can judge, to enable simple matters to be settled by the court without the expense of bringing an action in the usual way, not to enable the court to determine matters which involved a serious question.'
>
> And I would also refer to the following passage from a judgment of my own in *Salehmohamed Mohamed VPH Saldanha 3*, Kenya Supreme Court (Mombasa) Civil Case Number 243 of 1953 (UR), where the scope and general purpose of procedure by way of originating summons were being considered:
>
> > 'Such procedure is primarily designed for the summary and "*ad hoc*" determination of points of law or construction or of certain questions of fact, or for the obtaining of specific directions of the court, such as trustees, administrators, or (as here) the court's own execution officers. That despatch is an object of the proceedings is shown by *Order XXXVI*, which provides that they shall be listed as soon as possible and be heard in chambers unless adjourned by a judge into a court.'
>
> Even clearer is the statement he quoted from Newbold JA's judgment in *Bhari v Khan* [1965] EA at 101.
>
> Moreover strange results would follow if a judge were free to determine issues not properly before him, see Newbold JA (as he then was) in *Bhari v Khan* at page 105 letters B to C and Duffus JA at page 108 letter D. Moreover the originating summons procedure is not for the purpose of obtaining decisions on disputed questions of fact – see *In re Sutcliffe* [1942] 1 CH. at page 455 per Bennet J followed by Madan J in *Official Receiver v Sukhdev* [1970) EA at page 248".

Hancox AJA's judgment was considered by the Learned Judge in what purports to be a 19 page somewhat confusing judgment instead of a ruling. The Learned Judge after considering the "complex and contentious questions of fact and law" as to whether Mucheru Karanja held a portion of the suit land in trust for Francis Mucheru; whether not withstanding that the suit land was first registered in the name of Mucheru Karanja as its sole proprietor, under the Registered Land Act, Francis Mucheru could still claim title to a portion of it as being held in trust for him by Mucheru Karanja, or through adverse possession under the Limitation of Actions Act Chapter 22; and the following legal authorities – *Gatimu Kinguru v Muya Gathangi* [1976] KLR 253 and *Francis Munene Paul Muthuita v Milka Wanie w/o Paul Muthuita, John Namus s/o Paul Muthuita and George Mwaniki s/o Paul Muthuita* [1982–88] 1 KAR 42 – and the Registered Land Act, misapplied the judgments not only of Hancox AJA, but also that of this Court in *Kibutiri* (*supra*). She said:

> "Finally, I would agree with the submission that there is no specific legal procedure dealing with burial of dead bodies. This is a recent development in law. Anyway, in this case Teresiah Mucheru, the Plaintiff, maintained right from the beginning that her deceased husband had a portion in the suit premises and that she together with her children being the deceased's heirs are entitled to bury his body on that portion which belonged to him. Evidence was led to the effect that Teresiah and her children are entitled to inherit from the deceased.

It was because of this, according to submissions that the Plaintiff came to Court under Order XXXVI, Rule 1 of the Civil Procedure Rules, which states, *inter alia,* and any person claiming to be interested in the relief sought as creditor, devise, legatee, heir.

It was in this respect, and also applying the laws of natural justice that I went beyond the chamber application concerning burial and dealt with the whole dispute on land, otherwise I am aware of the advice given to judges dealing with originating summons, by Law JA (as he then was) in civil case (originating summons) 70/79, who referred to the Court of Appeal judgment in *Kenya Commercial Bank v James Osebe*, civil appeal number 60/82, and particularly the judgment of Hancox AJA (as he then was) in which the law and practice relating to originating summons and their scope, was extensively reviewed.

Now finally, to answer the Plaintiff's question in her prayers brought to court, I would say that her late husband, the deceased, was entitled to a portion of the suit premises during his lifetime, and that portion now devolves to her and her children, under Kikuyu customary law.

According to evidence on record, that portion is identifiable, since evidence was led to show that the clan elders planted a hedge (Kariaria). Alternatively, the deceased had once built a house on the land and cultivated crops. That showed his portion. A third way of identifying it is I suppose, as per the evidence of Gachihi Wagiko, the portion nearest to his land.

The size of the deceased portion is 3 acres, that was the evidence let (*sic*) in court, which I accepted.

The above questions having been answered, I would now finally answer the question on the burial of the dead body, that the Plaintiff and/or her agents are entitled to bury the body of her late husband Francis Mucheru Muruchu, who died on 11 February 1984 and whose body is still lying at the City Mortuary, on that portion.

In view of my findings, I hereby direct that the chief of this village, Chief Charles Gathu Mungai, and the District Officer (DO) Mr Njoroge Ndirangu, be present at the burial to ensure that my orders are carried out, and further that the officer-in-charge, Gatundu Police Station also be present to ensure that law and order is maintained at the time of the burial.

The deceased should be buried as soon as reasonably possible, in view of the fact that to date, his body has been lying in the mortuary for 38 days, inclusive of today".

If the Learned Judge thought that the matter should continue as if by a plaint, which she clearly did not, she should have invoked the provisions of Rule 10(1) of Order 36 which is as follows and not persisted in misapplying the law:

"10 (1) Where, on an originating summons under this order, it appears to the court at any stage of the proceedings that the proceedings should for any reason be continued as if the cause had been begun by filing a plaint, it may order the proceedings to continue as if the cause had been so begun and may, in particular, order that any affidavits filed shall stand as pleadings, with or without liberty to any of the parties to add to, or to apply for particulars of, those affidavits".

In her "judgment" the Learned Judge relied upon the judgment of Madan J (as he then was) of 5 November 1976, in *Kinguru* (*supra*) where he held that:

> "The creation of a trust over agricultural land in a land control area does not constitute an 'other disposal of or dealing' for the purposes of section 6(1)(*a*) of the Land Control Act and, therefore, does not require the consent of the local land control board; and the absence of any reference to the trust in the instrument of acquisition of the land does not affect the enforceability of the trust as the provisions of section 126(1) of the Registered Land Act as to the reference to the capacity as trustee in the instrument of acquisition are not mandatory but merely permissive".

From the evidence adduced at the hearing, the suit land would seem to be "agricultural land" as defined in section 2 of the Land Control Act and as such, any transaction in it without the consent of the relevant Land Control Board, would in accordance with section 6(1) of the Act, be void for all purposes. Section 6(2) of the Act which was introduced by the Statute Law (Repeal and Miscellaneous Amendments) Act 1980, and which is as follows:

> "(2) For the avoidance of doubt it is declared that the declaration of a trust of agricultural land situated within a land control area is a dealing in that land for the purposes of subsection (1)"

extends the provisions of section 6(1) of the Act to the declaration of trust in agricultural land. This is an important issue which may well have affected the agricultural land allegedly being held in trust by Mucheru Karanja for the benefit of Francis Mucheru. The Learned Judge did not pursue this particular issue which might affect the correctness of Madan J's judgment in *Kinguru* (*supra*) upon which she relied. It is noteworthy that in the Memorandum and Objects of the Statute Law (Repeal and Miscellaneous Amendments) Bill, it is stated with respect to the amendment of the then existing section 6(2) of the Land Control Act that: "The existing provisions at sections 6(2)(*a*) … are deleted entirely. The proposed new section 6(2) will simply clarify a point concerning trusts, over which there has been judicial disagreement …".

All this also goes to show how complex the matter was and why it should not have been dealt with in an originating summons.

The Learned Judge erred, as illustrated in her confusing "judgment" as set out above, in proceeding in hearing the "complex and contentious questions of facts and law" raised in the originating summons and particularly also when she determined an issue raised by a chamber summons at the same time as those raised in the originating summons.

Counsel for the Appellant has informed us that the Appellant is not appealing against the Learned Judge's ruling concerning the burial of Francis Mucheru. It is now sixteen years ago when Francis Mucheru was buried and we are not surprised at this. We will, however, for the reasons set out above, and without prejudice to whatever future steps the Respondent may wish to take, allow the appeal against all the other orders made by the Learned Judge in her "judgment" appealed against. Because of the intertwined family relationship between the Appellant and the present Respondent who is the legal representative of her dead mother, Teresia Mucheru, we make no order as to costs.

For the Appellant:
Mr M Akampurira

For the Respondent:
Information not available

Ndungu v Coast Bus Co Ltd
[2000] 2 EA 462 (CAK)

Division: Court of Appeal of Kenya at Nairobi

Date of judgment:	7 July 2000
Case Number:	177/99
Before:	Omolo, Lakha and Bosire JJA
Sourced by:	LawAfrica
Summarised by:	H K Mutai

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[1] Evidence – Plaintiff's oral testimony – Documentary evidence – Production of documents by Plaintiff – Failure to produce fare receipt – Whether failure to produce fare receipt rendered Plaintiff's testimony unreliable – Whether there was sufficient evidence to prove the Defendant's liability.

[2] Practice – Negligence – Motor vehicle accident – Parties – Failure to join driver in suit – Whether the failure was fatal to the suit.

Editor's Summary

The Appellant filed suit against the Respondent seeking damages for injuries sustained in an accident that allegedly occurred while he was travelling as a fare-paying passenger in the Respondent's vehicle. The plaint averred that the accident occurred on 7 December 1992 when the driver of the Respondent's motor vehicle registration number KAC 641H drove the vehicle in a negligent manner causing it to leave the road, hit a tree and plunge into a river. The Respondent's defence admitted the occurrence of an accident but averred that the vehicle involved had a registration number KAC 642H and denied that the Appellant was a passenger therein. The Appellant, who was the sole witness at the trial, narrated how the accident occurred, described the injuries he sustained and produced medical evidence and a police abstract showing not only that an accident involving motor vehicle registration number KAC 642H occurred on 7 December 1992 but also that he was a passenger on the vehicle. The trial Judge dismissed the suit on the grounds, *inter alia*, that the Appellant's failure to produce a fare receipt made his oral evidence that he was a passenger unbelievable, that the Appellant's failure to join the driver was fatal to the claim and that the Appellant's evidence regarding speed was mere opinion. On appeal, the Appellant challenged the trial Court's findings of fact and conclusion that the failure to join the driver to the suit was fatal.

Held – The variance in the particulars of the motor vehicle prejudiced neither party and should not have a bearing on the outcome of the appeal.

Failure to join a driver in a damages claim against his employer was not fatal as the employer's liability largely depended on the pleadings and the evidence in support of the claim: *Selle and another v Associated Motor Boat Co Ltd and others* [1968] EA 123 and *Mwonia v Kakuzi Ltd* [1982] LLR 46 (CAK) applied; *Athman v Garissa County Council* Nairobi HCCC number 2484 of 1992 overruled.

The circumstances surrounding the accident supported the Appellant's evidence and showed that the driver was not in control of the vehicle hence the trial Judge erred in finding otherwise.

Though a fare receipt was evidence of a person being a passenger in a particular motor vehicle, it was not the only such evidence and in this instance the

police abstract and the Appellant's oral testimony clearly established his status as a passenger on the motor vehicle at the material time. The trial Judge therefore erred in finding to the contrary. The appeal would be allowed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Athman v Garissa County Council Nairobi HCCC number 2484 of 1992 – **O**

Mwonia v Kakuzi Ltd [1982] LLR 46 (CAK) – **AP**

Selle and another v Associated Motor Boat Co Ltd and others [1968] EA 123 – **AP**

Judgment

OMOLO, LAKHA AND BOSIRE JJA: The Appellant, Samuel Gikuru Ndungu, unsuccessfully impleaded Coast Bus Company Limited, the Respondent in this appeal, for special and general damages for injuries he sustained in a road traffic accident on 7 December 1992.

In his amended plaint he averred, *inter alia*, that on the material date of the accident he was a fare-paying passenger in a motor vehicle registration number KAC 641H then owned by the Respondent which was heading to Kitui; that the driver of the motor vehicle was a servant or agent of the Respondent; and that his driving was negligent in that he was driving the vehicle too fast as a result of which he did not exercise or maintain sufficient control of it, whereupon it left the road along which it was being driven, hit a tree, overturned and fell into river Kituagathini. The Appellant was seriously injured.

In a very short written statement of defence, the Respondent admitted the accident, but averred that the motor vehicle concerned was KAC 642H not KAC 641H and that the accident was inevitable, but denied the Appellant was a passenger therein or that he suffered any injuries. No issue was raised regarding the competence of the suit due to the failure by the Appellant to join the driver of the accident motor vehicle as a party in the suit.

Only the Plaintiff testified. His evidence was that he was a fare-paying passenger in the Respondent's bus, registration number KAC 641H, on 7 December 1992, while travelling to Kitui along the Machakos-Kitui road. It was being driven very fast. As it approached a certain river and while being driven downhill he heard some passengers at the rear part of the bus screaming and soon thereafter the motor vehicle hit a tree off the road, overturned and fell into the river. He said that the bus was overloaded and because of that he was unable to see the driver from where he was seated. As a result of the impact several standing passengers fell on him one of whom bit his left ear lobe tearing it before that other passenger died. Apart from the cut ear lobe, the Appellant said that he suffered a fracture of the right ulna and radius, and a bruised back. He produced medical evidence to prove the extent of the injuries, and also a police abstract report to show not only that an accident involving motor vehicle registration number KAC 642H occurred on 7 December 1992, along the Machakos-Kitui road, but also that he was a passenger therein.

Notwithstanding that the Appellant's evidence was uncontroverted, Mwera J did not think that the Appellant established by evidence that he was a passenger in the accident motor vehicle or that he established negligence against the Respondent's driver. It was his view that the failure by the Appellant to produce a fare receipt made his oral evidence that he was a passenger in the motor vehicle, unbelievable. The Learned Judge was also of the view, although he did not explicitly say so, that the failure of the Appellant to join the driver of the fateful bus was fatal to the Appellant's claim. On the issue of negligence the Learned Judge held that the Appellant's evidence regarding the speed of the bus was merely an opinion. On the basis of those findings he dismissed the Appellant's claim and thereby provoked this appeal.

The memorandum of appeal contains eight grounds which, except the one on the non-joinder of the driver, challenge the aforesaid findings of fact. We propose to deal first with the particulars of the accident motor vehicle before we go into the issues raised by the appeal itself. According to the amended plaint the accident motor vehicle was a bus registration number KAC 641H. The written statement of defence gives the registration particulars as KAC 642H. Although that was so no issue was framed thereon for the court's determination. The parties proceeded with the case, *prima facie*, on the basis that whether it was motor vehicle KAC 641H or KAC 642H the accident motor vehicle was owned by the Respondent. Neither party was thus prejudiced and we do not think that in the circumstances, the variance in the particulars of the said motor vehicle should have any bearing on the outcome of this appeal.

As we stated earlier, the Appellant did not sue the driver of the accident motor vehicle. In *Omar Athman v Garissa County Council* Nairobi High Court civil case number 2484 of 1992 (UR) which the trial Judge cited in his judgment but did not make any comments on, Aganyanya J struck out the Plaintiff's suit for incompetence because the driver of a motor vehicle in a running-down defended suit was not made a party in the suit. In his view the liability against the owner of the vehicle in such a case being vicarious is dependent on a decree against his driver on the same facts.

In *Selle and Another v Associated Motor Boat Company Ltd and others* [1968] EA 123, the respondents who owned and maintained a boat involved in an accident in which one of the appellants was injured, were held vicariously liable for their driver's negligence even though the said driver was not a party in the suit. Likewise in *Mwonia v Kakuzi Ltd* [1982] 46 (CAK), the Respondent was held liable for its driver's negligence although the driver was neither made a party nor did he testify in the case against his employer. Chesoni and Nyarangi A JJA (Kneller JA dissenting, but not for the reason that the driver was not joined) held that on the basis of the evidence before the court the respondent as owner of the accident motor vehicle was liable to the appellant in damages for the proved negligence of its driver.

From the authorities it would appear to us that the mere fact that the driver of an accident motor vehicle is not joined in a damages claim against his employer arising from his driving is not fatal. Liability against the employer largely depends on the pleadings and the evidence in support of the claim. Vicarious liability of the employer is not pegged to the employee's liability but to his negligence. Having come to that conclusion we are unable to agree with Aganyanya J that the non-joinder of the driver in an action such as the one which gave rise to this appeal renders that suit incompetent.

Turning now to the evidence, the Learned trial Judge did not attach much weight to the Appellant's oral testimony regarding the cause of the accident upon which his claim was based. This is what he said in regard thereto:

> "The Plaintiff sat at the back of the bus. He did not say whether he was a driver himself but he was of the opinion that the bus was being driven fast and so passengers screamed. That remains an opinion. It ought to be proved by evidence that as a fact the driver was going at a high speed and in the circumstances that was negligent. That was not done here".

With respect to the Learned Judge, apart from the general statement by the Appellant that the bus was being driven too fast there were co-existing circumstances which made the Appellant's statement to be more than a mere opinion. The other passengers in the bus screamed before the bus left the road, hit a tree and overturned before it plunged into a river. There is also uncontroverted evidence that the bus was going downhill. Each of the facts taken alone might not establish negligence. However when taken together and also the fact that the bus eventually hit a tree, overturned and eventually fell into a river, they show that the bus driver did not have proper control of it, probably due to high speed. Mr Chacha *Odera* for the Respondent conceded this, and further that the evidence on record clearly established negligence on the part of the Respondent's driver, quite properly and commendably so. The Learned trial Judge in our view, fell into grave error when he found otherwise.

As to whether the Appellant was a passenger in an accident bus, the police visited the scene of the accident, and later prepared the abstract report of it. The Appellant produced a copy of the report in evidence, and no evidence was adduced to controvert it. The Appellant is shown in that report to have been one of the passengers in the accident bus. The Learned trial Judge did not advert to this evidence. He appears to have thought that because the Appellant had averred in his amended plaint that he was a fare-paying passenger, his failure to produce the fare receipt he was issued was evidence that he was not a passenger in the bus at the time of the accident. Such a receipt is evidence but not the only evidence in proof of the Appellant, or any other person, being a passenger in a particular motor vehicle. In the case before us, the police abstract report on the accident and the Appellant's oral testimony clearly established that the Appellant was a passenger in the accident bus on the date and time of the subject accident. The finding by the Learned trial Judge to the contrary is clearly in error in view of that evidence.

Having come to the foregoing conclusions, it is our view that the dismissal of the Appellant's case was clearly unjustified.

As regards quantum of damages the Learned Judge said that he would have considered an award "something in the region of KShs 250 000 in damages," notwithstanding that the Respondent's counsel had proposed a figure of KShs 300 000. Considering the manner in which the Learned Judge couched his language the sum of KShs 250 000 was not definite. In the circumstances we are free to fix what we consider to be a reasonable award. On the facts and circumstances of this case we consider KShs 300 000 as a reasonable figure on the head of general damages. The Appellant gave evidence that he spent KShs 1 000 to obtain a medical report on his injuries and produced a receipt for the payment. He also stated that he paid KShs 100 for the police abstract report on his accident and produced a receipt in support. He had pleaded both items in his amended plaint and we are of the view that he is entitled to them.

In the result and for the foregoing reasons we allow the Appellant's appeal, set aside the trial court's order dismissing his suit with costs and substitute therefor a judgment in his favour for KShs1 100 special damages, and KShs 300 000 general damages with costs and interest both here and in the court below.

For the Appellant:
Information not available

For the Respondent:
Mr C Odera

Njilux Motors Ltd v Kenya Power and Lighting Co Ltd
[2000] 2 EA 466 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	31 March 2000
Case Number:	206/98
Before:	Omolo, Tunoi and Shah JJA
Sourced by:	LawAfrica
Summarised by:	C Kanjama

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[1] Land – Leasehold – Principal grant to City Council – City Council allocating sub-lease to Appellant's director – Appellant's use of allocated land breaching conditions of head title – Subsequent original lease granted and registered under the Registration of Titles Act – Original City Council lease not previously forfeited – Whether Appellant has cause of action – Whether Appellant has remedy against new lessee.

Editor's Summary

In 1932 Nairobi City Council was granted a 99-year lease over "City Park" for use as open space, sports grounds and other municipal purposes to be approved by the Commissioner of Lands. In August 1992, Nairobi City Council approved an application by NI, a sole proprietorship of PN, for allocation of the suit property, a portion of City Park, for commercial-cum-residential purposes. A stand premium of KShs 140 000 was demanded and paid, but no effort was made to register the sub-lease which was to continue for the lease period less three days. Njilux Motors Ltd, a limited company whose main shareholder was PN, was then formed and occupied the suit property.

In January 1993 the government granted a 99-year lease of the suit property to KPLC. The grant was registered under the Registration of Titles Act. One month later, Njilux Motors Ltd filed suit against Nairobi City Council and KPLC seeking a declaration that it was entitled to remain in possession, and an injunction against eviction. Nairobi City Council filed a defence wherein it disclaimed any power to issue a grant outside the original conditions of its leasehold interest over City Park.

It was argued for Njilux Motors Ltd that the subsequent grant and registration of an interest to KPLC was unlawful and of no legal effect. In reply, it was contended that Njilux Motors Ltd had no *locus standi* to sue. Njilux Motors Ltd lost the suit and appealed.

Held – The registration of the grant to Nairobi City Council is deemed to be a notice to the whole world and it is incumbent upon any intended sublessee to first inquire as to the conditions upon which the land is held by the grantee before he purchases any leasehold interest in that land. *Nairobi Permanent Markets Society and others v Salima Enterprises and others* [1997] LLR 596 (CAK) distinguished.

KPLC acquired a valid title after registration of its grant. When there are two original grants in respect of the suit property, the court has power to make an order preferring either as the registered proprietor.

In this case, the Appellant's grant was not registered. Since the original lessee was not claiming a better title to the suit property, the Appellant's claim for a possessory right could not succeed.

Appeal dismissed.

Case referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Nairobi Permanent Markets Society and others v Salima Enterprises and others [1997] LLR 596 (CAK) – **D**

Judgment

SHAH JA: Nairobi City Council ("the Council") was granted a ninety-nine year lease by the government of Kenya, from 1 September 1932, in respect of 223 acres of land in what is commonly known as the City Park, in Nairobi. The reference number of the said land LR 209/6559 and the boundaries thereof are delineated on land survey plan number 82873 deposited in the Survey Record Office at Nairobi.

The said grant limited the user of the said parcel of land only for open space, sports grounds and other municipal purposes to be approved by the Commissioner of Lands.

A portion of the said leased land falls on the corner of Forest Road and Limuru Road, both major roads, in Nairobi. By its letter of 20 May 1992 the Council issued a temporary occupation certificate in respect of that corner property (the suit land) to an entity referred to as "Njilux Motors". Such licence was issued to Njilux Motors on a temporary basis terminable by one month's notice on either side. The user of the suit land as permitted by the Council was for "parking of new and second-hand vehicles". It is common ground that at that time an entity known as Njilux Motors Limited was not in existence. Such a company was in fact not registered until 25 August 1992. By its letter of 13 August 1992 the Council, through its then town clerk Mrs ZM Wandera, approved an application by a firm known as Njima Investments, for allocation to the firm of plot LR 209/11590 (original 209/6559/R) ("the suit land") for the residue of the Council's lease less last three days thereof. The user approved for the suit land was commercial-cum-residential. The stand premium demanded was Shs 140 000 and the provisional annual rent was Shs 5 000. Njima Investments was to pay on demand all conveyancing and registration

charges, survey fees as well as development charges. Njima Investments paid the stand premium of Shs 140 000.

It is common ground that at the material times Njima Investments was a sole proprietary concern, the sole proprietor being Mr Peter Murigi Njirwa. It is also common ground that Njilux Motors Limited is a limited liability company, of which Mr and Mrs Njirwa are the directors/shareholders.

On 20 January 1993 the government of Kenya granted unto Kenya Power and Lighting Company (KP and L) a ninety nine (99) year lease in respect of LR Number 209/11590 (which is the suit land) and issued, under the Registration of Titles Act, Chapter 281, Laws of Kenya (RTA), the relevant (title) grant.

The grant issued to KP and L was primarily for erection of a power substation as to enable the grantee to serve the areas adjacent to the suit land with better power facilities.

Effectively therefore the leasehold title to the suit land has been granted to the Council as well as to KP and L.

On 29 May 1994 KP and L filed a suit against Njilux Motors Limited (the Appellant) seeking the following reliefs:

> "1. An order that the Defendant do forthwith vacate LR Number 209/11590 and deliver possession thereof to the Plaintiff;
>
> 2. Damages or mesne profits until possession is delivered up;
>
> 3. Costs."

The Appellant filed a defence to the claim of KP and L. The substratum of that defence is that Appellant was in possession of the suit land by virtue of an agreement made between it and the Council which offered to lease the suit land to the Appellant; that KP and L was involved in a conspiracy with the Council to deny the Appellant the use and quiet enjoyment of the suit land by fraudulently reallocating plot number 209/11590 (the suit land) to KP and L; that it had therefore filed a suit against both KP and L and the NCC.

The Appellant in fact claimed ownership of suit land and added that it had substantially developed the said property. It added that there was no formal surrender of the suit land to the government of Kenya as required by law.

On or about 23 February 1993 the Appellant had brought a suit against the Council and KP and L claiming the following reliefs against both of them jointly and severally:

> "(a) A declaration that on the true construction of the said agreements and the events which have happened, the Plaintiff to occupy and remain in possession of the said plot L.R. 209/11590 (the suit land).
>
> (b) A declaration that the purported reallocation of the said plot to the Second Defendant is fraudulent (*sic*), illegal and therefore null and void.
>
> (c) An injunction to restrain the Defendants by themselves, there agents servants or otherwise howsoever from evicting, barring or in any other manner, interfering with the Plaintiff's quiet occupation of the said plot.
>
> (d) Costs of this suit".

The Council filed a defence to the claim by Njilux Motors Limited denying any dealings with the Appellant and pleading, in the alternative, to the effect that it had no capacity to create any interest in the suit land in favour of the Appellant save for purposes specified in the special conditions of the grant and that special conditions numbered 3 and 4 of the grant to it, namely, holding

and using the land for public purposes and facilities, was not the purpose for which the Appellant was using the suit land. The Council stated that the Appellant was in illegal occupation of the land. I must consider the effect of such a defence. The Council in denying any dealings with the Appellant may be justified but it is not certainly justified in saying that the Appellant is in illegal occupation of the suit land *vis-à-vis* the Council. It was the Council which allocated the suit land to Mr Njirwa (not the Appellant). It was the Council which accepted licence fees from the Appellant. It was the Council which authorised M/s Njilux Motors, to use the suit land for parking of new and second hand vehicles. It was the Council which authorised Njima Investments (Mr Njirwa) to use the suit land for commercial-cum-residential purposes. It does not lie in the Council's mouth, as Mr *Gautama* has rightly pointed out, to say that occupant is using the suit land for purposes other than those prescribed in the special conditions of the grant. Special conditions 3, 4 and 5 in the grant are as follows:

> "3. The land and buildings shall only be used for open space park sports ground and any other municipal purposes to be approved by the Commissioner of Lands in writing.
>
> 4. The grantee shall not subdivide the land without the prior approval of the Commissioner of Lands.
>
> 5. The grantee shall not transfer or part with the possession of the land; subleases of the parts thereof shall require prior consent and approval of the terms and conditions in writing by the President".

I have set out the said limiting conditions for the reasons that Mr *Gautama* was at pains to show that any breach or breaches of the special conditions by the council does not affect the Appellant because such breaches do not make the assignment of a portion of the alienated land unlawful or ineffective *per se* unless the lease contains a condition for re-entry on breach of covenant. There is no provision in the grant for re-entry by the Commissioner of Lands if the Council breaches any of the special conditions, he urged. It is true there is no specific provision for re-entry in the grant. Special condition number 8 of the grant provides:

> "8. The President or such person or authority as may be appointed for the purpose shall have the right to enter upon the land and lay and have access to water mains service pipes and drains telephone or telegraph wires and electric mains of all description whether overhead or underground and the grantee shall not erect any building in such a way to cover or interfere with any existing alignments of main or service pipes or telephone or telegraph wires and electric mains".

The right of entry is not what is known as right of re-entry granted for breach of a condition or covenant. It is only a right to lay and have access to do the things mentioned in the said conditions. What the Commissioner of Lands (the Commissioner) ought to have done was to forfeit the lease after having given due notice calling upon the Council to make good the breach by taking possession of the suit land. The Commissioner did not do so. In fact he took no action whatsoever as regards the glaringly obvious breaches of the conditions of the grant.

Mr *Gautama* says that any breaches of conditions on the part of the Council is not a matter which affects the Appellant. It is the Council which is the culprit, he says. But is that so? The grant to the Council is duly registered at the Lands Office in Nairobi as number IR 21112/1 as from 16 March 1966.

Such registration is deemed to be a notice to the whole world and it is incumbent upon any intended sublessee to inquire, first, the conditions upon which the land is held by the grantee before he purchases any leasehold interest of any portion of that land and if he finds that the user he wishes to adopt for the land is not available, he ought to ask questions. Mr *Gautama* relied upon a passage in the judgment of this Court in the case of *Nairobi Permanent Markets Society and others v Salima Enterprises and others* [1997] LLR 596 (CAK) which passage reads:

> "If the Council had breached any condition of the grant, that was a matter between the Commissioner and the Council. The Appellants do not have any recourse against the Council or against the Commissioner in that respect. Also if the lease in favour of the Company was not properly executed, the Appellants cannot base this action upon the irregularity unless of course any legal right or interest enjoyed by them has been prejudiced".

That case turned, however, primarily on the fact that the appellants therein had prayed for a declaration that a lease registered in favour of the company was unlawful both in respect of grant thereof and registration thereof. In the instant case there is no sublease registered in favour of the Appellant. Nor is there any allocation of the suit land to the Appellant. The irregular allocation was to Mr Njirwa who is not the same entity as the Appellant. Mr Njirwa himself took no action either to have his leasehold interest registered or to have the same transferred to and registered in favour of the Appellant so that as the suit land now stands there are two proprietors thereof, both holding a grant under RTA. It must be remembered that the Appellant has no registered title to the suit land whatsoever and that the Appellant claims right to possession of suit property by virtue of allotment to it of the suit land and payment by it of the stand premium.

I have said earlier that despite the flagrant breaches committed by the Council in purporting to lease to Mr Njirwa the suit land the Commissioner took no action. Instead he proceeded to issue a grant of the suit land to KP and L. So, in effect, as pointed out, there are two original grants by the government of Kenya (through the Commissioner) in respect of suit land. One is to the Council and the suit land forms only a small portion of the land leased out in the grant. The other is the grant to KP and L and that is in respect of suit land. Both the grants are under RTA. Grants issued under RTA are, in common parlance, known as government guaranteed grants and cannot be challenged by virtue of the provision in section 23(1) of RTA, which reads:

> "The certificate of title issued by the registrar to a purchaser of land upon a transfer or transmission by the proprietor thereof shall be taken by all courts as conclusive evidence that the person named therein as proprietor of the land is the absolute and indefeasible owner thereof, subject to the encumbrances, easements, restrictions and contained therein or endorsed thereon, and the title of that proprietor shall not be subject to challenge, except on the ground of fraud or misrepresentation to which he is proved to be a party".

Mr *Gautama* argued that, the Council being the first allottee, a later grant in favour of KP and L is illegal from its inception. Section 23 of RTA does not help Mr *Gautama*. His client is not the registered proprietor of the suit land. If he had registered his title pursuit to the allocation from the Council the

position may be different. He did not so register himself. He cannot therefore rely on section 23 aforesaid. If the Council was challenging the grant to KP and L then the Council could have been a better right, as, under section 56 of RTA the court has power to make an order preferring as proprietor of land any person other than the registered proprietor. If the dispute was between the Council and KP and L as regards title the court could declare the preferred title. But the Council is not challenging the title of KP and L. Mr Njirwa has no title to challenge the grant to KP and L. The Commissioner acted irregularly in granting the lease to KP and L but he has done it and there is no other registered proprietor who claims a better title. Hence the grant to KP and L is in keeping with the provisions in section 22 of RTA, subsection (2) whereof reads:

> "(2) Where a certificate of title is issued under subsection (1), all previous certificates of title shall be delivered up to the registrar and cancelled by him".

Whilst the grant to KP and L is not by transfer or transmission, it is a good grant as the Council has taken no steps to challenge it. In fact if it does challenge the said grant to KP and L it has to enjoin the Commissioner in the proceedings who will have a perfectly valid defence if he were to say that the Council was in flagrant breach of the conditions of the grant. Mr *Gautama* says that the Commissioner has no power in law to act so as to give a fresh title until such time the original grant is surrendered and there was no formal surrender by the Council. But as pointed out earlier, the issue here is: as between the Appellant and the KP and L who has a better title? The answer is simple. KP and L has a grant registered in its favour. The Appellant claims, at the most, a possessory right by virtue of some abstract interest passed to it by Mr Njirwa out of the irregular and illegal allocation by the Council, of the suit land, to Mr Njirwa.

It is possible that if Mr Njirwa's title was registered, he himself could set up a title but the Appellant cannot. As Mr Njirwa's title is not registered and as KP and L has a grant issued to it, without demur from the Council, now, neither Mr Njirwa nor the Appellant can claim a better title than KP and L. Mr *Gautama* at one stage argued that his client wanted the Council to be compelled, to give his client a proper lease.

Only Mr Njirwa could have sought such orders prior to registration of grant to KP and L. The Appellant has no legal rights to the suit land now, even as an alleged subtenant of Mr Njirwa. Mr *Gautama*'s argument to the effect that the letter of allotment to KP and L in 1992 and registration of grant in its favour in 1993 amount to useless pieces of paper is an argument in futility, when the grant to KP and L is being challenged by the Appellant who has no *locus standi* so to do. Mr *Fraser*'s primary argument is that KP and L has a good title which cannot be challenged by the Appellant. That is a good argument and must triumph.

But what is the effect of the allocation to Mr Njirwa by the Council of the suit land? As pointed out earlier the title to the suit land is under RTA but is specifically subject to the provision of the Government Lands Act Chapter 280 (GLA). The suit land was government land before the grant of lease was made to the Council and will revert to the government when the lease expires. Hence it is subject to the provisions of GLA. Section 37 of GLA provides as follows:

> "37. The rent to be reserved under any lease or licence under this part (Disposal of Land for Special Purposes), the period and the covenants and conditions of the lease (emphasis supplied) or licence shall be such as may be prescribed by rules made under this Act or as may be determined by the President".

When the suit land lease was granted to the Council the President put a fetter on the Council's powers or rights to use the land for purposes other than those stated in the special conditions. The Council breached those conditions. It acted in total disregard to the law. There can be no waiver of the conditions prescribed by law just as there is no estoppel against a statute. For these reasons the Council could not have allocated the suit land to Mr Njirwa for the user it authorised Mr Njirwa.

The Learned Judge was right when he pointed out as follows:

> "The Kenya Power and Lighting Company Limited acquired a title to the suit premises on 20 January 1993. All from the time the letter of allotment was issued on 6 August 1992. A copy of the title (grant really) has been produced as P Exhibit 1. It has now transpired that the allocation was effected by the Commissioner of Lands before he sought surrender of title to the piece of land by the City Council. The letter addressed to the Town Clerk, Nairobi City Council which is part of D exhibit G confirms this.
>
> It would appear, however, that that was an irregularity that cannot invalidate the title to Kenya Power and Lighting Company Limited. It has not been shown that the Company was a party to any irregularity and currently it holds a title issued under the Registration of Titles Act Cap. 281 Laws of Kenya".

I cannot fault the Learned Judge on what he said. Once again I reiterate that the question is: Who has a better title? The Appellant or KP and L? The answer is obvious. Obviously the Council took the stand it took in the superior court, that is, not challenging the grant to KP and L, because it knew that it had acted outside the terms and conditions of the grant in allotting a leasehold interest to Mr Njirwa. I cannot help but comment that the then Town Clerk was probably fully aware of the breaches she was committing in allotting leasehold interest to Mr Njirwa. There are many such allocations which are being questioned daily by members of the public. Public utility lands are being percelled out depriving residents of Nairobi of their right to enjoy such facilities.

There is only one issue on which I wish to disagree with the Learned Judge. He ordered the Chief Executive of the Council do allocate to Njilux Motors Limited a suitable alternative piece of land. There was no such prayer by Appellant. The Appellant was not the allottee of the suit land. The Council has lodged a notice of cross-appeal on this issue and in my view the cross-appeal must succeed.

The upshot of all this is that I would dismiss this appeal with costs and allow the cross-appeal. I would let orders numbered 1, 2, 3 and 5 made by the Learned Judge stand. I would set aside order number 4. I would order that the Appellant will pay to Kenya Power and Lighting Company the costs of this appeal but I would award, in respect of this appeal, no costs to Nairobi City Council which is in fact the architect of the problems I have gone into and ruled on. I would make no order for costs on the cross-appeal.

OMOLO JA: I had the advantage of reading in draft form the very full judgment of my Lord Shah. He has fully set out the facts of the case in that judgment and I need not repeat them. While I fully agree with the judgment, I only

wish to add a few words of my own, if only to add stress to certain aspects of the matter.

Njilux Motors Limited, the Appellant, contends that the grant issued to Kenya Power and Lighting Company Limited, the First Respondent, by the Commissioner of Lands on 1 August 1992, is, in effect, illegal and void from the very beginning and is not worth the paper on which it is written. Mr *Gautama* for the Appellant contended so and if I understood the matter correctly, the basis for the contention was that as the Commissioner of Lands had in 1932 alienated the suit land which is part of the City Park to the City Council of Nairobi, the Second Respondent, the Commissioner could not again alienate the same land to the First Respondent without the second Respondent having surrendered its lease to the Commissioner. If this argument had been raised by the Second Respondent, I believe the First Respondent would have been hard put to find an answer to it. But as Shah J . correctly points out in his judgment, it does not lie in the mouth of the Appellant to complain about the defaults of the Commissioner with regard to the grant to the Second Respondent just as Mr *Gautama* told us it was not the business of the First Respondent to complain about the breach or breaches by the Second Respondent of the terms of the lease between the Commissioner and the Second Respondent. So that as regards the disputed land there are only two parties with validly registered grants – the First and the Second Respondents. The Appellant has only the purported agreement between itself and the second Respondent and that agreement has never been perfected. The Second Respondent is not complaining about the conduct of the Commissioner in issuing another title to the First Respondent to rival its (Second Respondent's) earlier title. To use Mr *Gautama*'s words, the Appellant is a nobody or a busy-body where the title of the First Respondent is concerned.

Again, as I pointed out earlier, the land involved is the City Park and the terms upon which the Commissioner of Land leased it to the Second Respondent were clear. The Second Respondent was to use it only as an open space, a park, a sports ground and any other municipal purposes approved of by the Commissioner in writing. Nor was the Second Respondent allowed to sub-divide it without the prior approval of the Commissioner and so on. The purported sub-lease to the Appellant, assuming of course that the Appellant had a sub-lease, allowed the Appellant to use the property for residential-cum-commercial purposes. To put it crudely, the purported sub-lease between the Second Respondent and the Appellant amounted to what Kenyans would derisively call "land-grabbing" which I understand to mean the taking away of land meant for public utility or benefit by an individual without following the laid down legal processes. The laid-down legal process or processes in this instance were that if the Second Respondent wanted to sub-let the land to an individual for residential-cum-commercial purposes, the approval of the Commissioner of Lands had to be sought and obtained in writing. It may well be that failure to do so did not invalidate the sub-lease, as Mr *Gautama* repeatedly told us, but at the end of the day the question that must be answered is this: Has the Appellant got any legal basis upon which it can challenge the title of the First Respondent? The answer to that question is that the Appellant has no such basis. Even if one were to compare the use or uses to which the Appellant and the First Respondent want to put the disputed land, one would most likely come to the conclusion that the use to which the Second

Respondent is putting the land is specifically approved by the terms of the grant to the Second Respondent who is using it for the generation and supply of electric power.

In the event, I agree with Shah JA, that the appeal by the Appellant must fail and must be dismissed with costs to the First Respondent. The Second Respondent is responsible for the position in which the Appellant finds itself and while I agree that the cross-appeal by the Second Respondent must succeed as proposed by Shah JA, the Second Respondent is not entitled to either the costs of the appeal or those of the cross-appeal. As my Lord Tunoi also agrees these shall be the orders of the Court.

TUNOI JA: I have read in draft the judgments prepared by Omolo and Shah JJA and I agree with them. I also agree with the orders proposed by them.

Land Reference Number 209/11590 (originally part of 209/6559/R), the suit land, measuring 0,6625 hectares or thereabouts is situated on the corner of Forest Road and Limuru Road, Nairobi. It was excised out of the popular City Park whose title vests in the City Council of Nairobi through Grant Number IR 21112 dated 16 March 1966. The land is subject to the special conditions set out in the grant, the most relevant to the matter before us being that: “The land and buildings shall only be used for open space, park, sports grounds and any other municipal purposes to be approved by the Commissioner of Lands in writing”.

For undisclosed reasons and probably through corrupt practices, the City Council of Nairobi blatantly breached this special condition and caused the suit land to be allocated to the Appellant for its use as a business premises for sale of motor vehicles. The breach is openly admitted.

Unknown to the City Council of Nairobi and to the Appellant, the Kenya Power and Lighting Company Limited (KPLC) on 5 September 1991, applied for allocation of the suit land and was subsequently issued with a grant for a lease for a term of 99 years from 1 August 1992.

The Commissioner of Lands through an oversight did not first seek and obtain the surrender of head title from the City Council of Nairobi before issuing a new grant to KPLC.

KPLC required the suit land for improvement of its congested facilities for supply of power to many residential parts of Nairobi so as to minimise the frequent blackouts experienced by the residents of Nairobi.

As of now, therefore, KPLC has title. The Appellant does not. The City Council of Nairobi does not complain that the Commissioner of Lands unlawfully deprived it of its land. It does not challenge the new grant. Section 23(1) of the Registration of Titles Act gives KPLC an absolute and indefeasible title to the suit land. Its title under the present circumstances takes precedence over all other alleged equitable or any other rights the Appellant may possess over it.

For the Appellant:
Information not available

For the Respondent:
Information not available

Ochola v National Bank of Kenya Ltd
[2000] 2 EA 475 (CAK)

Division: Court of Appeal of Kenya at Nairobi

Date of judgment:	10 March 2000
Case Number:	139/99
Before:	Tunoi, Bosire and O'Kubasu, JJA
Sourced by:	LawAfrica
Summarised by:	C Kanjama

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[1] Practice and procedure – Setting aside – Meaning of "appearance" and "attendance" – Party's counsel in court but not instructed – Adjournment refused – Counsel unable to proceed – judgment entered – Whether it was in default of attendance or for failure to adduce evidence – Whether setting aside is the right course of action – Whether such a decision can be appealed – Order IXB, Rule 8 Civil Procedure Rules.

Editor's Summary

The suit came up for hearing in May 1998. Counsel for National Bank, the Plaintiff, made an application for adjournment on the ground that she had experienced difficulties in reaching her client and further that her client had delayed extracting some documents relevant to the case. Ochola, the Defendant, was present but his counsel did not oppose the application. The trial Judge refused to grant an adjournment without assigning any reasons. Counsel for National Bank then declined to proceed with the case at which point the suit was dismissed with costs.

In December the same year National Bank applied under Order IXB, Rule 8 to have the order dismissing the suit set aside or varied. The application was granted. Ochola appealed, arguing that the Plaintiff's suit had not been dismissed for default of attendance but for failure to adduce evidence. As such, the suit had been dismissed under Order XVI, Rule 4 and the judge had no jurisdiction to entertain an order for setting aside. The only avenue for National Bank was to appeal against the May 1998 order. National Bank responded that Order IXB envisaged a situation such as this where not counsel but the party personally failed to appear.

Held – Where a party has appointed counsel to appear for him and that counsel has due instructions to proceed with the hearing of a suit, it should not be dismissed under Order IXB, Rule 4(1). *Mugachia v Mwakibundu and another* [1983] LLR 132 (CAK), *Din Mohamed v Lalaji Visram and Co* [1937] 4 EACA followed; *Finaughty v Prinsloo* [1958] EA 657 discussed; *Lobo v Saleh Dhiyebi* [1961] EA 223 considered.

However, when an advocate's request for an adjournment is refused and he has no instructions to present his client's case, there is no "appearance", even if his client is present in person but is not ready to proceed. *Sarkar's Law of Civil Procedure*, (8 ed) Volume 1 at page 723 approved; *Shah Kachra Merag v Gandhi and Co*. [1975] EA 466 followed.

Though Order IXB deals with "attendance", there is really no distinction between the terms "appearance" and "attendance". They both connote appearance in person or through advocate for conducting the case. *Re Mahon* [1893] 1 Ch 507 adopted; *Stamon v Tiwi Beach Hotel Ltd* [1996] LLR 438 (CAK) followed.

Hence in this case, since the advocate's inability to proceed was caused by lack of instructions and not lack of preparation, she cannot be said to have been present in court.

P*er curiam*: It would be contrary to the policy of the law to hold that an absent party client appeared by his uninstructed counsel. If the refusal to adjourn is held to be outside the scope of Order IXB, rule 8, there would be no possibility of appeal as for lack of any grounds to exercise discretion. *Muguchia* case (*supra*) distinguished. Further, even if the client failed to attend due to his advocate's instructions, this would be an error of the advocate, which should only be visited on the client as the last resort. *The EL Amira* [1981] 2 Lloyd's Rep 539, *Sodha v Hemraj* [1952] 7 Uganda Law Reports 11 adopted.

Appeal dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Brooke Bond Liebig (I) Ltd v Mallya [1975] EA 266

Finaughty v Prinsloo [1958] EA 657 – **D**

Lobo v Dhiyebi [1961] EA 223 – **C**

Merag v Gandhi and Co [1975] EA 466 – **F**

Mohamed v Lalaji Visram and Co [1937] 4 EACA 1 – **F**

Mugachia v Mwakibundu and another [1983] LLR 132 (CAK) – **F**

Sodha v Hemraj [1952] 7 Uganda Law Reports 11

Stamon v Tiwi Beach Hotel Ltd [1996] LLR 438 (CAK) – **F**

United Kingdom

Mobbs v Powell [1965] R 222

Re Mahon [1893] 1 Ch 507 – **A**

The EL Amira [1981] 2 Lloyd's Rep 539

Judgment

TUNOI, BOSIRE AND O'KUBASU JJA: Order IXB, rule 4(1) of the Civil Procedure Rules ("the Rules") provides that:

> "If on the day fixed for hearing, after the suit has been called on for hearing outside the court, only the Defendant attends and he admits no part of the claim, the suit shall be dismissed except for good cause to be recorded by the court".

Likewise Order XVI, rules 3 and 4 of the Rules provides that:

> "3. Where on any day to which the hearing of the suit is adjourned, the parties or any of them fail to appear, the court may proceed to dispose of the suit in one of the modes directed in that behalf by

Order IXB, or make such other order as it thinks fit.

4. Where any party to a suit to whom time has been granted fails to produce his evidence, or to cause the attendance of his witnesses, or to perform any other act necessary to the further progress of the suit, for which time has been allowed, the court may, notwithstanding such default, proceed to decide the suit forthwith".

The Appellant, Johnstone Aggrey Ochola, whom we shall hereafter refer to as the Appellant, was the Defendant in a suit commenced in the superior court by plaint by National Bank of Kenya Limited ("the bank"). When that suit came on for hearing, on 4 May 1998, the Appellant and his counsel, Mr *Amuga* were present but only counsel for the bank, one *Oduge*, attended. She applied for the adjournment of the case arguing that she had had difficulties reaching her client, and also that the bank "is taking time to extract" some documents relevant to the case. Mr *Amuga* for the Appellant did not oppose the application for adjournment. However, the Learned trial Judge, Ole Keiwua J (as he then was) was disinclined to grant the adjournment and without assigning any reasons made an order in the following terms: "*Order*: Adjournment is refused". Counsel for the bank thereupon announced that she would not be able to proceed with the Plaintiff's case. The trial Judge then without further ado ordered the suit to be dismissed with costs.

The record of proceedings shows that after the dismissal neither party took any steps on record until 16 December 1998, when the bank filed an application by chamber summons expressed to be brought under Order IXB, rule 8 and Order XLIX, rule 5 of the Rules and section 3A of the Civil Procedure Act, for an order vacating, varying or reviewing the order dismissing the Bank's suit. By dint of the provisions of Order XLIX Rule 5, above, the application was heard by the Learned Judge who made the dismissal order, and after hearing the parties' respective counsel he allowed the application and thereby provoked this appeal.

The main legal point raised and argued before the Learned trial Judge and also before us is whether the Learned Judge had jurisdiction under Order IXB, rule 8, above, to grant the order. Mr *Amuga*, for the Appellant, submitted, both in the court below and before us, that the Plaintiff's suit was not dismissed for default of attendance but for failure to adduce evidence. Consequently, he said, the dismissal order was made under Order XVI, rule 4, aforequoted. In his view because counsel for the bank was present in court the bank's suit could not properly be dealt with under Order IXB, rule 4, above, and the only course which was open to the bank, if it wished to challenge the order, was an appeal against it.

Mr *Rachuonyo* for the bank did not think Order IXB envisages attendance of counsel but the attendance of the party he represents personally. In his view the said order envisages a situation where the parties themselves do not attend and because of their absence it is impossible to proceed with the case in the normal manner. Consequently, he urged, a decision made in those circumstances is not on the merits and can be recalled and be either reviewed or set aside. In the alternative, Mr *Rachuonyo* submitted that since the bank's application in the superior court had a prayer for review, even though the relevant provision authorising review was not cited, the court had the jurisdiction to order a review if the bank's was a fit case for review. In that regard he cited the case of *Brooke Bond Liebig (I) Limited v Mallya* [1975] EA 266 in support of that proposition.

It cannot be gainsaid that Order IXB, rule 4(1) above may only be resorted to when the suit comes on for a hearing on first instance. Where the hearing of a suit has commenced its prosecution is governed by the provisions of Orders XVI and XVII of the Rules. Where a party is refused an adjournment either on the first day the suit comes for a hearing or on any day to which the hearing of

the suit is adjourned, by dint of the provisions of Order XVI, rule 3, any party in whose absence an order adverse to him was made is at liberty to move the court under Order IXB, rule 8, above, for an order, either setting aside, varying or reviewing such order. The court's powers to set aside under that order are not confined only to cases where the orders sought to be vacated are made under that order but also extends to cases which are part heard but for some reason any of the parties fails to attend at the resumed hearing of the suit.

But, Mr *Amuga* submitted that the dismissal of the Bank's suit was neither under Order XVI, rule (3) nor Order IXB, rule 4, but under Order XVI, rule 4, and an application could not, therefore, be validly made under Order IXB, rule 8, aforestated for the setting aside of the dismissal. With due respect to counsel, Order XVI, rule 4, above has to be read together with rule 1 of the same order. The latter predicates that a suit be heard on a day to day basis. Where, however, that is not practicable because any party to the suit is unable to produce evidence, the court has power to grant that party time within which to do so. rule 4, above, presupposes a party has failed for the second or more times to produce evidence in support of his case even after being granted the time to do so. That is not what happened in this matter. Neither party had at his or its request, been granted an adjournment to get witnesses or to produce evidence. The setting down of a suit for hearing by the Plaintiff under Order IXB, rule 1, of the Rules is not envisaged by that rule because that is a step which has to be taken administratively not judicially. The governing phrase in rule 4 which distinguishes the rule from Rule 3 before it, is "where any party to a suit to whom time has been granted". It must be read to mean time granted in accordance with the provisions of Order XVI, rule 1. In our judgment, therefore, Order XVI, rule 4 has no bearing on this matter.

Regarding the construction to be given to the provisions of Order IXB, rule 4(1), above, the rule, in our view, should be given an interpretation which avoids absurdities. It is of course true that where a party has appointed counsel to appear for him and that counsel has due instructions to proceed with the hearing of a suit, it should not be dismissed under Order IXB, rule 4(1), above. In that regard we would agree with the decision in *Mugachia v Mwakibundu and another* [1983] LLR 132 (CAK), which Mr *Amuga* cited in support of the Appellant's case.

In *Lobo v Saleh S Dhiyebi* [1961] EA 223 at page 229, the Court of Appeal for East Africa had occasion to consider the duty of counsel *vis-á-vis* his client and the court. Sir Kenneth O'Connor P, delivering the judgment of the Court, said:

> "An advocate who appears for a client in a contested case is retained to advance or defend his client's case and not his own. This he must do strictly upon instructions and with a scrupulous regard to professional ethics. Remembering that he is an officer of the court and owes a duty to the court as well as his client, he must never knowingly mislead the court as to the facts or the law".

The "attendance" or "appearence" of counsel in court as used in the rules of practice does not denote merely a literal physical presence. *Sarkar's Law of Civil Procedure,* (8 Ed) Volume 1 at page 723, has a comment on the term "appearance" as used in the Indian Civil Procedure Code. It states as follows:

> "'Appearance' has a well-recognised meaning and means appearence in person or through pleader for conducting the case. When a pleader asks for an adjournment which is refused but has no instructions to present his client, there is no 'appearance'

> though the party was present in person in court ... Substantially, when a party is ready to do something or other in relation to the progress of the suit, he shall be taken to have appeared".

But Order IXB of the Rules does not use the term "appearence". Rather it uses the term "attendance". In our view, and there is ample authority, to wit, *In re Mahon* [1893] 1 Ch 507, there is really no distinction between "appearence" and "attendance". They both connote counsel's presence in court ready to do something in relation to the progress of the case to which he has instructions. This Court came to the same conclusion in *Stamon v Tiwi Beach Hotel Ltd* [1996] LLR 438 (CAK). In that case the plaintiff was not personally in court but he had counsel who was duly instructed to proceed with the hearing of the case. This Court held that a plaintiff need not personally be present in court if he has counsel who is duly instructed to proceed with the case. In re *Mahon* (*supra*), the Court of Appeal in England held that an attendance of a solicitor or his clerk for a merely formal purpose, such as delivering briefs or papers at counsel's chambers is not an "attendance" which would entitle the solicitor to a fee for such attendance. In *Din Mohamed v Lalaji Visram and Co* [1937] 4 EACA 1 the Court of Appeal for East Africa also emphasised attendance in court by an advocate duly instructed as sufficient.

In *Shah Kachra Merag v Gandhi and Co* [1975] EA 466 the Court of Appeal for East Africa held that there are two types of appearances, namely, appearance in fact and appearance in law. Appearance in law means, in our view, being ready to do something or other in relation to the progress of the suit. For instance, in *Finaughty v Prinsloo* [1958] EA 657 counsel for the appellant as plaintiff in the suit was fully instructed by the Official Receiver, the appellant having been declared insolvent, to continue with the case. He applied for adjournment of the hearing on the ground that the appellant was away and could only possibly attend on the following day. Adjournment was declined and the trial court dismissed the appellant's case on the ground that he did not appear. On appeal it was held that the appellant had appeared by his advocate. The court said: "In any event there was nothing to show that Mr Todd when the plaintiff appeared by him was not duly instructed and able to answer all material questions relating to that suit. He was not prepared to give evidence in support of the plaintiff's claim; but that is not the function of an advocate".

The court here tended to adopt the view that where counsel, though instructed, is not ready to continue with the hearing of a suit, not because of his own default but because of absence of his client, the circumstances were such that it could not be said that there was no appearence in law for that party. In effect the court adopted the view of Indian Courts. It then follows that it is the duty of counsel concerned to lay before the court material upon which the court will act to come to a finding that he is not ready to do something or other in relation to the progress of his client's case for no fault on his part as counsel.

Apart from decided cases it seems to us that it would be contrary to the policy of the law in circumstances as in the present case to hold that the bank, in law, appeared by its counsel. We say so advisedly. Assuming for a moment that the bank, instead of bringing an application under Order IXB, rule 8 above, appealed. There would be no material upon which the Learned Judge's decision to dismiss its suit would be based as the only material on record would be with regard to the application for adjournment. The bank would not properly

appeal against refusal of an adjournment because the suit would have been finally dealt with. It is a situation as the foregoing which, we think, this Court had in mind in the *Herman Muguchia* case (*supra*), when it said (Per Hancox JA) thus:

> "[It] cannot be denied that Mr Jiwaji with full knowledge that the case had been fixed for that date and confirmed, took it upon himself to advise the Appellant not to attend. He frankly admitted this to the judge and to us. That was undoubtedly his fault, but I nonetheless think that, in exercising his discretion to refuse an adjournment, even until the afternoon the learned acting judge failed to take into account a consideration which he should have taken into account (see Brandon LJ in *The EL Amira* [1981] 2 Lloyd's Rep 539), namely that by visiting the error of his advocate on the unfortunate Appellant, he denied him the right of having his case heard at all, which surely as Ainley J (as he then was) said in *Sodha v Hemraj* [1952] 7 Uganda Law Reports 11, should be the last resort of any court".

The court was there emphasizing the issue of the policy of the law. An advocate may have general instructions to represent a party in a suit, but he cannot be supplanted in his place. Where as here counsel could not possibly do anything without his client to ensure the further progress of the case, more so where he had done all that he was required to do as counsel, it cannot, properly, be said, in our view, that his client appeared. The wording of Order III, rule 1 does suggest that there are instances and circumstances when counsel, although instructed, may not be duly instructed. An extract from the judgment of Gillard J, in the Australian case of *Mobbs v Powell* [1965] VR 222, dealing with the meaning of the term "duly", is instructive. It reads thus:

> "Now, it should be noticed that the relevant words in the exclusion are 'duly authorised'. Each word is deserving of consideration. 'Duly' implies that the requisite authority is that required by the circumstances of the occassion. To 'authorise' is to give formal approval to, to sanction, approve, countenance. It would appear, therefore, that in order to rely upon the terms of the exclusion as a defence in the third party proceedings it would be necessary for the insurer to prove that the driver did not have the requisite formal authority to be driving the vehicle in the circumstances and for the purpose for which it was then being used ..". (see *Words and Phrases Legally Defined.*Volume 2 D–H page 123).

In that case an exclusion on a policy for a motor car insurance provided, *inter alia*, that the policy did not cover liability if the driver was not "duly" authorised under all relevant law. A vehicle covered under the policy was damaged and the insurance company as third party in an ensuing suit pleaded the exclusion clause.

Likewise in our case the bank's counsel had general instructions to act for it in the suit but in the circumstances as they obtained on the date its suit was fixed to come for a hearing, she could not possibly perform her role as counsel in absence of her client. Her role as counsel was thus frustrated. In those circumstances we think that it would be wrong to deem that counsel had instructions and was ready to proceed with the further progress of the case for the bank.

Having come to the foregoing conclusion on the question of attendance, we need now to look at the facts of this case in greater detail to ascertain the nature of the "attendance" which led to the dismissal order. On 4 May 1998, the suit came for hearing for the first time. Counsel for the bank was present but was not ready to proceed with the hearing of the case. She gave the reason that she had experienced difficulties reaching her client. By that she meant that she had

not been instructed as to the hearing of the case by that day, and she accordingly applied for the adjournment of the case, which application was refused even though the Appellant's counsel did not object to the adjournment. Whereupon the bank's counsel indicated to the court "I will not be able to proceed with our case". From the sequence of events it is clear that counsel was not able to proceed for lack of instructions rather than inability on her part to proceed because she was unprepared. Clearly, therefore, it cannot be said that she was present in court, ready to proceed with the hearing of the case. This case is clearly distinguishable from the *Herman Mugachia* case (*supra*) in which counsel for the plaintiff had specifically asked his client not to attend court. That was clearly default as it would appear that the plaintiff and his counsel, contumaciously did not prepare for the hearing of their case.

Then there is the issue which Mr *Amuga* also raised with regard to the bank's delay in applying to set aside the dismissal order. We agree the delay was not fully explained. That notwithstanding, it was not such delay as would prejudice the Applicant beyond monetary compensation by an award of costs. The Learned trial Judge must have appreciated this because he ordered the bank to pay the Applicant's thrown away costs.

Finally, we wish to observe here that the Learned trial Judge in his ruling appealed against repeatedly talked about the non-attendance of the Plaintiff's witness. It was not strictly the Plaintiff's witness who failed to attend court, but an officer of the bank. The bank is a legal person which acts through its officers. The officers would be the ones to instruct counsel to represent it and non-attendance of the officer designated to handle a particular case on behalf of the Bank is, in law, non-attendance of the bank.

In the result, we dismiss the appeal but make no order as to costs.

For the Appellant:
Information not available

For the Respondent:
Information not available

Ombogo v Standard Chartered Bank of Kenya Ltd
[2000] 2 EA 481 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	31 July 2000
Case Number:	162/99
Before:	Akiwumi, Bosire and Owuor JJA
Sourced by:	LawAfrica
Summarised by:	M Kibanga

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[1] Advocate – Advocate dying intestate – Client account – Who should manage client account.

[2] Succession – Legal Notice Number 279 of 1995 made under the Advocates Act to provide for the

management of deceased advocate's law firm – Whether Legal Notice Number 279 of 1995 was inconsistent with the Law of Succession Act – Section 45(1) – Law of Succession Act.

Editor's Summary

This matter concerned two bank accounts, "office" and "client", maintained by a deceased advocate. The deceased died on 5 July 1995. Sometime after the death of the deceased, the Law Society of Kenya ("LSK") sent a letter to the deceased's bank advising the bank not to deal with the two accounts until the LSK chairman appointed two advocates to manage the said accounts while winding up the deceased's law firm under Legal Notice Number 279 of 1995. Thereafter, the bank received another letter from the advocates of the administrators of the estate of the deceased, informing the bank that it was the administrators and not the LSK who had the right to manage the accounts under the Law of Succession Act (Chapter 160).

The bank filed interpleader proceedings under Order 33, Rule 1 of the Civil Procedure Rules for determination of who between the LSK and the administrators should manage the accounts. The LSK argued that under Legal Notice Number 279 of 1995 the LSK Chairman was entitled to nominate two advocates and oversee the winding up of the firm. The administrators contended that the Legal Notice was inconsistent with the Law of Succession Act and in any event, it could not apply retrospectively, having come into force before the death of the advocate.

The High Court decided that the Legal Notice was not inconsistent with the Law of Succession Act and the administrators appealed.

Held – The Advocates Act (Chapter 16) and the Law Society Act (Chapter 18) are geared to ensuring proper conduct of practising advocates and could not be extended to cover the legal practice itself after the advocate has died.

The estate of a deceased advocate included money held in trust for his clients, hence the client account was within the scope of the Law of Succession Act (section 46 of the Act). The Law of Succession Act did not distinguish between different categories of persons to whom it applied.

Free property connoted not only the personal property of the deceased, but also all the property which was in his possession or control or under his power, and the disposal of which would legally have required his authority, but for his death. That included money held in a "client account". Legal Notice Number 279 of 1995 was therefore in conflict with the Law of Succession Act.

Appeal allowed. The issue whether Legal Notice 279 of 1995 was retrospective or not was not considered because the court found it unnecessary to do so in view of its main finding.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Patel v Republic [1968] EA 97

United Kingdom

Carson and another [1964] All ER 681

Judgment

AKIWUMI, BOSIRE AND OWUOR JJA: This is an appeal from the order of the superior court (Hayanga J) given on 26 February 1998, in which, pursuant to interpleader proceedings under Order 33 Rule 1 of the Civil Procedure Rules by Standard Chartered Bank Kenya Limited ("the bank"), he ordered that two nominees of the Law Society of Kenya ("the LSK") be the signatories of two bank accounts in the name of the Maxwell Maurice Ombogo ("deceased") instead of the administrators of the deceased's intestate estate.

The deceased, who at the time of his death, on 5 July 1995, was an advocate of the High Court of Kenya, was a member of LSK, and on account of such membership and pursuant to the Advocates (Accounts) Rules, made under the Advocates Act, Cap. 16, Laws of Kenya, he maintained two bank accounts with the bank respectively designated "clients" and "office" accounts. Acting pursuant to the Law Society of Kenya (General) (Amendment) Regulations, 1995, which were published in the Kenya *Gazette* as Legal Notice Number 279 of 1995, the LSK advised the bank in writing to stop all transactions in the two bank accounts until advised otherwise by it. Soon thereafter the bank also received letters from the advocates of the administrators of the deceased's estate to the effect that the said administrators and not LSK had the legitimate right to operate the two accounts. The suit which gave rise to this appeal was thus provoked.

The aforesaid suit was commenced by originating summons in accordance with Order 33, Rule 1 of the Civil Procedure Rules. No oral evidence was considered necessary as the facts were not in dispute. The deceased died intestate leaving behind a widow and children. We were told from the bar that the widow was initially the legal representative of the deceased's estate, but no evidence of that fact was presented to us nor can we find any on record. We, however, have on record a copy of a limited grant of letters of administration which was issued to Laura Ombogo and Miriam Ombogo, on 1 November 1996, more than one year after the death of the deceased. It is shown at the bottom as having been amended on 1 November 1996, but the nature of the amendments have not been shown. Be that as it may, the suit was filed in court sometime in March 1997. From the affidavits filed and the arguments which were made before the trial Judge, the main, if not the only issue, was, who between LSK and the administrators of the deceased's estate is legally entitled to administer the two bank accounts in issue.

LSK's case is based on Legal Notice Number 279 of 1995 which was promulgated by its Council, pursuant to a special resolution of the members under section 27 of the Law Society of Kenya Act, Chapter 18, Laws of Kenya. The Legal Notice as material to this matter provides as follows:

> "(2) A member carrying on practice alone shall name in his application for the annual practising certificate one or two other members, none of whom shall be less than seven years standing to administer his firm in the event of his death, disbarment, imprisonment or any other disability to practice.
>
> (3) Where a member dies testate, the administrator or administrators shall deal with his firm as may be stated in his will; but in case of intestacy, the Council of the Society shall give such directions or instructions to the administrator(s) as may be necessary for the proper management and disposal of the firm.

(4) No person shall be nominated administrator without his consent, but where such consent cannot be obtained, the Applicant shall state that fact in the application for a practising certificate.

(5) Where no person is nominated in the application for lack of consent or for any other reason, or where an administrator or administrators refuse(s) or neglect(s) to act, the Chairman of the Society shall make the nomination which shall for all intentions and purposes be as effectual as if made by the deceased or the incapacitated member.

(6) A reasonable remuneration for services rendered shall be paid out of the income or proceeds of the firm to the administrator or administrators.

Made on 5 July, 1995.

P M Mwangi

Secretary, LSK".

LSK's submissions before the trial court were that by reason of the fact that the deceased was a member of the LSK at the time of his death the aforesaid Legal Notice applied to him and on that account, the Chairman of the LSK was empowered to appoint one or two administrators to manage his legal firm for purposes of winding it up; that notwithstanding that the Legal Notice came into force after the deceased's death, its wording and the fact that it is only procedural and a subsidiary type of enactment, it operated retrospectively; and that in any event the deceased's law firm being a specialized operation needed a qualified and practising advocate to manage and wind it up.

On the other hand, the administrators of the deceased's estate contended in the main, that the law that applied to the deceased's estate, including his law firm, after his death, was the Law of Succession Act, Cap. 160 Laws of Kenya, and that to the extent that Legal Notice 279 of 1995 made provision for the administration of part of the deceased's estate by people other than those appointed under the Act, it was inconsistent with the Act and to the extent of the inconsistency, was void. Besides, the Legal Notice having been promulgated after the deceased's death and in the absence of the express words that it would operate retrospectively, it had no application to the deceased.

Hayanga J held that Legal Notice 279 of 1995, was a retrospective legislation in relation to the deceased's estate; that it was not inconsistent with any of the provisions of the Law of Succession Act, more particularly sections 79, 82 and 83 thereof; that the Chairman of LSK was, therefore, legally and legitimately entitled to appoint two advocates, Messrs Nzamba Kitonga and Okwach, pursuant to that Legal Notice, to manage and wind up the law firm of the deceased; and that the two nominees and not the administrators of the deceased's estate, were entitled to freely and in accordance with the terms of the Legal Notice, manage the aforesaid two bank accounts and to render an account to the administrator or administrators of the deceased's estate if appointed within six months. The administrators of the deceased's estate were aggrieved and hence the appeal.

The memorandum of appeal has seven grounds, but at the hearing of the appeal Mr *Owino Okeyo* for the Appellant abandoned the last two. In a nutshell, the remaining grounds are concerned with the applicability of Legal Notice Number 279 of 1995 to the estate of the deceased and more specifically to his law firm. Before we consider the rival arguments on those grounds, it is important to consider, in brief, the background to the promulgation of the said Legal Notice.

We were told by Mr *Okwach*, for the LSK, that due to the recurrent deaths of practising as one of the objectives of the LSK enshrined in section 4 of the Law Society Act, empowered to the Council of the LSK to promulgate the aforesaid legal notice with a view to protecting the interests and rights of the clients of deceased advocates or of those advocates who far one reason or another, had been disbarred or suspended from legal practice.

According to him the appointment of the LSK's administrators to manage and wind up law firms of, *inter alia*, deceased advocates was in furtherance of that objective.

In his submissions before us, Mr *Owino Okeyo* submitted on the authority of *Carson and Another* [1964] All ER 681, that a retrospective intent of a piece of legislation can only be discerned from the wording of the legislation or by necessary implication. In his view, a plain reading of Legal Notice 279 of 1995 clearly shows that it was not intended to operate retrospectively. Besides, he added, the wording of the Legal Notice also clearly shows that, contrary to what the Learned trial Judge held, it is not nor was it intended to be a procedural legislation. It affects existing rights of other people, more particularly the beneficiaries of the deceased's estate whose rights are protected by the Law of Succession Act, and to the extent that those rights are so affected, the Legal Notice is in conflict with the said Act.

Mr *Okwach*, on the other hand, submitted, *inter alia*, that since the deceased was a member of the LSK at the time of his death, and in view of the fact that he held a current practising certificate which had been issued to him under section 23 of the Advocates Act, Cap. 16 Laws of Kenya, he was subject to the disciplinary and supervisory procedures for advocates. The Council of the LSK had, and always has, the right to interfere with the management of any law firm including that of a deceased advocate to ensure that it is run in accordance with the Advocates Act. In his view, Legal Notice 279 of 1995 was legitimately promulgated under section 27(*k*) of the Law Society Act and to the extent that the said Legal Notice did not purport to amend or repeal any existing law, and notwithstanding that it was not perfectly drafted, it was merely a procedural enactment, and by dint of the provisions of section 28 of the Interpretation and General Provisions Act, Cap. 2 of the Laws of Kenya, which recognizes the making of subsidiary legislation to have retrospective effect, the Legal Notice was intended to be and is retrospective in its operation. Additionally, he urged, where the language of any legislation is silent as to whether or not it is to operate retrospectively, the Court has the power to determine the issue. He cited the case of *Patel v R* [1968] EA 97 at 99H, in support of that proposition.

As regards the issue whether or not the Legal Notice in issue was in conflict with the Law of Succession Act, Mr *Okwach* submitted that because, in his view, administrators appointed under the aforesaid Act have no powers over trust funds like those normally held by advocates in a "clients account" and the same not being part of the said advocates' free estate, the Law of Succession Act did not apply to such trust funds. Accordingly, he added, the provisions of the Act cannot possibly be in conflict with Legal Notice 279 of 1995.

There is no doubt whatsoever that before his death on 5 July 1995, the deceased held a valid practising certificate as an advocate, was subject to the provisions of the Advocates Act and to the mandatory membership of LSK as required by section 5(*a*) of the Law Society Act. But can it be said that after his

death, the deceased continued to be subject to the provisions of both The Advocates Act and the Law Society Act? Mr *Okwach* seemed to imply that within the object of protecting the interests of the clients of the deceased advocates the provisions of both the aforesaid legislations applied to the respective practices. With due respect to him both legislations are geared to ensuring proper conduct on the part of practising advocates, and it would be irrational to suggest that the said legislation can be extended to cover the legal practice itself after the practitioner has died. Admittedly, upon the death of a practising advocate his clients may and often do suffer if his law firm is not wound up soonest and properly. There is the undeniable risk of their money, where applicable, being dissipated by beneficiaries of a deceased advocate's estate on the mistaken belief that it is part of the personal free estate of the advocate. It is the concern to protect such clients which, as we stated earlier, prompted the council of LSK to promulgate Legal Notice Number 279 of 1995. That was a laudable idea, but do its provisions accord with the Law of Succession Act? Mr *Owino Okeyo* does not think so, while Mr *Okwach* thinks otherwise.

Section 45(1) of the Law of Succession Act provides, in pertinent part, as follows: "Except so far as expressly authorized by this Act, or by any other written law, or by a grant of representation under this Act, no person shall, for any purpose, take possession or dispose, or otherwise intermeddle with, any free property of a deceased person". Sub-section (2)(*a*) of this section prescribes penalties for any contravention. The Law of Succession Act according to its preamble is a consolidating statute of the law relating to intestate and testamentary succession and the administration of estates of deceased persons. Contrary to what Mr *Okwach* said, it does not exclude the affairs of law firms of deceased advocates notwithstanding the definition of the term "estate" which tends to suggest that all that the Act covers is the personal property of a deceased person and not any other property he could be holding as trustee. However, *Jowitts Dictionary of English Law* (2 ed) Volume 1 at 725, suggests that the definition of the term "estate" is not confined only to what a person owns, but it includes property held in trust. The term is described therein in the following terms: 'property'; thus we speak of real and personal estate, of partnership estate, trust estate, etc, especially with reference to questions of administration, as in the case of the estate of a deceased person, a bankrupt, or dissolved partnership".

In view of the foregoing it is our view that the phrase "free property" of a deceased advocate is not limited to his personal estate only but extends to property held by him in trust, because by the definition of the phrase in the Law of Succession Act, it is property which he was legally competent freely to dispose of in his capacity as an advocate. It will do violence to the intention of the legislature in enacting the said Act, if a restricted meaning is given to the phrase, more so, as we earlier said, when the preamble to the Act is closely looked at.

If further authority is necessary, there is section 58 of the Act, which makes provision for the number of administrators in respect of continuing trusts. By necessary implication it means that the Act does also cover trust property. Besides, section 46 of the Act empowers "any" police officer or administrative officer who becomes aware of the death of any person to report the death either to an assistant chief or chief of the area in which the deceased resided, who, on receipt of such report, is obliged to take specific steps to protect the free estate of the deceased, including, if no application for representation of the

estate has been made within one month after the date of death, the ascertainment of the deceased's free property. There are of course, certain preconditions which must first be satisfied. The significance of that section is clearly that the Act authorises persons other than advocates to take all necessary steps to preserve all the free property found in a deceased person's residence, and also to ascertain all persons appearing to have any legitimate interest in succession to or administration of his estate. The section does not distinguish between professionals and ordinary people, rural and urban people, except that for those who dwell in municipalities a report of the death must first be made to the public trustee before any action is taken as aforestated.

Pausing here for a moment, it would appear to us that the council of LSK by enacting Legal Notice Number 279 of 1995 must have acted on the mistaken belief that there was a lacuna in the Law of Succession Act, with regard to the administration of a deceased advocate's law practice. Section 46 aforesaid, does seem to provide an answer. It may not be satisfactory to LSK, but that is a different matter. Perhaps the only way out for it is to seek an amendment to that section to provide for the making of a report of the death of an advocate to it instead of the public trustee, and further for the empowering of the Council of the LSK to make rules for the management and winding up of such advocate's legal practice.

Coming back to the definition of "free property": in view of what we have stated above, it is quite clear that the phrase connotes not only the personal property of a deceased person, but also, all the property which was in his possession or control or under his power, and the disposal of which, would legally have required his authority, but for his death. Money held in a deceased advocate's "client" account falls into that category. It then follows that the late Ombogo's two bank accounts were part of his free property and, therefore, subject to the provisions of the Law of Succession Act. LSK not being among the people who, under section 46 aforesaid, have the power to take all necessary steps to protect the deceased's estate, it had no right to direct the deceased's bankers to freeze the two bank accounts. Even if it had such right it would not have priority over the administrators of the deceased's estate under the Law of Succession Act (see section 66). We recognize the real danger of a lay administrator appointed under that Act, dissipating money in a "clients account" in the mistaken belief that it is the deceased's money. However, as the law now stands, only the public trustee and in case he does not act, an assistant chief, chief or an administrative officer, are empowered to take all such steps as are necessary to protect the estate of a deceased person, including deceased advocates, form dissipation.

Having come to the foregoing conclusion, it will be academic to consider the issue whether or not Legal Notice 279 of 1995 is a retrospective legislation and whether or not it is a procedural enactment. We must however add that in view of what we have stated above, the legal notice is in conflict with the Law of Succession Act, to the extent that it seeks to establish a parallel law and procedure to that in the Law of Succession Act, for the management and administration of law firms regard in the parent Act. Section 27(*k*) of the Law Society Act must be read in that context. The objects of the LSK do not include the management and winding up of law firms of deceased advocates. The paragraph must be read *ejusdem generis* with the preceding paragraphs of that section. Section 4(*e*) of the Act which was cited as the basis for promulgating

Legal Notice Number 279 of 1995, is, with respect, being overstretched to cover situations which are reasonably catered for under the Law of Succession Act.

In the result, and for the foregoing reasons, we allow the Appellant's appeal, set aside the ruling and order of the superior court given on 26 February 1998, and substitute therefor an order that the deceased's two accounts at Standard Chartered Bank, Kenyatta Avenue Branch, being accounts Numbers 014042-255 327 and 014042-025 5327-00 letters of administration or as the court seized of the application for grant of letters of administration of the estate of the late Maxwell Maurice Ombogo, shall direct. The Appellant shall have the costs of the appeal to be paid by the LSK which shall also pay the costs of the interpleader both here and in the court below.

For the Appellant:
Information not available

For the Respondent:
Information not available

Pelican Investment Ltd v National Bank of Kenya Ltd
[2000] 2 EA 488 (CCK)

Division:	Milimani Commercial Courts Kenya
Date of judgment:	18 February 2000
Case Number:	570/98
Before:	Onyango-Otieno J
Sourced by:	LawAfrica
Summarised by:	C Kanjama

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[1] Civil Procedure – Interlocutory application – Proper form – Absence of grounds in the application – Whether application will be struck out – Order 50, Rule 7 – Civil Procedure Rules

[2] Civil Procedure Rules – Injunction – Order 34 – Civil Procedure Rules.

[3] Land – Mortgage/charge – Statutory power of sale – Penalty interest – Dispute as to the amount due – Whether mortgagee will be restrained from exercising statutory power of sale – Consideration of SA Duplum Rule.

Editor's Summary

Pelican Investment Ltd ("the Applicant") instituted suit, seeking relief against the exercise by National Bank of Kenya Ltd ("the Respondent") of its statutory power of sale arising from a mortgage executed by the Applicant in the Respondent's favour. The Applicant then made an application by chamber summons for interlocutory relief against the auction of the subject property. When the application came up for *inter partes* hearing, it was contended that the same was defective for lack of grounds in the body of the application. Further, it was contended by the Respondent that the

application was an abuse of the process of the court because it sought to restrain the valid exercise of a statutory power of sale.

The Applicant alleged that negotiations were in progress to have the property sold at a higher price by private treaty, and that there existed a dispute as to the amount which the Respondent had failed to settle. The Applicant further alleged that the interest charged was excessive and unconscionable and expressed surprise that a KShs10 million loan could escalate to KShs316 million.

Held – Failure to specify the grounds of an application in the body of the same makes the application defective. Without amendment the application remains defective.

A court should not grant an injunction restraining a mortgagee whose power of sale has arisen from exercising his statutory power solely on the ground that there is a dispute as to the amount due under the mortgage. *Lavuna and others v Civil Servants Housing Co Ltd and another* [1995] LLR 366 (CAK) followed.

Per curiam: Unless it is plain that fraud or oppression existed, the courts will not interfere with the terms of a contract or the provisions as to interest. *Pipe Plastic Samkolit v National Bank* HCCC 1076 of 1996 disapproved. In any case, even if the interest charged was unconscionable, the same would only be a dispute as to amount which is not a proper ground for granting an injunction. Duplum Rule (SA) considered.

Application dismissed.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Echaria v Echaria [1997] LLR 2532 (CAK)

Lavuna and others v Civil Servants Housing Co Ltd and another [1995] LLR 366 (CAK) – **F**

Pipe Plastic Samkolit (K) Ltd and another v National Bank of Kenya [1996] LLR 62 (CCK) – **D**

Ruling

ONYANGO-OTIENO J: This application brought under Order 39, Rule 1, 2 and 3 of the Civil Procedure Rules and under section 3A of the Civil Procedure Act is seeking mainly two orders. First it is seeking injunction orders to issue restraining the Defendant/Respondent, its servants and/or agents in particular Palomino Enterprises Limited Auctioneers, from in any way selling, disposing, auctioning howsoever all that parcel of land known as LR No 7751/2 Lower Kabete and LR No 336/10 Ruaraka until the full and final determination of this suit or until further orders of this Court. Second order sought is that the public auction by the Defendant of the two pieces of land earlier on set to be due on 12 February 1998 be stopped.

The second prayer to stop the sale which was set for 12 February 1998 has been overtaken by events as it was stopped when this matter came up for the first time. No grounds were set out in the same chamber summons as is required by Order 50, Rule 7 of the Civil Procedure Rules but there is an affidavit sworn by Haithai Haji Abdi which was sworn on 11 February 1998 in

support of the same application. There are also annexures to the same affidavit, all in support of the same application.

The Applicant filed a further affidavit sworn on 7 May 1999 and filed on 19 May 1999 and annexed further exhibits to the same affidavit and lastly the Applicant filed a further supplementary affidavit sworn by its accountant, one Joseph Adongo Alima on 4 June 1999 annexing further affidavits. I will refer to all these affidavits and annexures in this ruling whenever necessary.

The Respondent opposed the application maintaining that the application is frivolous, vexatious and is otherwise an abuse of the court process, that the application is fatally defective as it does not conform to the mandatory provisions of Order L, Rule 7 of the Civil Procedure Rules (Chapter 21) of the Laws of Kenya; that the Plaintiff's and its sister companies' indebtedness to the Defendant stood at KShs 316 637 410-15 as at December 1997; that the Plaintiff's case has no *prima facie* chances of success at all and an order of injunction will overwhelmingly prejudice the clear rights of the Respondent and will heavily tilt against the balance of convenience; and that the rate of interest applied on the subject loans was contractual and lawful. These grounds of opposition were supported by an affidavit sworn by one George J Okungu sworn on 17 March 1998 and a further affidavit sworn by F Wachira Wamae, assistant manager on 1 July 1999 plus several annexures. I will refer to these in this ruling whenever necessary. I have also heard and considered the able submissions by the learned counsels.

First I do agree that this application offends the provisions of Order 50, Rule 7 in that no grounds were set out as required by that Rule.

That Rule states as follows:

> "7. Every summons shall state in general terms the grounds of the application being made and shall be heard in chambers and, where any summons is based on evidence by affidavit, a copy of the affidavit shall be served"..

The application before me merely states that the application is grounded on the annexed affidavit of HH Abdi and on other and further grounds to be adduced at the hearing hereof. In my humble opinion, that does not meet the requirements of Rule 7 quoted herein above. This rule is to a large extent similar to Rule 42(i) of the Court of Appeal Rules. The Court of Appeal in the case of *Echaria v Echaria* [1997] LLR 2532 (CAK) which came up before the Court of Appeal on 19 May 1998 in which the grounds of the application were not set out in the notice of motion and the Honorable Court had this to say:

> "The Respondent has applied that his appeal be struck out as incompetent. Dr *Kamau* for the Appellant objected to the notice of motion as being incurably defective for failing to comply with Rule 42(i) of the Rules of Court. That Rule states that all applications to the Court shall be by motion, which shall state the grounds of the application. He submitted that this requirement being mandatory in its language it is not enough for the grounds to be given only in the supporting affidavit. The Respondent should know the case he/she has to answer. Ms *Karua* for the Appellant/Respondent submitted that the ground is stated in the body of the application 'as incompetent', and if that is not sufficient she asked to be granted leave to amend the application.
>
> We agree that the notice of motion is defective but the defect is curable and, for that reason, and Ms *Karua* having applied for leave to amend the notice of motion, we grant leave for the Respondent to amend the notice of motion so as to comply with the requirement of Rule 42(i) of the Rules of Court".

It is clear from this authority that omission to set out grounds for such an application makes the same application defective. In *Echaria*'s case, the learned counsel for the Applicant applied for leave to amend the notice of motion and the court felt obliged to have the notice of motion amended before the court could hear it. In short without the amendment it remained defective. In this case, the same situation arises and as the defect has not been cured by any amendment it stands defective. That would have been enough to dispose of the application before me but certain matters were raised during the submissions in this application, which I need to consider as well.

I will first deal with the question of whether or not requisite statutory notice had been sent to the Applicant. The Applicant says at paragraph 8 of the affidavit of HH Abdi that the Plaintiff companies have not been served with the statutory notice as required by law. In response to that the Respondent has annexed copies of statutory notices forwarded to the Applicant in July 1993 in respect of three properties. Both notices were dated 2 July 1993 and were addressed to "the Managing Director H.H. Abdi and sons, Transporters (K) Limited", the Second Applicant herein. The address used in both notices is the same as the address Haithai Haji Abdi has used in the affidavit he did swear in support of this application and that is P O Box 10276, Nairobi. The Applicant in his further affidavit sworn on 7 May 1999 stated at paragraph 2 that he understood Respondent's replying affidavit sworn on 17 March 1998 by George J Okungu. He however did not reply to this allegation by Okungu that the statutory notices were sent to it in July 1993. Thus although HH Abdi, the chairman and major shareholder of the Applicant companies, at first, alleged that he never received statutory notices, yet when faced with this allegation that the same notices were forwarded to his companies, he has not denied the receipt of the same notices. I do hold therefore, that the Applicant has not sworn to my satisfaction, a *prima facie* case as to the allegation that the Respondent did not serve statutory notices upon it. In any case, this point was not canvassed in the learned counsel's submissions.

The next matter raised by the Applicant/Plaintiff is that the Plaintiff has been servicing the subject loan with the Defendant. This allegation is found in paragraph 3 of the Plaintiff's affidavit. The Respondent denies this and has annexed several letters annexed as GJO 11, all of which clearly do admit indebtedness to the Respondent. I have also seen letters marked as GJO 12 and GJO 13 and also bank statements annexed by both parties. Joseph Adongo Alima annexed documents and statements which showed that between the years 1987 and 1991 the Applicant had paid KShs 36 million to the Defendants. Mr Wachira Wamae, the assistant manager with the Respondent's Harambee Avenue Branch, says this is false and explains at paragraph 6 that the entries made into the Applicant's accounts are automatic credits into the loan account as a result of the automatic debiting of the Applicant's current account which is done in accordance with the operations of the banks. Be that as it may, even if I were to accept that KShs 36 million has been paid to the Respondent by the Applicant (and I have no good reasons to accept the same in view of Mr Wamae's clear explanation in his affidavit) still that amount is alleged to have been paid between 1987 and 1991 which would give credit to Wamae's allegation at paragraph 5 of his affidavit that the Applicant's accounts have been dormant since 1992 whereas as a result of interest charged (whatever rate) the loan amount has obviously been increasing. I cannot accept under these circumstances that the Applicant has been servicing the loan granted effectively.

I will now consider two other matters raised by the Applicant. These are first the allegation at paragraph 9 of the Applicant's supporting affidavit which states that the Respondent is aware that negotiations were at advanced stage by the Applicant of the sale of the charged properties by private treaty whereby the proceeds will be much higher and adequate to offset what is lawfully due to the Respondent with a balance over to the Applicant and secondly, the allegation at paragraph 11 that there exists a dispute between the parties as to the exact amount due to the Respondent from the Applicant which the Respondent has failed and/or refused to have resolved. In my understanding, the first allegation of negotiations going on to sell the property by private treaty and to pay the proceeds to the Respondent amounts to an allegation that the mortgagor has started an action to redeem the property and the second allegation that there exists a dispute as to the amount of money due is an allegation on a dispute on the amount due. The law on such issues is now well settled.

It is explicitly stated in *Halsbury's Laws of England* (4 ed) Volume 32, at paragraph 725 as follows:

> "725. When the mortgagee may be restrained from exercising power of sale. The mortgagee will not be restrained from exercising his power of sale because the amount due is in dispute, or because the mortgagor has began a redemption action, or because the mortgagor objects to the manner in which the sale is being arranged. He will be restrained, however, if the mortgagor pays the amount claimed into Court, that is the amount which the mortgagee claims to be due to him, unless on the terms of the mortgage the claim is excessive".

This legal stand has been adopted in Kenya in several decisions. In the case of *Lavuna and others v Civil Servants Housing Co Ltd and another* [1995] LLR 366 (CAK), Justice Kwach of the Court of Appeal stated: "I have always understood the law to be that a Court should not grant an injunction restraining a mortgagee from exercising its statutory power of sale solely on the ground that there is a dispute as to the amount due under the mortgage".

That settles the allegations about action to redeem which the Applicant alleges the Respondent ignored and also is an answer to the allegation that the amount in question is still in dispute. However, Dr *Khaminwa*, the learned counsel for the Applicant, says that the rate of interest charged was excessive and unconscionable and illegal. The Applicant raises this question of interest at paragraphs 4, 5, and 6 of the affidavit sworn by HH Abdi, the chairman of the Applicant's companies and the main shareholder. At paragraph 4, Mr Abdi says that on several occasions he had raised the issue of high interest rates being charged on principal sum but the Respondent has failed to give a satisfactory explanation as to how the figures are arrived at. That allegation cannot reflect the whole truth for he never attached even a single letter he wrote to the Respondent on the issue of interest. On the contrary, the Respondent has annexed letters dated 6 September 1994, 18 September 1997 and 10 July 1997, addressed to the Respondent by the Applicant, but none of them has anywhere touched on interest.

Paragraph 5 and 6 of the same Applicant's affidavit are emphasizing surprise at a situation where a loan given of KShs 10 000 000 has, because of interest escalated to an enormous amount of KShs 316 637 410-15 and concluding that such a situation is impossible. The last sentence of the *Halsbury's Law of England* I have quoted above states:"He will be restrained, however, if the mortgagor pays the amount claimed into Court, that is the amount which the mortgagee

claims to be due to him unless on the terms of the mortgage, the claim is excessive".

To my mind, this means that if the court looks at the terms of the mortgage and finds that the claim is excessive then the court can interfere or restrain the mortgagee in the exercise of his power of sale. This then takes me to the mortgage documents so as to enable me know if on the terms of the mortgage the interest charged is excessive or not.

In the Applicant's supporting affidavit, the Applicant does not state the offending rate of interest but in the further affidavit at paragraph 4, the Applicant states the rate of interest as being 34%.

In the letter of offer dated 2 December 1986, the provision for interest states: "Interest: To be at the rate of 14% p.a. on monthly rests for the time being, calculated on daily balances. The bank, however, reserves the right to give notice and thereafter vary the rate of interest charged as may be required".

The Applicant accepted these terms and signed the acceptance stating:

> "I have read and understood the terms and conditions set out above and append my signature in acceptance thereof.
>
> Signed Date: 2 December 1986".

The other letter of offer for KShs 7 000 000 dated 26 June 1990 stated interest rate of 19% with the same conditions that the bank reserved the right to increase the same interest rate. There are provisions conveying the same sentiments in the charges that the Applicant did execute. It would appear then that the provisions as in interest were matters covered by the contract between the two parties herein. Should the courts intervene in such matters? I do believe that where it is plain to the court that fraud existed when such contracts were entered into or where one party used its superior position to force another into such contractual obligations the courts may intervene and ensure justice to the oppressed, but here there is no evidence of such fraud or oppression.

Indeed as I have stated herein earlier on, there is no complaint that was raised by the Applicant before its properties were threatened with sale. Dr *Khaminwa*, the learned counsel for the Applicant, says that the question of interest in this case and in many other cases in this country is such that the courts should interfere to ensure justice. He has referred me to the Ruling of Justice O'Kubasu (now judge of Appeal) in the case of *Pipe Plastic Samkolit (K) Ltd and another v National Bank of Kenya* [1996] LLR 62 (CCK).

That case with every respect did not make any new proposal on which way to go on the question of interest. At page 8 and 9 of the typed copy, the Learned Judge says:

> "We have already noted that the principal amount borrowed by the Plaintiff was KShs 21 million. We also note that the rest of the amount over and above KShs 21 million is interest charged. We cannot say this was punitive since the Defendant bank was entitled by law and business practice to charge this interest on monthly basis. There was nothing illegal about this mode of charging interest. However, taking the usual business practice in which the banks waive same interest on loans advanced, I am of the view that having calculated the interest charged, I find that as the bank had indicated willingness to rescheduling of the repayment it would not be unreasonable to conclude that the bank would be willing to waive some interest charged".

And it is upon that background that the Learned Judge ordered waiver of interest. One easily sees that no legal principles were involved in that exercise. That case, with every respect, does not help in this matter before me. Neither is *Thomson Dictionary of Banking* at 330 of great help to me as the passage cited by Dr *Khaminwa* deals with interest in a judgment for mortgage. Willies *Principals of South African Law* (7 ed) on area of interest not to exceed capital found at 443, I agree would be excellent law but I cannot apply it here because it is a legal proposition that has arisen from the legislation in South Africa. Here in Kenya we have no such code and I cannot apply that code here under the pretence of interpreting our laws to ensure justice where there is no similar provision in our law to enable me apply the liberal approach to the interpretation of it. Dr *Khaminwa* referred me to the judgment of Gillespie J in the South African case where the application of the *in duplum* rule was discussed. I do agree with the reasons for the rule and I would it were the law in this country. Unfortunately, it is applicable under ancient Roman and Dutch Law and is applicable in South Africa, but not in this country.

Under that rule, interest cannot accrue after the amount of the double is reached. Thus the financial institutions have to be on their guard to ensure that the debt is paid within the period for which it was to be repaid. If a creditor extends credit to a hard risk or fails to call up his debt at a proper time when the loan is being serviced, then such a creditor stands to suffer.

I do agree that such a legal proposition might be ideal in this country as it would ensure that the debtors do not suffer the requirements upon them to pay extra-large interests caused by the indolence and lapse or deliberate failure by the creditors so as to let the unserviced loans accumulate interest to unimaginable levels. It will protect the debtors as well as ensuring that the creditors get their money back for further circulation and hence the economy will be healthy. However, to introduce this Dutch law by way of a judgment or a ruling into the common law country will in my opinion be too drastic a step to take as it will not be based on any existing legal authority or statute whatsoever in our country. It is law that had better be introduced by way of legislation. I do agree that liberalisation of interest rates in this country in 1991 may have done more harm to the economy and something should be done about it but I do not think a decision such as in a judgment would be a proper one.

From all the above, I am satisfied that the Applicant has advanced a *prima facie* case with a probability of success for even if I were to find that interest charged was unconscionable, still it would in the end be no more than a dispute as to the amount due which in law as I have stated is not a proper ground for granting injunction. As I had found that no evidence was advanced to satisfy me that no statutory notice was served, the Respondent's power of sale has arisen. On the question of irreparable damage, the Applicant himself has said that it was negotiating selling the property by private treaty.

Thus sentimental loss is non-existent. Quantifiable loss through sale of the property can be compensated by the Respondent – a bank which I have not been told is bankrupt and would be unable to compensate the Applicant in case of the Applicant's eventual success in this case. As the amount due is a big one, balance of convenience favours its being recovered. Thus the requirements under *Gielle*'s case have not been satisfied by the application.

The upshot of all these is that this application cannot succeed. It is hereby dismissed with costs to the Respondent.

Orders accordingly.

For the Applicant:
Information not available

For the Respondent:
Information not available

Re Succession – Limited Grant
[2000] 2 EA 495 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	30 November 2000
Case Number:	1731/00
Before:	Ang'Awa J
Sourced by:	LawAfrica
Summarised by:	C Kanjama

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[1] Succession – Limited Grant – Types of limited grant – Limited grant ad colligenda bona *– Limited grant* ad litem *– Their purpose – Procedure – (Chapter 160) Section 67(1) – Succession Act – Rule 36 – Probate rules*

Editor's Summary

Ang'awa J was assigned the Probate Portfolio in November 2000. Being concerned with the procedure advocates were using to bring applications for limited grant, she requested about 30 advocates with applications before her to submit on the purpose of limited grants, the various types of grants and the procedure to be used to come to court.

In March 2000 the senior deputy registrar had issued an internal memo to all the staff in the registry of the Family Division, explaining that applications for limited grants should be brought by way of application before a single judge. The memo was issued at the directive of the judge then presiding on probate, requiring, *inter alia*, that limited grants be by way of application before a judge.

Ang'awa J was concerned that applications and petitions for the purpose of limited grants *ad litem* (for purposes of filing suit) had not been brought properly before her. On submission.

Held – Under section 97 of the Law of Succession Act ("the Act"), it is the Rules Committee that is empowered to make rules pertaining to the procedure for coming into court.

The general practice is for the applicant to make a petition for grant. The deputy registrar would ensure all the necessary papers were filed and then minute the judge in charge that the matters were ready for gazzetment. Subsequently, if after 30 days no objection had been received, the registrar

would minute the file and the judge would order issued the letters of administration or probate. The gazettment was not necessary for limited grants under section 67(1).

There are various types of limited grant, including limited grant *ad colligenda bona defuncti* and limited grant *ad litem*. Only the former is exempt from the requirement for gazzettment under section 67(1) of the Act. An application for the former is brought under section 67(1) of the Act and Rule 36(1) of the Probate Rules. The Applicant is required to file Form P and A 85 and Form P and A 19. In respect of the grant *ad litem*, the application is brought under section 54 of the Act and paragraph 14 of the Fifth Schedule thereto. The forms are P and A 19 and probably P and A 90 with modification.

Per curiam: Generally, full grants should be applied for to limit duplicity of grants. The various applications for grant *ad litem* struck out for being defective in form.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Gibbs v Roy 85 CLJ 280

Hadija v Iddi [1974] EA 50

Troustic Union International v Jane Mbeya CA/4590

Ruling

ANG'AWA J: All reference to section and rules refer to the Succession Act Cap. 160 unless otherwise stated:

a) Limited grants: The problem.

I was assigned to the Probate Portfolio of the High Court of Kenya at Nairobi for the month of November 2000. I noted with concern the procedure in which parties acting in person or through their advocates would come to court when applying for limited grant. This being that each applicant would file an application in order to obtain a limited grant, this position was quite different from when I last dealt with probate matter a year ago in 1999. Secondly, I was concerned that application for limited grant was coming into court by various rules and sections within the Succession Act Cap. 160.

For instance, applicants would pray for limited grant by invoking either section 54, or section 67 or Rule 36. There never was one uniform prayer for coming into court for a limited grant.

I kindly requested about 30 advocates who have applications for limited grants pending before me (see appendix to this ruling) to submit to me on the following points:

1) (a) What is the purpose of limited grants?

   (b) How many types of limited grants do we have?

   (c) What is the procedure to be used to come to court?

2) What is a limited grant *ad colligenda bona*? What is its purpose and what procedure is used to come to court?

How do we deal with the urgent hearing of an application and the procedure in which to come to court?

What substantial laws can be relied on in support of the submission of limited grants?

b) The explanation to the problem

The advocates who appeared before me chose Mr R Hira, Miss Majiwa, Mrs Irungu and Mr Nelson Kaburu to address me on this point. Mr Kaburu made independent submissions as he did not entirely agree with the other advocates.

i) *The problems*

One of the major problems that arose was an internal memo issued by the senior deputy registrar to all the staff in the registry of the family division. This memo is dated 22 March 2000. It was copied to the registrar of the High Court of Kenya. It was never copied to any advocates, most of whom were unaware of it. It nonetheless explained the change of procedure in dealing with limited grant.

The internal memo was issued at the directive of the judge then presiding on probate and read as follows:

(a) "I wish to bring to your *Notice* that the judge now presiding on probate and administration matters has directed that before approving any newly filed matter the following should be in the file:

(b) Death certificate of deceased and any other person may have benefited from the deceased's estate but has passed away (for example spouse, child).

(c) Marriage certificate of a petitioning spouse or letter from chief as proof of marriage to the deceased.

(d) Consents from other beneficiaries. This requirements applied to Limited Grants as well.

(e) Searches in respect of land belonging to a deceased person.

(f) Limited grants to be by way of application before a judge when specific orders will be granted.

All complaints to be direct to the Senior Deputy Registrar and *not* to the judge unless so directed by Senior Deputy Registrar". (Emphasis my own).

I am not certain why the purpose of this directives was issued but perhaps it may be to curtail the enormous fraud that often arises in probate matters.

The advocates argued that the senior deputy registrar had in fact no powers to issue such a memo. This power lies only with the Chief Justice who is permitted to issue a practice rule note.

Mr *Kaburu* brought my attention to section 97 whereby the rules committee "may make rules of procedure generally for the carrying out, of the purposes and provisions of [this] Act…". I believe it is the rules committee who are empowered by the act to make rules pertaining to the procedure to coming into court, for example section 97(*b*):

> "The procedure to be followed by a court in granting probate or letters of administration".

ii) *The practice before of coming into court*

The past practice that had been in these courts for granting probate or letters of administration is for there to be a petition made by an applicant. The deputy registrar in charge of the probate matters would ensure that the correct forms have been filed. If satisfied that the file is in order the registrar would minute to the Honourable judge in charge of the probate that all the papers are in order

and that the matter was ready for gazettement. The Honourable judge would give orders that the application/petition for grant should be gazetted.

Thirty (30) days after the gazettement, the deputy registrar would make a minute in the file praying that letters of administration or probate do issue where no objections have been filed.

The Honourable judge would order and have issued letters of administration or probate.

In the same way, limited grants filed was so done by way of petition and would in fact be minuted in the file by the deputy registrar. The Honouraable judge would make orders granting that limited grant be issued. No parties appeared before the Honourable judge. No notice in the Kenya *Gazette* would be issued under section 67(1) which exempted limited grant from advertisement. This sections reads as follows:

> "No grant of representation *other than a limited grant for collection and preservation of assets* shall be made until there has been published notice of the application for the grant inviting objections thereto to be made known to the court within a specified period of not less than thirty days from the date of publication and the period so specified has expired".

Mr *Kaburu* submitted that only limited grant *ad colligenda bona* are permitted to be issued without prior advertisement. All other grants must be advertised. In fact most of the advocates who have applications before this Court want limited grant for filing suit and not for collecting on behalf of the estate. As such the pending applications for limited grant should all be struck out as being defective in form.

I had brought to the advocate's attention the case of "Anthony Njogu Mureithi – deceased in the matter of an application for grant of letters of administration (limited) by Gladys Wakathi Muthui – mother Succession Cause Number 5 of 96 at Mombasa" in which my brother Waki J outlined the requirements of the Court of Appeal case of *Troustic Union International and Another v Jane Mbeyu and Another* CA 4590 (UR).

It required that it was necessary to obtain letters of administration before an action could be brought to court.

He nonetheless recommended that the procedure to be followed is that once formalities have been complied with "the file is placed before the Deputy Registrar to confirm their propriety and a minute is addressed to a judge to append his signature ... The applicant need not file chamber summons to appear before the judge".

I would be persuaded only on procedure by the above decision and hold that the proper format to come to court for a limited grant be in the same way as one would come in for a grant of probate or letters of administration. Namely, that once a petition is filed then the deputy registrar would minute to the Honourable judge who would grant the orders or otherwise for a limited grant to issue.

I believe this procedure was initially adopted due to the numerous applications which require to be and are filed.

iii) *Urgency in bringing an application*

If there is a certificate of urgency, the file should first go to the deputy registrar to minute then to the Honouraable Judge.

iv) *Limited grants*

This brings me to the fourth issue. Namely,

a) *How many types of limited grants are there?*

I formed the impression that majority of the advocates who appeared before me were not aware of the different types of limited grants there are. Most advocates would *come* seeking for prayers for limited grant for filing suit yet their petition would be for letters limited for *ad colligenda bona*.

1) From the submissions made before me, the following seem to be different types of limited grant. These are:

   (1) Limited grants *ad colligenda bona*

   (2) Limited grant ad colligenda bona defuncti

   (3) Limited grant administration *pendente lite*

   (4) Limited grant *ad litem*

In our Kenyan law of succession, limited grants *ad colligenda* can only be issued by the High court of Kenya sitting at Nairobi, Mombasa, Kisumu, Nakuru and Nyeri (see section 47, Rule 36(3) LN 223/92).

The magistrates' courts have jurisdiction to hear succession matters only if the respective magistrate (not less than a residence magistrate) is appointed by the Honourable Chief Justice to so act on behalf of the High Court. If that magistrate is stationed where there is a High Court in existence, then the High Court has exclusive jurisdiction.

The Act recognises that there are remote areas in Kenya where parties may wish to have estates less than KShs 100 000 to be administered. In such a situation a resident magistrate may issue letters of administration and grant. This would include a limited grant where the value of the estate is less than KShs 100 000.

No magistrate is permitted to deal with a probate matter where the High Court is established in the same station, no magistrate is allowed to hear a matter involving revocation of grant and no magistrate is permitted to issue limited grant a*d colligenda bona* unless it is of apparent urgency and only limited to collection of assets situated within his areas and for payment of debts. The estate is not to exceed KShs 100 000.

The Act states under section 54, one of the forms of grants as being limited grant "A court may, according to the *circumstances of each case* limit a grant of representation which it has jurisdiction to make, in any of the forms described in the Fifth Schedule". It seems that there is an argument that section 54 states the limited grant whilst section 67 outlines its procedure. I do not think this is the position. There is most certainly a difference. This section reads:

> "1. No grant of representation other than a limited grant for collection and preservation of assets, shall be made until there has been published notice of the application for the grant …"

Under the probate and administration rules, it deals with limited grant *ad colligenda bona*. Rule 36 reads as follows:

> "36 (1) Where, owing to special circumstances the urgency of the matter is so great that it would not be possible for the court to make a full grant of representation to the person who would by law be entitled thereto in sufficient time to meet the necessities of the case, any person may apply to the court for the making of a grant of administration *ad colligenda bona defucti* of the estate of the deceased".

It is section 67(1) that describes the above rule. What then is a *colligenda bona defuncti* (see above)? *Kaburu* was able to provide the definition of this from his authorities. There are in fact two forms:

(i) *ad colligenda* means "For collecting; as an administrator or trustee *ad colligendum*".

(ii) *ad colligenda bona defuncti* means. For collecting the *goods of the deceased*.**"**

It therefore means that Rule 36(1) is specifically on the collection of the deceased's goods and preserving the same.

Ad colligenda bona under the Indian Succession Act:

> "Where it is to the benefit of the absent or unknown next of kin, the court will direct an administrator *ad colligenda bona* ... under special circumstances limited to collect the personal estate of the deceased, to give receipts for his debts or the payment of the same, renew lease of his business premises which would expire before a general grant could be but without powers to dispose of the lease …"

I am aware that the Rules require that each time the court issues a limited grant *ad colligenda bona defuncti* it must be recorded in a register kept at the registry.

The applicant is to file Form P and A 85, petition and form P and A 19 the affidavit which is provided for under rule 12 of the Probate and Administration Rules.

Now the advocates are not interested in collecting the goods of the deceased or to administrate the estate perhaps. What they wish to do is to obtain a grant for purposes of filing suit.

I believe they require to rely on section 54 which takes us to the Fifth Schedule of the Act. This Schedule outlines four types of limited grant.

A) *Grant limited in duration – (paragraph 1–3)*

This provides for a situation where a will is lost or misplaced, in possession of a person outside Kenya or for a will that cannot be found. A limited grant under this paragraph may be issued pending the original will being found.

B) *Grant for the use and benefit of others having right*

Where the executor is absent from Kenya; whether there is a will, letters of administration, will annexed or in a case of intestacy (see paragraph 4–6). Where the executors are minors or of unsound mind (see paragraph 7, 9). Where a suit is pending touching validity of will. In this latter situation (paragraph 10) it is a situation known as administration pendente lite (see 3 above).

The meaning of administration *pendente lite* is where a grantee is appointed simply to *administer the estate of the deceased during litigation.* For instance, if the will of the deceased is being contested, pending the determination of that dispute the court may appoint a grantee *pendente lite* to continue to administer the estate so as it is not wasted. The grantee is not permitted to distribute the estate but merely manage the same pending litigation.

The limited grant *ad litem* (see 4 above) is one normally used for prosecuting or defending proceedings begun in a court of justice. This type of grant is covered within our Succession Act in the Fifth Schedule paragraph 11–16. It has been described as a grant for special purposes.

C) *Grant for special purposes*

Where an executor is appointed for a limited purpose specified in the will (see paragraph 11).

Where an executor gives authority to an attorney specified to a particular purpose.

Where a sole surviving trustee dies leaving no general representative or one who is unable or unwilling to act as such (normally referred to as *de bonis non* (see paragraph 20 form 87 and 19 in rule 12).

Where a deceased being party to a pending suit dies and the executor or the person entitled is unable or unwilling to act – a representative requires to be appointed (see paragraph 14).

Where the person to whom probate or letters of administration has been made is absent from Kenya, a limited grant may be given for the purpose of enjoining a party to a suit brought against the administration (see paragraph 15).

Where it appears to the court to be necessary or correct to appoint some person not normally entitled to administer an estate or part thereof as the court thinks fit.

The other grant is grants with exception.

D) *Grants with exception*

Paragraphs 17, 18 and 19 provide for situation where grant be made subject to certain exceptions. Under what rules should a person intending to file suit where the deceased having been or intended to file suit dies?

Mr *Hira* argued that as the estate has remained unadministered, limited grant *colligenda bona* is sufficient to preserve the estate. If one applies under this grant then such a party has a right to file suit. That is what I understood the arguments submitted as being.

Mr *Kaburu* on the other hand described this as administration *ad litem*. This is equivalent to paragraph 14 of the Fifth Schedule. It is equivalent to section 222 of the Indian Succession Act of 1865 (later section 251 of the same Act) and section 162 of the Judicature Act 1925 of England. The words in all the three Acts are identical. Namely, administration limited to suit:

> "When it is necessary that the representative of a deceased person be made a party to a pending suit, and the executor or person entitled to administration is unable or unlikely to act, letters of administration may be granted to the nominee of a party to the suit, limited for the purpose of representing the deceased herein or in any other cause or suit which may be commenced in the same, or in any other court between the parties, or any other parties touching the matters at issue in the cause or suit and until a final decree shall be made therein and carried, into complete execution".

The Indian Succession Act (1865) section 222 was applicable in Kenya. It was considered in the Mombasa High Court case of *Hadija v Iddi* [1974] EA 50 by Sir Dermont Sheridan J.

In the above case, the defendant was appointed the personal representative of a deceased driver against whom a claim was to be made. The plaintiff filed suit seeking for the letters of administration be set aside arguing that letters can only be issued when there is a *pending* suit.

It was held by the High Court, in interpreting section 222 of the Indian Succession Act, which is identical to paragraph 14 of the Fifth Schedule, that the

appointment of a personal representative may be made even when there was no suit pending. (The case of *Gibbs v Roy* 85 CLJ 280 was considered.)

Although this authority was dealing with a different aspect to paragraph 14, it most certainly noted that in order to apply for a grant limited to filing suit the rule becomes applicable.

In contrast, I did rule in the *Estate of Nyamondi Succession Cause* case that the application for limited grant was not entirely correct.

A corporation filed suit against the deceased whilst she was still alive. The deceased died. Her husband had predeceased her. The only person entitled to the estate were her adult children. All of them refused to take letters of administration intestate. The limitation of time in bringing a personal representative was running out. The corporation applied, under a certificate of urgency, to file an application under paragraph 14 praying for this Court to appoint the children as administrators.

I decline to do so as the rules requires that the corporation nominate a person to take up the letters limited to the suit. This could have been the public trustee or even an advocate, which had not been done.

b) *Procedure for limited grant*

What I find is that advocates wishing to apply for limited grant for purposes of filing suit should come under paragraph 14 of the Fifth Schedule. I would agree with Mr *Kaburu* that this paragraph applied to intending or proposed plaintiff.

Although the Act is clear on the affidavit to be filed as prescribed in Rule 12, namely form P and A 19, the petition has not been prescribed to. The nearest form is the one of P and A 90 which is for grant *pendente lite*.

The Act is not silent on such situation. Where it comes to the forms to be applicable Rule 70 is most helpful. It reads:

> "The forms set out in the First Schedule, with such adaptations, additions and amendments as may be necessary shall, when appropriate be used in all proceeding under these Rules:
>
> Provided that the Chief Justice may by notice in the *Gazette* vary the forms and prescribe such other or additional forms as he thinks fit".

This means that any applicant may modify, adapt or add to the form:

> "Section 72 of the Interpretation and General Provision Act Cap. 2 provides that, save as is otherwise expressly provided, whenever any form is prescribed by any written law an instrument or document which purports to be in that form shall not be void by reason of any deviation therefrom which does not affect the substance of the instrument or document and which is not calculated to mislead.
>
> *Although the collection of forms in this Schedule does not purport to provide for every circumstance that may arise it contains the majority of the forms which, adapted when necessary will be found to be of general use by legal practitioner and members of the public*". (Emphasis my own.)

It therefore means that both the legal practitioner and members of the public may adopt the forms to suit the petition they are to bring in, if it has not been provided.

As stated earlier form P and A 90 is the nearest form to which limited grants may be adopted. I believe the parties can use this with the following modification below.

I have attempted to outline petition for letters of administration *ad litem* with the sole purpose of filing suit. I have also outlined the type of grant that should normally be issued and similar to form P and A 47.

(Sample)

Form 90(B) (Fifth Schedule paragraph 14, Rule 2)

Petition for letters of administration where there is a will petition for grant of letters *ad litem*

ad litem (b)

(Heading as in Form 1)

I CD of

Hereby petition this Honourable Court for a grant of letters of administration *ad litem* of the estate of the above named AB who died domiciled in (state where) … on the …, 20 … limited to my filing suit or to approving KL as personal representative for purpose of filing suit and without power of distribution of the estate and say as follows:

There is now pending in this Honourable Court a suit against (the deceased estate, for the deceased estate) being suit No … (state case number)

I present this petition in my capacity as …

That a grant of administration *ad litem* do issue limited for the purpose (of filing suit/defending a suit or representing suit).

That I have no powers to distribute an estate under this grant.

Signed by the above named ID

In the presence of EJ

Signature

Advocate of (address)

or In the presence of GH

Signature

of (address and description)

and IJ

Signature

of (address and description)

(Sample)

Form 47(b) Paragraph 14 Fifth Schedule

Limited grant of letters of administration ad litem

Be it known that letters of administration ad litem of all the estate of the above-named AB, late of … who died domiciled in (state where) … on the … 2000, which devolves to and vests in his personal representative but limited to the purpose only for filing suit (or as representative in suit) (state court and number).

Issued as in Form 41.

I would propose the above forms to be used.

Nonetheless as a general rule, a person entitled to a grant should not apply for a limited grant but a full grant.

The other issue is whether or not limited grant should be gazetted? Mr *Kaburu* argued that all grants must be gazetted. Section 67(1) was clear on the issue of publication. The only exception are grants limited *ad colligenda bona*.

There has been recommendation from the committee looking into the establishment of the Family Court that all limited grants be gazetted, and that there must be consent from all the beneficiaries for making of such grants.

I believe that gazettement of limited grant should be *recommended* and dealt with by the Rules Committee. I also believe that limited grant should not issue unless it is under such special circumstances at to allow it to be so issued at the discretion of the court.

As stated earlier full grants should always be applied for in order to limit duplication of grants unless otherwise stated.

In conclusion I hold the following:

a) That the procedure in coming to court by limited grant be by way of petition and affidavit. That the procedure be administratively done.

   It is recommended to the Rules Committee, that the consent of all concerned be obtained and that the Committee look into the issue of gazetting limited grants.

b) That there are two categories of types of grants.

   i) Limited grant under section 54; Fifth Schedule.

   ii) Grant in duration

   iii) Grant of the use and benefit of others having rights

   iv) Grant for special purpose

   v) Grant with exemption

For ease of clarification grant for special purpose, paragraph 14 of the Fifth Schedule is the grant *ad litem* for filing suit.

Grant for use of the benefit of others includes grant of administration *pendente lite* (paragraph 11).

Limited Grant

(i) *ad colligenda bona*

(ii) *ad colligenda bona defuncti*

Grants *ad colligenda bona* as per the *Law of Succession* by Anthony R Mellow's (2 ed) London Butterworth 1973:

> **"**This grant is intended to give the administrator power only to get in the estate of the deceased, and to do such acts as are necessary in order to preserve it, and it is usually limited in this way. A grant in these terms does not give a power to invest money collected in, nor to sell the assets even where a sale is necessary because the assets are wasting. It is anticipated that powers in this nature will be required, they maybe expressly included in the grant upon application being made to the court".

Ad colligenda bona defuncti: for purpose of collecting the deceased goods.

Forms

The correct forms of petition to use are:

i) Grant for special purposes

Modified forms duly adapted as near as possible to form P and A 90 and to form P and A 19 as read with Rule 12.

Form 47 as modified above to issue for the letters of administration *ad litem*.

ii) Grant *ad colligenda bona*

Petition form P and A 85 and P and A 19 as read with Rule 12.

The grant be issued on form P and A 47 as prescribed.

Recommendations

It is the Rules Committee under section 97 that are empowered to make such rules as outlined in that section.

It is the Chief Justice under Rule 70 who would prescribe the type of new forms to be used. Nonetheless parties are permitted to adapt and modify the forms to suit their circumstances.

I have before me the various files as per the annexed schedule. I hereby strike out all the applications and petitions filed for purposes of filing suit as being defective in form with no orders as to costs.

Leave be and is hereby granted for a fresh application to be filed. I thank the advocates for their most invaluable submissions on this point.

For the Appellant:
Information not available

For the Respondent:
Information not available

Said v Maitha
[2000] 2 EA 505 (CAK)

Division:	Court of Appeal of Kenya at Mombasa
Date of judgment:	17 March 2000
Case Number:	237/99
Before:	Gicheru, Akiwumi and Shah JJA
Sourced by:	LawAfrica
Summarised by:	M Kibanga

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[1] Election petition – Submissions – Matter of vote counting closed in court – Advocate observing that presiding officer not presenting certain statement on votes to court as required under rule 19 of National Assembly Elections (Election Petition) Rules – Court ruling that advocate to submit on rule 19 only – Whether the ruling appropriate.

[2] Practice – Review – Court making non-conforming rulings – Whether court has power to review the rulings to conform with court's intention.

[3] Practice – Ruling – Court proceedings – Whether ruling part of the court proceedings.

[4] Practice – Submissions – Whether desirable to restrict a party's submissions on certain point.

Editor's Summary

The Appellant and the Respondent both contested for the seat of the Member of Parliament, Kisauni constituency, in 1997 general elections. The results indicated that the Respondent had won by a margin of 534 votes against the Appellant. The Appellant alleged irregularities and improper vote counting and filed a petition. The Appellant then made an application for scrutiny and recount, which was allowed on 18 March 1999. The recount was carried out in

the presence of, among others, a deputy registrar of the High Court. The margin of the votes was then reduced to only 52.

On 17 May 1999 the Appellant's advocate sought to make submissions, not on the recounted number of votes, but on some aspects of the scrutiny particularly that the presiding officer ought to explain whether the number of voting papers issued coincided with the number of votes cast added to the number of papers spoilt or remaining. The counsel further stated that the presiding officer had not given statement of the votes issued, cast and returned as required under regulation 34 and rule 19 of the National Assembly Elections (Election Petition) Rules.

Counsel for the Respondents objected to this submission and stated that the Appellant's counsel was submitting on matters of evidence from the Bar. The court on 20 May 1999 ruled on the objection to the submissions of 17 May and ordered that the Appellant's counsel ought to file a written application touching on the ground of non-compliance with Rule 19.

Counsel for the Appellant applied for review of the decision of 20 May on the ground that his right to submit on 17 May was curtailed by the order of 20 May which restricted his right to fully submit on the issues arising out of the absence of the presiding officer's statements. Counsel wanted to submit generally and not on rule 19 only.

The High Court ruled on the application for review that the court did not have inherent power to consider its orders unless there was a power of review. The court also said that the rulings of 17 May and 20 May did not form part of the proceedings.

The Appellant appealed against the orders of 17 and 20 May 1999.

Held – Whilst it is desirable to end any litigation it is equally desirable to allow a party to canvass fully any relevant point he may have on the issues (per Shah JA).

The court has inherent power to recall an order before it is perfected to amend the same to rhyme with the intentions of the court. *Raichand Lakhanshi v Assanand and sons* [1957] EA 82 followed. The court ought not to reject an application for review merely because the Applicant may appeal instead (per Akiwumi JA).

Rulings form part of the court proceedings, that is, application and arguments and must therefore be part of the proceedings.

The Appellant was allowed to file an application in the High court without restriction to rule 19.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Lakhamshi v Assanand and Sons [1957] EA 82 – **F**

United Kingdom

Re Harrison's Share Under a Settlement [1955] 1 All ER 185

Judgment

SHAH JA: On 18 March 1999 the superior court (Hayanga J) allowed the Appellant's application for scrutiny and recount of votes cast at the Parliamentary election held in the Kisauni constituency on 29 December 1997. The Appellant was the unsuccessful candidate whilst the First Respondent was declared to be the successful candidate at the said election by the returning officer, Mr Hotham Nyange, who is the Second Respondent before this Court. The Appellant is Said Hemed Said whilst the First Respondent is Emmanuel Karisa Maitha. The said election was held under the provisions of the National Assembly and Presidential Elections Act (Chapter 7) ("the Act") to elect a person to the seat in the National Assembly for the said constituency.

The Appellant, according to the declared result, obtained 9 540 votes whereas the First Respondent garnered 10 74 votes, a difference of 534 votes in favour of the First Respondent. The re-count and scrutiny was carried out by the parties in the presence of (amongst others) the deputy registrar of the superior court Mrs Lydia Achode.

The differences between the parties as regards re-count of votes properly cast was the subject of arguments before the Learned Judge who after hearing all parties and scrutinizing the disputed votes ruled that the vote margin of 534 in favour of the First Respondent stood reduced to 52, which reduction, however, by itself, did not affect the election result.

Having given a considered ruling on the re-count and scrutiny the Learned Judge directed the parties to re-assess their position otherwise the hearing of the petition would go on. That was on 7 May 1999.

On 17 May 1999 Mr Ishan *Kapila* for the Appellant sought leave to make submissions, not on the recounted number of votes but on some aspects of the scrutiny. Counsel for the two Respondents opposed the application saying that the oral application would touch on matters already ruled on and may as well be matters *res judicata*. The Learned Judge ruled as follows:

> "I agree with Mr *Mukele* and Mr *Gikandi* (counsel for Second and First Respondents, respectively, here) particularly because there is no end to which the submission is aimed at. However, I recognise that there may be aspects of scrutiny that are not necessarily on vote count and have [emerged] out of re-count finding and therefore in so far as we have focussed only on votes there may be something to be said on those aspects of the exercise.
>
> While therefore I accept that Mr *Kapila* can submit on those aspects, it will be clear to Mr *Kapila* that he cannot discuss the vote re-count and further he ought to have brought this matter together with the re-count result and finalization of votes instead of treating this aspect from vote result and it is this piecemeal approach that is improper. The result is that Mr *Kapila* and that means everyone also will now submit on the matter, but there will be no reference to the votes and the vote-recount.
>
> So I allow the application to that extent".

During the course of his submissions on 17 May 1999 Mr *Kapila* conceded that the court having adjudicated on the number of votes in dispute, that issue was over. He went on further, however, to say that the number of ballot papers originally issued and the number of votes cast ought not to differ except for an inconsequential number and that it was incumbent upon the court to examine whether what was counted by the deputy registrar tallied with those counted by the returning officer and were all the votes cast by the electorate and that no

voting paper had been added or substracted. What was important, he said, was that the number of valid papers issued by the returning officer to each presiding officer of each area ought to be compared with those used and those returned so as to arrive at a conclusion whether or not ballot papers were added or taken away in the interim. As I understood Mr *Kapila*'s submission he was attempting to say that unless those figures tallied the election itself stood unsatisfactory, more so as the difference of votes was only 52.

Such information, Mr *Kapila* urged, could only be available from the presiding officer and not the returning officer.

Regulation 34 of the Presidential and Parliamentary Elections Regulations ("the Regulations") made under the Act provides as follows:

> "34(1) Immediately after the close of the poll at his polling station the presiding officer shall make a written statement of:
>
> (*a*) the number of ballot papers issued to him under regulation 22(1)(i);
>
> (*b*) the number of ballot papers, other than spoilt ballot papers, issued;
>
> (*c*) the number of spoilt ballot papers;
>
> (*d*) the number of ballot papers remaining unused.
>
> (2) Immediately after the completion of the statement under paragraph (1), the presiding officer, in the presence of those candidates or their agents as are then present with him, shall make up into separate packets–
>
> (*a*) the spoilt papers, if any;
>
> (*b*) the marked copy register;
>
> (*c*) the counterfoils of the used ballot papers; and
>
> (*d*) the aforesaid statement and statement recorded under regulation 33(2)".

Regulation 22 of the Regulations mandates the returning officer to provide to the presiding officer such number of ballot papers as may be required and necessary for the conduct of a particular election.

The combined effect of those two regulations, as I see it, is that at the end of the whole exercise the ballot papers issued are duly accounted for. That is, those used, plus spoilt ones and those returned unused ought to tally with those originally issued so that no one can be accused of adding or subtracting ballot papers. It is for this reason that Rule 19 of the National Assembly Elections (Election Petition) Rules ("the Rules") provides that amongst the documents the returning officer delivers to the registrar of the superior court not less than forty-eight hours before the hearing of an election petition, there ought to be statements by the presiding officers made under the provisions of regulation 33(2) of the Regulations.

Mr *Kapila* went on to submit that statements made by the presiding officers are essential to enable an election court to verify whether ballot papers used in the count match the number of ballot papers issued by a returning officer to each presiding officer. That must be so if the court is to be satisfied that ballot papers have not been added or deducted.

Mr *Mukele* objected to Mr *Kapila*'s oral submissions that rejected ballot papers were required under regulations 34(1)(*c*) and 38 of the Regulations to be shown on the grounds that this could not be canvassed orally. Mr *Gikandi* objected to Mr *Kapila*'s submissions pointing out that Mr *Kapila* was asking for a further scrutiny by the back door. Mr *Kapila* stated that he wished to look at the papers (documents) in the possession of the deputy registrar. With the

permission of the Learned Judge all counsel went into the well of the court and after viewing the documents, Mr *Kapila* pointed out that the statements by the presiding officers as required by regulation 34 of the Regulations and rule 19 of the Rules were not there and stated that the breach went to the root of the election. At that stage, Messrs *Gikandi* and *Mukele* objected to Mr *Kapila* referring to the result of the scrutiny and stated that he ought to file a substantive application to canvass this point. Mr *Kapila* stated, in response, that he was not bringing forth any new matter. He was drawing the court's attention to the facts that the statements by the presiding officers were not before the court as mandated by rule 19 of the Rules.

I have noted that the Learned Judge had allowed Mr *Kapila* to submit on aspects of the scrutiny which were not necessarily on vote re-count. "Scrutiny" as correctly pointed out by the Learned Judge means "a reviewing of the ballot papers following a court order". The Learned Judge also correctly pointed out that scrutiny would necessarily involve re-count of votes.

I come back to the hearing before the Learned Judge on 17 May 1999. Mr *Kapila* urged that it was incumbent upon the court in pursuance of the order for scrutiny, to examine what was counted by the deputy registrar and to examine what purports to be the material used at the original count, to ensure that the result is a safe one. Mr *Mukele* objected to Mr *Kapila*'s right to show as a matter of evidence that the papers required under regulation 38 of the Regulations are missing. He said that was a matter of evidence and not a matter to be canvassed from the Bar.

Mr *Gikandi* also objected to Mr *Kapila*'s oral application to enable him (Mr *Kapila*) to demonstrate from the Bar that the lack of the presiding officers' statements could affect the election. Mr *Kapila*'s answer thereto was to the effect that he was asking to know whether a mandatory provision has been complied with, that is, whether or not the presiding officers' statements made under regulation 34 of the Regulations were in court pursuant to rule 19 of the Rules which is as follows:

> "19. The returning officer shall deliver to the Registrar not less than forty-eight hours before the date fixed by the election court for the trial the following documents–
>
> (*a*) – (*h*) …
>
> (*i*) any statements of the presiding officer made under the provisions of regulation 33(2) of the Presidential and Parliamentary Election Regulations".

The Learned Judge after hearing the arguments as regards the absence of the presiding officers' statements, ruled on 20 May 1999, that Mr *Kapila* ought to file a written application to avoid the election on ground of non-compliance with rule 19 of the Election Petition Rules.

In this appeal, Mr *Kapila* takes issue with the Learned Judge's rulings of 17 May 1999 and 20 May 1999. By the ruling of 17 May 1999 the Learned Judge allowed Mr *Kapila* to submit on aspects of scrutiny that were not necessarily on vote count but may have emerged out of the re-count findings. The Learned Judge appreciated that "there may be something to be said on those aspects of the exercise". The Learned Judge at that time allowed oral submissions.

By his ruling of 20 May 1999 the Learned Judge (as pointed out) confined Mr *Kapila* to an application (not oral but written) to avoid the election on ground of non-compliance with rule 19 of the Rules.

Mr *Kapila* says that his right on submissions as granted by the order of 17 May 1999 was curtailed by the order of 20 May 1999. I see some justification in Mr *Kapila*'s complaint that the order of 20 May 1999 curtails his right to fully submit on the issues arising out of the absence of the presiding officers' statements from the documents produced in court. At the risk of repetition, I say that the procedure laid down in regulation 34 of the Regulations is of importance when the court considers the efficacy of the election and that is the reason why rule 19 of the Rules mandates the returning officer to include the presiding officers' statements amongst the documents delivered to an election court.

Faced with the two rulings not quite consonant with each other Mr *Kapila* decided to seek a review and/or corrections of errors apparent on the face of those orders. He sought permission to submit generally and not to be restricted to submissions on rule 19 of the Rules.

The Learned Judge in regard to the two rulings said:

> "From these Rulings it is evident that the court's intent is to restrict new application and discussion on the result of re-count and scrutiny which had already been proceeded with so as not to revisit the matters already discussed. The intent of the court would appear to be to avoid a *Res Judicata* situation and to limit if any repetitive interlocutory applications and to secure an expeditious disposal of this petition".

That response of the Learned Judge was in response to Mr *Kapila*'s sworn statement which reads:

> "That the … ruling of 17 May 1999 allowed me to make substantive submissions on the matters discovered during scrutiny. I undertook not to challenge the result of the re-count conducted by this Honourable court, but the said ruling instead forbids me from 'making reference' to the re-count. It will be impossible for me to submit on the scrutiny conducted without referring to the re-count and I therefore seek a review of the Ruling to reflect the true intent of the Learned Judge as disclosed by him after the ruling was delivered upon my bringing this matter to his attention".

The Learned Judge held that he had no inherent power to reconsider his orders once made unless there is a power of review. Primarily that is a correct statement of law; but there is power to recall an order before it is perfected to amend the same as to rhyme with the intention of the court. There is inherent power of the court to recall a judgment before it is perfected. See *Raichand Lakhamshi v Assanand and Sons* [1957] EA 82 Sir Newham Worley, then President of that Court, said after referring with approval to the English case of *Re Harrison's Share Under a Settlement* [1955] 1 All ER 185:

> "It is evident that the power to recall a judgment is one of the inherent powers of a court. In Kenya, as regards both the Supreme Court and the subordinate courts, inherent powers are saved by section 97 of the Civil Procedure Code. We think therefore that the courts in Kenya have the same inherent power as courts in England to recall a judgment before it is perfected by a formal decree or order. Such a power is beneficial because, as was pointed out in Harrison's case, it avoids the absurdity and consequential expense of the court having to pass a decree which it knows to be wrong, but which could only be upset by means of an appeal, or, in Kenya by the alternative procedure of an application for review".

The Learned Judge held that rulings do not form part of the proceedings. I think the Learned Judge erred there. Any ruling comes as a result of proceedings, that is, application and arguments and must therefore be a part of the proceedings. It would be erroneous to say that a ruling is not part of the proceedings when it emanates from the proceedings.

Mr *Gikandi*, whilst opposing the appeal, urged that what was before us was already *res judicata*. He urged that the review application before the Learned Judge was *res judicata*. But that cannot be. The issue of *res judicata* was argued as a preliminary point before the Learned Judge. The Respondents had lodged, in opposition to the Appellant's application for review, a notice of preliminary objection setting out amongst others the following point:

> "3. That the matter being canvassed has already been heard and determined through the scrutiny and recount of votes and the matter is therefore *res judicata* and the court cannot revisit that matter – the court is already *functus officios* (*sic*)".

The Learned Judge disallowed that preliminary point and directed Mr *Kapila* to argue his application forthwith, unless there was to be an appeal against his ruling delivered, on the preliminary point, on 21 July 1999. Mr *Gikandi* is now precluded from arguing the same point here, as the Learned Judge had decided the same and there was no appeal lodged against that ruling.

The substance of Mr *Gikandi*'s opposition to this appeal turned on the issue as to whether or not Mr *Kapila* could revisit the issue of scrutiny and recount when the superior court had already ruled on it. What the court ruled on was on the recount which reduced the First Respondent's lead on votes to a considerable extent but that could not, as Mr *Kapila* was seeking to argue, stop a party from drawing the attention of the court to irregularities, if any, in the voting process if that could be established by arguments based on presiding officers' statements or if it could be established that the number of ballot papers issued do not tally with the final election result.

Mr *Gikandi* pointed out that section 28 of the Act declares that non-compliance with written law does not avoid an election if it appears that the election was conducted in accordance with the principles laid down in that written law, or that the non-compliance did not affect the result of the election. This point will of course be a matter of arguments before the superior court if and when Mr *Kapila* is allowed to put forward his arguments, there, fully, rather than being restricted only to rule 19 of the Rules.

Mr *Gikandi* also urged that the Learned Judge had not in his ruling of 20 May 1999, departed from the substance of his ruling of 17 May 1999, but I have already pointed out that this was not so. Mr *Gikandi* also took issue with Mr *Kapila* on the latter's argument that what he (Mr *Kapila*) argued was not properly recorded by the Learned Judge. The record speaks for itself. I have no difficulty in understanding what Mr *Kapila*'s real problem was. That is, that his client's right to make comprehensive submissions on the want or lack of the presiding officers' statements was being curtailed, when he was by the ruling of 20 May 1999 confined to submit only on rule 19 of the Rules.

Whilst it is always desirable to wish to end any litigation it is equally desirable that a party ought to be allowed to canvass fully any relevant germane point he may have. That is a matter of course in our adversarial system. Mr *Mukele* adopted Mr *Gikandi*'s submissions and added that Mr *Kapila* could not just submit generally on any matter he liked. He stated that Mr *Kapila* ought to have had brought to his opponents' notice the missing statements. Mr *Kapila* did so, as I see it, at the earliest opportunity.

It seems to me that there was some amount of confusion in the superior court with regard to regulations 34 and 41 of the Regulations and rule 19 of the Rules. At times a regulation was being referred to as a rule and *vice-versa*.

What I have said so far takes care of all the grounds of appeal argued by Mr *Kapila*. I do not see any need to go into each ground separately. What I have said so far disposes of this appeal.

I would therefore allow this appeal with costs. I would also award costs of the review application in the superior court to the Appellant. To leave no room for doubt I would direct that Mr *Kapila* files within the next 30 days a comprehensive application in the superior court which application may not be confined only to provisions in rule 19 of the Rules and in which application Mr *Kapila* can argue all matters relating to scrutiny with such documentary analysis as Mr *Kapila* may wish to put forward. The Respondents must be given sufficient time to oppose such an application.

(Gicheru JA concurred in the judgment of Shah JA.)

AKIWUMI JA: I have had the advantage of perusing the draft judgment of my Lord Shah which sets out fully the background to this appeal. The two rulings involved in this appeal are the one made by the Learned Judge (Hayanga J) on 17 May 1999, and that made by him on 20 May 1999. The former was made upon the application of Mr *Kapila*, counsel for the Appellant, the Petitioner, to address the court not on the findings of the scrutiny and recount of the votes cast, but on other aspects of the scrutiny which do not relate to the physical scrutiny and recount of the votes cast. The Learned Judge, realising that there could be such aspects of the scrutiny and recount of votes, granted Mr *Kapila* leave to informally make oral submissions purely on those aspects. The Learned Judge also, expressed his displeasure at what he referred to as the piecemeal approach being adopted by Mr *Kapila* whom he thought, should have made submission on all matters related to the scrutiny and recount, and not merely as to the result of the valid votes found to have been cast for the Petitioner and the First Respondent and which of them had more votes than the other and by how much. This is how the Learned Judge expressed himself:

> "However, I recognise that there may be aspects of scrutiny that are not necessarily on vote count and have emerged out of recount finding and therefore in so far as we have focused only on votes there may be something to be said on those aspects of the exercise.
>
> While therefore I accept that Mr *Kapila* can submit on those aspects, it will be clear to Mr *Kapila* that he cannot discuss the vote re-count and further he ought to have brought up this matter together with the re-count result and finalization of votes instead of treating this from vote-result … It is this piecemeal approach that is improper.
>
> The result is that Mr *Kapila* and that means everyone also will now submit on the matter but there will be no reference to the vote and vote-recount.
>
> So I allow the application to that extent".

The second ruling of 20 May 1999, appears to have arisen in this way. The Learned Judge had, albeit, rather reluctantly, in his ruling of 17 May 1999, granted leave to Mr *Kapila* to make oral submissions on other aspects of the scrutiny and recount of the votes cast. Subsequent to this, and in conformity with the Learned Judge's ruling of 17 May 1999, Mr *Kapila*'s attempt to orally raise issues, not on the votes actually cast, but on another aspect of the scrutiny, namely, the absence of written statements which the presiding officers are required by regulation 34 of the Presidential and Parliamentary Elections Regulations to make, and which had not been included in the documents which the returning officer should, in accordance with rule 19 of the National

Assembly Elections (Election Petition) Rules, deliver to the registrar of the election court "not less than 48 hours before the date fixed" for the trial of the election petition, was thwarted by the Learned Judge. The Learned Judge as if he had forgotten what he had reluctantly, but boldly, ordered in his Ruling of 17 May 1999, and indeed, he made no mention of it, refused to hear Mr *Kapila*, *inter alia*, on the grounds: and this having regard to the background of the ruling of 17 May 1999, would not seem to be so, that his oral submissions would take the Respondents by surprise; strangely, that the issue that Mr *Kapila* wished to submit upon did not originate from the ruling of 17 May 1999; that Mr *Kapila* could not make submissions on the absence of the statements of the presiding officers without first giving evidence; that the Learned Judge should discountenance proceedings that would ambush, embarrass and prejudice the Respondents, and delay the proceedings; and that the Petitioner should file a written application.

It was not therefore surprising that, the ruling of 20 May 1999 being in conflict as it is with that of 17 May 1999, the Petitioner sought the review arising out of the two conflicting rulings. The First Respondent's preliminary ground of objection that the matter was *res judicata*, was rightly dismissed by the Learned Judge who then proceeded to hear the application for review. As I have already alluded to, the two rulings of 17 and 20 May 1999, are conflicting and there seems therefore to be an error on the face of the record of which the rulings form part. The first ruling clearly permitted the Petitioner to be heard informally on issues that arise out of scrutiny but which do not relate to the physical counting, examination and consideration of the votes cast. The Petitioner was attempting to exercise this right which was then thwarted by the second ruling for the inept reasons already referred to, such as, the Respondent's being ambushed; and the need to terminate the election petition expeditiously – which could also be achieved by simply asking the deputy registrar if the presiding officers' statements were contained, as required by rule 19 of the National Assembly Elections (Election Petition) Rules, in the documents submitted by the returning officer.

In his ruling of 15 October 1999, which is the subject matter of the present appeal, the Learned Judge, and having earlier ruled against matters being *res judicata*, made the following rather confusing observation:

> "From these rulings it is evident that the Courts (*sic*) intent is to restrict new application and discussion on the result of re-count and scrutiny which had already been proceeded with so as not to revisit the matters already discussed. The intent of the court would appear to be to avoid a *Res Judicata* situation and to limit if any repetitive interlocutory applications and to ensure an expeditious disposal of this Petition".
>
> With respect to the Learned Judge's holding as to there being an error on the face of the record, he said, and I think that this does not answer the criticism of an error being on the face of the record, that: "There is no mistake apparent on the face of the record where the court has rightly or wrongly come to a conclusion that may be restrictive or unfavourable to a party in the suit".

But this was not the issue involved; what was involved was not inconvenience or restrictiveness to parties to a suit or error of law, but the apparent conflict on the face of the record, between the two rulings on the issue whether the Petitioner's counsel could make informal submissions on matters arising out of the scrutiny and recount which did not relate to the physical inspection and counting of the votes cast and which is an error on the face of the record. The

Learned Judge's observation also seemed to imply that his ruling, apparently the one of 20 May 1999, if anything, should be appealed against. He put this more clearly in the following excerpt from his ruling appealed against:

> "… Where a court is aware of what it is doing, a Review does not lie if that decision is erroneous. A court, and this Court is no exception, has jurisdiction to decide wrongly. And it is the court of appeal which has the right to correct that, and not for that court to sit on appeal on its judgment".

With respect, the right of review given by section 80 of the Civil Procedure Act and Order 44(1)(*b*) of the Civil Procedure Rules, requires the Learned Judge to consider a review application where an appeal lies but as in this case, no appeal has been filed, and it was wrong for this reason, for him to refuse to do so.

In my view, the appeal succeeds and the ruling of the Learned Judge of 15 October 1999, is hereby set aside and would further order that the Petitioner's counsel should be allowed to file a formal application and to submit on matters discovered during the scrutiny. Costs of the review application and of the appeal to the Appellant.

For the Appellant:
Information not available

For the Respondent:
Information not available

Serugo v Kampala City Council
[2000] 2 EA 514 (CAU)

Division:	Court of Appeal of Uganda at Kampala
Date of judgment:	30 April 1998
Case Number:	14/97
Before:	Manyindo Dcj, Kato, Berko, Engwau and Twinomujuni JJA
Sourced by:	P Karugaba
Summarised by:	H K Mutai

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[1] Constitutional law – Jurisdiction of the Court of Appeal – Interpretation – Limitation period – Whether an issue of constitutional interpretation arose – Whether the petition had been filed in time – Articles 50 and 137 – Constitution – Rule 4(1) – Fundamental Rights and Freedoms (Enforcement Procedure) Rules – Legal Notice 4, 1996.

[2] Practice – Constitutional petition – Cause of action – Petitioner convicted of a non-existent offence – Liability of government for acts of judicial officers – Parties – Whether the petitioner's constitutional rights had been violated – Whether there was a cause of action against Respondents – Article 128(4) – Constitution – Section 4(5) – Government Proceedings Act (Chapter 69) – Section 48(1) – Judicature Statute 1996.

Editor's Summary

On 5 September 1997, the petitioner was arrested by an official of the Kampala City Council ("KCC"). Later that same day, he was charged before a magistrate's court with the offence of obstructing a police officer on duty contrary to section 106 of the Penal Code. He pleaded guilty and was sentenced to four

months' imprisonment. On appeal against the conviction and sentence, the appeal was allowed on the ground that he had been convicted of a non-existent offence. On 22 October 1997 he was released from prison and a month later, on 24 November, he filed a petition against the KCC and the Attorney-General seeking a declaration that the acts of the Respondents were unconstitutional and constituted a violation of his human rights, and compensation for the violation. When the petition came up for hearing, the Respondents raised preliminary objections on the grounds (i) that no cause of action against them existed as, in the case of the First Respondent, the wrongs complained of were not committed by a person in its employment, and, in the case of the Second Respondent, section 4(5) of the Government Proceedings Act (Chapter 69) provided that the government was not answerable for the acts of a person carrying out his judicial functions; (ii) that no constitutional issue requiring the Court's interpretation existed and (iii) that, in any case, the petition was time-barred. Counsel for the petitioner argued that the Second Respondent was properly joined to the suit as the government was responsible for the unconstitutional actions of its agent, the magistrate, and that section 4(5) of the Government Proceedings Act did not apply to constitutional cases.

Held – The petitioner had failed to show that the KCC or its agents were responsible for whatever happened to him after his arrest. The only role played by the KCC's agent was in his arrest, which itself appeared to have been lawful. As for the Second Respondent, the provisions of section 4(5) of the Government Proceedings Act clearly exempted the government from liability for acts or omissions of a judicial officer while acting in his official capacity. The section applied in both ordinary civil suits and in constitutional matters; *Attorney-General v Olwoch* [1972] EA 392 and *Serapio Rukundo v Attorney-General* constitutional case number 3/97 applied.

The role of the court with regard to constitutional matters was ordinarily restricted to that of interpretation under article 137 of the Constitution and, in this instance, since no question for interpretation arose, the court had no jurisdiction.

Rule 4(1) of the Fundamental Rights and Freedoms (Enforcement Procedure) Rules provided that a petition alleging a breach of the Constitution had to be filed within 30 days after the date of the alleged breach. The rationale behind this rule was that constitutional cases were important and had to be attended to expeditiously; *Serapio Rukundo v Attorney-General* (*supra*) applied. In this instance, the petitioner having been freed on 22 October he ought to have filed the petition by 22 November and, as he had not done so, the petition was clearly out of time. The objection would therefore be allowed and the petition struck out.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Attorney-General v Olwoch [1972] EA 392 – **AP**

Attorney-General v Tinyefuza Supreme Court constitutional appeal number 1/97

Serapio Rukundo v Attorney-General constitutional case number 3/97 – **AP**

United Kingdom

Moharaj v Attorney-General of Trinidad and Tabago No 2 [1978] 2 All ER 670

Judgment

MANYINDO DCJ, KATO, BERKO, ENGWAU AND TWINOMUJUNI JJA: This ruling is in respect of preliminary objections raised by the two counsel who appeared for the Respondents. After listening to the submissions made by both sides we upheld the objections and struck out the petition while reserving the reasons for the decision. We now proceed to give the reasons.

The brief facts leading to this petition are as follows: On 5 September 1997 the petitioner, Ismail Serugo, was arrested by an official of Kampala City Council called Steven Mungoma. On the same day he was taken to the Magistrate Grade II's Court at Kampala City Hall where he was charged with the offence of obstructing a police officer on duty, contrary to section 106 of the Penal Code Act. The petitioner pleaded guilty to the charge. He was convicted and sentenced to four months' imprisonment. He appealed to the chief magistrate, Buganda Road Court against conviction and sentence. His appeal was allowed on the ground that he had been convicted on a non-existing offence. He was released from prison on 22 October 1997. He then filed this petition seeking a declaration that the acts of the Respondents were inconsistent with the Constitution and were a violation of his fundamental human rights granted by the provisions of Articles 21(i), 23(i), 28(7) and (12), 25(2) and 31(4) and (5) of the Constitution. The petition further prayed for compensation of UShs 5 000 000 per day for the 50 days he was in detention.

When the petition came up for hearing both counsel for the Respondent raised three preliminary objections. These were:

1. that the petition had been brought against the wrong parties
2. that there was no constitutional issue requiring the interpretation by this Court; and
3. that the petition was time barred.

Mr *Sendege* who appeared for the First Respondent submitted that the wrongs complained of were not committed by an employee of Kampala City Council since the case was prosecuted by an officer from the office of the Director of Public Prosecutions and the conviction was pronounced by a court established under the Magistrates' Court Act. He pointed out that all these officers are employed and paid by the central government and not the City Council; therefore he contended, there was no cause of action against Kampala City Council. It is remarkable that Mr *Mbabazi*, learned counsel for the petitioner, did not refer to this point in his long submission.

According to the contents of the petitioner's affidavit sworn of this petition and that of Steven Mungoma sworn in support of the reply to the petition, there is no doubt that the only role played by the First Respondent's employee (Steven Mungoma) was to arrest the petitioner.

The petitioner does not show in his affidavit that both the prosecutor and the Magistrate were employees of the First Respondent. Although in paragraph 2(g) of his petition the petitioner says that it was the First Respondent who set in motion the acts which culminated in violation of his human rights, we are of the view that the First Respondent or its agents were not responsible for whatever happened to the petitioner after his arrest, which arrest was lawful in our view, and in any case, counsel for the petitioner conceded, quite rightly in our view, that any action arising from the arrest was time barred. In the circumstances we agree that the petitioner had no cause of action against the First Respondent.

Mr *Tumwesige*, counsel for the Second Respondent, maintained that the Attorney-General had been wrongly made a party to the petition. It was his contention that the government cannot be made answerable for acts of a person carrying out his or her judicial functions. He based his argument on the provisions of section 4(5) of the Government Proceedings Act (Chapter 69) and the case of *Attorney-General v Olwoch* [1972] EA 392. He further contended that as the petitioner was lawfully convicted and sentenced by a competent court of law, his detention in prison for 50 days was lawful under the provisions of article 23(1) of the Constitution. On the other hand Mr *Mbabazi* submitted that the Second Respondent was properly joined to these proceedings as its agent (the Magistrate) acted unconstitutionally. He pointed out that the Second Respondent was liable on "public torts" principle. He based this argument on the case of *Mahoraj v Attorney-General of Trinidad and Tobago (No 2)* [1978] 2 All ER 670. It was Mr *Mbabazi*'s contention that section 4(5) of the Government Proceedings Act is not applicable to constitutional cases and that *Olwoch* (*supra*) upon which the Second Respondent relied was not a constitutional case. He also argued that the case of: *Serapio Rukundo v Attorney-General* constitutional case number 3/97 which decided that section 4(5) of the Government Proceedings Act is applicable to constitutional cases and was consistent with article 128(4) of the Constitution was wrongly decided.

Section 4(5) of the Government Proceedings Act upon which Mr *Tumwesige* based his submission on this point reads as follows:

> "4(5) No proceedings shall lie against the government by virtue of this section in respect of anything, done or omitted to be done by any person while discharging or purporting to discharge any responsibilities of a judicial nature vested in him, or any responsibilities which he has in connection with the execution of judicial process".

These provisions clearly do exempt the government from liability for acts or omissions of a judicial officer while acting in his or her official capacity. Section 48(1) of the Judicature Statute 1996 and article 128(4) of the Constitution also do provide protection to judicial officers while carrying out their judicial function. In *Olwoch* (*supra*) where the facts were almost the same as in the present case, the Court of Appeal for East Africa held that no suit lies against the government for acts done in discharge of judicial functions. In the present case the Magistrate who tried, convicted and sentenced the petitioner was obviously carrying out his judicial function for which the government cannot be held liable. We do not agree with Mr *Mbabazi*'s contention that section 4(5) of Government Proceedings Act does not apply to constitutional cases. In our view the section applies to both ordinary civil suits and constitutional matters. This Court was of the same view in *Rukundo* (*supra*). We do not agree with the

counsel for the petitioner that that case was wrongly decided. Accordingly the petitioner has no cause of action against the Second Respondent.

The second objection is that this Court has no jurisdiction in the matter. Mr *Tumwesige* argued at length that this petition was improperly instituted in this Court under article 137 of the Constitution, as there is no issue involving interpretation of the Constitution. In his view the matter should have been filed in any other competent court for redress under article 50 of the Constitution. He cited the decision of the Supreme Court in the case of *Attorney-General v Tinyefuza* Supreme Court constitutional appeal number 1/97 in support of that argument. Mr *Sendege* agreed with Mr *Tumwesige* on this point. Mr *Mbabazi* had a different view on the matter. He submitted that this Court has jurisdiction to concurrently deal with the articles 50 and 137 of the Constitution. It was his view that this Court does not only handle matters concerning the interpretation of the Constitution but it also handles the enforcement of the Constitution when the violation of its provisions occurs. He also relied on *Tinyefuza* (*supra*).

In our view this Court should normally be involved in matters requiring interpretation of the Constitution under article 137. In the instant case the question of interpretation of the Constitution does not arise therefore this Court has no jurisdiction in the matter.

On the question of the petition being time-barred, which was the last ground of the preliminary objection, Mr Sendege, the learned counsel for the First Respondent, submitted that the petition was time barred because it had been filed 30 days after the occurrence of the acts complained of by the petitioner which was contrary to rule 4 of Legal Notice Number 4 of 1996. On the other hand Mr Mbabazi, the learned counsel for the petitioner argued that Legal Notice Number 4 of 1996 is unconstitutional as it forecloses the rights of an individual to seek redress.

Rule 4(1) of the Modifications to the Fundamental Rights and Freedoms (Enforcement Procedure) Rules 1992 Directions 1996, upon which this objection was based reads as follows:

> "4(1) The petition shall be presented by the petitioner by lodging it in person, or, by or through his or her advocate, if any, named at the foot of the petition, at the Office of the Registrar and shall be lodged within thirty days after the date of the breach of the Constitution complained of in the petition".

We considered this matter in *Rukundo* (*supra*) and stated thus:

> "The above rule provides that a petition shall be lodged within thirty days after breach of the Constitution complained of. The purpose of this rule is not hard to find. It takes into account among others the importance of constitutional cases, which must be attended to expeditiously and seeks to cut out stale cases. We do not therefore agree with Mr *Kayondo* SC that in constitutional matters there is no time limit. He did not give us any authority for that proposition. We think that this petition offended against the said Rule 4(1). We therefore, uphold the first objection".

We still hold the same view.

We agree with Mr *Mbabazi* that detention is a continuing wrong. In this case the cause of action in respect of unlawful detention would have arisen on or by 22 October 1997 when the petitioner was released from prison. It follows that this petition should have been filed on 22 November 1997. However it was filed on 24 Noveber 1997 which was clearly out of time.

It was for those reasons that we allowed the objections and struck out this petition with costs to the Respondents.

For the Applicant:
Mr Kayondo SC

For the Respondent:
Mr Mbabazi

Shah v Aperit Investments SA
[2000] 2 EA 519 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of Ruling:	18 November 1999
Case Number:	143/99
Before:	Gicheru, Akiwumi and Owuor Jja
Sourced by:	LawAfrica
Summarised by:	W Amoko

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[1] Practice and procedure – Court of Appeal – Record of appeal – Contents – Distinction between primary documents and secondary documents – Consequences of failure to include a primary document like an order – Rules 80 and 85(1) – Court of Appeal Rules.

[2] Practice and procedure – Court of Appeal – Record of appeal – Contents – Distinction between primary documents and secondary documents – Whether documents included in an affidavit included in the record of appeal had to have certified translations thereof – Consequences of failure to include certified copies of a document in a language other than English – Rule 85(1)(f) *– Court of Appeal Rules.*

[3] Practice and procedure – Court of Appeal – Record of appeal – Contents – Orders –Form of the orders – Whether an order should be drawn up in the same manner as a decree – Consequences of the record of appeal containing an order not drawn up in the same manner as a decree – Order 20, Rules 6(1) and 7 – Civil Procedure Rules.

Editor's Summary

In this case the Court, of its own motion struck out the Appeal, as it was incurably incompetent for three different reasons:

There was an ambiguity in the order appealed from, as the date mentioned therein differed from the date on which the ruling was in fact appealled from. An ambiguity in a primary document like an order is fatal. *Anjumani v Ali* [1998] LLR 868 (CAK) applied.

The formal order included in the record of appeal was incurably defective as it was not prepared in a like manner as a decree as required by Order 20, Rules 6(1) and 7 of the Civil Procedure Rules.

Two share certificates which formed part of the pleadings in the application before the Superior Court were in Spanish and contrary to rule 85(1)(*f*) of the Court of Appeal rules. There were no certified translations of the said certificates and hence the record was fatally defective.

Appeal struck out.

Case referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Anjumani v Ali [1998] LLR 868 (CAK) – **AP**

Ruling

GICHERU, AKIWUMI AND OWUOR JJA: There are several reasons why we think that the appeal is incurably incompetent.

As a primary document for the purpose of the appeal, the order appealed against must unambiguously set out the date on which the ruling was delivered. As the order now stands, and even though it is stated in the notice of appeal that the intended appeal is against the ruling delivered on 24 February, 1999 the order, apart from this date, gives the wrong impression that the ruling had also been given on 3 May 1999. What happened may well have been as submitted by Mr *Deverell* for the Appellant that on 3 May 1999, the ruling of 24 February 1999, had been amended under section 99 of the Civil Procedure Act to correct a clerical mistake. But this does not change the status of the ruling namely, that it was delivered on 24 February 1999. This ambiguity in a primary document like the order is fatal. (See *Anjumani v Ali* [1998] LLR 868 (CAK).

Another defect of similar effect is that the order does not as required by Order 20, Rules 6(1) and 7(6) of the Civil Procedure Rules, to be prepared in a like manner as a decree, set out as it should, the particulars of the claim or the relief sought in the application which was the subject matter of the ruling. We will no longer condone this kind of infringement of the provisions of the Civil Procedure Rules where a primary document is involved.

Thirdly, there are two share certificates referred to in, and annexed to, several important affidavits which form part of the pleadings in the application. These share certificates are in Spanish. As required by Rule 85(1)(*f*) of the Rules of this Court, certified translations of the share certificates must be included in the record of appeal. The only exception to this, is if the share certificates are not relevant to matters in the controversy on the appeal. But the share certificates being the basis upon which the Respondent's application to amend the plaint and which the application was the one which was the subject of the ruling of 24 February 1999, we are unable to say that the share certificates are not relevant to the matter in controversy on the appeal. The fact that the record of appeal does not contain certified English translations of the share certificates also makes the record of appeal fatally invalid and so rendering the appeal incurably incompetent.

For each of the foregoing reasons, the appeal is incompetent and is therefore struck out.

We will make no order as to costs as the issues raised herein above, were all raised by us *suo moto*.

It is so ordered.

For the Appellant:
Mr Deverell

For the Respondent:
Information not available

Siree v Lake Turkana El Molo Lodges Ltd
[2000] 2 EA 521 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	28 May 2000
Case Number:	229/98
Before:	Omolo, Shah and Owuor JJA
Sourced by:	LawAfrica
Summarised by:	H K Mutai

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[1] Damages – Special damages – Loss of profits – Continuing damages – Failure to fully plead loss of profits – Amendment of plaint required – Award of loss of profits by trial court under the head of general damages – Whether the Respondent was entitled to recover special damages not pleaded.

[2] Public Office – Abuse of – Closure of lodge by government officer – Application for damages – Whether the officer was empowered to close the lodge – Whether the government was liable for his actions.

Editor's Summary

On 2 April 1990, the First Appellant, the Loiyangalani Division district officer, directed the local police commander to close the Respondent tourist lodge and ensure that it remained closed until further notice. In a letter to the lodge he gave the reason for the closure as being that its proprietor had failed to pay various rents and fees and was not in possession of certain statutorily required licences. The lodge responded promptly and, in a letter dated 5 April, gave full details of its compliance with all the statutory requirements it was obliged to meet. Later that year, on 29 October, the District Officer wrote to the Marsabit District Commissioner detailing a long list of grievances against the lodge and recommending that its liquor licence not be renewed. The lodge thereafter commenced proceedings against the District Officer and the Attorney-General seeking damages on the grounds that the closure of the lodge was wrongful, arbitrary and unlawful. At the hearing of the suit the District Officer testified that during a visit to collect funds from the lodge he had noticed that various licences were either not displayed or unavailable. He had then ordered the closure of the lodge to pressure it into obtaining the licences. He further claimed that as a District Magistrate III he was empowered to close the lodge. The managing director of the lodge testified on its behalf and produced a total of eleven licences proving that he had complied with the relevant laws. The trial Judge found the Appellants liable as the closure was wrongful and done without any reasonable cause and ordered them to pay the Respondent KShs 72 340 890,50. The Appellants appealed claiming that the trial Judge erred in finding them liable and that in the circumstances, the District Officer, as an employee of the government, was entitled to close down the lodge.

Held – The various licensing statutes governing the operations of a lodge such as the Respondent's, to wit, the Trade Licensing, the Hotels and Restaurants, the Liquor Licensing and the Local Government Acts, contained provisions regarding what procedures were to be followed by the relevant authorities in the event of non-compliance with the requirements therein. None of those statutes empowered the District Officer to close down an operation. Accordingly, in acting as he did, the District Officer not

only exceeded his authority, he also misused his powers and behaved like a village tyrant. Since his actions

were purportedly done on behalf of the government, the grounds of appeal relating to liability failed.

When damages could be calculated to a cent, they ceased to be general in nature and had to be claimed as special damages. Damages for loss of profits were classified as special damages and as such, had to be specifically pleaded and proved; *Sande v Kenya Co-operative Creameries Ltd* applied. Where a plaintiff claimed loss of profits on a continuing basis, he was obliged to amend the plaint at or before the time of hearing to quantify and claim those damages. In this instance, the trial Judge erred in awarding the Respondent damages for claims that it had not specifically pleaded and those awards would be disallowed.

Per curiam: The circumstances of this case would have justified the award of punitive or exemplary damages but, as those had not been claimed, they could not have been awarded.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Coast Bus Services Ltd v Danyi and others [1992] LLR 318 (CAK)

Eldama Ravine Distributors Ltd and another v Chebon civil appeal number 22/1991 (Unreported)

Sande v Kenya Co-operative Creameries Ltd [1992] LLR 314 (CAK) – **AP**

Judgment

SHAH JA: A tourist business establishment known as Lake Turkana El Molo Lodges Ltd, the Respondent (hereinafter referred to as "the Lodge") was ordered closed on the orders of one R R Siree, then, the District Officer Loiyangalani Division of Marsabit District of Kenya, the First Appellant (hereinafter referred to as "the DO"), on 2 April 1990, claimed that the closure was unlawful, wrongful, arbitrary and without any valid reason. The district officer effected the closure by his letter of 2 April 1990 addressed to the manager in charge of "Turkana El Molo Lodge". The reasons given by the District Officer for the closure of the lodge were as follows:

"1 The proprietor (*sic*) has been evading (*sic*) to make payments to the Marsabit County Council: Since 1986 to date:

Annual Land rent of KShs 3 000

Regulated Licenses

Caterers License and

Boarding Lodging License

2 The proprietor has also evaded the Marsabit Trade Licenses despite the fact that some trade officers brought the licenses to Loiyangalani. These licenses are:

The Caterers B2

The Regulated Retail Trade B4

Boarding and lodging B5 and

Liquor Licensing

3 Above all, the Turkana El Molo lodges and Hotel is being operated as class 'D' one yet it is supposed to be a class 'C'. For instance at this juncture, a big bottle (*sic*) of beer costs KShs 20= while an export costs KShs 15".

The lodge responded to the said letter of the District Officer saying that it had sent money to Marsabit District Commissioner (for 1988 and 1989) and that it had all the necessary licenses, the 1990 ones being:

1 1990 Regulated Retail License B4 No 683127;

2 Caterer's License B2 No 72373;

3 Miscellaneous Occupation Boarding B5 No 173034 and Lodging license;

4 Liquor License and three other documents were to be delivered to the District Officer by the lawyers of the lodge.

The lodge also showed that the Ministry of Tourism's Hotel and Restaurant Authority had classified the lodge as class D Tourist lodge. The lodge responded promptly to the said letter of 2 April 1990 by its letter of 5 April 1990 and gave full details of its compliance for obtaining all the requisite licenses and payment of rates. The lodge also called upon the District Officer not to close a lodge such as the one here, arbitrarily and without notice as tourists would be inconvenienced. The reasons given for such wrongful closure, the lodge stated, were unlawful and vague and the District Officer went further by ordering the Police Officer Commanding Police Post, Loiyangalani, to ensure that the lodge remained closed until further notice.

The district officer was not satisfied with the explanations given by the lodge and on 29 October 1990 wrote a letter to the District Commissioner Marsabit complaining that the lodge was not co-operative at all in some aspects. In particular he referred to the alleged non-contribution by the lodge to the many "Harambees" he had held saying that the lodge manager was sacked for contributing to the Presidential Bursary Fund. He also complained about the lodge not offering reduced accommodation charge to civil servants visiting the Division; that the lodge proprietor (*sic*) had formed a tendency of misusing the public and promoting "thuggery"; that he had terminated employment of about 35 employees; that having offered employment to four Shangillas (Dasanash) he turned them away; he accused the lodge of not paying salaries thereby prompting the staff to steal from the lodge. In effect there was a tirade of accusations against the lodge and its managing director (referred to as a proprietor by the District Officer). He recommended that the liquor license for the lodge not be renewed.

When giving evidence before the superior court the district Officer said that whilst collecting money for the Presidential Bursary Fund from the lodge he had noticed that the Presidential Portrait was not displayed therein; that no liquor license was displayed; none of the other requisite licenses were available; he ordered closure on 2 April 1990. He went back to check if the licenses had been obtained and as none were obtained on 15 April 1990, he opted not to prosecute the "proprietor"; that his aim was to pressurize the lodge into obtaining licenses; he ascertained that no land rent had been paid since 1986 but stated that rent for the plot was paid. The district officer said further that as District Magistrate III he was empowered to close the lodge.

In response to the evidence of the District Officer, Mr Kamanda the managing director of the lodge produced in court Catering License for 1989, Miscellaneous License 1989, Regulated Trade License for 1990, Caterers License for 1990, Hotel Managers License for 1990, Food Drugs and chemicals License for 1990, Liquor License for 1990, Hotel Managers License for 1989. He produced

in all eleven (11) such licenses to show that he had been complying with requisite laws.

Did the District Officer have powers to close the lodge for the alleged infraction of the licensing laws namely The Trade Licensing Act, Cap. 497 Laws of Kenya, The Hotels and Restaurant Act Cap. 494, The Liquor Licensing Act Cap. 121 and The Local Government Act, Cap 265?

I will deal with each of these Acts. The Trade Licensing Act at the material time provided penalties for infraction thereof. Section 22 empowers an administrative officer or licensing officer or a police officer of or above the rank of an inspector to enter the premises to ensure compliance with Cap. 497. When a person is found guilty of an offence under the Act where no penalty is specifically provided the penalty is imprisonment for a term not exceeding five thousand shillings or both. The Act does not provide for closure of a business even on a conviction. In this particular case, it must be noted that the lodge was never even charged with an offence under the Act. Quite obviously the District Officer exceeded his powers under the Act. The Trade Licensing Act regulates grant of licenses to carry on several categories of trade and primarily the purpose is to collect fees for grant of licenses under the Act. It was quite unlawful and arbitrary on the part of the District Officer to order closure of the lodge on such flimsy grounds. It would appear that after he was shown the Licenses he purported to open the lodge premises only to later tell the district commissioner not to issue a liquor License to the lodge. He must have been motivated, in so acting, by a desire other than seeking compliance with relevant law.

The Hotels and Restaurants Act Cap. 494 which was declared to commence from 1 February 1992 does not empower a district officer to close a hotel or a restaurant. The Hotels and Restaurants Authority (“the Authority”) established under section 3 of Cap. 494 is empowered to review the standards of hotels and restaurants, to issue licenses in accordance with section 5, to investigate and determine complaints in accordance with section 7 and to vary, suspend or cancel licenses in accordance with section 8. Where it would appear to the Authority that a hotel or restaurant is being conducted contrary to good hotel or restaurant management (see section 8 of Chapter 494), the Authority must give the licensee an opportunity of being heard. Then it may require the licensee to remedy the shortcomings. Thereafter, if the licensee does not comply with the remedial measures suggested, the Authority may call for prosecution under Chapter 494. Without prejudice to liability of the licensee, the Authority may call upon the licensee to show good cause and then only can it suspend, vary or cancel the license. The district officer in this case ought to have referred the matter to the Authority for it to take action rather than unlawfully ordering closure of the lodge. Again the District Officer exceeded his powers and became the complainant, the prosecutor and the court or the Authority. He was clearly acting illegally.

The Liquor Licensing Act (Chapter 121) is aimed at regulating the sale and supply of liquor and incidental matters. The power to search premises where liquor is sold is donated to a police officer with written authority by a magistrate. The general penalty for an offence under Cap. 121 is a fine not exceeding five hundred shillings or imprisonment not exceeding one month. A district officer has no power to order closure of previously licensed premises. It is only when licensee is charged with an offence under Cap. 121 that a court can in

addition to any other penalty which it may lawfully impose, order the license forfeited and that it may order that no license be issued to the accused for such period as the court may order. Once again it is quite clear that the District Officer not only exceeded his powers, but misused them. Yet again I come to the view that the District Officer was moved by motives other than legal in ordering closure of the lodge.

The Local Government Act (Chapter 265) authorizes a local authority to charge fees for any license on permit issued by it. Such fees and charges are regulated by by-law or by a resolution of the local Authority with the consent of the Minister for Local Government. If a person omits to pay for and/or obtain a license lawfully required by a local authority he is subject to the discipline of section 257 of Cap. 265. He can be fined on conviction, to a sum not exceeding two thousand shillings or imprisoned for a period not exceeding two months or both but there is no provision in Cap. 265 empowering a district officer to close a business or establishment which needs to be licensed in any authorized manner by a local Authority. Yet again, I say that in this case the District Officer exceeded his authority and powers in ordering the closure of the lodge.

What the District Officer forgot, perhaps, is that he is a public servant. He acted as, and behaved like, a village tyrant literally. I cannot fault the Learned Judge in the manner in which he answered the first four issues relating to liability of the District Officer and his employer the government of Kenya. The Learned Judge held that the closure of the lodge was unlawful, wrongful and without any reasonable cause; that the Respondent was not given any warning or notice prior to closure of the same: that the District Officer's action was in bad faith, malicious and contrary to the rules of natural justice; that the District Officer had no authority to order closure of the lodge. I respectfully agree.

I think it is time irresponsible officers of the government are told in no uncertain terms that they must act within the law and not like tin-pot dictators or village tyrants. We are told that the District Officer is still in employment of the government. Despite all the unlawful illegal actions perpetrated by him and which will cause the taxpayers to suffer, he is still employed by the government. We will see a way to surcharge this particular officer.

As we urged in the superior court, it was urged before this Court that letter of 16 April 1990 addressed to the lodge by the District Officer is a redeeming feature. In my view it is not. I think the Learned Judge correctly pointed out that the alleged re-opening of the lodge was merely cosmetic. The district officer was at pains even in October 1990, to say to the District Commissioner that the lodge's liquor license ought not to be renewed.

Mrs *Madahana* who appeared for the Appellants attempted valiantly to urge that the Appellants were not liable; that the District Officer had powers under Chapter 479 to order a closure; that the Respondent failed to comply with the requirements to trade lawfully and hence the District Officer's actions were justified. I have set out what action the relevant authorities could take in the event of non-compliance by the lodge with any relevant statute. There is no justification in law or even morally for what the District Officer did. The first fifteen grounds of appeal which relate to the issue of liability therefore fail. It does not lie in the Appellants' province to say that the Respondent company instituted a suit without the authority of the directors of the company. No

member of the Respondent company (the lodge) has taken any such action; a limited liability company can sue for the righting of any wrong done to it by a third party without the third party being entitled to ask for the authority to sue.

Mrs *Madahana* attempted to differentiate between Mr Wamanda and the lodge. True there is a distinction. If the lodge had rented the premises from Mr Wamanda the lodge still has a cause of action as it had here. As regards damage to the buildings, which apparently belong to Mr Wamanda, it would transpire, eventually, that nothing turns on that distinction.

Mrs *Madahana* attempted to put the blame for the closure of the lodge on public health authorities who allegedly closed the lodge for failure to meet health requirements. There is no evidence that public health authorities closed the lodge at the material time. Even if they did so later it would certainly appear that that was done on the machinations of the District Officer.

I come now the issue of damages. The Learned Judge proceeded to assess damages as follows:

"*General Damages*

(i) Loss of profits for the period of 3 April 1990 to 31 December 1996 KShs 49 670 270

(ii) Refurbishing cost for lodges KShs 3 200 000

(iii) Replacement cost for damaged and condemned buildings KShs 7 300 000

(iv) KTDC loan interest KShs 5 157 970

(v) KCB Loan interest KShs 130 564

Total KShs 65 458 804

Special Damages

(i) Damaged hotel stock KShs 2 285 943

(ii) Gitobu and Company Accountants (fees) KShs 391 600

(iii) Wahome and Company, Valuers (fees) KShs 285 500

(iv) Directors salaries KShs 4 050 000

(v) Outstanding debts KShs 96 043

(Advertising) Sub-Total KShs 7 082 086

Grand Total KShs 72 340 890-50

It must be noted that loss of profits for the period 3 April 1990 to 31 December 1996, was not claimed general damages. The Learned Judge however awarded the same in the sum of KShs 49 670 270. It is trite law that loss of profits do not qualify to fall under the head of general damages. Such special damages must be pleaded and strictly proved. This Court said, pointedly in the case of *Sande v Kenya Co-operative Creameries Ltd*, civil appeal number 154 of 1992 (UR): "In this connection it was the duty of the Appellant to put before the judge through his pleadings the claim for KShs 14 151 650-70; though the Appellant had an opportunity to amend his plaint before leading evidence on that issue he chose not to do so ..".

Earlier this Court said, in the *Sande* case:

"During the trial in the High Court the Appellant was allowed, and without any sort of objection whatsoever from the Respondent, to lead evidence to the effect that as a consequence of the alleged breach of contract by the Respondent, he had suffered a loss of KShs 14 151 650-70 and that he was claiming that sum from the Respondent though he had not pleaded it in his plaint. Mr *Lakha* who led Mr *Gikandi* before us readily admitted that the claim for the said KShs 14 151 650-70 was in the nature of special damages and ought to have been specifically pleaded in the plaint".

The Learned Judge in the *Sande* case disallowed the said claim despite evidence having been led, without objection by the Respondent, on the basis that the sum claimed being in the nature of specific damages should have been specifically pleaded and that he (the Judge) had been in error in allowing the Appellant to lead evidence on the issue. This Court agreed with what the Learned Judge in the superior court said in the *Sande* case.

By the same token of reasoning the claim (not pleaded) in the sum of KShs 49 670 270 is disallowed and set aside; such an award should not have been made unless pleaded and unless strictly proved as a special damage claim. However, "loss of profits" was claimed under the heading "special damages", and not general damages.

The only damages pleaded in the amended plaint amount to KShs 9 766 182, of which the most substantial claim was KShs 5 400 000 which is pleaded as "loss of profit in respect of lodge accommodation from date of closure and counting".

The lodge was bound by the rules of pleading and procedure to amend the plaint at or before the time of hearing in the superior court so as to quantify and claim the so-called "and continuing" damages under the head of "loss of profits". It did not do so. The audited accounts of the lodge for the year 1989 show a net profit, for the year, of KShs 3 327 849 and for the period 1 January 1990 to 2 April 1990 the audited accounts show a profit of KShs 1 653 944. But the lodge had suffered losses, during the years 1987 and 1988, as follows:

Loss for the year 1987	KShs 1 543 070
Loss for the year 1988	KShs 1 874 779
Total for two Years	KShs 3 417 849

This two-year loss of KShs 3 417 849was brought forward to the year 1989 and the net profit for the year (KShs3 327 849) was wiped out showing a net loss at the end of the year of KShs 90 000.

It is in the state of affairs that the lodge claimed its loss of profits in the superior court for the period 2 April 1990 to 31 December 1996 the award in which respect I have set aside for the reason that general damages cannot be asked for or awarded in lieu of special damages and that they must be specifically pleaded. However, I cannot overlook the fact that the loss of profits claim was pleaded under the heading "particulars of loss and damage" in the plaint I have no reason to think that the 1989 profits the lodge made amounted to KShs 3 327 849and that net profits for the period 1 January 1990 to 2 April 1990 amounted to KShs1 653 944. The plaint was filed exactly one year after the date of closure of the lodge. I would allow special damages for one year prior to filing of suit at KShs 3 330 000 taking the sum as a round figure. I cannot allow the pleaded sum of KShs 5 400 000 as no proper basis was laid for such a figure as connoting loss of profits for one year. Looking at the matter realistically, I think I would adopt the 1989 profits as proper guide to base my award under this heading.

I come now to all other losses and damages as awarded: refurbishing costs for the lodge, replacement cost for damaged and condemned buildings, KTDC loan interest and KCB loan interest as awarded by the Learned Judge in the sums of KShs 3 200 000, KShs 7 300 000, KShs 5 157 970 and KShs 130 564 respectively under the heading "general damages" was, in my view, erroneous.

These are special damages and ought to have been pleaded as special damages. All these claims were quantifiable prior to the hearing date but were not quantified for inclusion in the pleadings. I would therefore disallow all the said awards and set the same aside.

I have refered to, earlier, the special damages awarded by the Learned Judge. The claims in respect of the accountant's fees and the valuer's fees were not pleaded. I would disallow and set aside the awards in respect thereof in the sums of KShs 391 600 and KShs 285 000 respectively.

The claim for director's salaries comes out of profits of a company. Under the heading "Expenditure Administration" in the 1989 profit and loss account of the lodge, salaries and wages are shown in the sum of KShs 247 641. Directors' expenses are shown in the sum of KShs 240 000. There is no payment shown in respect of directors' salaries. This particular claim is therefore untenable.

The "damaged hotel stock" claim as awarded by the Learned Judge is KShs 2 285 943. The sums claimed in the plaint which may be classified as "damaged hotel stock " are as follows:

(1) Foodstuffs which went to rot KShs 49 632

(2) Drinks in locked up store – Wines, spirits, whiskey, beers, soda and mineral water KShs 156 900

(3) Transport charges in respect of soft drinks KShs 12 000

(4) Transport by Air Kenya of foodstuff @ 20 per kilogram KShs 6 000

Total KShs 224 532

The Learned Judge awarded the sum of KShs 2 285 943 under the heading "damaged hotel stock". He arrived at this figure from the evidence of Mr Nahashon Kinyua Murange (PW3), an accountant with the accounting firm M/S Gitobu and Company. He saw the stock list as at the closure of the hotel. The stock then was valued at KShs 3 047 943 of which he found stock worth KShs 2 285 943 completely damaged. This award is based on an unpleaded figure and hence cannot be allowed, as it is in the nature of special damages. I would substitute, for the award of KShs 2 285 943, a sum of KShs 224 532. I will also mention that it was not prudent on the part of the lodge to let the stocks rot. The stocks could have been disposed of. There is no evidence of even any attempt to do so.

I come now to two other substantial claims as pleaded in the plaint, namely of profits in respect of non-use of the lodge swimming pool and motor-boat at KShs 1 080 000 and KShs 905 000 respectively. It is obvious that these claims are covered or ought to be covered under the heading "loss of profits" of the lodge in the sum of KShs 3 327 849 including profits made from the swimming pool and boat tours. These claims, as separately made, are untenable as they are part of the normal annual profits made by the lodge. These are misconceived and I would disallow the same.

In all the circumstances of this case I would assess the special damages at KShs 3 524 532arrived at as follows:

Damages for loss of profits the lodge suffered as a result of unlawful closure thereof, confined to pleadings KShs 3 300 000

Damages for stocks rendered useless and costs of transport for salvaging some stock KShs 224 532

Total KShs 3 524 532

I come now to the issue of general damages. The high-handed and illegal manner in which the District Officer acted calls for an award of exemplary or punitive damages. This is an exceptional case. As pointed out earlier the District Officer acted in total disregard of the relevant law of the land. Such conduct deserves severe censure as well as an award of exemplary or punitive damages, the acts of the District Officer being tortious. No exemplary damages are claimed so I would add that the award of special damages is based on the pleadings.

The award of special damages will carry interest at the court rate from 2 April 1991 until date of payment in full.

I would therefore allow this appeal to the extent that I have stated, set aside the award made by the Learned Judge in the sum of KShs 72 540 890-50 and substitute that figure with an award of KShs 3 524 532.

As the Appellants have succeeded on the issue of damages only and have failed on the issue of liability I would make no order as to costs of this appeal but I would order that the Respondent do have its costs in the superior court, to be taxed on the basis of an award of KShs 3 524 532.

OMOLO JA: I had the advantage of reading in draft form the judgment by Shah JA. I broadly agree with that judgment and the orders proposed therein and I only wish to add a few words of my own. R R Siree, the First Appellant and the Honourable the Attorney-General, the Second Appellant, appeal against the judgment of Mbogholi Msagha J in which that Learned Judge found them liable to the Respondent, Lake Turkana El Molo lodges Ltd and ordered them to pay to the latter a total of Shs 72 340 890-50. The Appellants, through Mrs *Madahana*, sought to persuade us that the judge of the superior court was wrong in finding them liable, and that in the circumstances of the case the First Appellant who was a district officer in the employment of the Kenya government, was entitled to close down a lodge operated by the Respondent. With the greatest respect to Mrs *Madahana*, I am totally unable to visualise any system of law under which the actions of the First Appellant could go unpunished. Shah JA has set out in his judgment all the relevant Acts of Parliament which govern the operations of a company such as the Respondent. None of those Acts gives a district officer the power to close down the operations of a company such as the Appellant and it is abundantly clear from the recorded evidence that the First Appellant, in closing down the operations of the Respondent, was motivated more by a desire to show to the Respondent how powerful he was as a district officer. I would go so far as to say he was plainly malicious. He purported to close down the lodge on behalf of the government of Kenya; the First Appellant's actions were plainly unlawful. The second Appellant, the Honourable the Attorney-General is plainly liable for the crude acts of the First Appellant. I agree with my Lord Shah that the First Appellant is nothing more than a village tyrant and a bully. The government of Kenya who has placed him in a position where he is able to hurt the businesses of other Kenyans must be prepared to pay for his excesses. There is no merit in the

appeal as concerns liability and like Shah JA, I would also reject that aspect of the appeal.

As regards the special damages awarded, this Court has said time and time again that when damages can be calculated to a cent, then they cease to be general and must be claimed as special damages. In this regard, loss of profits, which formed the bulk of the Respondent's claim for damages, are in the nature of special damages and must be specifically pleaded *before* they can be strictly proved. If company "A" says it has been earning Shs 10 000 net profit per month but that by the unlawful action of "B" it has been deprived of that profit for a period of twelve months, then surely there can be nothing unjust or too difficult to demand of "A" to specifically plead these facts and then *strictly prove* them, of course upon a balance of probabilities, during the ensuing trial. If the loss continues even at the time the matter comes to trial, then there can surely be nothing on earth to prevent "A" asking the court to allow an amendment of the plaint to cover the period subsequent to the filing of the suit. These are the principles to be found in this Court's decisions such as *Sande v Kenya Co-operative Creameries Ltd* [1992] LLR 314 (CAK), *Eldama Ravine Distributors Ltd and another v Samson Kipruto Chebon c*ivil appeal number 22 of 1991 (unreported), *Coast Bus Services Ltd v Danyi and others* [1992] LLR 318 (CAK) and many more recent decisions on the same point. In *Sisco's* case (*supra*), the Court stated:

> "We would restate the position. Special damages must be pleaded with as much particularity as circumstances permit, and, in this connection, it is not enough to simply aver in the plaint as was done in this case, the particulars of special damages were to be supplied at the time of the trial. If at the time of filing the suit the particulars of special damages are not known with certainty, then those particulars can only be supplied at the time of trial by amending the plaint to include the particulars which were previously missing. It is only when the particulars of the special damages are pleaded in the plaint that a claimant will be allowed to proceed to the strict proof of those particulars".

This Court has consistently followed these principles and for my part, I can find nothing in the circumstances of this case that would justify a departure from them.

The only damages pleaded by the Respondent in its amended plaint dated 2 December 1992 amounted in all to KShs 9 766 182-00 and those were the only damages he was entitled to prove during the trial. It is noteworthy that those damages included a claim for loss of profits for the years 1990, 1991 and 1992. The Respondent was certainly able to quantify its lost profits and that being so, the damages ceased to be at large and could only be claimed as special damages. In the event, the Learned trial Judge awarded to the Respondent the sum of KShs 49 670 270-00 which was said to be in respect of: "Loss of profits for the period of 3 April 1991 to 31 December 1996".

There was no such claim in the plaint and the Learned Judge was not entitled to award it to the Respondent without an amendment of the plaint. I agree with Shah JA that the only special damages which were validly claimed and proved by the Respondent amounted to KShs 3 524 532-00. I would also award that sum to the Respondent.

As I said at the beginning of this judgment, the actions of the First Appellant were high-handed, oppressive and at times downright malicious. However, the Respondent did not claim punitive or exemplary damages; had the Respondent

done so, I would have awarded such damages. As it is, we cannot award to the Respondent such damages as they were not claimed.

The Respondent also claimed general damages. We have awarded to it damages which put it in the position in which it would be, had its operations not been closed down by the unlawful acts of the First Appellant. In the circumstances, we cannot have any legal basis for awarding general damages to the Respondent.

As Owuor JA agrees, the orders of the Court shall be those proposed in the judgment of Shah JA.

(Owuor JA concurred in the judgments of Shah and Omolo JJA.)

For the Appellants:
Mr Madahana

For the Respondent:
Information not available

Situma v Uganda
[2000] 2 EA 531 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of judgment:	21 November 2000
Case Number:	9/00
Before:	Oder, Tsekooko, Karokora, Mulenga and Mukasa-Kikonyogo JJSC
Sourced by:	B Tusasirwe
Summarised by:	M Kibanga

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[1] Criminal law – Deadly weapon – Hammer weighing about 2 kilograms used in robbery – Whether hammer a deadly weapon under section 273(2) of the Penal Code.

[2] Criminal law – Robbery – Aggravated robbery – Complainant robbed of his car – Minor contradiction in testimony of witnesses – Whether minor contradiction prejudicial to prosecution case – Whether use of violence proved against Appellants.

Editor's Summary

The complainant was approached by two people at about 8:00 pm in September 1996 who wanted to hire his taxi. Hiring charges were agreed on and the complainant drove the people to a hotel where two other people joined them in the car. The complainant then drove towards the agreed destination. The Appellants were among the four persons. Upon reaching the destination, the persons refused to alight from the car. One of the passengers threw a rope around the complainant's neck while the others hit him with a hammer and a spanner. When the complainant tried to run away, he was hit again and he fell down unconscious. The assailants then escaped with the car.

The complainant later regained consciousness and sought treatment. The vehicle was recovered the following day in the First Appellant's compound. All the Appellants were arrested at the home of the First Appellant and charged with robbery. In their defence the Appellants stated that they had taken the complainant's vehicle pursuant to a sale agreement with the complainant. The High Court rejected the Appellants' story, accepted the prosecution's case convicted and sentenced the Appellants to death.

The Appellants appealed to the Court of Appeal and the appeal was dismissed. They then appealed to the Supreme Court on the grounds that there were material contradictions in the testimonies of the prosecution witnesses, and that the court haderred in finding that violence had been used and that deadly weapons had been used on the complainant.

Held – Minor contradictions not deliberately made in order to mislead the court did not prejudice the Appellant's case; *Tajar v Uganda* EAC number 167 of 1969 (UR) followed. Concerning hearsay evidence, the trial court had relied on some other evidence which was not hearsay and the portion of the evidence which was hearsay was severable from that shed upon by the court.

There was sufficient evidence to show that violence had been used on the complainant. The conduct of the Appellants, including removing the number plates from the complainant's vehicle was not consistent with that of ordinary buyers but of robbers.

The evidence showed that the Appellants had used a hammer weighing 2 kilograms to assault the complainant on the head, which was capable of causing death; *Wasajja v Uganda* [1975] EA 181 and Bir*umba and another v Uganda (SC)* criminal appeal number 32 of 1989 (UR) distinguished. The weapon used by the Appellants, a hammer, was a deadly weapon within the meaning of section 273(2) of the Penal Code.

Appeal dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Birumba and another v Uganda (SC) criminal appeal number 32/1989 (UR) – **D**

Tajar v Uganda EAC number 167/1969 (UR) – **F**

Wasajja v Uganda [1975] EA 181 – **D**

Judgment

ODER, TSEKOOKO, KAROKORA, MULENGA, AND MUKASA–KIKONYOGO JJSC: This is a second appeal. The Appellants were convicted by the High Court sitting at Mbale of the offence of aggravated robbery contrary to sections 272 and 273(2) of the Penal Code and were sentenced to death.

Subsequently, the Court of Appeal confirmed the conviction and the sentence, whereupon the Appellants appealed to this Court. When the appeal came up, we heard counsel for Appellants, and dismissed the appeal without hearing counsel for Respondent and reserved our reasons to be given later. We now give the reasons.

The facts of the case are that on 6 September 1996 at about 8:00pm the complainant Nabeta Siraji (PW1) was approached by two people who wanted to hire his taxi registration number 954 UBR to take them to Nabumali. Hiring charges were agreed at Shs 7 000. After the two men entered the car, he drove them to Palace Hotel in Mbale Town where he found Ali Wanyakala (A3) and another person. These two joined them in the car. One of the two

men had a bag. Situma (A1) provided money for fuel. After fuelling the vehicle at Total Petrol Station, the complainant drove them in accordance with the agreement to Nabumali Trading Centre. Instead of the passengers getting out of the vehicle, they persuaded the driver to drive them further. After going for some distance one of the occupants at the back threw a rope around the complainant's neck while the other passengers hit him with a hammer on the head. A struggle ensued. The complainant was able to get rid of the rope and managed to get out of the car. He was hit with a hammer and a spanner used for opening water pipes. When he tried to run away, he was hit again and fell down. After beating him and leaving him for dead they made off with the vehicle.

He later regained consciousness and through difficulty got transport back to Mbale Town where he was admitted at Mbale hospital for treatment.

On the following day the vehicle was recovered at Kawempe near Kampala in the compound of Ramathan Situma (A1). All the three Appellants were arrested at the home of Ramathan Situma and later they were transferred to Mbale where they were charged with the offence of robbery.

Their defence was that they had taken the vehicle with the complainant's consent after he had agreed to sell it to them at Shs 2 500 000. They said that they paid him Shs 500 000 and the balance of Shs 2 million was to be paid to him in Kampala. The Learned trial Judge rejected the Appellants' story and accepted the prosecution case, convicted them and sentenced them to death. Their appeal to the Court of Appeal was dismissed on 24 November 1999 and hence this appeal.

The appeal to this Court was based on six grounds, namely:

1 That the Learned Justices of Appeal made an error of mixed law and fact when they held that the inconsistencies in the testimonies of PW2 and PW4 were minor and had been rightly disregarded by the trial Judge.

2 The Learned Justices of Appeal made an error of mixed law and fact when they found that violence was proved to have been used during the alleged theft.

3 The Learned Justices of Appeal made an error of mixed law and fact when they upheld that deadly weapons were used during the alleged theft, hence wrongly upholding the conviction of the Appellants for capital robbery.

4 The Learned Justices of Appeal erred in law when they found that the judgment of the lower court was tainted/prejudiced by reliance of hearsay evidence and in so doing, wrongly upheld the said judgment.

5 The Learned Justices of Appeal made an error of mixed law and fact when they summarily rejected the Appellants' alternative prayer for conviction for simple robbery.

6 The Learned Justices of Appeal made an error of mixed law and fact when they upheld the finding of the trial Judge that the tests results tendered by the prosecution sufficiently corroborated the allegation that the tools in question had been used to assault the complainant.

In arguing the appeal, Mr *Tusasirwe* who appeared for the Appellants argued grounds 1 and 4 together. Ground 2 was argued separately whilst grounds 3, 5 and 6 were argued together.

The thrust of grounds 1 and 4 was that if the Court of Appeal had properly exercised its duty as first appellate court and re-evaluated the evidence as required under Rule 29 of the Rules of the Court of Appeal, 1996, the Justices of Appeal would have found that the inconsistencies in the evidence of Siraji Nabeta (PW1) and deputy sergeant Muganga (PW4) were major. He contended that in view of those inconsistencies and the hearsay evidence, it was wrong for the Court of Appeal to uphold the judgment of the High Court.

On the issue of hearsay, the Court of Appeal held that it was true that the evidence relating to what Lukiya Ssonko told PW2 and PW4 was hearsay. However, the Court of Appeal held rightly, in our view, that since in reaching his decision the trial Judge relied on some other evidence which was not hearsay at all, the portion of hearsay evidence was severable. In any case we do not accept the contention that hearsay evidence occasioned any miscarriage of justice.

On the issue of contradictions in the evidence of Kiyingi Christopher (PW2) and deputy sergeant Muganga (PW4) as to who recovered the exhibits from the house of Situma, the First Appellant, the Court of Appeal addressed itself to the contradictions and found that these were minor and had not been deliberately made in order to mislead the court. The Court of Appeal relied on the case of *Tajar v Uganda* [1969] EACA number 167 of 1969 (UR) for the above proposition. We agree with the conclusion of the Court of Appeal on the issue of contradictions. In any case, we do not see any substance in the complaint concerning the contradictions since Situma (A1) admitted that the exhibits were picked from his residence. In the result we found that grounds 1 and 4 must fail.

The issue of whether or not the Appellants used violence in taking the vehicle from the complainant was clearly raised and considered by the trial court and the Court of Appeal. We agree with the findings of both courts that if the complainant had sold the vehicle as claimed by the Appellants, they would not have assaulted him, inflicting cut wounds on his head and abandoning him for dead at night in the bush around Nabumali. The signs of struggle at the scene of the robbery as observed by William (PW5) during the investigation of the case was evidence that the vehicle was not voluntarily handed to the Appellants by the complainant. This evidence coupled with the absence of the number plates from the vehicle when they parked it outside the First Appellant's residence at Kawempe in Kampala was clear indication that the Appellants could not have got the vehicle with the consent of the complainant.

Clearly, the conduct of the Appellants in the whole exercise was rightly construed by the two courts below as not of ordinary buyers but of robbers. In the premises, we found that ground 2 must also fail.

We now turn to grounds 3, 5 and 6 which were argued together. The prosecution evidence which was accepted by the trial court was that the Appellants assaulted the victim with a hammer which is used in crushing stones and a spanner used by plumbers. The hammer was estimated to weigh about 2 kilogramms. In our view, the Learned trial Judge rightly held that if the hammer was used for offensive purpose on the head of the victim, it was capable of causing the death of the victim. In our view, the case of *Wasajja v Uganda* [1975] EA 181 is distinguishable from this case, because, in that case, the alleged pistol used in the robbery had not been produced at the trial to

prove that it was a deadly weapon and secondly the pistol had not been fired in the course of the robbery nor had it been fire tested to prove whether or not it could fire ammunition. There the finding of simple robbery by the trial court was upheld. The case of *Birumba and Another v Uganda (SC)* criminal appeal number 32 of 1989 (UR) is also distinguishable from the instant case, for similar reasons. The pistol alleged to have been used in the robbery was not produced in court and was neither fired in the robbery nor fire tested. The Supreme Court could not in the circumstances uphold the conviction for aggravated robbery.

In the instant case, the weapon used was a hammer used in crushing stones. The issue was whether it was a deadly weapon within the meaning of section 273(2) of the Penal Code. In our view, a hammer weighing about 2 kilograms which was exhibited, when used for offensive purpose on the victims' head, was capable of smashing the victim's skull, resulting in his death. We would not interfere with the holding of the lower court on that issue. Consequently, we cannot fault the Court of Appeal's finding that the weapon used in the robbery was deadly. We agree with the Court of Appeal that the absence of medical evidence on the nature of the injuries sustained by the victim of the robbery was immaterial, as the victim of the robbery need not sustain injuries in the robbery. It is enough to show that the robbers used or threatened to use a deadly weapon. In this case, there was ample evidence that the Appellants used a deadly weapon in the process of taking the complainant's vehicle. The Appellants' alternative prayer for a conviction of simple robbery was therefore unsustainable and was rightly rejected by the Court of Appeal.

We think, however, that the criticism raised in ground six has substance. Clearly there was serious omission on the part of the investigating officer who submitted blood samples and blood-stained exhibits to the government chemist for analytical examination. He submitted the complainant's blood samples only but failed to submit the Appellants' blood samples to rule out any possibility of the bloodstains on the exhibits being those of any of the Appellants. We have to stress that if the prosecution had intended to prove that the blood stains on the exhibits was the victim's blood, it was necessary to submit to the government chemist blood samples from both the victim and the suspects (Appellants) together with blood-stained exhibits for analytical comparison. That way it would have been determined if the bloodstains on the hammer were not those of any of the Appellants. As it happens this was not done with the result that the evidence of the blood test results is not as weighty corroboration as it would otherwise have been.

However, in our view, the omission to submit blood samples from the Appellants for analytical examination by the government chemist did not weaken the prosecution case as there was overwhelming evidence by PW1 that a hammer and a spanner were used by the Appellants to hit him on his head during the robbery.

In the circumstances, we found no merit in the appeal and dismissed it.

For the Appellant:
Information not available

For the Respondent:
Information not available

Tononoka Steels Ltd v The Eastern and Southern Africa Trade and Development Bank

[2000] 2 EA 536 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	13 August 1999
Case Number:	255/98
Before:	Kwach, Tunoi and Lakha JJA
Sourced by:	LawAfrica
Summarised by:	C Kanjama

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[1] Arbitration – Proper procedure to apply for arbitration – Arbitration Act 1995.

[2] Conflict of laws – Applicable law clause – Whether the same ousts court's jurisdiction

[3] Immunity – Immunity granted to PTA bank – Whether the same is absolute immunity – Whether PTA bank's commercial transactions immune to civil process – Privileges and Immunities Act

Editor's Summary

Tononoka Steels Limited, a limited liability company, entered into a commercial facility agreement with The East and Sothern Africa Trade and Development Bank, a body corporate established under a multilateral treaty. Tononoka Steeks Ltd subsequently filed suit against the East Africa and Southern Africa Trade and Devlopment Bank claiming breach of contract and seeking damages, injunction and costs. Tononka Steels Ltd simultaneously made an application for interlocutory relief. The East and Southern Africa Trade and Development Bank entered appearance and filed a defence claiming immunity from civil process and contending that the applicable law by virtue of an arbitration clause was the law of England. At the hearing of the interlocutory application, The East and Southern Africa Trade and Development Bank raised the aforesaid preliminary objections and the court concurred, striking out the application and the suit.

Tononoka Steels Ltd now appealed. The Court considered the effect of the arbitration agreement and the immunity granted to PTA Bank under the Privileges and Immunities Act. Article 43 of the PTA Charter stated that the bank shall enjoy immunity from every form of legal process except insofar as in any particular case it had through its president expressly waived its immunity. The Minister of Foreign Affairs had subsequently promulgated an order under the Privileges and Immunities Act that applied various immunities, including immunity from suit and legal process, to the bank.

Held – Parliament did not intend to extend an absolute immunity from suits and legal process to the PTA Bank. Such an extension would be against public policy and in breach of international law. The only immunity the Minister could validly extend to the bank under section 9 of the Act would be qualified immunity that would not cover its operations as a bank. *Trendex Trading Corp v Central Bank of Nigeria* [1977] 1 All ER 881, *Mukuro v European Bank for Reconstruction and Development* [1994] 1 CR 897 adopted.

The fact that the arbitration clause provided that English law would be applicable did not completely oust the jurisdiction of the local courts. The Kenyan courts would still retain residual jurisdiction to deal with peripheral matters and

see to it that any disputes or differences were dealt with in the manner agreed. *Scott v Avery* [1856] 5 HL Cases 811 adopted. In any case, the Minister under the Privileges and Immunities Act had no power to make a rule that completely ousts the jurisdiction of the courts. *Davis v Mistry* [1973] EA 463 followed*; Pyx Granite v Ministry of Housing* [1960] AC 260 adopted.

Where the arbitration clause specified the applicable law, the agreement was to be construed and governed in accordance with that law. In the instant case, the defence of immunity was not available to the bank because the applicable law was the law of England and not Kenyan law. Under English law, immunity does not extend to commercial transactions.

Per curiam: On the question of whether and when a point of law may be taken for the first time on appeal, the general principles are: (1) to allow the issue to be raised where it does not require investigation of disputed facts; (2) to allow the issue where no question of evidence arises; (3) where it is not clear if all evidence is present, the court may allow the issue to be raised *de bene esse* and then decide whether to grant leave; (4) the court may raise a point of law of its own motion, especially where there is a question of jurisdiction.

Appeal allowed. Suit reinstated and injunction granted.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Damodar Jihanbhai and Co Ltd v Eustace Sisal Estates Ltd [1967] EA 153

Davis and another v Mistry [1973] EA 463 – **F**

Jagat Singh Bains v Chogle [1949] 16 EACA 27

Overseas Finance Corporation Ltd v Administrator-General [1942] 9 EACA 1

Visram and Karsan v Bhatta [1965] EA 789

United Kingdom

Connecticut Fire Insurance Co v Kavanagh [1892] AC 473

Lever Bros v Bell [1931] 1 KB 557

Mukuro v European Bank for Reconstruction and Development [1994] 1 CR 897 – **A**

Pyx Granite Co v Ministry of Housing [1960] AC 260 – **A**

Scott v Avery [1856] 5 HL Cases 811 – **A**

Trendex Trading Corporation Ltd v Central Bank of Nigeria [1977] 1 All ER 981 – **A**

Judgment

LAKHA JA: This is an appeal by the unsuccessful Plaintiff from the ruling of the superior court (Ole Keiwua J) given on 8 May 1998. By it the court ordered that the Plaintiff's suit against the Defendant, the Eastern and Southern Africa Trade and Development Bank ("The bank") and its interlocutory application for injunction should be struck out and dismissed with costs of the suit and

of the application to the Defendant.

The Plaintiff is a limited liability company incorporated in the Republic of Kenya with its registered office also within the Republic. The Defendant is a body corporate established by Charter pursuant to Chapter 9 of the Treaty for the Establishment of the Preferential Trade Area for Eastern and Southern African States whose principal and operational offices are in Nairobi, Kenya.

By a loan agreement ("the loan agreementa) dated 1 December 1994 the Plaintiff was granted by the Defendant a term loan in various foreign currencies equivalent to US$ 675 000 to be utilized for the implementation of the Plaintiff's project described therein against specified securities. By another agreement ("The facility agreement") dated 4 December 1996 the Plaintiff was provided with an import credit facility by the Defendant in an aggregate amount not exceeding US$ 1 million. There was a term (clause 16.12) referring any dispute thereunder to arbitration of the International Chamber of Commerce sitting in London. There was the further term (clause 16.10) which provided that the loan agreement shall be construed and governed in accordance with the laws of England. In or about December 1997 the Defendant repudiated the facility agreement.

On 26 February 1998, the Plaintiff filed a suit in the superior court against the Defendant. It claimed damages, injunction and costs. On the same day, the Plaintiff also made an application to the superior court for an interlocutory injunction supported by an affidavit. The Defendant entered an appearance under protest and in its defence the Defendant pleaded that the Defendant enjoyed immunity under the Privileges and Immunities Act Chapter 179 of the Laws of Kenya read together with Legal Notice Number 265 of 26 May 1991, that the loan agreement had an arbitration clause and therefore the court had no jurisdiction to hear the suit and also because the agreed law of contract was the law of England and not the law of Kenya. At the hearing of the application and by way of a preliminary issue, Ole Keiwua J found, in a reserved ruling, in favour of the Defendant, holding that the court had no jurisdiction to entertain the application and the suit. He therefore struck out both the application and the suit and dismissed them with costs. The Plaintiff has now appealed to this Court. On such appeal, the first and fundamental question for this Court is to consider the effect of clause 16.10 of the loan agreement, which provides: "This agreement shall be construed and governed in accordance with the laws of England".

But before I do so, I must deal at the outset with the objection by Mr *Muthoga* who appears for the Defendant that this point was not pleaded, raised or canvassed before the superior court. That is partly true but not entirely so because this matter was, in fact, raised by the Defendant in its defence in paragraph 7 as follows: "This Honourable court has no jurisdiction to hear this suit for the reasons stated above and also for the reason that the agreed law of contract was the Law of England and not the Laws of Kenya. Paragraph 49 of the Plaint is specifically denied".

Apart from that, it was specifically mentioned by the Learned Judge in his ruling when he referred to the arbitration being subject to the laws of England. Mr *Muthoga*, for the Defendant, did not in the first instance object to this point being argued. No application was therefore made for leave to argue the point, which had not been argued before the superior court. Nor did it decide the preliminary issue relying on this ground. But Rule 101 of the Rules of this

Court makes provision that such a point may be argued with leave of the Court, absence of such pleading notwithstanding. The correct position in the instant case, however, is that it was in fact the court itself that raised the point as it was of such fundamental importance. But whether and when a point of law may be taken for the first time, on appeal, without having been argued before the superior court, has been the subject of much discussion and case law. The general principles on this subject are not in dispute and they may be summarized as follows:

(1) Generally, the attitude of the Court in such circumstances has been to allow a new question of law to be raised where it concerns the legal effect of pleaded facts and does not require the investigation of disputed facts which were not tested in the trial court: *Overseas Finance Corporation Ltd v Administrator-General* [1942] 9 EACA 1.

(2) Where no question of evidence arises, as, for example, where the new question concerns the construction of a document or the legal effect of admitted facts, it will usually be regarded as expedient in the interest of justice to entertain it. As was stated by Scrutton LJ in *Lever Bros v Bell* [1931] 1 KB 557 at 582 and 583:

> "In my opinion the practice of the Courts has been to consider and deal with the legal result of pleaded facts, though the particular legal result alleged is not stated in the pleadings, except in cases where to ascertain the validity of the legal result claimed would require the investigation of new and disputed facts which have not been investigated at the trial".

Again, Lord Watson stated in *Connecticut Fire Insurance Co v Kavanagh* [1892] AC 473 at 480: "When a question of law is raised for the first time in a court of last resort, upon the construction of a document, or upon facts either admitted or proved beyond controversy, it is not only competent but expedient, in the interests of justice, to entertain the plea".

A fortiori when it is being raised as a point of law based upon admitted facts at a hearing before the court.

(3) Where it is not certain whether all the evidence necessary to support the new submission is before the Court, the Court may allow it to be argued *de bene esse* and then decide whether leave should be given: *Visram and Karsan Bhatta* [1965] EA 789.

(4) The Court will itself in certain circumstances raise of its own motion and consider points of law that were not considered or relied upon in the superior court. This is almost invariably done where there is any question as to jurisdiction: *Damodar Jihanbhai and Co Ltd v Eustace Sisal Estates Ltd* [1967] EA 153 at 158 or where the Court is asked to give a judgment which would be contrary to a statute: *Jagat Singh Bains v Chogle* [1949] 16 EACA 27.

Applying the above principles to the facts of the present appeal, I am inclined to the view that the fact upon which reliance is placed to raise the question of law is not in dispute as it forms part of the agreement between the parties and does not require any investigation of disputed facts, thus the point must be allowed. Indeed, it is also in the interest of justice to entertain it apart from it being a jurisdictional point.

What then is the effect of clause 16.10 of the loan agreement applying the English law to the dispute between the parties? Clause 16.10 of the loan

agreement above referred to provides for the appropriate law of the contract by express selection for, as here, where the parties expressly stipulate that a contract shall be governed by a particular law, that law will be the proper law of the contract. If there had been no express choice of the proper law, the court will consider whether it can ascertain that there was the inferred or implied choice of law by the parties. If the parties agree, for example, that arbitration shall take place in a particular country, it can be concluded that the parties have chosen the law of the country of arbitration as the proper law. In the instant case, that again would be the law of England.

If the contract between the parties herein is to be applied in accordance with the English law, what is the English law in relation to immunity enjoyed by representatives of international organisations? No Order in Council has been made or brought to my attention for such organisation under English law to enjoy immunity from judicial processes. Mr *Muthoga* for the bank did not cite either to us or to the superior court what the relevant law of England was on this point. Nor did the superior court make any finding of what such law was. None was ascertained or brought to my attention and none was applied in accordance with the express agreement of the parties, that the agreement shall be construed and governed in accordance with the law of England. It seems to me, with respect, to have been completely overlooked. This was perhaps the first and fundamental flaw in the decision of the Learned Judge.

The defence of immunity was accordingly not available to the bank because it was not the law of Kenya that was applicable. The proper law of the contract and the law the parties had selected to construe and govern the contract was the law of England. It follows that the application and the suit before the superior court could not be dismissed by application of the law of Kenya as the Learned Judge, with respect, erroneously did. No other ground for dismissing the application and the suit was advanced before the superior court or relied on by counsel before this Court. In my judgment, therefore, the preliminary issue before the superior court should have been rejected.

This is in itself sufficient to dispose of the appeal and the other points do not arise; but as they were fully argued I think it right and important that I should deal with them, no matter even if briefly.

Whatever else may or may not be the effect of this clause, in my judgment, it does not oust the jurisdiction of this Court. The Learned Judge, in holding as he did, that the jurisdiction of this Court was ousted was, with respect, clearly in error. He said: “By clause 16.10 the loan agreement shall be and is governed by the laws of England. Consequently the law of Kenya does not apply to this dispute in which event this Court will have no jurisdiction to entertain the suit and the application”.

This is, with respect, another error in the decision of the Learned Judge. It is a well-settled general rule recognised in the English Courts, which prohibits all agreements purporting to oust the jurisdiction of the courts. The leading case on this principle is *Scott v Avery* [1856] 5 HL Cases 811. It is also a principle of the common law that the parties to a contract may make it one of the express or implied terms of the contract that they will submit in respect of any alleged breach thereof or any matter having relation thereto, to the jurisdiction of a foreign court and a person who has thus contracted is bound by his own submission. It appears from this that the Respondent in the instant appeal, the

original Defendant, instead of pleading as it did in paragraph 7 of the defence that the Kenya Court had no jurisdiction and that the suit accordingly should be dismissed for want of jurisdiction, should have made an application under section 6 of the Arbitration Act, 1995 for a stay of proceedings. No such application was made in this case. The Respondent followed a wrong procedure and it is manifest from the record that section 6 of the Arbitration Act was not referred to by counsel and is not referred to by the Learned trial Judge in his ruling. Indeed, it was not mentioned in the arguments on this appeal, but being a matter of jurisdiction is clearly one which should now be taken. If an application had been made at the proper time under section 6 it seems probable that the court would have been satisfied as to the requisite matters set out in the section and would have made an order staying the proceedings. As, however, no such application was made, I am of the opinion that the order made should be quashed. I may perhaps add that the court will lean against a construction, which would purport to oust its jurisdiction.

Yet another error, with respect, in the ruling of the Learned Judge which it is appropriate at this point to mention is that he failed to give any proper consideration to the effect of Legal Notice Number 265 of 1991 pleaded in the defence in paragraph 4 thereof in the following terms:

> "4. No action can lie against the Defendant in the Municipal courts of the Republic of Kenya by virtue of the Provisions of The Privileges and Immunities Act (Chapter 179) read together with Legal Notice Number 265 of 26 May 1991 and The Charter".

This was also relied upon by Mr *Muthoga* in his submission before the Learned Judge. There is no power to enact rules depriving any party of his access to the courts. If Mr *Muthoga's* submission is correct (and I find that it is not), that the jurisdiction of the court was ousted and the Defendant is immune from its process, then there is no power to make such a rule. If, as the Learned Judge held, Legal Notice Number 265 of 1991 gives immunity to the Defendant from judicial process and ousts the jurisdiction of the court to hear such a dispute it was bad, in that the jurisdiction of the court can only be ousted by the Act itself: see *Davis and another v Mistry* [1973] EA 463. I would repeat the words of Viscount Simonds in the English case of *Pyx Granite Co v Ministry of Housing* [1960] AC 260: "It is a principle not by any means to be whittled down that the subject's recourse to Her Majesty's courts for the determination of his rights is not to be excluded except by clear words".

Like Spry VP in *Davies v Mistry Ante* I would adopt those words substituting only "the courts of the Republic", for "Her Majesty's Courts", to Kenya and hold that the right of access to the courts of the Republic may only be taken away by clear and unambiguous words of the Parliament of Kenya.

The conclusion which I have reached must now be obvious. I reach that conclusion without reluctance. I cannot bring myself to suppose that the Defendant can be immune from the consequences of its acts. As the bank shifts to private sector financing and if it is to be like an ordinary commercial bank, businesses that borrow money from the bank should not face a legal minefield should they ever feel aggrieved. My conclusion therefore enables effect to be given to the manifest intention and consequences that flow from purely commercial transactions. Immunity from judicial processes is certainly enjoyed by a sovereign for immunity is at its highest when claimed by a sovereign but even there, to a sovereign immunity the exceptions are several and they are

important. Some are already recognised, others are coming to be recognised. I will only mention two of them.

First, a foreign sovereign under English law, has no immunity when it enters into a commercial transaction with a trader in England and a dispute arises which is properly within the territorial jurisdiction of the English courts. If a foreign government incorporates a legal entity which buys commodities on the London market, or if it has a state department which charters ships on the Baltic Exchange, it thereby enters into the marketplaces of the world, and international comity requires that it should abide by the rules of the market. Usually the contract contains an arbitration clause, in which case, of course, there is a voluntary submission to the jurisdiction of the arbitrators and the supervision of them by the courts.

Second, even if there is no arbitration clause or for any reason it is inapplicable a foreign government which enters into an ordinary commercial transaction with a trader in England must honour its obligations like other traders, and if it fails to do so, it would be subject to the same laws and amenable to the same tribunals as they.

Accordingly and, for the reasons above stated, I would allow this appeal with costs, set aside the order and decree of the superior court appealed from and substitute the order granting the relief number 3 sought in the Plaintiff's chamber summons dated 26 February 1998 with costs and order the trial of the action in the superior court to proceed to a hearing before another judge. Costs of the application and the suit in the superior court, if paid, shall be refunded within 30 days with interest at court rates by the Defendant to the Plaintiff.

TUNOI JA: The Appellant, Tononoka Steels Ltd, the Plaintiff in the suit, is a limited liability company incorporated in the Republic of Kenya. It is engaged in the manufacturing and selling of steel products, especially steel pipes. The Respondent, the Defendant in the suit, is a body corporate established by Charter pursuant to Chapter 9 of the Treaty for the Establishment of the Preferential Trade Area for Eastern and Southern African States and its operational offices are at Nairobi, Kenya. I shall hereinafter refer to the Respondent as "the PTA Bank".

The Appellant was desirous of setting up in Kenya a plant for manufacturing steel products. By a loan agreement dated 1 December 1994 the PTA Bank agreed to finance the implementation of the project as well as the freight costs of the plant from India to the Port of Mombasa. Pursuant to the agreement, the Appellant received from the PTA Bank a term loan in various currencies equivalent to US$ 675,000-00 against certain specified securities. Another loan agreement ("the facility agreement") was entered into by the parties on 4 December 1996. The purpose of this further loan was to enable the Appellant to finance working capital requirements, expand and undertake trade activity for the project. By this facility the Appellant was provided with an import credit facility in an aggregate amount not exceeding US$ 1 million.

As for settlement of disputes the parties agreed that the agreement shall be governed by and construed, not in accordance with the laws of any member state, but with the laws of England. I may observe here that this is a standard provision in many international trade agreements where a borrower is either a developing country or one of its citizens or corporations. Probably, such a clause is inserted in loan agreements in order to safeguard the interest of the

lending institutions against supposed or perceived vagaries of the judicial systems of developing nations.

By a plaint dated 26 February 1998, the Appellant averred that having fulfilled all the relevant conditions and terms of the loan agreement and on the strength of the facility agreement it procured goods from suppliers in the Republic of South Africa through the Nedband line of credit which bank, as the nominated or negotiating bank, required the Authority to Negotiate (ATN) from the PTA Bank in order to be able to contact the suppliers and to induce them to commence the process of shipping the goods to the Appellant. On 27 November 1997 the Appellant forwarded to the PTA Bank an application for the issue of an ATN, but the latter, it is further contended, refused to honour its part of the agreement and instead introduced new terms and conditions to the existing facility which terms were alleged to be extortionate, *mala fide* and unreasonable. Thus, it was pleaded, the PTA Bank was in fundamental breach of the agreement and was dishonest in its dealings, in word and deed, and had openly demonstrated commercially unacceptable conduct towards the Appellant in consequence of which it had suffered severe injury to its credit and reputation. It is also alleged that it suffered loss of profits.

The Appellant sought, *inter alia* (a) injunctions against the PTA Bank restraining it from recalling or taking possession of the project; (b) special damages; and (c) general damages.

On the same day of lodging the plaint, the Appellant took out a chamber summons under Order 39, Rules 1, 2, 3, 7 and 9 of the Civil Procedure Rules, seeking a temporary injunction against the PTA Bank from invoking the provisions of section 8.01 of the loan agreement which section mandated The PTA Bank, *inter alia*, to realise the securities issued under the loan agreement.

The PTA Bank entered appearance under protest and on 10 March 1998, it filed its written statement of defence. It averred that:

> " …
>
> 4. No action can lie against the Defendant in the municipal courts of the Republic of Kenya by virtue of the provisions of the Privileges and Immunities Act (chapter 179) read together with legal notice number 265 of 26 May 1991 and The Charter.
>
> 5. Without prejudice to the foregoing the Defendant contends that under the terms of the Loan Agreement pleaded in paragraph 3 of the plaint the Plaintiff is obliged to refer any dispute arising thereunder to arbitration in accordance with clause 16.12 thereof or article XIV of the Facility Agreement pleaded in paragraph 6 of the plaint.
>
> …
>
> 7. This honourable court has no jurisdiction to hear this suit for the reasons stated above and also for the reason that the agreed law of contract was the Law of England and not the Laws of Kenya. Paragraph 49 of the plaint is specifically denied".

When the application was called to hearing in the superior court Mr *Muthoga*, counsel for the PTA Bank, raised the issue of jurisdiction. He argued that the PTA Bank cannot be impleaded in the municipal courts as it enjoyed statutory immunity from all suits and legal processes. The Learned Judge, Ole Keiwua J, acceded to the preliminary objection. He held that the superior court has no jurisdiction to entertain the suit since Parliament had knowingly and deliberately conferred upon the PTA Bank absolute immunity and therefore the court

had no right whatsoever to override such a provision. It mattered not that the PTA Bank was engaged in commercial transactions. The Learned Judge then struck out both the application and the suit and dismissed them with costs.

The gravamen of this appeal is that the Learned Judge was wrong so to hold. It is urged that he gravely erred in invoking absolute immunity for court process to a transaction of a private commercial nature; and that he ought to have considered current International Law trends on immunity from suits for both international organizations and sovereigns.

The Charter of the PTA Bank sets out the following objectives:

> "The objectives of the bank shall be, among other things, to:
>
> (a) Provide financial and technical assistance to promote the economic and social development of Member States, taking into account the prevailing varying economic and other relevant conditions within the Common Market;
>
> (b) Promote the development of trade among the member states conducted in accordance with the provisions of the Treaty by financing, where appropriate, activities related to such trade;
>
> (c) Further the aims of the Common Market by financing, wherever possible, projects designed to make the economies of the Member States increasingly complimentary to each other;
>
> (d) Supplement the activities of National Development Agencies of the Member States by joint financing operations and by use of such agencies as channels for financing specific projects;
>
> (e) Co-operate, within the terms of this Charter, with other institutions and organizations, public or private, national or international, which are interested in the economic and social developments of the Member States; and
>
> (f) Undertake such other activities and provide such other services as may advance the objectives of the Bank".

Legal Notice Number 265 of 1991, issued under the Privileges And Immunities Act, Chapter 179, Laws of Kenya ("the Act") cited as "The Privileges of Immunities (Eastern and Southern African Trade Development Bank) Order 1991" gave to the PTA Bank the privileges and immunities specified in Part 1 of the Fourth Schedule to the Act limiting such privileges and immunities to the extent of exemptions made under article 23 of the First Schedule to the Act.

Mr *Nyaencha*, counsel for the Appellant, submitted that since the PTA Bank had entered into a private (as opposed to public) commercial loan agreement with the Appellant it could not claim immunity from suits and legal process since it had drastically moved away from its stated objects and had acted as a private bank. He placed reliance on the following decisions:

1 *Planmount Ltd v Republic of Zaire* [1981] 1 All ER 1110

2 *Trendtex Trading Corporation Ltd v Central Bank of Nigeria* [1977] 1 All ER 881.

These cases referred to and reviewed several other cases relating to immunity from suits and legal processes. They discussed the doctrines of absolute and restrictive immunity and the modern trend in international law. They decided in the main that if a sovereign government-owned trading entity enters into private contracts, that entity is not immune from proceedings, that is, there is immunity for acts of a governmental nature but no immunity for acts of a commercial nature.

Kenya is a party to numerous international arrangements providing for the legal status, privileges and immunities of international organizations and persons connected with them. The Charter of the United Nations stipulates that they should enjoy in the territory of each of the member states such privileges and immunities as are necessary for the fulfilment of their purposes, and that representatives of member states and officials of these bodies are similarly to enjoy such immunities as are necessary for the independent exercise of their functions. Local examples are, for instance, The World Bank, UNEP, IMF, WHO, *etcetera*.

Where an organization is declared by the Act to be one of which Kenya and one or more foreign sovereign powers are members, then to the extent specified by the Act certain immunities and privileges may be conferred on such an organization. The immunities and privileges which may be conferred include, amongst others, immunity from suit and legal process. The order for conferment shall be effected by means of notice in the *Gazette* and by section 17 of the Act any order made thereunder must be laid in draft before Parliament and approved by resolution.

Immunity from suit and legal process conferred on the PTA Bank and other similar organizations was necessary for the fulfilment of their purposes, for the preservation of their independence and neutrality from control by or interference from the host state and for the effective and uninterrupted exercise of their multinational functions only and not private functions. See *Mukuro v European Bank for Reconstruction and Development* [1994] 1 CR 897 at 903.

Clause (f) aforesaid of the objects of the PTA Bank is *ejusdem generis* with clauses (a) to (e) thereof, so that it can be said to widen the scope of the PTA Bank's objects within the limits set out by clauses (a) to (e). This loophole enables the PTA Bank to also act and operate as a private bank. In my view, if The PTA Bank operates outside its mandate and objectives and acts as a private bank then it must, *a fortiori*, be subject to the laws of this country.

I do not think that Parliament in its wisdom could have granted absolute immunity from suit and legal process to such a body or organisation if it was going to engage in purely private commercial activities and which had nothing whatsoever to do with member states. This would be prejudicial to the interests of Kenya and would be contrary to public policy.

Looking at the matter as a whole, from another angle, the Minister by Legal Notice Number 265 of 26 May 1991, has deprived the High Court of Kenya of jurisdiction to hear and determine a suit whose cause of action properly arose in Kenya and the subject matter of the dispute being an immovable property situated in Kenya. By so doing, the Minister is effectively amending section 60 of the Constitution which gives the High Court unlimited original jurisdiction in civil matters. I would think that this is a dispute which properly belongs to the courts of this country and it should be adjudicated here.

In *The Fehmarn* [1957] 2 Lloyd's Report 551, Lord Denning said:

> "I do not regard this provision as equal to an arbitration clause, but I do say that the English courts are in charge of their own proceedings: and one of the rules they apply is that a stipulation that all disputes should be judged by the tribunals of a particular country is not absolutely binding. It is a matter to which the courts of this country will pay much regard and to which they will normally give effect, but it is subject to the overriding principle that no one by his private stipulation can oust these courts of their jurisdiction in a matter that properly belongs to them".

I would adopt those words in full, substituting only, “the Courts of Kenya” for “the English courts”.

I agree with Lakha JA that the right of access to the courts of this country may only be taken away by clear and unambiguous words of the Parliament of Kenya. For these reasons, I agree that this appeal succeeds, and I concur in the orders proposed by Lakha JA.

KWACH JA: Tononoka Steels Ltd, the Appellant in this appeal (hereinafter called “the borrower”), sued the Eastern and Southern African Trade and Development Bank (the Respondent herein), which I shall hereinafter call “PTA Bank”, in the superior court to recover damages (special and general) for alleged breach of contract and a perpetual injunction restraining PTA Bank from appointing a receiver to manage the borrower’s factory or exercising any of the options available to it under the loan agreement dated 1 December 1994 and facility agreement dated 4 December 1996. The plaint is a ruling document running into some 50 odd paragraphs.

The loan and facility agreements were secured by a further charge on the Plaintiff’s piece of land plot LR number 9042/164/5 Embakasi, Nairobi, a deed of guarantee issued by First American Bank Limited and personal guarantees of all the directors of the borrower. It was a term of the contract that the facility would run for 12 months from the effective date, which was to be stipulated by PTA Bank with notice to the borrower. At some point PTA Bank declined to give the borrower a facility called authority to negotiate (ATN) and it is alleged the refusal resulted in colossal loss to the borrower. For this the borrower claimed KShs 79 125 839-00 as special damages.

In a short defence dated 10 March 1998, filed by Muthoga Gaturu and Co Advocates on behalf of PTA Bank, the borrower’s claim was denied. In paragraphs 4 and 5 of the defence it was averred –

> “(4) No action can lie against the Defendant in the Municipal courts of the Republic of Kenya by virtue of the provisions of the Privileges and Immunities Act (Cap. 179) read together with Legal Notice Number 265 of 26 May 1991 and The Charter.
>
> (5) Without prejudice to the foregoing the Defendant contends that under the terms of the Loan Agreement pleaded in paragraph 3 of the plaint the Plaintiff is obliged to refer any dispute arising thereunder to arbitration in accordance with clause 16.12 thereof of Article XIV of the Facility Agreement pleaded in paragraph 6 of the plaint”.

In paragraph 7 of the defence it was pleaded that the superior court had no jurisdiction to hear the suit for the reasons stated and also because the agreed law of contract was the law of England not Kenya.

On 26 February 1998 the borrower applied for a temporary injunction under Order 39 of the Civil Procedure Rules to restrain PTA Bank from invoking the provisions of section 8.01 of the agreement dated 1 December 1994. The supporting affidavit, some 52 paragraphs long, was sworn by Elesh Natwarlal Ghalani, a director of the borrower. From paragraph 5 of his affidavit it transpired that the loan was additionally secured by a first debenture on all movable assets of the borrower. Section 9, which deals with Immediate Repayment, is to be found in the agreement dated 1 December 1994 not in the facility agreement of 4 December 1996 which is drawn in articles and in Roman numericals.

PTA Bank filed grounds of opposition along the lines pleaded in the defence and the replying affidavit was sworn by Michael Gondwe who carries the title of the Director of Legal Affairs in PTA Bank. In paragraphs 7 and 91 of his affidavit dated 5 March 1998 he deponed:

> "(7) It is provided in both the said agreements that they shall be governed by and construed in accordance with the Laws of England.
>
> …
>
> (9) I verily believe that on a true construction of the aforementioned Charter, laws, notices and agreements this honourable court lacks jurisdiction to entertain the suit or the application supported by the said affidavit".

The application was heard by Ole Keiwua J who by his ruling dated 5 May 1998 held that the court had no jurisdiction in the matter. He dismissed the application and struck out the suit with costs. The borrower now appeals to this Court against that decision. The Learned Judge found as a fact that the Republic of Kenya is a signatory to the Charter, which pursuant to Article 43 thereof had been given effect *vide* Legal Notice Number 265 of 1991 by Kenya's Minister for Foreign Affairs and International Co-operation. That legal notice provided for privileges and immunities of PTA Bank and this had conferred on PTA Bank absolute immunity from legal process in Kenya. The judge also held that since the agreements provided for disputes to be settled by arbitration in accordance with the laws of England, Kenya courts have no jurisdiction in the matter.

The issue of jurisdiction was raised before the judge *in limine* by way of a preliminary objection and his decision on the point in favour of PTA Bank finally disposed of the suit. The issue in this appeal in whether the preliminary objection was sustainable in law. Although the borrower has put forward six grounds of appeal I intend to deal only with the issues of immunity from legal process and arbitration. Article 4 of the Charter sets out the objectives of PTA Bank which include

> "(a) to provide financial and technical assistance, to promote the economic and social development of Member States, taking into account the prevailing varying economic and other relevant conditions within the common market;
>
> …
>
> (e) to co-operate, within the terms of this Charter, with other institutions, public or private, national or international, which are interested in the economic and social development of the Member States".

Article 43 of the Charter deals with the status, capacity, immunities and privileges of PTA Bank. Paragraphs 1 and 3 provide:

> "(1) To enable the Bank to achieve its objectives and perform the functions with which it is entrusted, the status, immunities and exemptions set act out in paragraphs 3 to 10 of this Article shall be accorded with respect to the Bank in the territory of each Member State.
>
> …
>
> (3) The Bank, its property and assets shall enjoy immunity from every form of legal process except in so far as in any legal particular case it has through the President, expressly waived its immunity".

In purported exercise of powers conferred by section 9 of the Privileges and Immunities Act (Chapter 179) ("the Act") the Minister for Foreign Affairs and International Co-operation by Legal Notice Number 265 dated 20 May 1991, promulgated the Privileges and Immunities (Eastern and Southern African Trade Development Bank) Order, 1991, by paragraphs 2 and 3 of which he decreed:

"(2) The Eastern and Southern African Trade Development Bank established by the member states of the Preferential Trade Area for Eastern and Southern African States, hereinafter referred to as 'the Bank' being an organisation of which the government of Kenya and other governments are members is declared to be an organisation to which section 9 of the Act applies.

(3) The Bank shall have:

(*a*) the legal capacity of a body corporate; and

(*b*) the privileges and immunities specified in Part 1 of the Fourth Schedule to the Act".

Section 9 of the Act empowers the Minister to extend privileges to certain international organisations and persons connected therewith. By that order the Minister applied to PTA Bank the immunities contained in Part 1 of the Fourth Schedule to the Act, which includes immunity from suit and legal process. In extending to PTA Bank what amounts to an absolute immunity from suits and legal process, the question which arises is whether, having regard to the nature of the business and operations of the PTA Bank, Parliament could have intended that it should be granted absolute immunity from suits and legal process across the board to cover even purely commercial transactions pertaining to its activities as a bank. I would think that such an extension would not only be against public policy but also in breach of international law. I know of no country which would allow a bank to provide banking and financial services with absolute immunity from suits and legal process and with absolutely no protection for its hapless customers. In my opinion, the only immunity the Minister could validly extend to the PTA Bank under section 9 of the Act could only be qualified immunity which would not cover its commercial operations as a bank.

The decision by the Minister to grant PTA Bank absolute immunity from suits and legal process even in purely commercial transactions seems to me to be contrary to international law. In *Trendex Trading Corporation Ltd v Central Bank of Nigeria* [1977] 1 All ER 981, a decision of the Court of Appeal in England, Shaw W said in the course of his judgment at page 909:

"There has been put before the court a wealth of material comprising decisions of foreign courts and the writings of international jurists which tends to show that over the last half century there has been a shift from the concept of absolute immunity to a narrower principle which excludes ordinary mercantile transactions from the ambit of sovereign immunity notwithstanding the sovereign status of a party to those transactions.

Here again I can add nothing to Lord Denning MR's and Stephenson LJ's recapitulation and analysis of the impressive body of international authority. I am content to say that the preponderant contemporary rule of international law supports the principle of qualified or restrictive immunity which takes account not only of the sovereign status of a party but also of the nature of the transaction in respect of which the issue of immunity arises. If the English courts are free to apply this current concept to the present proceedings the inescapable result would be that even if the Defendant bank were held to be a government department this status would not avail to confer on it immunity from suit in respect of their subject matter.

The question does, however arise as to whether this Court is free to fall into line with and to follow their modified concept even if it be the case that it has achieved such substantial acceptance as to be recognised as the operative rule of international law.

It is perhaps right to consider first whether the narrower principle is in better conformity with contemporary international relationships than the doctrine of absolute immunity. It seems undeniable that it is. So long as sovereign institutions confined themselves to what may in general terms be described as the basic functions of government a total personal or individual immunity from suit was unobjectionable since

> the area in which it operated had its own inherent limits. The comity of nations was aided by such a doctrine confined as it was, broadly speaking, to acts, which could be properly described as an exercise of sovereign power. The radical changes in political and economic and sociological concepts since the First World War have falsified the very foundations of the old doctrine of sovereign immunity. Governments everywhere engage in activities which incidental in one way or another to the business of government are in themselves essentially commercial in their nature. To apply a universal doctrine of sovereign immunity to such activities is more likely to disserve than to conserve the comity of nations on the presentation of which the doctrine is founded. It is no longer necessary or desirable that what are truly matters of trading rather than of sovereignty should be hedged about with special exoneration and fenced off from the process of the law by the attribution of a perverse and inappropriate notion of sovereign dignity.
>
> In the conditions of international relations which now prevail the restrictive principle which has emerged is manifestly in better accord with practical good sense and with justice. This is indeed the motive force which has brought about its establishment in place of the old rule. Can this Court not merely recognise the new principle but also adopt and apply it?
>
> Lord Denning MR has given affirmative answer to this question. Stephenson LJ considers that this Court is precluded from giving effect to the new principle. I am in agreement with the view expressed by Lord Denning MR for the reasons I shall endeavour to explain".

Kenya is an important member of the international community and is therefore bound by the rules of international law. It is inconceivable that the government of Kenya could knowingly disregard such an important rule of international law and grant PTA Bank absolute immunity from every form of legal process extending to even its commercial activities. I am entitled to assume that the Minister did not intend to break the law and that he issued the Legal Notice in complete ignorance of the law and without the benefit of competent legal advice.

In my judgment, even if PTA Bank is an international organisation entitled to immunities and privileges including immunity from suits and legal process, it is not immune from suit in respect of the subject matter of this case. In coming to this conclusion I have taken into account the intrinsic nature of the transaction as the material consideration in determining whether entering into that transaction is a commercial activity or an exercise in sovereign authority. I entertain no doubt at all that the transaction under consideration here was purely commercial and was not covered by the absolute immunity granted by the Minister under the Legal Notice.

Turning now to the arbitration clause, it was the submission of Mr *Muthoga*, for PTA Bank, that by providing in the agreements that they would be governed and construed in accordance with the laws of England, and that any dispute or difference between the parties shall be finally settled by the rules of conciliation and arbitration of the International Chamber of Commerce sitting in London, and that the arbitration award shall be final and binding on both parties, amounted to a complete ouster or exclusion of the jurisdiction of Kenya courts. With respect, I do not think this submission is correct. While the jurisdiction to deal with substantive disputes and differences is given to the International Chamber of Commerce in London, the Kenya courts retain residual jurisdiction to deal with peripheral matters and see to it that any disputes or differences dealt with in the manner agreed between the parties under the agreements.

It would be absurd to suggest that a borrower, whose security is being sold in Nairobi illegally by PTA Bank, cannot approach the High Court for a temporary

injunction, because I cannot see how in those circumstances the International Chamber of Commerce in London can be of any assistance to him. The Kenya courts must retain the power to look at the securities and instruments and be in a position to tell PTA Bank, in an appropriate case, that while the dispute is being referred to London for arbitration and final determination, it cannot realise its security in the meantime. That, in my judgment, must be what the officious bystander would have said he understood the parties to these agreements had in mind when they opted for arbitration in London.

In view of what I have said on these two points, I am left in no doubt at all that the Learned Judge was plainly wrong to have declined jurisdiction and to have made an order striking out the suit. At the very least, he should have dismissed the preliminary objection raised on behalf of PTA Bank and issued a temporary injunction in favour of the borrower restraining PTA Bank from seeking immediate repayment pending reference and final determination of the dispute by the International Chamber of Commerce in London. And instead of striking out the suit, he should have simply stayed further proceedings.

For these reasons, I would allow this appeal, set aside the ruling and order of Ole Keiwua J and substitute therefor an order reinstating the suit. I would also dismiss the preliminary objection taken by PTA Bank and grant the borrower a temporary injunction in terms of prayer number 3 of the Plaintiff's chamber summons dated 26 February 1998. I would grant the Borrower the costs of the chamber summons and also the costs of this appeal. I would order that any costs paid by the borrower to PTA Bank under the decree be refunded to the borrower within 30 days and with interest at court rates.

As Tunoi and Lakha JJA also agree this appeal is allowed in terms of the orders proposed by Lakha JA.

For the Appellant:
Mr Nyaencha

For the Respondent:
Mr Muthoga

Trust Bank Ltd v Eros Chemists Ltd
[2000] 2 EA 550 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	30 June 2000
Case Number:	133/99
Before:	Gicheru, Omolo, Lakha, Bosire and Keiwua JJA
Sourced by:	LawAfrica
Summarised by:	H K Mutai

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[1] Mortgage – Mortgagee's statutory power of sale – Mandatory notice of sale to mortgagor – Purpose of the statutory notice – Requirements for a valid notice – Three months from service of notice – Whether a notice that provided for a lesser period was valid – Section 69A – Transfer of

Property Act of 1882 (India).

[2] Practice – Precedent – Existence of conflicting Court of Appeal judgments – Previous decisions ordinarily binding on the Court – Court retains the discretion to depart from previous decision when necessary.

Editor's Summary

Trust Bank held a legal charge over property owned by the Respondent (the Plaintiff in the court *a quo*) in Westlands, Nairobi. On 24 March 1999 a firm of auctioneers acting on the bank's instructions advertised the property for sale by public auction to be held on 8 April 1999. The Respondent/Plaintiff then filed a suit against the bank and the auctioneers seeking a declaration that the intended sale was illegal. Simultaneously with the filing of the suit, the Respondent/Plaintiff applied for an interlocutory injunction restraining the intended sale, on the ground that it (the Respondent/Plaintiff) had not been served with a mandatory notice of sale pursuant to section 69A(1) of the Indian Transfer of Property Act. The bank replied that it had served the required notice by its advocates' letters to the Respondent/Plaintiff dated 2 January and 5 February 1999. On 27 April 1999 the trial Judge granted the application holding, *inter alia*, that none of the notices from the bank's advocates constituted the notice required under section 69A(1), hence the Respondent/Plaintiff had a *prima facie* case with a probability of success. The trial Judge also found that the Plaintiff had not come to court with clean hands as its managing director had not been honest when he said that the first time he came to know of the sale was when he read of it in the press. On appeal.

Held – The crucial issue before the Court was what constituted a valid notice under section 69A(1). The existence of conflicting decisions of the Court of Appeal on the issue in *Russell Co Ltd v Commercial Bank of Africa Ltd and another* [1991] LLR 1415 (CAK) and *Trust Bank Limited v Okoth* [2000] 1 EA 274 (CAK) raised difficult questions because the Court, as a matter of judicial policy and being the final Court of Appeal for Kenya, would normally regard a previous decision of its own as binding. However, the Court was free in both civil and criminal cases to depart from a previous decision when it appeared right to do so.

The object of a notice to sell under section 69A(1) was to guard the mortgagor's rights, because if the statutory right of sale was exercised the mortgagor's equity of redemption would be extinguished. Accordingly there was a positive and mandatory requirement that a valid notice of sale of charged property had to expressly state that the sale would take place after a three-month period following service of notice had elapsed; *Russell Co Ltd v Commercial Bank of Africa Ltd and another* [1991] LLR 1415 (CAK) overruled. The trial Judge had not erred in finding that irreparable damage had not been established and that the managing director of the Respondent/Plaintiff had been dishonest hence there were no grounds for interfering with his exercise of discretion. The appeal was therefore dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Russell Co Ltd v Commercial Bank of Africa Ltd and another [1991] LLR 1415 (CAK) – **O**

Trust Bank Limited v Okoth [2000] 1 EA 274 (CAK)

GICHERU, OMOLO, LAKHA, BOSIRE AND KEIWUA JJA: This is an appeal by the unsuccessful First Defendant ("the bank") from a ruling of the superior court (Otieno J) given on 27 April 1999. It raises, *inter alia*, a question as to the legal effect of a notice given by a mortgagee under section 69A(1) of the Transfer of Property Act before the exercise of the statutory power of sale.

By his ruling the judge granted the application made to him by the Plaintiff by way of a chamber summons dated 7 April 1999 whereby he restrained the Defendants themselves, their servants or agents from selling, disposing or in any other way dealing with the Plaintiff's property, LR No 1870/X/60 maisonette number 5 at Ring Road Westlands (the suit property) until the hearing and disposal of the suit.

The facts can be shortly stated. The First Respondent is and at all material times was the owner of the suit property. It was also a customer operating an account with the Appellant who was a holder of a legal charge over the suit property. On 24 March 1999 there appeared a notice in a daily newspaper by the Second Respondent on the bank's instructions advertising the sale by public auction of the suit property to be held on 8 April 1999. Thereupon the Plaintiff commenced a suit in the superior court against the bank and the Second Respondent ("the auctioneers") claiming a declaration that the intended sale was patently illegal.

On the same day the Plaintiff also filed an application for an injunction restraining the intended sale on the ground that in breach of the statutory mandatory requirement of the law the bank did not serve the requisite notice. The bank, however, contended that it had served notices by its advocate's letters of 2 January and 5 February 1999.

It is perhaps convenient at this stage to set out the statutory provision and the relevant parts of the said two notices. Section 69A(1) of the Transfer of Property Act provides as follows:

> "A mortgagee shall not exercise the mortgagee's statutory power of sale unless and until notice requiring payment of the mortgage money has been served upon the mortgagor or one or two or more mortgagors, and default has been made in payment of the mortgage money or of part thereof for three months after such service; or …".

The relevant and material part of the Bank's letter of 2 January 1999 states: "Unless we receive your remittance for the said sum together with the amount due in respect of interest within 14 days from the date hereof, our instructions are to sell by public auction the immovable property charged to our client by way of security …"

And that of 5 February 1996 states, *inter alia*, as follows:

> "Unless we receive your remittance for the said sum of KShs14 711 734-70 together with the amount due in respect of interest from the 1 January 1996 until payment in full within 14 days from the date hereof, time being of the essence, our instructions are to institute legal proceedings against you for the recovery thereof without any further notice to you whatsoever and you shall be liable for all costs and expenses (including court fees and legal costs) arising from and incidental to such legal action".

At the conclusion of the *interpartes* hearing on 8 April 1999 the judge indicated that for reasons which he would give on 27 April 1999 he would allow the application dated 7 April 1999 in terms of prayer 3 of the said application, that is, for an injunction restraining the sale of the suit property until the hearing and disposal of the suit. The judge duly delivered his ruling on 27 April 1999

when he held, *inter alia*, that none of the notices from the bank's advocate constituted a notice under section 69A(1) of the Transfer of Property Act which also led him to the conclusion that the Plaintiff had proved a *prima facie* case with probability of success. The judge also held that the Plaintiff's loss, if any, would not be irreparable and that the Plaintiff did not come to Court with clean hands as its managing director was not honest when he said that the first time he came to know of the impending sale of the suit property was when he read of it in the local daily; he clearly had notification of sale in the bank's advocate's letter of 2 February 1999.

Being aggrieved by this decision of the superior court the First Defendant has now appealed to this Court. Each of the findings of the judge as set out above has given rise to a ground of appeal which Mr *Ougo*, advocate for the Appellant, has argued intensively and interestingly. We now turn to consider each one of them, but before doing so we record that the Second Respondent, the auctioneers, were neither present nor appeared at the hearing of the appeal before this Court thus depriving this Court of the benefit of any submissions that might have been made on their behalf.

In our judgment, the heart of this appeal lies in the central question as to what constitutes a valid notice under section 69A(1) of the Transfer of Property Act. The construction accorded to this section is not free from authority. In *Russell Co Ltd v Commercial Bank of Africa Ltd and another* [1991] LLR 1415 (CAK) delivered on 15 October 1993 this Court held that section 69A(1) did not require the three months' period to be stated in the notice nor did its absence vitiate the notice or render it illegal. On the other hand, in *Trust Bank Limited v Okoth* [2000] 1 EA 274 (CAK) delivered on 14 January 2000, this Court held that the notice is required expressly to specify the period of three months upon the expiry of which the mortgagee shall sell the suit property failing which the notice would be invalid and the mortgagee's power of sale would not have accrued rendering the sale invalid.

On this state of authorities, the existence of two conflicting decisions of the Court, in our judgment, raises questions of considerable difficulty which can only be resolved by application of first principles.

It is, we think, beyond dispute that since the establishment of this Court in 1977 it ceased to hold the position of an intermediate appellate court but became a final Court of Appeal for the sovereign State of Kenya. Its position is analogous to that of the House of Lords. The decisions of the House of Lords upon questions of law are normally considered by the House to be binding upon itself, but because too rigid adherence to precedence may lead to injustice in a particular case and unduly restrict the proper development of the law the House will depart from a previous decision when it appears right to do so. So should this Court. For these reasons we are satisfied that as a matter of judicial policy this Court, as the final Court of Appeal for Kenya, while it will normally regard a previous decision of its own as binding, should be free in both civil and criminal cases to depart from such a previous decision when it appears right to do so.

The next question is whether the decision of this Court in the *Russell* case was a wrong decision. It is immaterial if the earlier decision had been by a majority (which it was not) although we must add that a dissenting judgment cannot but cast some doubt on the correctness of the decision of the majority.

We have carefully studied the decision and it appears to us that the only reason why it was held that the three months' period stipulated in section 69A(1) of the Transfer of Property Act need not be specifically referred to in the notice to sell is because this is not so stated in the statute.

The starting point of any discussion as to whether there should be an express statutory requirement that a notice should refer to the three months period is to consider what the object of a notice is. In our judgment, the notice is to guard the rights of the mortgagor because if the statutory right of sale is exercised the mortgagor's equity of redemption would be extinguished. This would be a serious matter. The law clearly intended to protect the mortgagor in his right to redeem and warn of an intended right of sale. For that right to accrue the statute provided for a three month's period to lapse after service of notice. In our judgment, a notice seeking to sell the charged property must expressly state that the sale shall take place after the three months' period. To omit to say so or to state a period of less than three months for sale (as in the *Russell* case) is to deny the mortgagor a right conferred upon him by statute. That clearly must render the notice invalid.

In our judgment, with respect, there is a mandatory requirement that a statutory right to sell will not arise unless and until three months' notice is given. We consider that the provision as to the length of the notice is a positive and obligatory one; failing obedience to it a notice is not valid. That being so, it seems to us that in failing to have the notice to say so, the bank failed to give a valid notice, with the result the right of sale did not accrue under such a notice. Without any hesitation, the notice in the *Russell* case threatening a sale of the charged property on a 14 days' notice was an invalid notice for accrual of a right of sale.

It is, however, of interest to add that *Mulla on The Transfer of Property Act* (8 ed) at 602 states as follows: "No form of notice is prescribed. It is sufficient that the notice gives the mortgagor the prescribed period of warning".

The final consideration on the first issue is whether, having come to the conclusion that this Court is free to depart from its own decision and that the Court's decision in the *Russell* case was wrong, this Court should now give a decision contrary to that given by this Court earlier. We have found this matter of the greatest difficulty. The earlier decision, with respect, is erroneous and surely this Court is not bound to perpetuate an error. It is a recent one and has not acquired the respect and following attributable to age. Moreover, it is unlikely that property rights have been acquired on the basis of the earlier decision and indeed it is the duty of this Court to rectify an erroneous decision. With considerable hesitancy we have come to the conclusion that this Court should declare, as we hereby do, that the decision of this Court in the *Russell* case is wrong. We uphold the Learned Judge in his finding that the notice in the instant case did not entitle the mortgagee to exercise a power of sale.

As to the Learned Judge's finding that there was no irreparable damage established, we think that he was plainly right. Of course, purely financial damage could not be regarded in principle as irreparable. A refusal or grant of injunction, however, is essentially a matter of discretion to be exercised judicially and taking all the circumstances of the case into consideration, the Learned Judge could not attach decisive importance to the question of irreparable damage since he had already held that the notice was invalid.

It was urged that the managing director of the First Respondent was dishonest. The judge did consider this factor but at the end of the day and in the exercise of his discretion he was of the view, which we accept, that an order of costs would meet the justice of the case.

We are satisfied that the Learned Judge dealt fully with the application before him and has not erred in principle or otherwise. There are no grounds upon which his discretion can be successfully challenged in this Court.

Accordingly, and for all the reasons above stated, this appeal fails and we dismiss it with costs.

For the Appellant:
Information not available

For the Respondent:
Information not available

Tumuhairwe v Uganda
[2000] 2 EA 555 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of judgment:	9 March 2000
Case Number:	17/99
Before:	Wambuzi CJ, Tsekooko, Mulenga, Kanyeihamba and Kikonyogo JJSC
Sourced by:	B Tusasirwe
Summarised by:	M Kibanga

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[1] Criminal law – Murder – Deceased dying of burns – Appellant confessing to setting deceased on fire to two witnesses – Confession done to one witness in the presence of the police and to the other witness alone – Section 24 – Evidence Act – Whether confessions admissible.

[2] Evidence – Dying declaration – Corroboration of dying declaration – Whether corroboration a matter of practice or law.

Editor's Summary

The Appellant and the deceased were husband and wife, respectively. They both lived in the same rented house with a shop operated by the deceased.

On 3 April 1994 at about 9:00 pm the deceased made an alarm which was answered by many people including PW2, the landlady. The deceased told PW2 that she had been set on fire with paraffin.

When PW4 visited the scene, the deceased told him that the Appellant had burnt her. The deceased later died in hospital of a burns-related cause. PW5 stated that the Appellant confessed that he had burnt the deceased because the deceased had refused him sex. This confession was made between the

Appellant and PW5. PW3 also stated that the Appellant had confessed to PW3 in the custody of police officers at the scene. The Appellant was charged with murder before the High Court and was convicted and sentenced to death. He appealed to the Court of Appeal and the appeal was dismissed. He then appealed further to the Supreme Court on the grounds that the Court of Appeal had erred in

fact and law by rejecting his defence of alibi and admitting the confessions to PW3 and PW5 and admitting the dying declaration to PW4 without corroboration. The ground of alibi was abandoned.

Held – The Appellant's confession to PW3 was inadmissible because it did not comply with section 24 of the Evidence Act which provided that confessions made by a person while he was in the custody of a police officer would not be admissible unless made in the immediate presence of a police officer of or above the rank of an assistant inspector or a magistrate; *PC Kikwemba v Uganda* criminal appeal number 16 of 1991 (UR) followed.

The confession to PW5 was admissible, because section 24 of the Evidence Act was not applicable thereto. This was because the confession was made when the Appellant was not in the custody of the police. The Court of Appeal was therefore justified in admitting the evidence of PW5.

Generally speaking, it was unsafe to base a conviction on a dying declaration solely, unless there was satisfactory corroboration, although that was a matter of practice and not a rule of law. *Okale v Republic*, *Tuwamoi v Uganda*, *Tomasi and others v Uganda*, *Kalisiti v Uganda* and *Tindigwihura v Uganda* followed.

The dying declaration was corroborated by the confession to PW5 and other circumstantial evidence. There was sufficient evidence to convict the Appellant.

Appeal dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Kalisiti v Uganda criminal appeal number 7 of 1987 (UR) – **F**

Okale v Republic [1965] EA 555 – **F**

PC Kikwemba v Uganda criminal appeal number 16/91 (UR) – **F**

Tindigwihura v Uganda criminal.appeal number 9 of 1987 (UR) – **F**

Tomasi and others v Uganda [1977] HCB 61 – **F**

Tuwamoi v Uganda [1976] EA 84 – **F**

Judgment

WAMBUZI CJ, TSEKOOKO, MULENGA, KANYEIHAMBA AND KIKONYOGO JJSC: Tumuhairwe Moses hereinafter to be referred to as "the Appellant" was indicted for murder contrary to sections 183 and 184 of the Penal Code Act. He was convicted and sentenced to death on 31 August 1998 by the High Court sitting at Fort Portal. The Appellant's appeal to the Court of Appeal was dismissed on 23 March 1999. Hence, the appeal to this Court.

The prosecution case as accepted by both the High Court and Court of Appeal was, briefly, that the Appellant was the husband of Aida Businge Abwooli hereinafter to be called "the deceased". The Appellant and the deceased lived at Hamukungu fishing village in Kasese District in a rented room at the back of a small shop operated by the deceased.

On 3 April 1994 at about 9:00 pm the deceased was in her shop when the Appellant poured paraffin on her and set her ablaze. She was seriously burnt.

She made an alarm which was answered by many people including PW 2, Hadija Kabagenyi, the landlady. The deceased told Kabagenyi, PW2, that she had been burnt with paraffin. One Ndahurira Eryeza, PW 3, a community health worker, was called to assist her. He gave her some first aid but she had been severely burnt and he therefore advised the police to take her to hospital which was done later.

When Bazara Wilson, PW 4, the LC Vice Chairman, visited the scene, the deceased told him that the Appellant had burnt her. Ernest Kule, PW 5, who went to the scene in response to the cries from the deceased's home, found the Appellant at the scene. The Appellant confessed to him (Kule, PW 5), that he had burnt his wife, the deceased, because she had refused him sex. Kule, PW 5, helped the LC officials and the police to arrest the Appellant who was later taken into police custody.

The deceased was taken and admitted to Kilembe Hospital the following morning of 4 April 1994. She was treated by Dr Kato. However, she died on 12 April 1994 due to tetanus which was consequent to the burns.

The Appellant's defence was a complete denial. He said that he did not torch the deceased as alleged by the prosecution witnesses. He set up an alibi. He was on the lake fishing during the period the incident took place. He returned the following morning only to be arrested by the police. Both gentlemen assessors and the Learned trial Judge rejected the defence of alibi. In agreement with the assessors the Learned trial Judge found the Appellant guilty as charged and sentenced him to death.

Aggrieved by the judgment of the High Court the Appellant appealed to the Court of Appeal which dismissed the appeal, upheld the conviction and confirmed the death sentence.

The Appellant's appeal to this Court was originally based on the sole ground that: "The Learned Justices of the Court of Appeal erred in law and fact when they rejected the defence of alibi".

However, during the hearing of the appeal, with leave of this Court, Mrs Eva *Kawuma*, the learned counsel for the Appellant, amended the memorandum of appeal. She added a second ground which she chose to argue as the first ground. This ground was formulated as follows: "The Learned Justices of Appeal erred in law by accepting the Appellant's confessions in the circumstances of this case". In her submissions counsel conceded that the deceased died from the infection of tetanus consequent to the burns. There was no doubt from the circumstantial evidence adduced by the prosecution and relied on by both the High Court and Court of Appeal the deceased was set ablaze. However, it was not done by the Appellant but by some other person. Counsel's particular quarrel was with the alleged confessions made by the Appellant to Ndahurira, PW 3, and Kule, PW 5. To her they were inadmissible as they were allegedly made in the presence of both the LC officials and the police. Their admission contravened the provisions of section 24 of the Evidence Act which reads as follows:

> "1 No confession made by a person whilst he is in the custody of a Police Officer shall be proved against any such person unless he made it in the immediate presence of–
>
> (*a*) Police Officer of or above the rank of Assistant Inspector, or
>
> (*b*) a Magistrate".

Further, Mrs *Kawuma* submitted that the Learned Justices of Appeal should not have relied on a dying declaration made to Bazara Wilson, PW 4, without corroboration.

Counsel abandoned the second ground concerning the defence of alibi. She concluded by asking the Court to give the Appellant benefit of doubt by allowing the appeal, quashing the conviction and setting aside the death sentence.

In reply, Mr Wagona *Vincent*, Senior State Attorney, supported both the conviction and sentence. As far as he was concerned the confessions made to Ndahurira, PW 3, and Kule, PW 5, were made at different times and in different circumstances. They should be treated differently. He submitted that section 24 of the Evidence Act was not applicable to the confession made to Ernest Kule. He further pointed out that it was not even challenged in cross-examination.

With regard to the need for corroboration of a dying declaration it was his submission that this was not a legal requirement. It was a matter of practice. In any case there was sufficient corroboration in the form of the confession to PW 5, Kule. He submitted that there was sufficient evidence to implicate the Appellant with the commission of the offence. He asked the Court to dismiss the appeal.

Upon listening to the submissions of counsel for the Appellant we are of the view that counsel's argument with regard to the confession made to PW 3, Ndahurira Eryeza, is valid. When the Appellant made the alleged confession to him, he (the Appellant) was already in the custody of the police and L C officials. In examination-in-chief Ndahurira, PW 3, stated, *inter alia*, that he found the police and LC officials already at the scene. In cross-examination he replied that: "When I went to the scene accused was in custody of the Police and L C's outside the house (muzigos). People were asking Musa why he had set fire on his wife. I also asked the same question and he said, 'she denied me sex'".

Clearly this confession is inadmissible. With respect, both the High Court and Court of Appeal should not have based their decisions on it. See *PC Kikwemba v Uganda* criminal appeal number 16 of 1991 at 4 (UR).

On the other hand, as it was rightly pointed out by Mr *Wagona*, Senior State Attorney, the provisions of section 24 of the Evidence Act are not applicable to the statement made to Ernest Kule, PW 5. Kule, PW 5, testified that the Appellant made the statement to him before he was arrested and taken into custody by the police. He further stated that: "He (the Appellant) told me he had set fire on his wife because she had refused him sex". Kule went on to say that he assisted LC officials to arrest the Appellant. This piece of evidence was not challenged in cross-examination. That confession was voluntarily made and was believed as true. Both the High Court and Court of Appeal were justified in relying on it.

With regard to the dying declaration it is true dying declarations must always be received with caution because the test of cross-examination may be wanting and the particulars of the violence may have occurred in circumstances of confusion and surprise. Generally speaking it is very unsafe to base a conviction solely on the dying declaration of a deceased person unless there is satisfactory corroboration.

However, as it was rightly pointed out by Mr *Wagona*, it is not a rule of law that in order to support a conviction based on a dying declaration there must be corroboration as there may be circumstances which go to show that the deceased could not have been mistaken. It is only a rule of practice.

See *Okale v Republic* [1965] EA 555*; Tuwamoi v Uganda* 1976 EA 84; *Tomasi Omukono and others v Uganda* [1977] HCB 61; *Kalisiti Ssebugwawo v Uganda* criminal appeal number 7 of 1987 (UR), *Tindigwihura v Uganda* criminal appeal number 9 of 1987 (UR).

In the present case there is nothing to suggest that the deceased was mistaken about her assailant. The dying declaration complained of by counsel in this case, must be true taking into account the circumstantial evidence before court. There was ample evidence before court to implicate the Appellant with the murder of the deceased.

For the aforesaid reasons we are unable to fault the decision of the Court of Appeal to uphold the judgment of the High Court and confirm the death sentence. The ground of appeal relied on by the Appellant must fail.

In the result the Appellant's appeal to this Court is dismissed.

For the Appellant:
Mrs E Kawuma

For the Respondent:
Mr W Vincent

Watete v Uganda
[2000] 2 EA 559 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of judgment:	20 November 2000
Case Number:	10/00
Before:	Oder, Tsekooko, Karokora, Mulenga and Kikonyogo JJSC
Sourced by:	B Tusasirwe
Summarised by:	M Kibanga

1] Criminal law – Accomplice – Meeting resolving killing of witches and wizards – Witness and Appellants present at meeting – Witness disapproving of resolution – Appellants killing deceased – Witness testifying at trial – Whether witness an accomplice to murder.

[2] Criminal law – Alibi – Appellants implying defence of alibi in charge and caution statements – Statements produced as defence exhibits during trial – Whether statements constituting defence of alibi in the absence of a direct defence of alibi.

[3] Criminal law – Witness – Witness and Appellants present at meeting – Resolution passed to kill witches and wizards – Witness a government security officer – Appellants charged with murder of

alleged wizard – Witness testifying against Appellants – Whether witness had purpose of his own to serve.

[4] Evidence – Evidence of witness with own purpose to serve – Whether evidence liable to corroboration as a rule of law.

Editor's Summary

Some days before 6 December 1995 elders of a certain location convened a meeting attended by, among others, the Appellants, where it was resolved that some young man be selected to kill witches and wizards in the area. On 6 December 1995 a mob comprising, among others, the Appellants visited the premises of the deceased, a tailor, and removed her from there forcefully while assaulting her. The mob then marched the deceased, while continuing to assault her, towards a Sub-County Headquarters first and then towards a police station. Along the way she collapsed and was dragged to the police station where she died.

A medical examination conducted on the deceased the following day indicated that she had died of internal head haemorrhage. The Appellants were charged with and convicted of the murder of the deceased and sentenced to death by the High Court. The case against the Appellants rested on the testimony of the two eye witnesses namely the deceased's daughter who had been with the deceased at the premises and another person who had been at the elders' meeting prior to the attack and had also been at the county headquarters when the mob went there with the deceased. He was also a government official concerned with security matters.

At the trial only one of the Appellants pleaded alibi in defence. Three other Appellants had implied that they were not at the scene of crime when the offence was committed in their statements to the police which were later produced as defence exhibits but the defence of alibi was not repeated in defence during trial. The Appellants' appeal to the Court of Appeal was dismissed.

They appealed to the Supreme Court on the grounds that (i) the defence of alibi by some Appellants was not considered, (ii) the evidence of one witness ought not to have been used to convict the Appellants because the witness, being a government officer, had a purpose of his own or alternatively, was an accomplice, having attended the meeting aforesaid, and (iii) the Court of Appeal did not properly re-evaluate the evidence of the trial court.

Held – The defence of alibi ought to have been directly put by the Appellant at the trial in answer to the charge against them. The Appellants' respective charge and caution statements produced in evidence did not make the contents thereof the maker's automatic answer to the charge he faced at the trial. Three of the Appellants, therefore, did not raise the defence of alibi and there was none to consider.

An appellate court would have had to quash a conviction based on accomplice evidence, if it was uncorroborated and the trial court failed to warn itself accordingly; *Obeli v Uganda* [1965] EA 622 cited with approval. A witness would be an accomplice if he participated as a principal or an accessory, in the commission of the offence, and the evidence of an accomplice would not be relied on to convict without corroboration; *DR Khetan v R* [1957] EA 563 cited with approval. There was no evidence that the witness was an accomplice; *Kamau v R* [1965] EA 501 followed.

The legal requirement for a warning on the need for corroboration was in respect of accomplice evidence only. There was no rule of law requiring the court to warn itself of the need not to rely on uncorroborated evidence of a

person who might have been regarded as having some purpose of his own to serve; *R v Prater* [1960] All ER 298 explained, *R v Stannnard* [1964] 1 All ER 34, *R v Becks* [1982] 1 All ER 807 followed.

There was no evidence to show that the witness had an interest of his own to serve in testifying. The appeal was dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

DR Khetan v R [1957] EA 563 – **APP**

Kamau v Republic [1965] EA 501 – **F**

Obeli vUganda [1965] EA 622 – **APP**

United Kingdom

R v Becks [1982] I All ER 807 – **F**

R v Prater [1960] All ER 298 – E

R v Stannard [1964] 1 All ER 34 – F

Woolmington v Director of Public Prosecutions [1935] AC 462

Judgment

ODER, TSEKOOKO, KAROKORA, MULENGA AND KIKONYOGO JJSC: This is a second appeal in which four Appellants ask this Court to quash their convictions for murder, and to set aside the sentence of death passed on each of them. The four, Mushikoma Watete *alias* Peter Wakhokha, Fred Kakala Mukhawana, Lawrence Natsheba and Francis Tomasi Mukhwana, were jointly indicted and tried for the murder of Christine Kibone. On 6 November 1998, the High Court of Uganda, sitting at Mbale, found them guilty as indicted and sentenced each one of them to suffer death. Their appeal to the Court of Appeal was dismissed on 9 November 1999, hence this appeal. To avoid a repetition of a mix-up apparent in the record of appeal due to referring to the Appellants by numbers, we shall herein refer to them by names as "Watete", "Natsheba" and "Francis", respectively.

The facts of the case, as found by the trial court, may be summarised as follows:

On 6 December 1995, in the afternoon, the deceased, a tailor, was at her place of work at Kikholo trading centre, with her daughter, Felista Nasike, who worked with her. Suddenly a mob of people surrounded her and when, out of fright, the deceased tried to escape, she was grabbed by the attackers and was taken away being assaulted with sticks, clubs, pangas and stones. She was taken to Bushika sub-county headquarters first, but was finally taken to, and dumped at, Bududa police station, where she died shortly thereafter. Part of the way, she was made to run with the mob which, while continuing the assault on her, was chanting words that indicated she was going to be killed. Towards the end, the deceased collapsed and was dragged on the road up to where she was finally

dumped. The whole episode lasted from about 4 pm to about 8 pm. A medical examination was carried out on the deceased's body the following day, and the cause of death was found to be internal brain haemorrhage. The case against the four Appellants was that they were part of the mob, and that they had each actively participated in the assault on the deceased, which assault led to her death.

The case rested on the evidence of two eye witnesses, namely: Felista Nasike who gave evidence as PW3, and Davis Wamaniala, who gave evidence as PW2. Felista Nasike testified that she was working with her mother when the mob pounced on the mother and took her away assaulting her. She followed the mob and witnessed what was done to the deceased up to Bududa police station, where the deceased was dumped and died. Davis Wamaniala, a parish chief of Bumusisho parish testified that on the fateful day at about 5 pm, he was at Bushika sub-county headquarters when the deceased was brought there by a mob, which he estimated to be about 50 people. She was being assaulted, allegedly because her brother, Nambaale, had kept his instruments of witchcraft with her. He told the mob not to assault her, and not to punish her for Nambaale's wrong, but to take her to police, and to bring Nambaale instead. The mob did not heed his advice. They continued to assault the deceased and took her away.

Both witnesses testified that they had recognised the four Appellants among the mob, as well as other persons who were not charged, some of whom had apparently fled from the area after the incident. Each of the two witnesses described what role each of the Appellants played in the assault on the deceased. In addition, Davis Wamaniala testified that on an unspecified date, prior to the incident, the elders of Bumusisho parish had convened a meeting at which it was resolved that persons practicing witchcraft, who were listed, should be dealt with. He attended the meeting and, according to him, so did the four Appellants.

There are three grounds of appeal to this Court. The first ground is:

> "1. The Learned Justices of Appeal erred in mixed law and fact on the issue of alibi in respect of the first, Second and Third Appellants".

This complaint is directed at the statement in the judgment of the Court of Appeal, where the Learned Justice of Appeal, said this of Watete, Kakala, and Natsheba:

> "… They did not set up an alibi as a defence. Learned Counsel for the appellants was therefore wrong in criticising the Learned trial Judge for not considering the alibi set up by the first, Second and Third appellants.
>
> It was the fourth appellant who put up a defence of alibi ..".

The Learned trial Judge had implied the same thing when he said in his judgment: "The accused all made unsworn statements in their defence and made an outright denial, but A4 also pleaded an alibi".

Mr *Nsibambi*, counsel for the Appellants, submitted to us, that each of the first three Appellants had also set up a defence of alibi. He contended that Watete set up the defence in his unsworn statement to court at the trial, and that Kakala and Natsheba set up theirs in their statements to the police.

In contending that Watete had set up an alibi at the trial, counsel erroneously ascribed to him the following statement appearing at page 46 of the record of

appeal, that is, “I denied the allegation with reasons that most of the time I don’t stay in the village, but I reside in Mbale”.

According to the trial Judge’s notes, however, that sentence is part of the unsworn statement of Natsheba. Watete’s unsworn statement is a narrative about his arrest on 17 February 1996 allegedly on a charge of threatening one Sam Nambaale, about his appearances in court until 1997 when he was informed of other charges for an offence committed in 1995, and about his committal to the High Court for trial. He did not say anything on or about where he was on 6 December 1995 when the deceased was killed. For Kakala and Natsheba, Mr *Nsibambi* made the proposition that each had set up the defence of alibi in the statement made to the police under charge and caution, on the premise that the statements were produced in evidence, as exhibit D3 and exhibit D4 respectively, and thereby became part of the defence evidence. He submitted that each of the statements put forward an alibi, which the courts below had erroneously ignored.

Ms *Khisa*, Principal State Attorney, supported the view held by both courts below, that the three Appellants did not set up alibi in their respective defences. She submitted that in any case, failure to consider the alleged alibi did not occasion any miscarriage of justice in view of the quality of the identification evidence which was believed and relied upon.

The defence of alibi is set up when an accused person, wishing to show that he could not have committed the offence charged, asserts that at the time the offence was committed he was in a different place from the scene of the crime. The law is well settled, that an accused person who puts forward an alibi as an answer to the charge against him, does not assume any burden of proving that answer. The burden remains on the prosecution to prove that the accused was at the scene of crime and not at the different place where he claims to have been. This emanates from the general principle propounded in the well-known decision of the House of Lords in *Woolmington v Director of Public Prosecutions* [1935] AC 462 to the effect that, with the exception of the defense of insanity, and some other statutory defences which are not relevant here, no burden ever rests on an accused person to establish his defence. That is true of the defence of alibi also. An accused person does not have any burden to prove his alibi. Needless to say, however, that for the prosecution to negative it, and more so, for the court to consider it as the defence, the alibi has to be put forward as the answer to the charge.

In the instant case, the position of Watete is very clear. We have already indicated that, at the trial, he did not put forward any alibi as an answer to the charge against himself. And unlike the other Appellants, he never made any statement to the police. Kakala also did not directly put forward any alibi in his unsworn statement at the trial. He gave a narrative, similar to that of Watete, about his arrest on 12 October 1996 on allegations that he had threatened to kill Sam Nambaale; about his appearances in court and release on bail; about his re-arrest on 14 February 1999 on the wrong accusation that he had jumped bail; and about his committal in May 1997. During that narrative, however, he said that in a statement he made to the police he denied the allegations against him. In the statement, produced as exhibit D3, what he had told the police, so far as is relevant, was “on that day I never went out of my village”.

He did not, however, repeat that when, after the prosecution closed its case, he was called upon to answer the charge against him. Similarly, Natsheba was more specific in the charge and caution statement to the police, exhibit D4. He there said,"on that day I was not even in the village but I was in Mbale Town".

He too did not repeat that in his defence at the trial but, as we noted earlier in this judgment, he said in general terms, that at the police he had denied the allegations against him because "most of the time" he did not stay in the village but resided in Mbale. We agree that if what each of the two Appellants said to the police was repeated to the trial court it would have amounted to putting forward an alibi in answer to the charge against him. We also agree that there was reasonable similarity between what each one said to the trial court and what he had said to the police. We, however, do not accept the inference implicit in Mr *Nsibambi'*s proposition, that because each Appellant's charge and caution statement was produced in evidence, the contents thereof automatically became the maker's answer to the charge he faced at the trial. Subject to what we shall say later in this judgment on the latitude to be accorded to an accused person, in the instant case it is pertinent to consider the purpose of tendering the statements, exhibit D3 and exhibit D4, in evidence. We think that purpose can be deduced from the defence counsel's final submissions to the trial court. He submitted:

> "… PW2 and PW3 testified that the accused persons remained in their village after the death of the deceased. This is in itself conduct from which the court may infer that they did not participate in the crime or else they would have run away as the RC III Chairman … In their dock statements the accused repeated what PW2 and PW3 stated that they remained in Bushika until their arrest.
>
> – A2 (that is, Natsheba) was arrested 3 February 97. He has a charge and caution statement dated 6 February 1997 (that is Exhibit D4).
>
> – A3 …
>
> – A4 (that is, Kakala) was arrested 12 October 1996. He exhibited his charge and caution statement dated 6.February 1997 (that is Exhibit D3)".

Clearly the purpose was to show how long it took for the Appellants to be arrested, after the offence was committed. In our view the statements were not produced in evidence to set up alibi. We are fortified in this view by the fact that, in his final submissions to the trial court, defence counsel canvassed the defence of alibi for Francis (A5) only, and not for Watete, Kakala or Natsheba, the other Appellants (A2, A3 and A4).

Mr *Nsibambi*, in his submissions to us, sought to also rely on a concession, made by counsel for the state at the hearing of the first appeal, that the trial Judge did not consider the alibis set up by the three Appellants. We find no substance in this submission, because the concession, such as there was, does not amplify the content of what the Appellants stated to the trial court in answer to the charge against them, which contents, as we have held, did not set up any alibi.

We should observe that generally the court should go a long way to give an accused person, particularly one on a capital charge, latitude in the presentation and interpretation of his defence. The court should, where appropriate, consider any relevant material lawfully before it, if it be favourable to the defence. However in view of all the foregoing, we are unable to fault the Court of Appeal for the stance it took, that the three Appellants, that is, Watete, Kakala and Natsheba, did not put up the defence of alibi. What is more, we are

satisfied that in the instant case, having regard to the evidence as a whole, even if Kakala and Natsheba were taken to have put up alibi as their respective defences through exhibit D3 and exhibit D4, the same would have failed, as did that of Francis. Consequently, the first ground of appeal fails.

Mr *Nsibambi* chose to argue the Second and Third grounds of appeal together. They read:

> "2 The Learned Justices of Appeal erred in mixing law and fact when they did not consider PW2's evidence as accomplice evidence and/or evidence of a person with a purpose of his own.
>
> 3 The Learned Justices of Appeal erred in law when they failed to properly re-evaluate all the evidence before it thereby upholding the erroneous findings of the trial court".

The question in the second ground was not raised in the Court of Appeal. However, because the question raised was an issue of law, we allowed Mr *Nsibarnbi* to argue the ground before us. Counsel submitted that PW2, Davis Wamaniala, was an accomplice witness or, in the alternative, a witness who had a purpose of his own to serve, and that in either case his evidence ought not to have been relied upon without the court warning itself of the need for corroboration. In support of the contention that the witness was an accomplice, counsel argued that by reason of having attended the meeting at which it was resolved to round up and kill persons practicing witchcraft, that witness was guilty of inciting the incident in which the deceased was killed. In respect of the alternative, counsel pointed to the witness's evidence about his attending the said meeting, where he said:"It was my duty to collect information affecting security and pass it on to any superiors".

On basis of that, counsel invited this Court to conclude that Davis Wamaniala was a witness who had a purpose of his own to serve, and whose evidence was unreliable in absence of corroboration. Counsel relied on *R v Becks* [1982] 1 All ER 807 and *R v Prater* [1960] 1 All ER 298, in support of his alternative submission. In conclusion, he submitted that if the Court of Appeal had properly re-evaluated the evidence it would have found that PW2's evidence was unreliable.

In reply Ms *Khisa* argued that PW2 cannot be classified as an accomplice merely on the ground that he attended the meeting convened by the elders. She argued that he did nothing in furtherance of the resolution of the meeting. On the contrary, the only evidence available showed that he did not approve the decision of the meeting. She also submitted that the Court of Appeal had thoroughly evaluated the evidence on record.

It is trite law, that in a criminal trial, it is unsafe to rely on accomplice evidence unless it is corroborated. However, the trial court may do so, if, after warning itself of the danger, it is satisfied that the evidence is reliable. An appellate court therefore will quash a conviction based on accomplice evidence, if it is uncorroborated and the trial court failed to warn itself accordingly (see *Obeli v Uganda* [1965] EA 622). In the instant case, we have to determine first whether PW2 was an accomplice witness, before considering if his evidence required corroboration, and/or the courts below ought to have treated it with caution.

In a criminal trial, a witness is said to be an accomplice if he participated, as a principal or an accessory, in the commission of the offence which is the subject

of the trial. The clearest case of an accomplice is where the witness has confessed to the participation in the offence, or has been convicted of the offence either on his own plea of guilty or on the court finding him guilty after trial. However, even in absence of such confession or conviction, a court may find, on strength of evidence before it at the trial, that a witness participated in the offence in one degree or another. Clearly, evidence that a witness conspired to commit, or (as is contended by Mr *Nsibambi* in this case) incited the commission of the offence under trial, would be sufficient evidence of such participation and would justify the trial court in treating such a witness as an accomplice; and if the trial court fails so to do, the appellate court would quash a conviction based on that witness's evidence if it be uncorroborated (see *DR Khetan v R* [1957] EA 563).

In the instant case, however, we have found no evidence on record that would have justified the trial court, or the first appellate court, to hold that Davis Wamaniala participated in the offence in question. The only evidence concerning the meeting from which Mr *Nsibambi* would have us deduce such participation, was given by Davis Wamaniala himself. He testified that the meeting was convened by the elders of Bumusisho parish, some of whom he named. In examination-in-chief he said that the meeting decided that those who practiced witchcraft should be dealt with. He elaborated on this in cross-examination, when he said that the meeting resolved to select young men to kill witches and wizards. However, he added:"I disapproved of the meeting".

He also testified that though he did not report the meeting to the sub-county chief, he reported it to the RC III Chairman who, as a result, went from village to village. There is no evidence to contradict, expressly or by inference, his assertion that he disapproved of the meeting. Nor is there any evidence that he was party to, or that he otherwise supported or encouraged, the resolution to kill the witches and wizards. We agree with Ms *Khisa* that there was no evidence to show that Davis Wamaniala did anything in furtherance of that resolution. Mere passive attendance of that meeting and/or failure to report to the sub-county chief or police did not render him a participant in the preparations for, let alone in the commission of the offence in question: see *Kamau v Republic* [1965] EA 501. Accordingly we hold that there was no evidence that would have justified the trial court or the Court of Appeal to classify PW2 as an accomplice.

We now turn to counsel's alternative submission, that Davis Wamaniala was "a witness with a purpose of his own to serve". No previous decision of this Court or its predecessors pronouncing on such categorisation of a witness was referred to us, nor have we found any. The category, or, more aptly, the description appears to originate from the English decision of the Court of Criminal Appeal in *R v Prater* [1960] All ER 298, where at 300 the court said: "The court, in the circumstances of the present appeal, is content to find itself on the view which it expresses that, in cases where a person may be regarded as having some purpose of his own to serve, the warning against uncorroborated evidence should be given".

The witness envisaged in that proposition, is apparently one who is likely not to testify truthfully because of some personal purpose he wishes to serve or effect, as for example to cover up his wrongdoing. However, the proposition in *R v Prater* (*supra*), was so watered down in subsequent decisions, that it appears to be no longer an authority of substance. Four years after that decision, the same

Court of Criminal Appeal, in *R v Stannard* [1964] 1 All ER 34 at 40, explained the proposition in the following terms:

> "The rule, if it be a rule, enunciated in *R v Prater* (*supra*) is no more than a rule of practice. I say deliberately, 'if it be a rule' because, reading the passage of the judgment … it really seems to amount to no more than an expression of what is desirable and what, it is to be hoped, will more usually than not be adopted, at any rate where it seems to be appropriate to the Learned Judge. It certainly is a rule of law ..".

In a much later judgment of the Court of Appeal, criminal division, in *R v Becks* (*supra*), a number of decisions since *R v Prater* (*supra*) were reviewed, and the court opined that the *Prater* case did not extend the law regarding accomplice evidence. The conclusion of the court on the issue was as follows:

> "While we in no way wish to detract from the obligation on a judge to advise a jury to proceed with caution where there is material to suggest that a witness's evidence be tainted by an improper motive, and the strength of that advice must vary according to the facts of the case, we cannot accept that there is an obligation to give the accomplice warning with all that entails, when it is common ground that there is no basis for suggesting that the witness is a participant or in any way involved in the crime the subject matter of the trial".

We agree with that conclusion. Whenever the court is evaluating evidence and assessing its credibility, all factors likely to colour, taint or in any way affect a witness's truthfulness or accuracy, must be carefully considered. The witness's motive for testifying, when evident, is one of such factors. Similarly, a witness's opportunity to observe what he claims to have witnessed, and a witness's experience on matters on which he gives opinion evidence, are factors that the court takes into consideration. All those and other factors, when applicable, assist the court to determine what weight and therefore, reliance, if any, to place on the witness's testimony. However, the legal requirement for a warning on the need for corroboration is in respect of accomplice evidence. What is akin to that is the requirement, which has grown in practice, and which has been pronounced on by this Court in many of its decisions, for the court to warn itself of the danger of convicting solely on identification evidence, especially of a single witness, where the circumstances were not favourable to correct identification. There is no legal requirement to treat a witness who has a purpose of his own to serve in a special way, though that purpose may be taken into consideration when assessing the witness's credibility.

The thrust of Mr *Nsibambi*'s argument in describing Davis Wamaniala as a witness with a purpose of his own to serve was not clear, but it was hinged on the following statement made by the witness in cross-examination: "It was my duty to collect information affecting security and pass it on to my superiors. I reported to RC III Chairman as a result of which he moved from village to village".

We do not accept that that statement *per se*, was indication that the witness had a purpose of his own to serve, rendering his evidence so suspect as to require it to be treated with caution. The role of a chief in matters concerning security, as well as in matters of maintaining law and order in his locality, is a matter of common knowledge and is prescribed by law: see section 33(1)(*f*) and (*h*) of the Local Government (Resistance Councils) statute number 15 of 1993 which was in force then. In gathering information on those matters and reporting it to his superiors, or giving testimony on that information to court, the witness was not serving a purpose of his own but was serving the state he is

employed to serve. Furthermore, he was not shown to have lied or exaggerated in order to cover up any wrongdoing on his part.

On the whole we do not find any reason why the Court of Appeal, or for that matter the trial court, should have treated the evidence of Davis Wamaniala with any more caution than is necessary in respect of an ordinary witness. Besides, it must be said, Davis Wainaniala was not the only eye witness who implicated the four Appellants. They were also implicated by Felista Nasike, another eye witness, as already pointed out earlier in this judgment. Finally we are satisfied that the Court of Appeal amply re-evaluated the evidence as a whole. The Second and Third grounds of appeal must also fail.

In theresult the appeal fails and is dimissed.

For the Appellant:
Mr Nsibambi

For the Respondent:
Information not available

Yasamu v Uganda
[2000] 2 EA 568 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of judgment:	23 November 2000
Case Number:	2/00
Before:	Wambuzi CJ, Oder, Tsekooko, Mulenga, Mukasa-Kikonyogo JJSC
Sourced by:	B Tusasirwe
Summarised by:	M Kibanga

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[1] Criminal law – Criminal responsibility – Advocate for the Appellant – Conceding criminal responsibility on behalf of Appellant – Whether concession proper.

[2] Criminal law – Robbery – Appellant arrested with two items lost in recent robbery – Complainant saying he heard Appellant's name called during robbery – Items identified as lost in robbery – No evidence explaining movement of items from robbery to possession by Appellant – Whether conviction proper in view of lacuna.

[3] Criminal procedure – Trial on indictment – Preliminary hearing – Memorandum of matters agreed to be read and explained to the accused in a language understood by the accused – Memorandum neither read to the accused no signed – Non-compliance with mandatory provisions – Whether non-compliance causing injustice – Section 64(2) – Trial on Indictment Decree (1971).

Editor's Summary

On 31 December 1994 between 8:00 and 9:00 pm a group of persons entered Wandera's shop disguised as customers. They then robbed him of several goods including a Hitachi radio and a black bag with some red stripes. After the robbery, a voice of one of the robbers called out the name of Kwoba, a fellow robber. One of the robbers then shot Wandera on the left shoulder and Wandera lost consciousness. The police later arrived at the scene.

On the same day at about 10:00 pm, robbers attacked the shop of Charles by breaking into the shop. They robbed Charles of, among other items, a Mekosonic Dynamic radio. Charles did not recognise any of the robbers.

On 2 January 1995 the Appellant was arrested at a taxi park while in possession of a Mekosonic Dynamic radio and a black bag and, although he claimed they belonged to him, he could not produce any receipts for the item. Later Wandera and Charles visited the police station and identified the radio and the bag as belonging to them. The Appellant was charged with two counts of capital robbery.

The Appellant explained that the radio belonged to one of his customers, he (the Appellant), being a radio repairer. He told the High Court that he had many radios in his repair shop belonging to different people and that he was in the process of delivering the radio to the owner when he was arrested.

After the conclusion of the trial, the assessors advised for conviction. The trial Judge believed the prosecution and convicted the Appellant on both counts of capital robbery. On appeal to the Court of Appeal, the conclusion of the High Court was upheld.

The Appellant appealed to the Supreme Court arguing that the prosecution had not proved its case beyond reasonable doubt. The Appellant urged the Supreme Court that (i) there was no sufficient proof that dangerous weapons had been held and (ii) that there was a break in the chain of event connecting the Appellant with the robberies.

Advocate for the Appellant also pointed out that section 64 of the Trial on Indictments Decree, 1971, had not been complied with, hence occasioning injustice to the Appellant.

Held – There was ample evidence of the use of a deadly weapon (the gun) during the robberies. The items found in the Appellant's possession were peculiar and had been sufficiently identified and the break in the events in the transmission of the radio and the bag to the Appellant did not affect the evidential value of the items The inconsistency of the prosecution witness about the name of the radio was minor.

The provisions of section 64(2) of the Trial on Indictments Decree, 1971 were mandatory and failure by a trial judge to comply therewith could occasion injustice to the Appellant.

The statement purportedly admitted by the trial Judge under the aforesaid section was improperly so admitted, the Judge not having complied with the said section.

It was improper for the advocate for the Appellant to concede criminal responsibility on behalf of the Appellant; *Mawanda Edward v Uganda* Supreme Court criminal appeal number 4 of 1999 (UR), followed the non-compliance with section 64(2) of the Trial on Indictments Decree, 1971 was not fatal in the circumstances of the case.

Appeal dismissed.

Case referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**"

means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Mawanda Edward v Uganda Supreme Court criminal appeal number 4 of 1999 (UR) – **F**

Judgment

WAMBUZI CJ, ODER, TSEKOOKO, MULENGA, MUKASA-KIKONYOGO JJSC: This appeal is against the decision of the Court of Appeal, which dismissed the Appellant's appeal against his conviction for capital robbery on two counts by the High Court, which sentenced him to death.

The allegations laid against the Appellant at his trial in the first count were that he and others on 31 December 1994, at Kayanga village in Iganga District, robbed Oluja Wandera of one radio cassette, a bicycle and Shs 100 000 and at or immediately before or immediately after the robbery used a gun on the said Oluja Wandera. Similar allegations of robbery in the second count relate to robbery of Omondi Charles except that in this instance the Appellant and his accomplices threatened to use a gun on Omondi Charles, the victim of the robbery, and stole different items.

The case for the prosecution was that on the night of 31 December 1994, the Appellant and other persons while armed with a gun and sticks, attacked Kayonga village. They first attacked Oluja Wandera (PW1) in his shop between 8:00 pm and 9:00 pm. At that time four people entered the shop disguised as customers. Some people who were around the shop fled from the scene presumably after realising that the four were robbers. The four people dressed in civilian clothes entered the shop and slapped Oluja Wandera who never recognised them. They then robbed diverse shop goods, which included a Hitachi radio cassette and a black bag. The bag bore some red stripes. After the robbery a voice of one of the robbers called out the name Kwoba, one of the robbers who was inside the shop. One of the unidentified robbers shot Oluja Wandera in the left shoulder. Wandera fell down and became unconscious. He regained consciousness when the police, to whom a report was made, reached the scene.

On the same day at 10:00 pm, robbers attacked the shop of Charles Omondi (PW2) another shopkeeper of the same village. While inside the shop he heard people who were outside the shop saying that thieves had arrived. He locked all the doors of the house. The robbers ordered him to open the shop. When he did not respond, there was heavy gunfire, which was followed by barging to open the door of his shop by the robbers. The robbers entered and robbed him of a Mekosonic Dynamic radio cassette number 8922BJ, his and his wife's clothes and diverse household properties. Omondi lay quietly in hiding until the robbers had left. He did not recognise any of the robbers. After the robbers left he came out. Many people had gathered. The robberies were reported to Bugiri police post.

On 2 January 1995, the Appellant was arrested by Haji S Mugwa (PW3) at Bugiri taxi park while in possession of a Mekosonic Dynamic radio cassette and a black bag. He claimed that the radio belonged to him. He could not produce to his arresters a purchase receipt. Probably on the same day (2 January 1995), Wandera (PW1) and Omondi (PW2) visited Bugiri police station where Wandera identified the black bag as his property and Omondi identified the radio cassette.

In his sworn defence, the Appellant denied the offences. He explained that he had been a radio repairer for two years. That prior to 31 December 1994, he had repaired a number of radios. He admitted that he was arrested at the taxi park by Haji S Mugwa (PW3) on 1 January 1995 while in possession of a Panasonic Radio, not Mekosonic, which was red in front but grey at the rear and which he was carrying in a red bag. He intended to deliver it to Bagitano Paul. He had delivered some two other radios to the respective owners on 31 December 1994. He testified that before he was arrested, he disagreed with a conductor of the taxi who wanted to store the radio in the boot of the taxi. Because of the disagreement, the conductor reported him to Mugwa (PW3) who arrested him for disorganising other passengers. When Mugwa asked for the receipt in respect of the radio, the Appellant had none. Thereafter Mugwa and a group of other people assaulted the Appellant alleging that he was a thief. He, the radio and the bag in which he had packed the radio were handed to the police who eventually charged the Appellant with the present offences. He testified that the bag and the radio found in his possession were new and different from the ones produced in court during his trial. He claimed that he had taken the police to his radio workshop where the police saw many other radios.

At the conclusion of the trial the assessors advised for conviction on both counts. The Learned trial Judge believed the prosecution and disbelieved the Appellant whom he convicted on both counts. He appealed to the Court of Appeal against his convictions. The convictions were upheld by the Court of Appeal. The Appellant has now appealed to this Court against the decision of the Court of Appeal. There is only one ground of appeal.

As formulated in the supplementary memorandum of appeal the complaint in the ground of appeal is that the Learned Justices of Appeal erred in law in upholding the finding of the trial Judge that the offences of aggravated robbery had been proved beyond all reasonable doubt.

Mrs Eva Luswata *Kawuma*, counsel for the Appellant, contended that the prosecution failed to prove that theft had been committed, that a deadly weapon was used during the robberies and that the Appellant was identified as one of the robbers. Learned counsel argued that in his defence the Appellant had explained how he came into possession of the radio cassette and the bag, and that Mugwa (PW3) contradicted himself about the name of the radio found in the possession of the Appellant when he was arrested. She submitted that there was a break in the chain of evidence of exhibits which were not marked by the police. After the court drew her attention to the irregularity in record
of the memorandum of agreed facts she said that section 64 of the Trial on Indictments Decree, 1971, was not complied with in recording the memorandum of the evidence of PC Menya and such non-compliance occasioned injustice.

Mr Michael *Wamasebu*, Principal State Attorney, appearing for the Respondent, supported the judgments of the trial Judge and of the Court of Appeal. He submitted that the issue of use of a deadly weapon, should not be raised before us because it was conceded at the trial that a deadly weapon was used and the issue was never argued in the Court of Appeal. He argued that in any case there was evidence of use of a deadly weapon which evidence was not challenged in the courts below. The two courts below accepted and acted on that evidence.

With respect, we agree with the learned Principal State Attorney that there was ample evidence of use of deadly weapon. The evidence of Oluja Wandera (PW1) and Charles Onyango (PW2) already referred to in this judgment proves the use of a deadly weapon, a gun, during the robberies.

In regard to the two exhibits, the learned Principal State Attorney submitted in effect that the exhibits were sufficiently identified. He said that each of the exhibits had peculiar identification marks. The radio had a serial number and bore the initials "C O" which stand for the name of the owner, Charles Omondi (PW2). The same radio had a defective mechanism which holds radio cells and its antenna was also defective. He asked us to uphold the finding of the trial Judge that the inconsistency in the evidence of Mugwa about the name of the radio cassette is minor.

Subject to what we say later about non-compliance with section 64, we accept the arguments of the Principal State Attorney in regard to the peculiar features of the radio. The break in the chain of the evidence of transmission of exhibits from the moment Mugwa handed them over to Bugiri police post to their production in court, occasioned by the exclusion of the evidence of P.C. Menya for non-compliance with section 64 of the Trial on Indictment Decree by the trial Judge, does not affect the evidential value of the radio and the bag. The two items were robbed on the night of 31 December 1994. Two days later, that is , on 2 January 1995, the Appellant was found in possession of the same two exhibits, which were handed to the Bugiri Police by Mugwa on the same day. Apparently the owners of the exhibits, namely Wandera and Omondi, visited the police station and identified the two items as some of the property which was robbed from them. Although the Appellant maintained in his sworn evidence that the items found on him were different from the ones produced in evidence, the assessors and both the trial Judge and Court of Appeal believed the prosecution version and rejected the Appellant's version. We are thus faced with the situation where the two courts below have made concurrent findings of fact based on the assessment of evidence that the radio and the bag produced in evidence are indeed the same items which were found in possession of the Appellant upon his arrest. At the trial the two exhibits were produced without objection. In these circumstances we have not been persuaded that either court erred in making the finding. We agree with the Learned trial Judge that the inconsistency in the evidence of Mugwa about the name of the radio is minor.

Mr *Wamasebu* quite properly conceded that the trial Judge did not comply with the provisions of section 64 of the Trial on Indictment Decree. The learned Principal State Attorney however contended that the non-compliance did not occasion injustice and that the admission by the Appellant's counsel of the statement of evidence of Constable Menya as recorded by the trial Judge mitigated the injustice, if any.

The provisions of section 64(1) and (2) insofar as are relevant read as follows:

> "(1) If an accused person who is legally represented pleads not guilty, the court shall as soon as is convenient hold a preliminary hearing in open court in the presence of the accused and his advocate and of the advocate for the prosecution to consider such matters as will promote a fair and expeditious trial.
>
> (2) At the conclusion of a preliminary hearing held under this section, the court shall prepare a memorandum of the matters agreed and the memorandum shall be read over and explained to the accused in a language that he understands, signed by the accused and by his advocate and by advocate for the prosecution, and then filed".

A preliminary hearing is intended to promote a fair and expeditious trial. According to subsection (2) the following steps are mandatory. The court must:

(a) Prepare a memorandum of the matters agreed in the presence of the accused and his advocate.

(b) The memorandum must:

(i) be read over and

(ii) be explained to the accused.

The explanation must be made in a language understood by the accused.

(c) The memorandum must be signed:

(i) by the accused,

(ii) by his advocate, and

(iii) by the advocate for the prosecution

(d) Then it must be filed as part of the record.

The record of the trial on 15 January 1999 so far as relevant shows the admitted statement of number 28499 PC Menya A to be:

> "I do recall very well that on 2 January 1995 I was on duty late shift 2 with PC Suruga around 2:30 pm one man called Sulait Mugwa Local Defence at the same time Chairman RC III Kapyaga Sub-county here in the office with one suspect called Kwoba Yosamu suspected to have stolen one radio cassette Mekosonic and 1 black bag and the exhibits were also handed in. As I was on later I rearrested the suspect and detained him in cells and the exhibits were exhibited attached to the file. Later on the suspect was transferred to Iganga CPS together with the exhibit.
>
> Mr Liga: That is correct. We admit the statement".

After recording that, the Learned trial Judge proceeded to select two assessors who assisted him in the trial. There is nothing whatsoever showing that the Learned Judge explained the memorandum to the accused at all and in a language he understands. It is apparent that neither the Appellant nor his advocate signed the memorandum. Nor did the State Attorney. These are mandatory requirements under the provisions of subsection (2). These provisions do not authorise an advocate for the accused to admit, as did Mr Liga admit in the instant case, the correctness of the "statement" on behalf of the accused. Recently, in the case of *Mawanda Edward v Uganda* Supreme Court criminal appeal number 4 of 1999 (UR), we pointed out that in a criminal case it is improper for counsel for an appellant to concede criminal responsibility on behalf of an appellant.

In this case the recorded memorandum was damning to the accused. It should have been explained to him as required by section 64(2). In the circumstances, we cannot with respect accede to Mr *Wamasebu*'s view that the admission by Mr Liga as to the correctness of the statement purporting to be a memorandum of agreed facts mitigated any injustice that could have been occasioned by the failure by the Learned trial Judge to comply with the requirements of section 64(2) of the TID. We accordingly hold that the evidence of PC Menya was improperly admitted and is not part of the record. Trial judges must comply with the mandatory requirements of section 64(2) whenever a preliminary hearing is held.

Be that as it may, the exclusion of the admitted evidence leaves ample evidence that the stolen property was found in the possession of the Appellant.

We reject the argument of counsel for the Appellant that the lacuna in the evidence regarding transmission of the exhibits is fatal to the conviction.

There is ample evidence to support the conviction of the Appellant. Accordingly the ground of appeal fails and the appeal on both counts is dismissed.

For the Appellant:
Mrs EL Kawuma

For the Respondent:
Mr M Wamasebu